Canara Bank (CANBK)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

Call: Jul 2022

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Ref:: SD:258/259/11/12::2022-23
The Vice President
BSE Ltd. The Vice President
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Scrip Code: 532483 Scrip Code: CANBK
Dear Sir/Madam,
Sub: Ql FY 2022-23 Earnings conference call with Analysts / Investors -Transcript
Ref: 1. Our Letter SD:225/226/11/12::2022-23 dated 21.07.2022 &
2.Our Letter SD:249/250/11/12::2022-23 dated 25.07.2022
With reference to above and pursuant to the applicable provisions of SEBI (LODR)
Regulations, 2015, we herewith enclose the transcript of post results Earnings conference call
QI FY2022-23 held on 25.07.2022.
The transcript of QI FY2022-23 Earnings conference call is uploaded on Bank's website and
the same can be accessed through below link:
https://canarabank .com/User page.aspx?othlink.=383
This is for your information and records.
Yours faithfully,
■w.m■
For CANARA BANK
■■
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Assistant General Manager & Company Secretary
VINAYMOHTA
COMPANY SECRETARY
:af?f<ftq fiiriii
■w-r ■
112, ■■■. ■-560002
E-Mail -hosecretarial @canarabank .comSecretarial Department
Head Office
112 J C Road, Bengaluru -560002
www.canarabank.com F +91 80 22248831
T +91 80 22100250

Q1 FY202 2-23
EARNINGS CONFERENCE CALL
TRANSCRIPT

Monday , July 25 , 2022
04.30 pm (IST)

Management:
Mr. L V Prabhakar
Managing Director & Chief Execut ive Officer,
Canara Bank
Mr. Debashish Mukherjee
Executive Director, Canara Bank
Mr. K Satyanarayana Raju
Executive Director, Canara Bank
Mr. Brij Mohan Sharma
Executive Director, Canara Bank

Canara Bank
Q1 FY202 2-23 Earnings Conference Call/Analyst Me et
■ Moderator:
■ Shri. L.V. Prabhakar - MD & CEO, Shri. Debashish Mukherjee – ED, Shri. K. Satyanarayana Raju – ED, Shri. Brij Mohan Sharma – ED. Without further ado, I will handover the call to Mr. Prabhakar for his opening remarks, post which we will open the floor for Q&A. Over to you sir.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Very good afternoon and my sincere thanks to all the investors for the support they are giving us. And, regarding the Q1 FY23 results of Canara Bank, we have concentrated o n 4 verticals. Let me tell you the internal thing. First one is, in Q1 generally the credit growth will not be so impressive. So, what we thought is, in Q1, we have to take the opportunity to attract all the clients and to show a decent credit growth so th at in the coming 3 quarters, the credit growth which is significant in Q1 will give many advantages to the ratios in the coming quarters. Accordingly, we worked strategically and we focused on RAM, we focused on Corporate. RAM, as we said, 55% plus or minu s 2%, and Corporate 45% plus or minus 2% we'll be maintaining. In Q1 we maintained a RAM of 56% and a Corporate of 44%. Growth credit we have grown by 14.4%. Corporate 14%. RAM 14.85%. And, we are of the opinion that we want to continue this good growth jo urney on the asset side in Q2 also.
■ The second one is, we are very conscious about the ratios of GNPA and Net NPA. GNPA compared to YoY was reduced by 152 bps, and now it stands at sub 7 i.e. 6.98. Net NPA, it was reduced by 98 bps YoY and it now stands a t 2.48. In Q2, we are working to bring these Gross NPA and Net NPA figures significantly down.
■ Then, coming to the income side, we have focused on Non -Interest Income and also Interest Income. Non -Interest Income has shown a decent growth of 25%, and out of this, again, we have concentrated on fee -based income also which has al

so shown a
decent growth. Interest Income, the REPO increases of 40 bps we have passed on to our customers in Q1, whereas the remaining 50 bps we have not passed on, and it has been passed on on 7th July. So, whatever interest increase is there, that advantage Canara Bank will be getting in Q2. And, we have also ensured that whatever additional exposures we are taking, majority of the exposures will be under A and above category, beca use of which we have observed that 78% of the rated accounts are above A and above category, which used to be 69%. And, BB and below we have reduced to 11%. Apart from that, Operating Profit we want to have a minimum growth of 15%. Our target was 15%, we h ave achieved 20%, and now the amount is 6,606 crores. With the controlled provisions Net Profit we have crossed the benchmark of 2,000 crores, and we are confident and we'll work towards a direction to sustain this 2,000 crores figure going forward, and Yo Y there's a growth of 71%.

■ Other few landmarks in the last quarter – Gold Loan we crossed 1 lakh crores, Housing Loans we are growing at 16%, and Retail Credit 11.56. Apart from this, Capital, inspite of growing at 14.4% in credit, we still maintain a CRA R of 14.91 and our endeavour will be in Q2 we'll be crossing 15% CRAR. A week ago, we have already raised AT-1 bonds for 2,000 crores at a coupon of 8.24 % which is one of the best in the recent times compared to the public sector banks. Then, ROE, we have projected 15% for March 2023, whereas today we are already at 16.33%. And, ROA, we are at 0.65% and in Q2 we are working to improve this percentage to an attractive level.
■ With these few observations, now I open the floor to the investors for any questio ns for us to answer. Along with me I have my Executive Directors and CFO and other top officials here. Over to you sir.
■ Q&A Session begins:
■ Moderator:
■ Whoever wants to ask a question can press the Raise Hand button on the app. We have our first question f rom Mr. Ashok.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Yes Mr. Ashok, we are unable to hear you.
■ Moderator:
■ I think there's a problem in Mr. Ashok's line.
■ Mr. Ashok:
■ Can you hear me now please?
■ Moderator:

■ It’s very hazy.
■ Mr. Ashok:
■ Can you he ar me now?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Yes, very clear sir. Please go -ahead sir.
■ Mr. Ashok:
■ Sir, my compliments to you for giving fantastic results and meeting all the guidelines and targets. Q1 is so good and your promising statemen t that you want to grow 15% of the Operating Profit, that means it could be around 7,600 -7,800 in the next quarter, which gives further confidence. Sir, having said that I have got… of course, I

have been observing the working on Canara Bank and you’re doi ng extremely well. I have a couple of questions and observations. Sir, on the restructuring front, COVID restructure and our total restructure book, now that the moratorium is over and you must have already started seeing the regular recovery and the amoun t coming in, so can you throw some light on that? On restructured accounts, where do we stand today when the repayments have already started? What is our experience? And how much percentage of this, out of the money which was called or which was expected… what is the collection efficiency of that out of the restructured accounts?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Sir, as you have seen the slippages, slippages under restructured is also a part of the overall slippages which we have shown as 3, 600 crores. Our anticipation is, out of the restructured book, 10 -15% bound to be NPA in small ticket loans. So, as we have seen in the overall slippages, the slippages are at 3,600 crores, which includes the slippages from the restructured book also, whic h is about 10 -11%. And, this is already anticipated and this includes accumula

tive slippages since beginning. As on 30th June, this is it. And going forward, we expect that there can be another 5 -8% slippages in the existing portfolio, which will be within the overall projections of what we have given, that the slippages will be maximum 15,000 crores for the whole year . And, percentage -wise if you ask, I think it should not be more than 15 -18% of the total restructured book. Regarding the collection efficie ncy, under these things, we are observing it is 91 -92%
■ Mr. Ashok:
■ Okay sir. My second question is on the credit side. Of course, you are growing very well and you have a target of, I think, 45% on the corporate book. So, what exactly the sanctions are in the pipeline and what kind of projects or from which industry or segments are these credit inquiries coming in where we can establish that yes, that much credit… because the situation overall is still not very conducive today also. Internationally problem s are happening, locally also… but then, where do you see this credit demand coming in from? Which segment/industry? Can you throw some light on that sir?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ See, as I said, our credit growth will be spread over under various sectors. For e.g. Retail we are growing at 11.56, Agri and Allied Term Loans and CC we are growing at about 18%, MSME we are growing at 13%, Corporate we are growing at 14%; put together, overall, it’s 14.47%. And this going forward also, we will maintain a balanced growth in all the sectors. Why I’m saying this is because, if at all in any quarter, if there is an unforeseen issue in any of the particular sectors, my other sectors will take care about my growth. That is the basis purpose with which we are seeing that our growth should be there in each and every sector. Coming to corporates, as you are interested, corporates as I said, we are very active in infrastructure, especially HAM, which is one of the safest advances as far as the existi ng repayment and the scheme guidelines are concerned. We have already

underwritten projects worth of 50,000 crores under HAM project, which will be disbursed quarter on quarter as the progress happens in the HAM projects. Secondly, we are very active in NB FC finance which are all AAA and AA, not less than that. We are having good proposals and we have already sanctioned under iron and steel. Nowadays, to have good growth in housing… for e.g., our housing is growing at 16%. To have the raw material, we are s electively financing real estate projects of housing. So, we are active in housing also. And, engineering we are financing, construction also we are financing. You have seen 26% growth Y-o-Y, Quarter on Quarter it is about 8% growth in construction activit ies. And we are also active in chemicals and chemical products. So basically, not in one sector or in one scheme, we want to have a spread over. However, with the corporates we are very choosy.

As you have seen, our rated portfolio of A and above is about 78%. BB and below has come down from 18% to 11%. So, the book is very good. We don’t see any immediate stress in any of the books as far as corporate is concerned of Canara Bank. So, growth is widespread.
■ Mr. Ashok:
■ Sir…
■ Moderator:
■ Mr. Ashok, I would req uest you to come back in the queue please. Other participants are waiting for their turn.
■ Mr. Ashok:
■ On the NBFC front can you throw some light sir? How are you placed on NBFC for co -lending, for onward lending and also the pool buyout? What are your vie ws on that sir? And what are our plans on that front?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Yeah. Point no. 1, pool buyout, no, we have not taken. Why? Because, as an individual bank, I am able to show excellent performance under disbursements. So, I have not gone for any pool purchase. Without that, this is the growth. The second point is co -lending. Yes, we a

re interested, to some extent, in co -lending. But however, our emphasis will be on lending by ourselves .
■ Moderator:
■ Yes sir. Can we move on to the next participant?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Yeah, please.
■ Moderator:
■ Yes. We have Mahrukh next. You can go ahead.

■ Ms. Mahrukh:
■ Yeah hi, hello sir.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Hello ma’am. Very good aft ernoon.
■ Ms. Mahrukh:
■ Good afternoon, sir. Sir, I had questions on credit growth. Basically, your global advances have grown very very strongly. So, which sector would that be? I’m sure it’s India -linked, but in global advances which sector would that be? Again, in steel, because of the recent government measures, we hear that some of the capex has been rolled back. So, why is the growth in infra, steel so strong, because these are sensitive sectors? And, which part of infra is growing? What are the capaci ties in steel that have grown so much in the quarter? And also, in NBFCs, would these be power NBFCs?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Ma’am, I will answer one by one. First is regarding the overseas credit growth. In June 2021 our overseas portfolio was 23,000 crores, which is insignificant as far as the overall advances is concerned; at that time, it was about 6.84 trillion. Now, from 23,000 crores we have come to 35,000 crores, out of my loan 7.83 trillion. So, percentage wise, it is stil l doesn’t make much impact. And, having a 35,000 -40,000 crores of loan book overseas for a bank like Canara Bank, is very small. So, percentage wise, the growth is 52% as you see, and Quarter on Quarter it is 18%. Still, we are not happy. That’s because, u nless and until we have atleast a trillion overseas gross advances, it doesn’t make sense for Canara Bank. So, we are in that direction. Now, coming back to what type of advances we are doing overseas? As you said, 90% is India linked AAA rated companies… AAA companies, at the most AA rated companies, and 10% is foreign banks and foreign institutions also which are also highly rated. So, this is the exposure which we are taking as far as overseas is concerned. Now coming to domestic…
■ Ms. Mahrukh:
■ Which se ctors?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Yeah yeah. In this, as I said, these are all AAA Indian corporates as well as public sector undertakings as well. They are not under one sector; it is under various sectors.
■ Ms. Mahrukh:
■ But if you c ould name about 2 -3 sectors, whether it’s oil, steel, infra, cement?

■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Yeah yeah. See, I can see, it is a public sector AAA rated company in power, power

financing and also infrastructure financing and also fin ancial institutions and banks and some Indian corporate who is a very good corporate under steel. He has also raised funds abroad from our bank. And coming back to India, domestic credit, as we say, we have taken A and above rated corporates under these va rious sectors and purposes . So, as I said, it is not only steel, we are growing in all the sectors. And the second point is, if you see my Risk Weighted Assets, it is 69%, which used to be 74%, 72%, 79%. So, now we have such a good portfolio where the risk is very well under control and I can say, this 69% of Risk Weighted Assets maybe one of the best in the banking sector.
■ Ms. Mahrukh:
■ Got it sir. And in terms of NBFCs, would these be power finance NBFCs?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ No ma'am, it is spread over , not power finance , it includes that also .
■ Ms. Ma hrukh :
■ Okay Sir. Thank you, Sir.
■ Ms. Ma hrukh:
■ Thank you, ma'am . Thank you very much .
■ Moderator:
■ Thank you, Mahrukh . Request all participants to limit the question to two , so that everybody can get a chance to ask . Next , we have Mona Khaitan. Go

ahead.
■ Ms. Mona Kh aitan:
■ Hello, am I audible ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Yeah ma'am , please . Good afternoon , you can go ahead ma'am .
■ Ms. Mona Kh aitan :
■ Good afternoon, Sir a nd thanks for taking up my question . Sir, firstly what is your reset period f or the EBLR loan? How soon does it get reset ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Generally , it will be minimum three months ma'am.

■ Ms. Mona Kh aitan:
■ Okay. So, the firs t rep o rate increase happened in May , so the first reset for you was around June for that first 50 bps.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Yes. Yes.
■ Ms. Mona Kh aitan :
■ Okay, got it.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ No, first one is 40 , then 50 ma'am. 40 bps is first which we have passed on , whereas 50 bps we have passed on to the customers on 7th of July .
■ Ms. Mona Kh aitan :
■ Okay and the first one was passed on in June .
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Yeah , before June ma'am .
■ Ms. Mona Kh aitan :
■ Okay, okay and on the restructured book you mentioned that about 10% or so has slipped , so the outstanding today would be about 18,000 crore is that a fair understanding ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Exactly correct , ma'am . So, 10% if you take it will be about 1 ,800 crores . I said it is a cumulative one .
■ Ms. Mona Kh aitan :
■ Right, right.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Putting everything in all the quarters and during the current quarter whichever is there , it is appearing in the 3 ,600 c rores which we have shown . It is a part and parcel of that .

■ Ms. Mona Kh aitan :
■ Right, right . So, about 5% or so has slipped in this quarter because another 5 has slipped earlier .
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ You can take around 6 % to 7% you can take .
■ Ms. Mona Kh aitan :

■ Okay, okay, and okay, sure, and what percentage of this book has started billing by now, that is out of moratorium?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Ma'am, our estimation is at the most cumu lative maybe about 18% to 19% it may slip, where 11% is already booked , rest leftover is about 8 % to 9% , which we are expecting and which we are making provision for that , that we are already prepared how to handle that and to recover that amount and the g uidance which I have given in the beginning of the year that overall, in full year our slippages will restrict to 15,000 crores and recovery will be more than that . All this restructured amount we have taken into consideration , we have factored in within those 15,000 crores and during the current quarter the 3600 c rores includes that amount also .
■ Ms. Mona Kh aitan :
■ Sure . I also want to understand what percentage is totally out of mo ratorium and the billing has started for the restructured?
■ Mr. L.V. Prabhak ar - MD & CEO, Canara Bank:
■ Now everything is started ma'am. No moratorium is -- there is no moratorium .
■ Ms. Mona Kh aitan :
■ Under the restructured loan?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Yes, that process is over . Now install ments have started a nd our collection efficiency is somewhere about 90 % to 91% under this .
■ Ms. Mona Kh aitan :
■ Sure, sure, and the Future Group exposure was this recognized as NPA in this quarter?

■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ yes ma'am , as last time as I said be cause we were getting repayment it was not classified as NPA in Q4 of FY22 . Whereas during the current quarter , we have these 3,600 crores includes Future Group where the exposure is about 1 ,240 crores roughly .
■ Ms. Mona Khaitan :
■ Sure, and it is fully prov ided by now?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ 100% .
■ Ms. Mona Kh aitan :
■ Okay.
■ Moderator:
■ Thank y

ou, Mona . We'll move on to the next participant .
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Thank you.
■ Moderator:
■ Mr. Jay Mundra.
■ Mr. Jay Mundra :
■ Yeah, hi. Good evening , Sir. & Congratulations
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Sir, very good evening . Thank you. Thank you very much Sir.
■ Mr. Jay Mundra :
■ Sir I have a couple of questions . First is on your capital Sir. the absolute amount of common equity capital , that has gone up by around 1 ,700 crores , so does this include the proportionate net profit or there is some DT adjustment ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ No. you are correct . It includes major portion is our net profi t.

■ Mr. Jay Mundra :
■ Okay. Understood . Secondly Sir, you have mentioned that you will be raising some debt capital right , so there is just wanted to double check is there any plan for equity capital raise for the residual nine months ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ This year , no.
■ Mr. Jay Mundra :
■ Right . Understood . Secondly Sir, on your loan yields right , so there is a dip in the loan yields . Is there an interest reversal component , which is driving the low yields lower because otherwise we sh ould be seeing a loan yield getting higher right , so I'm just -- if you can explain what could have led to lower yields on a sequential basis ?

■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Two things . 38% of My Portfolio is linked to RLLR. As on 30th June , we have passed on only 40 basis points to our customers . Remaining 50 basis points increase in repo rate, we have passed on to our customers only on 7th of July . Two reasons , first one is, we don't want in June quarter itself to load our customers with 90 basis points additional interest , point number one . Point number 2 , during the June quarter , we have increased the deposit rates to retain our customers taking into consideration the inflation that is available at that point of time . However , during t he current quarter that is Q2 , that 50 basis points of repo is already loaded and cost of deposits which we have increased in the earlier quarters is continuing and no further increase we foresee in the coming one month . So, whatever NIM or the yields you are seeing at 7.03 under advances will increase in the current quarter because we have passed on that amount and there is no reversal of interest in any of the accounts because no big account has slipped , except that Future .
■ Mr. Jay Mundra :
■ Correct. Righ t. So, would Future downgrading would have some chunky interest reversal ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ No, not much was there because in those 1,200 crores abo ut 50% roughly was under debt and 50% was under NPI investment .
■ Mr. Jay Mundra :
■ Right.

■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ So, that is why it is not ther e. Only thing is the interest which has to be passed on to the customers knowingly well we have not passed on because June quarter we thought that it is very sensitive quarte r where we have to give some breathing time to our customers , hence we have loaded that 50 basis points on 7th of July .
■ Mr. Jay Mundra :
■ Right . No, Sir if that was the case then it should be flattish right . If you have not and you have only -- you have be en calibrated in
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Yes, yes, and another point is if you see the churning of my credit portfolio , 40,000 crores worth of advances we have given to AAA rated company in the Q1 .
■ Mr. Jay Mundra :
■ Okay.
■ Mr. L.V. Prabha kar - MD & CEO, Canara Bank:
■ 40,000 crores .
■ Mr. Jay Mundra :
■ Understood . Last question Sir, if you have -- sorry last two questions , if you have MTM, you have given treasury gains which is very, very positive surprise . If you can b

ifurcate into treasury g ains and MTM loss if you had ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Yes. Mr. Mahesh are you there ? Mr. Mahesh .
■ Moderator:
■ It seems, someone has to unmute him .
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Yeah , one minute , one minute because
■ Mr. Mah esh Pai - Head of Treasury, Canara Bank:
■ Yes Sir. Sir, shall I answer Sir.

■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ One minute, one minute. Sir, Mahesh is our General Manager in charge of My Treasury. Please Mahesh.
■ Mr. Mahesh Pai - Head of Treasur y, Canara Bank:
■ Sir, you asked two questions , is the profit what you are seeing 889 , is including the depreciation ? Yes, it includes the depreciation , so that means we have booked more amount of profit than what is declared . So, we have some depreciatio n on books , but that whatever 8 89 declared as a trading profit includes the depreciation figure .
■ Mr. Jay Mundra :
■ Any of you have that number Sir, what was the depreciation ?
■ Mr. Mahesh Pai - Head of Treasury, Canara Bank:
■ It is around 360 crores .

■ Mr. Jay M undra :
■ And last question Sir, if you have the slippages
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Sir, here one minute , if you recollect our earlier interaction last quarter you were asking about the Q1 how much depreciation losses will be there in trea sury , at that time we said it will be 250 to 300 crores .
■ Mr. Jay Mundra :
■ Right.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ We have ended up at 360 exactly near to that .
■ Mr. Jay Mundra :
■ Right . No, no, congratulations Sir. It is a very, very positive surp rise.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Thank you, Sir. Thank you and one more question Sir you were asking another .

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■ Mr. Jay M undra :
■ Last question Sir, if you have the slippages for the quarter break up of slippage s for the quarter agri, retai l, MSME, and
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Yes, yes, yes, 3,600 crores , out of these 800 crores is corporate, out of 800 cro res 600 crores is Future only .
■ Mr. Jay Mundra :
■ Right.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Then 600 crore is agriculture , around 700 c rores is retail , and 1 ,500 c rores is MSME.
■ Mr. Jay Mundra :
■ Understood . Great Sir. thank you and all the best Sir.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Thank you, Sir. thank you.
■ Moderator:
■ Thank you. Next , we have Deepak .
■ Mr. Deepak :
■ Yeah, thank you very much Sir. Sir am I audible ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Yes Sir. very good afternoon , Deepak ji please .
■ Mr. Deepak :
■ Good afternoon . Sir I just want you to understand that going forward how do you see the bond yield investment l oss or MTM loss going forward ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Mahesh. Mahesh unmutes please.

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■ Mr. Mahesh Pai - Head of Treasury, Canara Bank:
■ Yeah, yeah. Sir, we expect a 10 -year to be broadly in the range of 725 to 7 75, so given the portfolio of our size , we believe if the yields continue to be upwards , I think we may see in this particular region around 100 to 150 crores of MTM losses , but we have sufficient profit to cover those MTM losses . So, we should not see an y major losses from treasury side from our side .
■ Mr. Deepak :
■ And these 100 to 150 crores per quarter you're saying ?
■ Mr. Mahesh Pai - Head of Treasury, Canara Bank:
■ No, if the yields move again to 775 levels , otherwise presently I'm covered .
■ Mr. Deepak :
■ Okay, okay, understood, understood and I got that and Sir just wanted to clarify operating profit we want to grow by 15% , is that what you mentioned earlier in the course ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Sir operating profit 15% minimum we are ta rgeting becaus

e there is a reason for
that. If a bank makes 15% operating profit , I can pay 15 days PLI to my 87,000 employees , so that is for us it is a minimum because we have to pay PLI, however , this quarter instead of 15% our OP growth is 20% and wit h the interest income and noninterest income and the growth which we are seeing in the assets and other things , I think maintaining this percentage going forward , we hope to maintain 15%

plus.
■ Mr. Deepak :
■ That is on a Y oY basis on annual basis, right ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Quarter -on-quarter basis that is YoY, because of YoY.
■ Mr. Deepak :
■ YoY, right.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Yeah, yeah. YoY, because quarter -on-quarter already we're at 6.52% , so YoY every quarter we will be maintaining 15% , we are working in that direction .

■ Mr. Deepak :
■ Fair enough. That is great to hear Sir. Sir a couple of more things , now even on the growth side advances the guidance that we have given we are quite surpassed that right in terms of actual number at 15% versus 8% , which we're looking at right , so are you looking to like revise upward the guidance that we had given earlier ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ See as I say guidance is for us it is a minimum benchmark ; above that it can go to any extent depending upon the availability of the good proposals and also how the economy is doing . in Q2, we observe that the econom y will be doing good and the way in which we are getting the inquiries regarding new investments , I think we should be in a position to do better in Q2 better .
■ Mr. Deepak :
■ Better than your guidance or better than first quarter ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Guidance if you ask me , again I'll say it will be a double -digit growth , a decent double -digit growth .
■ Mr. Deepak :
■ Okay, fair enough and my final query is
■ Moderator:
■ We could request you to come back in the queue please, we have other participants waiting their turn.
■ Mr. Deepak :
■ Okay yeah. Thank you.
■ Moderator:
■ Thank you, Sir. thank you very m uch.
■ Moderator:
■ We have Rehan next . Rehan?
■ Mr. Rehan :
■ Yes, am I audible ?

■ Moderator:
■ Yes, go ahead .
■ Mr. Rehan :
■ Good evening , Sir. Congratulations on a good set of numbers .
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Good evening . Thank you, thank you ver y much .
■ Mr. Rehan :
■ Just a couple of questions . Thank you for shedding light on the slippages , but just to go to last quarter , have they been provided f or the slippages that will may last further quarter especially with regards to Future Group, I think abo ut 500 crores was what was not provided for last quarter ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Yeah , last quarter we have provided 60% . This quarter we have made 100% .
■ Mr. Rehan :
■ Okay, okay and so my final question
■ Mr. L.V. Prabhakar - MD & CEO, Ca nara Bank:
■ Last quarter it was not NPA , it was a standard , even then proactively we have provided 60% last quarter and this quarter we made 100% .
■ Mr. Rehan :
■ Thank you, Sir and Sir my last question is what would be our bank’s exposure to maybe say the top t hree borrowers as a group , maybe in top three groups ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ See we have prudential limits wherein there is a fixed limit for a group and fixed limit for individuals . We are well below that fixed limit , which was decid ed by the Board , so we'll be within that limit . You can multiply that with our what you call existing

portfolio .
■ Mr. Rehan :
■ Okay Sir, can you shed some light on the number ?

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■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Generally , it will be somewhere about 10,000 to 11,000 crores .
■ Mr. Rehan :
■ Okay. Thanks Sir.
■ Mr. L.V. Prabhakar - MD &am;

p; CEO, Canara Bank:
■ Thank you very much .
■ Moderator:
■ Thank you. We have the next question from Pranav.
■ Mr. Pranav :
■ Hello Sir. Can you hear me ?
■ Mr. L.V. Prabhakar - MD & CEO, C anara Bank:
■ Hello , yes please .
■ Mr. Pranav :
■ Yes, Sir I just have two questions . First is that , as you said that the interest rate increase has been passed from 7 July and then the deposit rate increase also , so should we expect the new QoQ to go up next 5-10 basis points quarter ?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Sir, our 38% of My Loan Book of 7.83 lakh crores is linked to RLLR. So, 50 basis points on this 38% of My Loan Book will be booked for what you call full quarter -7 days (minus seven day s) that is about 83 to 84 days , we will be booking , so accordingly you can anticipate what will be the quantum that will be charged in addition to what we are charging Sir.
■ Mr. Pranav :
■ Right, right. Sir, but that's the calculation that I am making,
■ Mr. L .V. Prabhakar - MD & CEO, Canara Bank:
■ Yeah , as per yield is concerned , we want to be more than 7.10 , today we are at 7.03 , we want to cross 7.10 minimum .

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■ Mr. Pranav :
■ Sir also seeing the provisions, there is item of 1535 crores of nonperforming investment s, so during the previous conversation you alluded that there is some Future Group NPI
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ In this, we have provided 100% for three investments . One is Future Group about 640 crores and one account was there which i s a telecommunication account , where we have provided 100% , and one sugar industry , which is about 245 crores , so put together only three accounts where we did 100% provision.
■ Mr. Pranav :
■ In all the three investment .
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Hello.
■ Mr. Pranav :
■ Hello , hello, Sir I'm referring to a specific sub item where it is nonperforming investments, provision on nonperforming investments , which is 1535 crores.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Yes, yes.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Yes, it is our investment s and fully provided .
■ Mr. Pranav :
■ Okay Sir. Thanks a lot , Sir.
■ Moderator:
■ Thank you.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Thank you, Sir. We have Praful next.

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■ Mr. Praful :
■ Hi Sir. good evening . Am I audible ?

■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank:
■ Hello , good evening . Yes Sir. please go ahead .
■ Mr. Praful:
■ Congratulations on a great set of numbers.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Thank you, sir.
■ Mr. Praful:
■ Sir, just want to get your outlook on the cost of deposits from hereon, how do you think they move over next 6 months for the Bank.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ As far as the movement in deposit cost is concerned mostly it will be linked to the inflation. In the sense suppose inflation if it cools even if I don't increase the rate of interest on deposits, I will get deposits. If the inflation doesn't come down to 6%, I think to compensate my depositors because they will not deposit money with me with native i nterest rates, so I may have to increase the deposits going forward if inflation doesn't come down. As on date we have already increased the deposit rates in Q1 itself and I think that will take care coming two months, and in September we may take a call d epending upon the situations which will be existing at that particular point of time. But in Canara Bank we have one philosophy, sir, we want to take care about my depositors keep in view the long -term relationship and also, we don't want to charge our bor rowers on a higher side to pass on some benefit to them and to make a decent profit.
■ Mr. Praful:
■ Yes, for a spectacular growth, yes, sir.
■ Mr. L.V. Prabhakar - MD & CEO, Ca

nara Bank Ltd:
■ And you must have seen with all these things, so we want to be a win -win situation and we want to build confidence in the customers that in spite of good times or bad times, Canara Bank is with them. So that will only help us going forward to be one of the best banks of India.
■ Mr. Praful:
■ Correct, got it, all right, sir , okay. Thank you, sir.
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■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Thank you, sir.
■ Moderator:
■ Thank you. We have next Mr. Dixit Doshi.
■ Mr. Dixit Doshi:
■ Yes, can you hear me?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Yes, good afternoon please.
■ Mr. Dixit Doshi:
■ Sir, one clarification and a couple of questions, firstly you mentioned that we don't need any equity capital this year, right.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Yes, equity we are not going to raise this year.
■ Mr. Dixit Dos hi:
■ Okay, now my second question is you mentioned that in this provision almost 1500 crores provision was for the non performing investment. So, are there any non performing investments still to be written off?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Lt d:
■ See non performing when I said, I said one major account is Future which is about 640 crores, second one is telecommunication account equal amount, and one is sugar industry about 245 crores, 3 accounts where we did total provision and in this, we see a good scope going forward to recover the amount from these accounts.
■ Mr. Dixit Doshi:
■ But are there any other investments in the other client customer?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ No, no.
■ Mr. Dixit Doshi:
■ Okay. And my last question is regarding the gold loan so you know from last many quarters we have been performing exceedingly well in gold loans, so what we have done differently for such a growth in gold loan and is there, my understanding is that
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during the merger of the Bank you kn ow some of the branches we have rationalized, have we opened any dedicated gold loan centres which is leading to this growth?

■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Sir, gold loan let me tell you the secret, it is hard work and confidence of the customer. Only these two things will help us to increase the figure. Because we started two years as you said amalgamation, amalgamated figure was about 54000 crores, today it is 1 lakh crores. And even June ’21 the figure was about 80000 crores, today it i s 1 lakh crores, 20,000 crores increase. This progress you can achieve only and only when all your staff members are involved. This is not one -man job; this is a very cumbersome job where each and every staff member has put in best members which we could d o in Canara Bank. That is how the figures are increasing in gold loan. Second one is we will have to continue this growth, and also to consolidate the performance which we are making in the gold loan.
■ Mr. Dixit Doshi:
■ Thank you, that is all from my side.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Thank you, sir.
■ Moderator:
■ Thank you. Next, we have Mr. Bhavik Shah.
■ Mr. Bhavik Shah :
■ Hello?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Hello.
■ Mr. Bhavik Shah :
■ Hi, sir.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Hi sir, good evening.
■ Mr. Bhavik Shah :
■ Good evening, sir. I have just two questions. One would be, sir, what would be your liquidity ratio coverage this quarter and over average.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ See require ment is 100, we are above 125.

■ Mr. Bhavik Shah:
■ Okay, and, sir, so you mentioned that we disburse around 50,000 crores for HAM projects, sir, what would be the indicative yields there?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Sir, it is 50,000 cror es HAM projects worth we have sanctioned, and the disb

ursements will be going on and there is no question of negative yields, total is positive yield, because there are two components in this. We get very good interest, it is 8 plus and the processing char ges which we get in these proposals is really significant because of which if you see the Canara Bank fee -based income it is growing at 18%, the amount is 1577 crores per quarter which is a very decent income.
■ Mr. Bhavik Shah:
■ Okay, and, sir, broadly what will be your yield on AAA corporates?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Yield on corporates, see, if you take bifurcate into AAA the yield will not be much attractive but we will be earning from that. So, it is a mixture of everything, AA/AAA /A/B and overall put together as you have seen the yield is at 7.03%.
■ Mr. Bhavik Shah:
■ Okay, understood, sir, that's it from my side, thank you, sir.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Thank you, sir, thank you very much.
■ Moderator:
■ Thank yo u, next we have Nimesh Maheshwari.
■ Mr. Nimesh Maheshwari:
■ Congratulations on a good set of numbers.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Thank you, sir, thank you.
■ Mr. Nimesh Maheshwari:
■ I have just one question, what is the yield on the gold loan side?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ It is 7.20 plus.

■ Mr. Nimesh Maheshwari:
■ And what is the Q4 yield for gold loan?

■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Q4, yeah it is + 7%.
■ Mr. Nimesh Maheshwari:
■ Okay, thank you.
■ Mr. L. V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Thank you, sir.
■ Moderator:
■ Next, we have Sailesh Kotak.
■ Mr. Sailesh Kotak:
■ Hello, sir, good afternoon.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Good afternoon, sir.
■ Mr. Sailesh Kotak:
■ Sir, firstly on the P& L provisions I see there is one item of provision reversal of about 650 crores, can you just elaborate on that please.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Mr. Majumdar is my CFO, I request him to answer, Mr. Majumdarji.
■ Mr. S.K. Majumdar – CFO, Canara Bank Ltd:
■ There are some reversals, first is Future, we last time only we made provisions of around 315 crores when it was with a standard asset which this quarter has slipped. So that reversal of that provision is around 315 crores, then there are that FITL reversal - standard reversal of 163 crores, delayed RP reversal of around 100 crores, and Bajaj Hindustan which has slipped to NPA, there which was restructured under S4A there in that we were holding provision of around 74 crores. So if you add up it will come to exactly that what I said, that is Future adhoc.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ So here whatever these reversals we have done as what you see because of the efficiency brought out in FITL and also in restructured acc ounts and proactive
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provision what we made in future, those things we got it reversed, and accounted for in the NPA provisions.
■ Mr. Sailesh Kotak:
■ Understood, sir, thanks for that.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Thank you.
■ Mr. Sailesh Kot ak:
■ Second question is on the employee expenses side. With the yields going up do you see any reversal coming from the retirement, provisions for retirement benefits either in first quarter or going forward in the rest of the year as well?
■ Mr. L.V. Prabha kar - MD & CEO, Canara Bank Ltd:
■ Sir, as far as employee benefits and employee staff cost is concerned, one point is the number of staff is not increasing in Canara Bank because at the most whoever retires we are replacing them with the new blood. So, the new people who join generally the payment will be less compared to the people who are retiring. So as far as salaries and other things are concerned, we are going to have a comfortable position. Reg

arding the provisions because of the yields, there will be some impact positive but 3400 -3600 we expect that we want to pay some amount to our staff. So, expenses will be around this range only, even if we get some benefit from the yields, that will be adjusted somewhere in the staff cost.
■ Mr. Sailesh Kotak:
■ Unde rstood, sir. Sir, lastly if I look at the SRs there seems to be another mark down in this quarter as well.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Security receipts as I said some 200 crores 300 crores every quarter we will be doing. And it is a co ntinuous process. And some SRs also we will be realizing and recovery also we will be doing. It is a continuous process in the Bank.
■ Mr. Sailesh Kotak:
■ Understood, sir, thanks, those were all my questions.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Thank you, sir.
■ Moderator:
■ Thank you, next we have Gaurav Jani.
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■ Mr. Gaurav Jani:
■ Yeah, am I audible?

■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Yeah, very good evening.
■ Mr. Gaurav Jani:
■ Good evening, sir, just wanted to understand firstly as to we have our staff deputed at Can Fin Homes, any fresh findings after the audit has been concluded?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Sir, we have completed the inspection in all the 200 branches, and some irregularities and some deficiencies, process deficiencies were observed, which were addressed to a larger extent. And subsequently about 2.3 crores of further frauds in about 23 accounts were found which was 100% provided. And now we can say that Can Fin Homes is one of the best subsidiaries we are having since we have screened everything and addressed the loopholes.
■ Mr. Gaurav Jani:
■ Sir, just on that also wanted to understand that generally due to what reason do we have our staff on deputation at Can Fin Home .
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ We have 4 top executives deputed to Can Fin Homes wherein 1 executive is totally controlling and monitoring the inspection aspect because we in Canara Bank we believe in one thing that is compliance first, business next. We want to have Canara Bank as well as all my subsidiaries 100% compliant of the regulations and 0% tolerance as far as this is concerned. So that is why we posted our staff in all our subsidiaries including Can Fin Homes.
■ Mr. Gaurav Jani:
■ But, sir, that helps just wanted to under historically due to what reasons would we have deputed staff at Can Fin Homes and when was that.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ See, there are two things. First one is we want to give our expertise to all our subsidiaries which can be don e through our staff so generally we depute. Second one is they also can contribute along with the others whom we take from the market. So these are the twin benefits which we see as far as our subsidiaries are concerned. Since I am the chairman of those co mpanies, so generally I like to have some people of Canara Bank in all my subsidiaries.

■ Mr. Gaurav Jani:
■ Sure, sir. Last question, sir, small one, actually last time when did we depute the staff at Can Fin Homes before this episode?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Before this also DGM used to be there since beginning, our DMD is our staff only, Deputy MD is from Canara Bank.
■ Mr. Gaurav Jani:
■ But apart from that we also have 3 more people this time around, right, so I just want to know.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Yes, we increased the strength, we increased the strength, that's correct.
■ Mr. Gaurav Jani:
■ Okay, perfect, thanks, that's it.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Thank you, sir.
■ Moderator:
■ Thank you. We have the next question from Pritesh.
■ Mr. Pritesh:
■ Hi, sir, good afternoon.
■ Mr. L.V. Prabhakar - MD &am;

p; CEO, Canara Bank Ltd:
■ Hello, good evening.
■ Mr. Pritesh:
■ I had a couple of questions, one is basically you have done a very good job on the PSLC side, so I see that PSLC itself has contributed about 850 crores. Can you just two data points on that, one is what commissions generally we get on that, if I look at its coming to about 2%, is it a quarterly phenomenon and do we sustain that kind of PSL?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ See, this PLSC if you see last year, we earned about more than 900 crores. So definitely generally our aim is whatever we earned in the subsequent quarters we earned more than what we have earned earlier. So, this ti me in the current quarter

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itself we have already earned around 840 crores. And still, we are hoping to book some profit in the Q2 also.
■ Mr. Pritesh:
■ So, we see that....
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ And this is every year phenomena, as lo ng as RBI doesn't change the criteria.
■ Mr. Pritesh:
■ Sure, sure. Sir, second question was on MSME side, you said that there were 1500 crores of NPA from MSME which is about 40 -50% share of the overall slippages. Where do you see it stabilizing, it will come down, is it going to stay in MSME or we see any, what are the issues still there under the MSME side.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ See, if you see historically, about 1000 crores to 1200 crores generally every quarter in MSME it slips , and subsequently 400 -500 crores will be recovered or upgraded. It is a continuous phenomenon, not for this, this time maybe around 200 to 300 crores, maybe more. Otherwise MSME you have to make what you call provision to absorb the slippages and also to recover them. That is why in Canara Bank we have a separate team who handles MSME's stressed assets. So, our recoveries are also good under this MSME NPA accounts, it is a continuous process.
■ Mr. Pritesh:
■ Okay. Sir, will it be fair to assume that large par t of these also will have restructured book.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Yes, as I said about 11% of the restructured book cumulatively it has already slipped. So, it consists a part of that also.
■ Mr. Pritesh:
■ Okay, and anything from EC LGS coming in?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ That is hardly 3% cumulative.
■ Mr. Pritesh:
■ 3%.

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■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ 3%, it is only 3%.
■ Mr. Pritesh:
■ Okay, and last question will be if you can give the CASA break u p between CA and SA for this quarter?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Yeah, CASA as you see in, we have grown at 8.8% and generally Q1 for CASA it will be a bit challenging because institutional deposits which we get from the government whe re we are a very significant player, March the government will be giving huge amounts to exhaust the budget, and the next budgetary allocations and the funds will be flowing to some extent in Q1, but to a significant extent from Q2 onwards. So, this quarte r we are expecting minimum double -digit growth under CASA.
■ Mr. Pritesh:
■ Yeah, but can you give me an absolute number of CA and SA in this quarter?
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ In these 3,61,000 crores about 40 -45000 crores will be curren t, remaining will be savings.
■ Mr. Pritesh:
■ Sure, thanks.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Thank you very much.
■ Moderator:
■ Thank you. We will take that as the last question for today. And again, hand over to Prabhakar sir for his closing rem arks, over to you, sir.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ I request my executive director, Shri Mukherjee sir to give the closing remarks, please Mukherjee sir.
■ Mr. Debashish Mukherjee – ED, Canara Bank Ltd:
■ Thank you, sir. And we thank al

l t he analysts for you know this Q&A session which was very interesting. Now as we have all understood Canara Bank is on a growth path and we are showing this on a quarter -to-quarter basis in all the aspects and nuances of banking, be it deposits, be it advan ces, be it recovery, and be it profitability and asset quality. So, in all these aspects we have been doing well

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quarter on quarter and we propose to do it. Now so far as the guidance which we have given for March 2023, that will remain as it is, and as ou r MD sir has said that we would definitely like to surpass that and in some of the parameters even in this quarter we have surpassed. But then we want to keep it on a conservative side so that we keep on achieving them and with our growth but we will not s top our growth because of these guidance's. So, these are only guidance. So far as the closing remarks is concerned, we would definitely for Q2 we will go for our advance's growth, asset quality growth as well as our PCR that we will also strive to reach o ur levels of 85% as early as possible. And then regarding the CRAR we would like to improve it further by improving the credit density. So, these are the things which you are aware, bank is doing quarter on quarter and we would continue to do so.

■ Thank yo u very much.
■ Mr. L.V. Prabhakar - MD & CEO, Canara Bank Ltd:
■ Thank you, sir.
■ Moderator:
■ Thank you.
■ End of transcript

Call: Oct 2022

■■■■■■ ■■■■■ Secretarial Department
■■■■■■ ■■■■■■■ Hea d Office F +91 80 22248831
112, ■■ ■■ ■■■ , ■■■■■■ - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.canarabank.com
Ref :: SD :382/383/11/12::2022- 23 25.10.2022
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
MUMBAI - 400 001

Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
EXCHANGE PLAZA
Bandra -Kurl a Complex, Bandra [E]
MUMBAI - 400 051
Scrip Code: CANBK

Dear Sir/Madam,
Sub: Q2 FY 2022- 23 Earnings conference call with Analysts / Investors - Transcript
Ref : 1. Our Letter SD: 355/356/11/12::2022- 23 dated 18.10.2022 &
2. Our Letter SD: 374/375/11/12::2022- 23 dated 20.10.2022

With reference to above and pursuant to the applicable provisions of SEBI (LODR)
Regulations, 2015, we herewith enclose the transcript of post results Earnings conference call Q2 FY2022- 23 held on 20.10.2022.
The trans cript of Q2 FY2022- 23 Earnings conference call is uploaded on Bank's website and
the same can be accessed through below link:
https://canarabank.com/User_page.aspx?ot hlink=383

This is for your information and records.

Yours faithfully,

VINAY MOHTA
COMPANY SECRETARY

Q2 FY202 2-23
EARNINGS CONFERENCE CALL
TRANSCRIPT
Thursday, October 2 0, 2022

Management:

Mr. L V Prabhakar
Managing Director & Chief Executive Officer, Canara Bank

Mr. Debashish Mukherjee
Executive Director, Canara Bank

Mr. K Satyanarayana Raju
Executive Director, Canara Bank

Mr. Brij Mohan Sharma
Executive Director, Canara Bank

Canara Bank
Q2 FY 2022- 23 Earnings Conference Call/Analyst Meet

– Moderator:
– After the initial comments from the management, we'll have the Q&A. Without any further delay, I'm handing over the mic to the MD.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Thanks a lot. First of all, let me convey my gratitude and thanks to all the analysts for participating in this session with the management. I would like to tell the highlights in brief, because other things we have already seen from the presentation which we have uploaded.
– We have a decent business growth in Q2 FY23, especially in credit size it is about 20% and deposits have grown by 9.82%, both above the industry average, and business has grown by 13.89%. In the last 12 months, we have added about roughly 2.4 trillion balance sheet to the existing outstanding, and now it stands at 19.58 trillion, the balance sheet size. Going forward, we are of the view that the growth momentum which we are observing, will continue, and we'll be having a decent double -digit growth.
– Coming to the credit side, especially retail credit, RAM, which is about 55% and Corporate is 45%, as we have given the guidance that our credit portfo lio will be 55% RAM, 45% Corporate, plus/minus 2%. So, we maintain a RAM percentage of 55%, and the RAM has grown by 16.4%, Retail has grown by 12.52%, Agriculture about 22%, MSME about 13% and Corporate at 25%. Overall growth is at 20%. And, regarding the recovery under the present quarter, we have seen a very good recovery. In the sense, our cash recovery was about 1,876 crores plus a cash recovery of 1,205 crores in written off accounts. Getting recovery in written off accounts is one of the, I can say, a bit difficult task. However, my people have contacted the written off accounts and the borrowers, and we could recover about 1,205 crores in the Q2 FY23 quarter. Regarding upgradation, again in this quarter it was a bit attractive and it was about 1,523 crores. Percentage wise, it was… I think reasonably good work has been done. The Gros

s NPA has come down from 8.42 to 6.37, and going forward, we are hopeful that as we have given the guidance of 6%, we'll be achieving that. And, Net NPA has come down from 3.21% to 2.19%, and as we have given the guidance, the Net NPA will be less than 2% in a shorter period. We are very interested in increasing the Provision Coverage Ratio, and it has increased from 82.44% to 85.36%. Credit Cost we have controlled at 1.31, and slippages were at 0.35%.
– Now, coming to the main parameters regarding the Income and also the Expenditure. There is a decent interest growth, especially 20% in interest received and advances, and NII has grown to 18.51%. And, during the current quarter, it has grown by 9.57%. Expenditure we have controlled, and we have invested a good amount this time in IT and also in infrastructure, and going forward, this will give good dividends. And, the Ope rating Profit which was at 5,604 Crores in September 2021, has increased to 6,905 crores in September 2022, showing a Quarter on Quarter growth of 4.5% and Year on Year growth of 23%. Net Profit, we're happy to share that. The YoY growth is about 89% and QoQ growth is about 25%.
– So, what we observe is, there is a dec ent business growth, a very good recovery, and also, the ratios are very attractive. And, the capital has strengthened, the CRAR has increased from 14.37% to 16.51%, and common equity from 10.09% it has increased to 11.14%. With this capital, and also the deposit base, we are future -ready to take a good credit growth, which will ultimately lead to good income.
– Some key ratios I would like to share with you. ROA for the quarter is 0.79%, our projections were 0.70% for March 2023. And Return on Net Worth we have touched 18.86, and Cost to Income Ratio is at 43.68, which is one of the lowest we have. And, Earnings Per Share is about 55.22, from 29.86 in September 2021… now it is at 55.22. And then NIM, from 2.77 now it has been increased to 2.86.
– With all the se good parameters, now our philosophy and aim is, whatever extra income and additional income we are earning, we want to pass on to our depositors, because of which we have brought in a new deposit scheme i.e. 666 by pa ying 7% interest, and for senior cit izen it is 7.5%. In the last 12 days, there was a very good traction and more than 8 lakh fixed deposits were opened with a significant amount, which will help Canara Bank in the current quarter and also the coming quarter, to take care about the credit de mand that is very much visible in Canara Bank. With these few observations, now it is open for Questions & Answers. Over to you sir.
– Question & Answer Session:
– Moderator:
– Thank you sir. Participants, if you want to ask a question, please raise your hands. And, if you're calling in from a dial -in number, please *3 to ask a question. There's a call- in user who has a question. Please unmute yourself and ask your questio n. The question is from the line of Mona Khetan, please unmute yourself and ask your questi on.
– Ms. Mona Khetan - Participant:

– Hi sir, am I audible?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Yes you are. Please go ahead.
– Ms. Mona Khetan - Participant:
– Hi sir. Good evening and thanks for taking up my question. So, the first query is on restructured book. Where would the aggregate book stand today?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Ma'am, regarding the restructured book i.e. Resolution Framework 1 and Resolution Framework 2, which we have not given in this one, because now it is history. However, I will share the details with you. In Resolution Framework 2, the slippages were about 13% and remaining is performing.
– Ms. Mona Khetan - Participant:
– Is this this quarter or cumulatively?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Cumulative ma'am.
– Ms. Mona Khetan - Participant:
– Okay. And, where does the book stand if I have to restructure the

MSME outside and then…
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– It is at 20,000 crores. Earlier it was 24,000 crores. There is recovery of about 3,000 c rores. Now it has come down to 20,000 crores.
– Ms. Mona Khetan - Participant:
– Okay. Actually, last quarter you had mentioned about 18,000 crores. So, it was no reconciling with this 20,000 mentioned in these notes to accounts. What exactly happened in betw een?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Ma'am, earlier we have included all the sectors and that was the figure. Now we're showing about the RF 2 which I'm telling you about.
– Ms. Mona Khetan - Participant:
– Okay. So, this is just Resolution Framewo rk 2?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Yes.
– Ms. Mona Khetan - Participant:
– But, if we include all the sectors, where would the number stand?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Eligible under RF 2.
– Ms. Mona Khetan - Participant:
– Okay s ir. And, can we have the breakup of your slippages?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Yes. Slippages were 3,500 crores, out of which 1,200 crores is Agri, 1,300 crores is MSME, 600 crores is Retail and rest is miscellaneous, 400 crores is miscellaneous.
– Ms. Mona Khetan - Participant:
– And just finally, if we refer to Infra NPA, it has declined by about 1,600 crores on a QoQ basis. Is there some large recovery? What exactly has happened there?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Infra, the NP A now it has come down to 6.79%. The amount is because of repayment in regular accounts, as well as in NPA accounts also, in various accounts.
– Ms. Mona Khetan - Participant:
– Okay, sure. And finally, where would our ECLGS book lie?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– As on date?
– Ms. Mona Khetan - Participant:
– Yeah?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– GECL book, what is the figure? One minute, I'll share it with you. Ma'am, we have disbursed about 18,000 crores, and sanctions were about 19,000 crores. This is the amount which we have disbursed and sanctioned under ECLGS as on 30th September, 2022.
– Ms. Mona Khetan - Participant:
– Okay. And, what sort of slippages have we seen from this portfolio?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Out of this, 669 crores is the slippages. Out of sanctions of 19,000 and disbursement of 18,500, slippages is 669. That is around 3 -4%.
– Ms. Mona Khetan - Participant:
– Got it. Thank you so much. I'll come back in the queue.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Thank you.
– Moderator:
– Thank you ma'am. Participants, if you wish to ask a question, please do so by pressing the 'raise

hand' button on your touchtone application. The next question is from the line of Mr. Deepak. Sir, please unmute yourself and go ahead.
– Mr. Deepak - Participant:
– Am I audible sir?
– Moderator:
– Yes you are.
– Mr. Deepak - Participant:
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Please go ahead, Deepak ji.
– Mr. Deepak - Participant:
– Thank you very much for the opportunity. Sir, I wanted to understand, in your opening remarks you mentioned about the good credit growth demand visible, right? And, this extra deposit that you are taking will help you lead that growth demand. As such, we are already at about 20% growth. So, I just wanted to under stand, annually we are still kind of looking at 8% growth, so there's a big disconnect between what we are achieving and what we are suggesting. Any comments on that would be quite helpful.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Regarding the projectio ns which we have given in the beginning of the year, 8% credit growth, that is considering that there would be one COVID wave or there would be recession; taking all those factors into consideration we have given 8%. However, such thi

ngs have not happened and there is a very good climate for credit growth, so we could achieve 20%, and 20% is a very decent growth. We are confident that there will be a decent double -digit growth which is more than 8%. Now coming to the funds which we are raising for the annua l lending, as we said, our target is to maintain RAM 55%, Corporate 45%. In RAM you have already seen a growth of 16.4% which includes retail, agri, MSME and others (except corporate). This growth, we expect that during the current quarter, will continue. So, for that, we require funds. And, going forward we of the view that, because of the liquidity situation in the market, the deposit rates are bound to rise. If you have first in the market, you get the advantage. With the amount which we have mobilised, i.e. more than 8 lakh FDRs, we are in a comfortable position to take care about the decent double -digit credit growth that is going to be there in the current quarter and the coming quarters.
– Coming to Corporate, 45% of my loan book, Corporate, nowadays w e are seeing lot of inquiries. And, lot of withdrawals also we are seeing, especially in infra, especially in NBFCs, in petroleum, coal products, and also in chemical. And, to some extent in iron and steel and also food processing. So, we observe that duri ng the current quarter, there will be good demand from corporates also. So, our aim is always to be ready for the future, and to have a strong balance sheet.
– Mr. Deepak - Participant:
– Fair enough. And just a follow up, you mentioned decent double -digit cr edit growth. So, is 15 -20% the range that we're looking at?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– See, I said a decent double -digit growth. When I say 8%, we have shown 20% growth. So, when I say decent double -digit growth, you can understand.
– Mr. D eepak - Participant:
– Okay, fair enough. That's it from my side. All the very best sir.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Thank you sir.

– Moderator:
– Our next question is from the line of Mr. Ashok. Please unmute yourself and go ahead. Mr. Ashok, are you there? Okay, we'll move to the next question. Our next question is from the line of Mr. Prakash. Sir, please unmute yourself and go ahead.
– Mr. Prakash - Participant:
– Am I audible?
– Moderator:
– Yes, you are sir.
– Mr. Prakash - Participant:
– First of all, congratulations for the good numbers shown in this quarter.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Thank you sir.
– Mr. Prakash - Participant:
– I have few questions. One is, I remember last time you mentioned that because of the RBI change of REPO ra te, which you put into effect only from 7
th July onwards, so there is going to be some additional interest of about 250 crores. So, in this quarter, when I calculate the simple NII (interest received – interest expended), in June quarter it was 1,558 crore s and in September it was 1,986 crores, which increased by about 428 crores. So, can I presume that out of 428 crores, 250 crores were because of the 50 bps increase which was given in the floating rate account w.e.f. 7
th July? It

means, in the next quarte r, which is the December quarter, we won't see such increase of 428 crores in the NII.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Here, let me answer in a different way. See, this time the NII was at 7,434. Again y ou all know that this is based on the cos t of deposits and also yield in advances. 250 or 200 crores which we received because of REPO increase is factored in, and that 250 will continue this quarter also, because it is already inbuilt. Not only that, apart from that, in the hardening interest ra tes, we increase the spread also and also the interest income from other than RLLR also, for eg. MCLR. MCLR we have increased. MCLR is also contributing. Apart from that, in a normal course, corporate advances also we have increased the rate. So,

the estimation that only 250 crores out of 400 crores is there, which will not be available, will not be true in the coming future. It may be a part of that, but there will be further resources and avenues, because of which we are targeting to have a good NII.
– Mr. Prakash - Participant:
– Okay sir. The second thing, our provision for NPA, it is hovering around 2,600 to 2,700 crores. Do you see it coming down in the coming quarter, or will it hover around a similar range?

– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– I will not comment about the figure, but I will share with you our principles. Our principle is, if you have followed me in the last 2 years, I have always said that I want to have a healthy PCR, and also my balance sheet should be ready for the future. In t he sense, proactively we want to make more provisions. As you know, in big accounts where 15% provision is required, Canara Bank has made 100% provision. So basically, if you see the provision of 2,700 crores of this one, there are accounts where we have a ggressively made provisions and we continue to do that.
– Mr. Prakash - Participant:
– Good sir. And sir my last question, employee cost has come down by 300 crores as compared to the previous quarter. What is the reason for this? The number 3,119 crores for this quarter, will this continue in the next quarter also?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Sir, here actually there are 2 -3 points which I would like to share with you. Canara Bank is one big bank which is paying PLI to its employees in the las t 2 years, 15 days i.e. full PLI. And in Q1, PLI amount is there, which will be paid again in the next Q1 of FY24. Whereas, that PLI is not there during the current quarter, because of which there is a difference in the staff cost. Second point is, seniors are retiring and their cost is being reduced. Even if we recruit new people, the cost is very less. So going forward, staff cost will be moderate, whereas, since Canara Bank is making good profits, we want to give maximum benefits to our staff. To that ex tent, the amount may be increased, but it may not be significant.
– Mr. Prakash - Participant:
– Very good sir. All the best sir. I'll come back in the queue sir. Thank you sir.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Thank you sir.
– Moderator:
– Thank you sir. I request participants to please keep their questions to two as there's a long queue. The next question is from the line of Mr. Bhavik Shah. Sir, please unmute yourself and go ahead.
– Mr. Bhavik Shah - Participant:
– Hi sir. Congrats on a very good set o f numbers.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Thank you very much.
– Mr. Bhavik Shah - Participant:
– Firstly sir, I wanted to understand, how is the liquidity situation with the bank? what would be Excess liquidity in Rupees in crores and how much w ould be the LCR as on date?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Let me share with you the LCR number. LCR number is always an average number of 90 days. It is 122%. The RBI requirement is 100%. So, as far as liquidity is concerned, Canara Bank is maintaining very well the liquidity position, neither surplus or deficit, because we want to deploy the funds effectively. Now coming to the liquidity portion, as on date Canara Bank is not having any liquidity problem, because as you know, we have floated o ne deposit scheme 666 where more than 8 lakh deposits were opened, including 666, with huge amounts. So for Canara Bank, resources or liquidity is not going to be a problem in the current quarter and in the coming quarter.
– Mr. Bhavik Shah - Participant:
– Sir, taking that a little further, given that we're paying higher on fixed deposits compared to other SOE banks, what would be the outlook of margins in the next 3 -4 quarters? Because of repricing, can we expect a similar kind of delta over the next 2 -3 qua rters?

– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– See, our guidance regarding NIM is 2.90. Today we are at 2.86. So, we'll be achieving 2.90. For eg. if you see my interest earned and OP, it has increased tremendously. Now as a management I have

two points to answer. One is, whether to continue with this abnormal OP without passing any benefit to my depositors, or to share some of this to my depositors. I have a depositor base of more than 10 crores, and my depositors are very loyal to Canara Bank. So, during the time of high inflation, we thought that we have to pass on some benefit to the depositors. This is the main reason because of which we are passing on 50 bps more than the market to my depositors. But, I am making good money in advances also. That's because, my interest income on advances is growing by 20%, and I am getting non -interest income also at 13 -14%. Fee based income I'm getting at 18%, that is 1,700 crores plus. So, our aim is, pass on some benefit to the depositors, they will be with you life -long; that is the concept along with maintaining the margin. This is the philosophy on which we are working, and it is working well.
– Mr. Bhavik Shah - Participant:
– Understood sir. Sir lastly, a couple of data keeping questions sir. Sir, last quarter our restructured book was 18,000 crores. On similar like to like basis, what would it be this quarter?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– It is… Majumdar ji.
– Mr. S K Majumdhar – CFO, Canara Bank:
– Sir, for RF 1, our present liability is around 4,420 crores. For RF 2 it is 12,089 crores. So, both put together is around 16,000 crores.
– Mr. Bhavik Shah - Participant:
– Okay. And, would MSME get added to this?

– Mr. S K Majumdhar – CFO, Canara Bank:
– Yes, MSME we have another, that is OTR of that old… is another 2,300 crores.
– Mr. Bhavik Shah - Participant:
– So, the total would be around 18,300 crores.
– Mr. S K Majumdhar – CFO, Canara Bank:
– Exactly.
– Mr. Bhavik Shah - Participant:
– Sir, has it increased quarter on quarter?
– Mr. S K Majumdhar – CFO, Canara Bank:
– No no, it has only come down quarter on quarter.
– Mr. Bhavik Shah - Participant:
– Sir, last quarter 18,000 was the number. So, I'm not sure if 18,300 is comparable to 18,000.
– Mr. S K Majumdhar – CFO, Canara Bank:
– No no, what you are comparing may be last quarter we told of RF 1, RF, 2. This is not MSME OTR we spoke of. Last quarter, the figure that you have is of only RF 1 and RF 2, which has come down to 16,000 crores.
– Mr. Bhavik Shah - Participant:
– Clear sir. Thank you so much sir. And sir, what would b e the slippages from the restructured book this quarter?
– Mr. S K Majumdhar – CFO, Canara Bank:
– RF 1 the slippages… if you take out that future…
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– I'll answer. Sir, RF 1 it is about 3%, excluding future. RF 2 it is 13%. And, it is cumulative, not during the quarter. It is cumulative only.
– Mr. Bhavik Shah - Participant:
– Understood sir. Sir, that's it from my side. Good luck and thank you.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Thank you.

– Moderator:
– Thank you si r. Our next question is from the line of Mr. Pranav. Sir, please unmute yourself and go ahead.
– Mr. Pranav - Participant:
– Hi, can you hear me?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Yes.
– Mr. Pranav - Participant:
– Sir, so 2,300 crores is MSME, and there 16,000 crores RF 1 + RF 2. So, total is 18,000 roughly. And out of this, 3% has slipped from RF 1 and 13% from RF 2, right?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Yeah.
– Mr. Pranav - Participant:
– And sir, above that security would be around 2,500 cro res? Is that right?
– Mr. S K Majumdhar – CFO, Canara Bank:
– Yes sir.
– Mr. Pranav - Participant:

– So, out of this 2,500, is there any outstanding provision?
– Mr. S K Majumdha

r – CFO, Canara Bank:
– We have almost fully provided, and I think only few hundred c rores are left to be provided.
– Mr. Pranav - Participant:
– Right. Perfect sir. Sir, can you just spend some time on actually giving some colour on loan growth? What sectors are coming? Is it retail, is it corporate, SME, MSME, and will it continue? Is it ca pex related? Is it consumption related? Is it working capital related? Any colour would be really helpful. Thanks a lot sir.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Sure. Our principle is, we want to maintain a ratio of 55% under RAM and 45% under Corp orate, plus/minus 2%. So, during the current quarter, our RAM is about 55%, which is growing at 16.4%. Now, let me discuss regarding RAM. We say RAM is Retail, Agriculture and MSME. Retail, it is growing at 12.5%, and within retail, housing is growing at 1 7%, and we are hopeful that the growth in housing will continue to be a decent double -digit growth. Agriculture and allied activities are growing at 21%, and this will be around this percentage next quarter also. MSME is at 13%. Sinc e we are seeing lot of demand in MSME, so this 13% to 14 -15% we think will continue. To put together, again, under the RAM category, the growth will be about 16 -17-18%, which would be decent growth. So, 55% of my portfolio will be growing at a decent double -digit growth.
– Now co ming to corporate. In corporate, we have seen traction and a very good growth in infrastructure, NBFCs, then iron and steel, then we have seen in petroleum, coal products and a bit in construction and also chemicals and chemical products. During the current quarter also, we are hoping that these sectors will be doing good and the growth momentum will be sustainable. So overall the growth we see, it will be a decent double -digit growth for Canara Bank.
– Moderator:
– Okay, thank you sir. Our next question is fr om the line of Mr. Anand Dama. Please unmute yourself and go ahead.
– Mr. Anand Dama – Participant:
– Thank you sir for the opportunity. Sir the first question is on your overseas credit book and that's where we are seeing a lot of growth across public sector banks and so for us. So what are the key reasons why we'r e seeing this growth apart from a rupee depreciation.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Let me tell you, in the last 12 months the credit book has grown by Rs. 1.4 lakh cores, bank as a who le. In overseas, it has grown by just Rs. 21,000 crores. Percentage wise it looks big, but amount wise, since the base is very small, percentage appears to be 85%. However, in terms of real amount, it is only Rs. 21,000 crores. So in 1.4 lakh crores, Rs. 2 1,000 crores overseas we feel it is a normal growth and this growth is coming from A, AA and AAA rated accounts and also very good corporates who are in India and abroad.
– Mr. Anand Dama – Participant:
– Sir, but then what made them borrow now or what made y ou lend them now that basically you were not doing a year back as such?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– In this overseas borrowing, there are borrowing by the banks also; some foreign banks and Indian Housing Finance company also which is a worl d rated company.
– Mr. Anand Dama – Participant:
– From overseas branches?

– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Yes.
– Mr. Anand Dama – Participant:
– And why would they do that? So it's basically ECB funding that we are doing?
– Mr. L V Prabhakar – MD & CE O, Canara Bank:
– Yes, exactly sir.
– Mr. Anand Dama – Participant:
– So how much would be ECB and how much would be buyers credit of the overseas book that we would have to…?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Most of the portion is lending not buyers credit.
– Mr. Anand Dama – Participant:
– Okay. Secondly, we have moved to the new tax regime during the current quarter. So basically how have we done

the DT adjustment? So we have knocked off the ETF from the asset book but is there a net worth adjustment a lso that we need to do, one and what is the tax rate that we should expect for the full year now going forward? Whether it will be 25% or it will be still less than 25%.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Our CFO will be replying this question.

– Mr. S K Majumdhar – CFO, Canara Bank:
– Sir, your first question is how we have adjusted this, that is funded this to DTA, that is around Rs. 2,451 crore which we have told it is out of excess tax provision that we have made last year and first quarter of the present year. So it has been funded out of that. So it has not hit my present profit and
loss account. It has not hit my profit at all.
– Mr. Anand Dama – Participant:
– But net worth, right?

– Mr. S K Majumdhar – CFO, Canara Bank:
– DTA reduction means my capital base goes up, me CET1 goes up, my CRAR goes up. That has gone up
by almost 40 basis points each.
– Mr. Anand Dama – Participant:
– That I agree. But sir, from your net worth it should get adjusted, right?
– Mr. S K Majumdhar – CFO, Canara Bank:
– No sir, it will only reduce my net worth if it is a charge on my profit. It is a charge on my profit which
has been funded out of tax provision, additional tax provision more than requirement which I had made last year and the first quarter of the present year which has neutralized it. I'll explain you if you
want to know a bit more. Last year, I had an unadjusted accumulated loss of around Rs. 18,000 crores. So technically I need not pay any tax last year. But I made a tax provision of around Rs. 1, 500 crore plus last year and this year when I started the year, I had accumulated loss of around Rs. 8, 000 crores. So this year also up to this September, I need not pay any tax. But still in the first quarter I made a provision of around Rs. 900 crores which was adequat e for me to fund this DTA. So that is the reason my profit and loss is not hit which you said that my net worth would have been eroded by that amount is not eroded but it was already funded.
– Mr. Anand Dama – Participant:
– Okay. So what's the tax rate we sh ould expect for the full year?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Here let me add something.
– Mr. S K Majumdhar – CFO, Canara Bank:
– We will move to 25% from 35%, 34.9%.
– Mr. Anand Dama – Participant:
– Yeah, that’s okay. actual tax rate would be?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Let me add something sir. This particular migration from higher tax to lower tax we are working for the last 1½ years. It is not that today we have taken the decision. For this in order to avoid the hit or the reduction in the net worth, we have made excess provision in the last year itself for the tax and
also in the first quarter of this financial year knowing very well that this money will be required when
we migrate to the lower tax regime. It is a well calculated move which is paying dividend today.
– Mr. Anand Dama – Participant:
– Sir, I understand the tax balance sheet adjustment. But how does that affect basically the accounting part of it? So you have knocked off from the assets the DTA on the liability side als o, there should
have been some adjustment to that amount. So whether it was to other liabilities some provisions that you would have made?
– Mr. S K Majumdhar – CFO, Canara Bank:
– No, that provision of tax of equal amount has been reversed.
– Mr. Anand Dama – Participant:
– Okay. Sir, I'll take it offline.
– Moderator:
– Thank you sir. Our next question is from the line of Mr. Saket Kapoor. Sir, please unmute yourself and go ahead.
– Mr. Saket Kapoor – Participant:
– Namaskar sir, and thank you for this opportunity.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Namaste sir.
– Mr. Saket Kapoor – Participant:
– I will just bunch my questions in the pauci

ty of time. Firstly sir, our EPS for H1 has been Rs. 27, and correct me sir, we were guided Rs. 40 for the full year. So can we expect an upward guidance since
the likelihood of breaching 40 should be by the next quarter itself, barring unfortunate circumstances? My first point and secondly sir, how have the hardening of this G -Sec rate, the
government securities, the 10 -year o n benchmark have affected our treasury portfolio? Going ahead
sir, if you could give us the trajectory of how the NIMs are going to shape up and then I have one more follow up sir, please answer. Thank you.

– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Sir, regarding your first question, EPS. Today we are already at 55.22. We have already crossed 40
which we have given the guidance and we are hopeful that this will be improving further going
forward. So that 40 is now history. Now, regarding the NII. The momentum which we are observing

will be maintained going forward because the way in which we are seeing the demand for the credit and also from the good corporates who are ready to afford a bit higher rate of interest. So NII we are going to maintain. There w ill not be an issue regarding the NII. Regarding the treasury, yes. As you
know, in Q1 we made good money in treasury because of the proactive actions taken by my treasury. This quarter we did not have much impact regarding the depreciation on our treasury
income. However, the treasury income is a bit less because of the existing conditions. Next quarter, we are hopeful that the situation will improve and we will be in a position to make some money from the treasury also. However, we don't see any depreciat ion as far as the portfolio is concerned.
At the most there may be a depreciation of Rs. 200 – Rs. 300 crores which is very negligible as far as
my balance sheet is concerned.
– Mr. Saket Kapoor – Participant:
– Sir on the EPS front, are you annualising the f irst half number sir?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– I will give you the two EPS. One is quarter wise it is 55.22 and for cumulative for 6 months it is 50.27.
– Mr. Saket Kapoor – Participant:
– Okay. Correct me here sir, when I look at your repo rting numbers, we find the EPS at consolidated
for this first half at Rs.27, Rs. 26.93 paise. So where are we getting this Rs. 52 number, sir? I'm referring to page no. 4 of the slide.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– We have given on page no. 2 1, EPS annualized.
– Mr. Saket Kapoor – Participant:
– Sir, you are annualising the first half numbers; that is what I'm asking.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Yes.

– Mr. Saket Kapoor – Participant;
– Because the performance may vary, sir. Is it goin g to be a granular number going ahead also, sir? Can
we look forward for that?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– See our only commitment is we want to do better than what we did earlier. That's the only target for
us.
– Mr. Saket Kapoor - Participan t:
– Correct. Last p oint is , what portion of our portfolio, the loan book is on floating rate and how much
is on the fixed rate part? With the increase in the repo rate, how is the incremental interest margin is going to be? And your guidance on the net interest margin sir shipping a head, in percentage terms.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– As on that we don't have any advances on fixed rate, all are floating rate.
– Mr. Saket Kapoor – Participant:
– 100% book is on floating?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Yes. And I can only say that whatever ratios we have given this time, next time we will try to better those ratios.
– Moderator:
– Thank you sir. Our next question is from the line of Mr. Ashok. Please unmute yourself and go ahead.
– Mr. As hok – Participant:
– Sir, a lot of the queries and questions have been answered by you very calmly and with a gr

eat reassurance. I have just one, the recent development by the RBI on the rating agencies, they are not giving guidance to rate the corporates, e specially the large accounts with the names of the banks for
which this limit is being rated. Sir, have you gone through that and whether can I see some clarifications on that from you that how is it going to be impacted?

– Mr. L V Prabhakar – MD & CEO, Ca nara Bank:
– See, we have come across with this one and still we are also, I can say studying because the time is
there and for further clarifications I have my CGM Risk who handles the rating, he will be responding
this. Please Mr. Rao.
– Mr. Ashok – Partici pant:
– So sir my question is basically that most of the time when the loan is at the second stage, that time
the ratings have been called for, I mean the previous rating or rating of the company. By that time it is not clear that which bank is going to sanc tion the loan out of the various banks where the loans
are applied. So generally the rating is for an amount that this is the amount which we are seeking, this is the amount which we are going to see, say Rs. 1000 crores or Rs. 2000 crore, that time the names of the banks may or may not have been known, only the existing banks who have given the
credit, their names can be given, but not the bank which is assessing the proposal.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– You are perfectly correct, that's wh y I said still there is time. So we are also working and discussing
internally and we will be giving the feedback.

– Mr. Ashok – Participant:
– Okay sir. So we'll wait for the clarification you, the ban and also the RBI. Sir, my second observation and some an swer from you that we have very large number of subsidiaries and associates. I think,
we have 8 subsidiaries and 5 associates and a lot of money has been invested in those subsidiaries whereas when you see the operating profit, the consolidated profit, it is just Rs. 75 – Rs. 80 cr ores
more than your standalone profit and if you look at the net profit, it's again the same. You know, like
kind of a thing. So ultimately at the end of the day, are we just banking on the valuations of these companies or their p roducts or we do we want to bring in something in our profit and loss account
and our balance sheet also?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Very good question. Let me tell you for example CanFin Homes, they are doing very good profit – OP
and NP, and going forward we are confident that this particular subsidiary or associate is going to perform very well. Now coming to Canara HSBC. We are seeing a very good traction in Canara HSBC
as far as the business is concerned, and going forward the evaluatio ns are going to be very good
when they come out with for IPO. Canara Robeco is another best mutual fund in India which is giving good returns and excellently managed. So these are all the jewels for Canara Bank.
– Today profit in terms of comparison to pare nt Canara Bank may be less but going forward these
companies or subsidiaries are going to give huge returns. That is why we are not selling the stake in
these companies. And regarding Gramin Banks, I have 4. For example Andhra Pradesh Gramin Bank.
It start ed making Rs. 326 crores profit and same way I have other Gramin Banks like Kerala Gramin
Bank. It is making Rs. 129 crores profit. So going forward these things are going to give huge
dividends to Canara Bank.
– Moderator:
– Thank you sir. Our next question is from the line of Ms. Marookh. Please unmute yourself and go ahead.
– Ms. Marookh – Participant:
– Hello sir. Congratulations.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Thank you ma'am.
– Ms. Marookh – Participant:
– Sir, I had just a couple of questions. Firstly, you said that you would try to better all your parameters next quarter. How do you view your margins? Because you also said that you hav

e to pass on something to depositors too so that they stay loyal to you. So how do you view your margins going ahead? Do you think the peak is here or there is hope for improvement given MCLR repric ing?
What's your view on margins in the next one to two quarters?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Ma'am, regarding margins going forward, the margins are going t o increase. As we said NIM, our
guidance is 2.90. Today we are at 2.86. So margins will increase and the thing which I have said that we have to pass on some benefit to the depositors that will help the bank in the long run to improve the margins. See, the re is a demand for the deposits in the market because we don't see the liquidity
which was available 4 months ago, 5 months ago today. Under this scenario and also taking into consideration the present inflation which is there, it is justifiable and also r equired that you should
pay interest which will help the depositors to take care about the inflation and also to continue with
Canara Bank.
– And regarding the margins. Now the lending is being done at a higher rate and people are ready to
take; well rated companies. So for Canara Bank margin will not be an issue. The outcome will be my depositors will be happy, they continue to bank with me and also deposit money in my bank. It will ultimately lead to a very good liquidity position for Canara Bank which I w ill be deploying in the
credit. As you have seen during the current quarter, Y -o-Y growth is about 20%. To maintain a decent
double digit growth, you need resources, deposits and for that you have to pay a bit more also.

– Ms. Marookh – Participant:
– Got i t sir, very well explained. I just have one more question dwelling a bit more into what Anand
Dama was asking. So this question on international loans and where there have been lend keeps
coming up because what has happened is it's a coincidence that all P SU banks have started showing
growth in international loans at the same time. So there is no lead lag or any such thing. Except
Baroda which was anyway strong in international loans everyone has upped their lending just in the last 2 -3 quarters. Part of it will be exchange depreciation. But if you could have a rough breakdown
on how much growth has come through exchange, how much is to overseas banks that we talked about and how much is to overseas corporate and how much is to Indian corporates. So any such
broad classification?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Ma'am if you see the increase in figure in overseas, it is only Rs. 21,000 crores which is not a big amount and in this Rs. 21,000 crores, Rs. 4,000- Rs. 5,000 has gone to the banks, we have financed
the banks and remaining is for well reputed high rated corporates.
– Ms. Marookh – Participant:

– Got it. And these are international banks?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Yes. And one Indian Housing Finance Bank is also there.
– Moderat or:
– Thank you ma'am. Next question is from the line of Mr. Rushab . Please unmute yourself and go ahead.
– Mr. Rushab – Participant:
– Hi sir. Congratulations for the good results. Sir, considering the increase in deposit rates and the 666 scheme that have co me up, what is the expected growth in deposits for next 3 -4 quarters?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– I can say next two quarters. Next two quarters there will be a decent deposit growth of double digits. And the deposits as I said, in the last 12 days we have mobilized more than 8 lakh fixed deposits
which are going to stay with Canara Bank and these are all retail deposits.
– Regarding the deposits, just as I was explaining, it got disconnected. We are going to see a decent double digit growth in deposits also in the current quarter, that is Q3 FY23 and also Q4 FY23 because
we have already mobilized more than 8 lakh fixed deposits from various customers which are all

retail. So this money is going to stay with Canara Bank. So there will be a very decent deposit growth.
– Mr. Rushab – Participant:
– And this additional deposits that we are taking in, the cost of those deposits are typically less than the borrowing or is it higher? Just wanted to understand.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– We are always conscious about the margin to be earned. So always we lend at a rate taking into consideration of our margins also and the 7% percent is only for 666 whereas for other deposits, it is
2.5, 3.5, 4, 5 different rates are there. So it is not tha t all the deposits are at 666. 666 actually it has
created a wave in the market that deposit money in Canara Bank.
– Mr. Rushab – Participant:
– Got it, okay. And sir lastly, wanted to understand as you mentioned the entire advances book of
Canara Bank is flo ating so just wanted to confirm if even the commercial advances are floating or
only the retail advances we were talking about.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– No all advances, except loan against FDR which fixed we give all other are either any of the floating
rates only. No fixed rates we have given.
– Moderator:
– Thank you, sir. Our next question is from the line of Mr. Jai Mundra. Please unmute yourself and go
ahead.
– Mr. Jai Mundra – Participant:
– Hi sir. Good evening and thanks for the opportuni ty. Sir, our NIM's guidance of 2.9% is it for FY 23 or
this is like exit quarter FiY23, I mean 4
th quarter?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Sir it is for 31st March 2023.
– Mr. Jai Mundra – Participant:
– For the full year?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Full year.
– Mr. Jai Mundra – Participant:
– Sir, the capital number that we have shown, this includes the interim first half PAT number, right?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Yes. Excluding 20%.
– Mr. Jai Mundra – Participant:
– And sir, if you can share the slippages breakup for this quarter of around...?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– Sir out of this 3,500 , 1,200 is under Agriculture, small ticket loans, 1300 is under MSME, 600 is under
retail and leftover 400 is other accounts.
– Mr. Jai Mundra – Participant:
– Last question sir, is there any one off in the net interest income line item? Because while you have
clearly shown a very huge loan growth, the interest on advances have also gone up significantly. So is there any on e off or any NPA recovery which is also coming in interest advances line or this is like
usual?
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– No sir, this is all, the growth in credit and also the increase in interest rates which we have
implemented in the last 3 months that has given this increase in interest income which is about 20%
Y-o-Y. No one off instance.
– Mr. Jai Mundra – Participant:
– And if you can sir, we used to share the SMA 1 and 2 at overall bank level. The reason I'm asking, sir,
is in this quarter also large part of the slippages have come from below 5 crore accounts, right? So if you can help us with the SMA 1.

– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– We will share with you, sir.
– Moderator:
– Thank you sir. With keeping in mind the time, this was the last question. Hand over the mic to MD sir for his last closing comments.
– Mr. L V Prabhakar – MD & CEO, Canara Bank:
– First of all, from Canara Bank side and from the management side, we thank the investors and also the analysts who are very cooper ative to Canara Bank and bringing out the actual position in the market. Second one is, as we are committed that each and every staff in Canara Bank is committed to the bank and the growth momentum will continue in the coming quarters also. The growth is not in one sector or in one region, it is spread over on agriculture, MSME, retail, corporate, all those things.

So we are of the strong opinion and confidence that the growth will continue in the current quarter also. With these words, I thank one and all.
– Moderator:
– Thank you, sir. On behalf of Antique Stock Broking and Canara Bank, I thank all the participants for joining the call. Have a good evening everyone. Bye.
– End of Transcript

Call: Jan 2023

[redacted] Secretarial Department
[redacted] Head Office F +91 80 22248831
112, [redacted], [redacted] - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.ca narabank.com Ref :: SD:611/612/11/12::2022 -23 27.01.2023
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
MUMBAI - 400 001

Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
EXCHANGE PLAZA
Bandra -Kurla Complex, Bandra [E]
MUMBAI - 400 051
Scrip Code: CANBK

Dear Sir/Madam,

Sub: Q3 FY 2022 -23 Earnings conference call with Analysts / Investors - Transcript

Ref : 1. Our Letter SD:580/581/11/12::2022 -23 dated 20.01.2023 &
2. Our Letter SD:599/600/11/12::2022 -23 dated 23.01.2023

With reference to above and pursuant to the applicable provisions of SEBI (LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings conference call Q3 FY2022 -23 held on 23.01.2023 .

The tran script of Q 3 FY2022 -23 Earnings conference call is uploaded on Bank's website and the same can be accessed through below link:

https://canarabank.com/User_page.aspx?othlink=383

This is for your information and records.

Yours faithfully,

VINAY MOHTA
COMPANY SECRETARY

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Q3 FY202 2-23
EARNINGS CONFERENCE CALL
TRANSCRIPT
Monday, January 23, 2023

Management:

Mr. Debashish Mukherjee
Executive Director, Canara Bank

Mr. K Satyanarayana Raju
Executive Director, Canara Bank

Mr. Ashok Chandra
Executive Director, Can ara Bank

■ Moderator:
■ Today we have with us the senior management team from Canara Bank:
■ Mr. Debasish Mukherjee, Executive Director
■ Mr. K. Satyanarayana Raju, Executive Director , and
■ Mr. Ashok Chandra, Executive Director
■ With this I shall now hand over to the management of Canara Bank for opening remarks. Over to you, sir.
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ Good evening to all of you. On behalf of Canara Bank , we welcome you all for this analyst s meet for the quarter review and clarify whatever the questions you raise on our Q3 performance. We would like to share with you some highlights of this performance.
■ Our global business has crossed 20 lakh crores sto od at 2 0.14 lakhs crores with a year -on-year growth rate of 13.6 3%. Similarly , our domestic business also has grown at 11.24% and stood at 18.8 lakh crores. Our gross global advances have grown at 16.65% and stood at 8.51 lakh crores. Our domestic advances also has grown at 14.11%. Our global deposits have grown at 11.51% and the domestic deposits have grown at 9.21%. With these business growth our operating profit has increased year -on-year basis 19.80% and stood at 6952 crores which was led by a net inter est income growth of 23.81% and the amount is 8600 crores. Because of this steady increase in the operating profit, our net profit has increased 91.88% year -on-year, stood at 2882 crores, this is an all-time high in the last continuously several quarters. And our net NPA also has drastically , gross NPA and net NPA also has shown visible decline in that and gross NPA has declined 191 basis points and stood at 5.89%. Our net NPA also has reduced 90 basis points and stood at 1.96% and simultaneously our PCR ha s also grown and it has crossed 86.32% and almost 30 6 basis points year -on-year improvement is shown in that.
■ Further to this, our housing loan , retail growth and all continuing their steady growth. Our retail growth has continued at 11.30% and our housing loan is growing at 15.81%. Our go

ld loan is
continuing the growth in the industry, dominating the industry at 34. 21% and our portfolio stood at 1,15,286 crores. Our fee -based income has increased 13.02%. and return on equity increased 630 basis points and stood at 18.38%. Our CRAR even with more than 16% credit growth we are able to maintain at 16.72% which is comparatively even sequentially as well as year -on-year there is a steady growth on CRAR. Our cost to income we are maintaining well below the 45% a nd it is at 44.40% with an year -on-year improvement of 1 84 basis points.
■ I am sure that by this time you all people have gone through our presentation which has given the clarity on many issues and which has published in various parameters the details. And I would like to

welcome all the analysts for any of your queries or clarifications. The top management we are all ready to answer your questions here. We welcome you for asking any questions.
■ Question & Answer Session:
■ Moderator:
■ Thank you, sir . Particip ants who wish to ask a question can kindly raise your hand. We have the first question from Maharukh. Maharukh, you have been unmuted, you can go ahead with your question. Maharukh, you can unmute yourself and go ahead with the question.
■ Ms. Maharukh - Participant:
■ Hello, hello.
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:

■ Hello.
■ Ms. Maharukh - Participant:
■ Hi, sir, can you hear me?
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ Yes, madam, we can hear you.
■ Ms. Maharukh - Participant:
■ Sir, my first question was , first of all congratulations on a very good set of numbers. Sir, my first question was in terms of corporate loan growth, obviously your corporate loans have grown faster than RAM, a nd your international book has also grown very fast. So, what are the corporate sectors that have grown in the overseas
■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:
■ I think there is, can you hear us?
■ Ms. Maharukh - Participant:
■ Yes, sir, I can hear you, but there is disturba nce on the line , sir. Can you hear me now?
■ Mr. Debashish Mukherjee – Executive Director , Canara Bank:
■ Yeah, yeah, there is
■ Ms. Maharukh - Participant:
■ Sir, can you hear me?
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■ Mr. Debashish Mukherjee – Executive Director , Canara Bank:
■ Yes, I can hear you. Ca n you hear us?
■ Ms. Maharukh - Participant:
■ Yes, I can, sir, thank you.
■ Mr. Debashish Mukherjee – Executive Director , Canara Bank:
■ So, our loan growth as far as the corporate sector is concerned has been basing upon the growth in infrastructure sector , see of course is there, then iron an d steel is there, some commercial real estate also has happened. So you can see that year -on-year and Q -on-Q growth has been growth which has happened in the corporate book. And we propose to maintain this balance.
■ Ms. Maha rukh - Participant:
■ So rapidly just 21% in a single quarter I know that the outlook is good but in a single quarter ?
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ We would like to clarify to you, madam, actually this corporate credit it is a global corporate credit, domestic corporate credit has grown on year -on-year basis, it is around 14 point odd only . But when it comes to globally, globally we have lent during this quarter some 15000 crores on oil companies which are all AAA rated and sov ereign companies. So, because of that this growth is showing reflecting that one quarter it has been so high. But otherwise the normal growth is year -on-year…
■ Ms. Maharukh - Participant:
■ 15000 crores for oil companies, is it?
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ 15,000 crores to the oil companies in this quarter has reflected like that. But othe rwise, our corporate growth is in line with RAM growth only around 14%.
■ Mr. Debashish Mukherjee – Executiv

e Director , Canara Bank:
■ And here I would like to add another point with regard to our corporate loan book you know, 78% of our corporate loan book rated A and above, so the quality of assets are also , you know, we are maintaining that.
■ Ms. Maharukh - Participant:
■ Got it. Why has the real estate grown 21% sequentially in a single quarter. Any lumpy thing there, or it is?
■ Mr. Debashish Mukherjee – Executive Director , Canara Bank:
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■ Because of the base , madam, because of the base, low base.
■ Ms. Maharukh - Participant:
■ Okay. And, sir, any one -off in the interest income either in investment income or interest on income tax refund, any one -off in the third quarter of FY23.
■ Mr. Debashish Mukherjee – Executive Director , Canara Bank:
■ Not in this quarter.
■ Ms. Maharukh - Participant:
■ Okay, so nothing l ike.
■ Mr. Debashish Mukherjee – Executive Director , Canara Bank:
■ No.
■ Ms. Maharukh - Participant:
■ And, sir, what would be your outlook o n loan growth and on margins for the 4th quarter and for FY24?
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Ban k:
■ Madam, so far for the first 9 months we already declared to you that the credit growth is shown

around 14%. The same 14% will continue at least we are confident that that 14 to 15% growth will continue in the current quarter also, credit growth. Regardi ng the margins, we have give n guidance earlier when during the first quarter that we will maintain the NIM at around 2.9%. We have already crossed the 2.93 , for the third quarter we have crossed 3%. That is our NIM is around 3.05. Because of this the last quarter October onwards we have started giving higher rate of interest with deposits, and with this we are continuing with the same rate of interest and we are sure that we will maintain the margins in and around of 3%.

■ Ms. Maharukh - Participant:

■ Got it, sir, that helps, sir . Sir, just one last question, how much have you provided towards the new wage agreement this quarter, and the provisions will remain constant from hereon?

■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:

■ Yes, madam, last y ear industrial settlement was approximately around 15%. The same 15% now for the last two months we are providing it on an average.

■ Ms. Maharukh - Participant:

■ So what is the exact amount, absolute amount.

■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:

■ See per month it is coming around 70 crores.

■ Ms. Maharukh - Participant:

■ Okay, thank you so much, sir, and all the best.

■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:

■ Thank you very much, madam.

■ Moderator:

■ Thank you. Nilesh Jetha ni, you can unmute yourself and go ahead with the question please.

■ Mr. Nilesh Jethani - Participant:

■ Hi, good evening, gentlemen, and thanks for the opportunity. My first question was on the deposit side. So, I believe in one of TV interviews we heard th at Can Bank was able to raise around Rs. 1 lakh crore on a gross level. But when I see on a net level the number comes out to be around 29 -30,000 crores only. So, could you just help me understand what is happening at the deposit level and what kind of gro wth do we see on a steady growth say from 3 to 4 quarters perspective.

■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:

■ So, I would like to clarify to you that industrial deposit growth is . industry -wise it is overall in and around 9% whereas we have grown at around 11.25%. As you agreed that last time we declared we have garnered more than 1 lakh crore during that special scheme. But I am sure that you will agree with me saying that 90% of our term deposits which are existing term deposits are meant for one year. So generally , once the one year is over there is a chance of either renewal or for the losing of that deposit. So , this 1 lakh what we have claimed e

arlier is in that special scheme we got a new deposit of 1 lakh crores. Ultimately whe n you finally arrived at that, the netting is what you have already seen in that it has given the reflection of 11.50 approximately global deposit has grown at 11.51%.

■ Mr. Nitesh Jethani - Participant:

■ Going ahead you have also raised 1 lakh , I believe some part of your existing customers would have renewed to term deposit the saving guys, but going forward what explanation do we carry as far as the deposit growth is concerned.

■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:

■ Since we are alre ady performing better than the industry and recently also we have introduced one more scheme for 400 days at a much attractive rate of interest, the reason behind that offering a better rate of interest is not just that we have any liquidity issue. We are very much comfortable with our liquidity issue. Just we want to share what ever benefits we are getting when we are

growing it. So, because the customers are our major contributor s as stakeholders in our growth we want to share some part of that towards the customers' benefit, depositors' benefit. That's why periodically we are reviewing our position and we are coming out with new, new schemes. Recently one week back we have come out with 400 days scheme that has also been well received , within one week we h ave received quite a lot of traction on that, and we will continue to do these things. And another thing we don't have any liquidity issue, the reason is our CD ratio is still at 73 whereas the industry is at 75 to 78%. W e have that comfort in that. So , we want to , though we continue that 14% or 15% credit growth and with 11% to 12% deposit growth, we are able to maintain that without any difficulty in the liquidity.

■ Mr. Nitesh Jethani - Participant:

■ Got it, sir, that was really helpful. My second set of q uestions was on the corporate loan side, so, two pieces to it. Out of total loans which we have given on the corporate, on the incremental basis x the oil and gas international companies. C an you help me understand what portion would be towards greenfield capex or private capex , and what would be the working capital. And point two, also can you help me understand competition in the sectors since one of the large private banks recently announced that they left 40 -50,000 crores kind of corporate loan because of increased competition. So, these two points if you can elaborate on the same.

■ Mr. Debashish Mukherjee – Executive Director , Canara Bank:

■ You see our loan book to corporate sector is mostly divided into two parts - working capital and term loan, term lo an is predominantly more. But then so far as the so -called corporate loan is concerned, what we understand as corporate loan, our loan book is not that high. So, we go for project specific loans only. And working capital of course is there. So, that is how we actually go about in our corporate book.

■ Mr. Nitesh Jethani - Participant:

■ So, out of the break -up say figure incremental Rs. 100 of corporate loan what portion would be working, what portion would be project specific in the last 9 months.

■ Mr. Debashis h Mukherjee – Executive Director , Canara Bank:

■ It will be roughly 65 to 70% is term loan only, balance 35 roughly is around working capital.

■ Mr. Nitesh Jethani - Participant:

■ Got it. And, sir, competition?

■ Mr. Debashish Mukherjee – Executive Director , Can ara Bank:

■ You can say 65:35 is the best proportion.

■ Mr. Nitesh Jethani - Participant:

■ Okay, got it. And, sir, competition in the sector, any competition, are you guys also facing or seeing intense competition.

■ Mr. Debashish Mukherjee – Executive Director , Canara Bank:

■ We are growing at 14 to 15% rate and it is not only this quarter, the previous quarter also we were growing at the same pace. So, competition of course is t

here, and competition should be there also.

But we are maintaining our pace, we are gr owing at a decent pace, so I don’t feel any problem with regard to growth in corporate credit. Of course, our emphasis is more on RAM where we have about on and around 55%. And here it is around 45%. So, same proportion we propose to maintain. And growth r ate, of course, is very decent in both the sectors, RAM and as well as corporate.

■ Mr. Nitesh Jethani - Participant:

■ Got it, sir, thank you so much.

■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:

■ Thank you.

■ Moderator:

■ Thank you. Ms. Mona Khe tan, you can unmute yourself and go ahead with your questions please.

■ Ms. Mona Khetan - Participant:

■ Hi, sir, good evening. Am I audible?

■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:

■ Yes, madam, audible, you can speak.

■ Ms. Mona Khetan - Participant:

■ Sure, thank you. So, firstly on the credit cost front if I look at the credit cost for this quarter which is total provisions if I look at, total provisions to loans would be around 150 basis, so going forward where do you think it will settle at say in FY24?

■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:

■ Yes, madam, you s ee that the credit cost is coming down slowly. The reason behind that is our corporate goal is always our recovery should be more than our slippages, there we are w orking very hard on that both on the side of the underwriting standards as well as on the follow up. You look at that sequentially if you see even year -on-year wise if you look at both sides, our slippages are coming down drastically and continuously. Now our slippages are only 3040 crores whereas our recovery and upgradation together it is more than 4000 crores. So, that’s where the actually the credit cost gradually coming down. Second one is our risk weighted assets, our risk weighted assets and the risk weighted assets are gradually improving quarter on quarter. Now we have stood at 65%.

These two things majority already our colleague has shared with you that our corporate book 78% is from only A and above rated. So, only remaining 22% out of the 12% is BBB and 10% is BB. There is a reduction in the BB rated corporates. These are all the measures what we are benefit for us both sides , as well stressed asset side as well as in underwriting standards also that is helping us in maintaining this 1.21. The 1.2 1 is much, much less than what we have given the guidance to the market. And we are confident that we can maintain this.

■ Ms. Mona Khetan - Participant:

■ Okay. So, 1.21 would be the NPA loss provisions to…

■ Mr. K. Satyanarayana Raju – Executive Director , Can ara Bank:

■ In and around the same level, madam, 10 basis points here and there, see it can be less than that or it can be, our guidance we have given 1.5 but we are maintaining at 1.4, we are maintaining at 1. 2-1.25 that is the range. As on date it is 1.21.

■ Ms. Mona Khetan - Participant:

■ But just trying to double check so when you give this guidance is it related to the total provisions or just the loan loss provisions?
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ No, total provisions, madam, everything is taken into account. You look at our PCR, that is also increasing steadily.
■ Ms. Mona Khetan - Participant:
■ Sure, got it. And secondly if you could share the mix of EBLR and MCLR in your loan book.
■ Mr. K. Satyanarayana Raju – Executive Directo r, Canara Bank:
■ Yes, madam, 49% of our advances are MCLR related and 38% is around RLLR, the remaining is staff loans, loans against deposits , such type of loans.
■ Ms. Mona Khetan - Participant:
■ Got it. And the repo link loans are immediately re priced?
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ 38%, madam, and actually even the last time December when the 35 basis points have been

increased in the repo rate we have not immediately passed it onto the customers, we have passed it on only in January. Whereas all our peer banks have passed it on in December itself. We are always considerate towards our customers because they are our stakeholders.
■ Ms. Mona Khetan - Participant:
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■ Okay, So, the reset period as such is immediate but then you choose to pass on depending…
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ Naturally, RL LR always, it is whenever there is an ALCO Committee, post to announcements from the regulator whenever that ALCO Committee meets then they will pass it onto t he customer. But MCLR it is reset ting depending on period they opt for that.
■ Ms. Mona Khetan - Participant:
■ Okay. But as such the RLLR is immediate re -pricing, right?
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ Naturally, madam, that is ac tually inbuilt of RLLR, repo rate, it is directly linked to repo rate.
■ Ms. Mona Khetan - Participant:
■ Okay. No, but what I was trying to understand is the reset period differs between banks, some banks have immediate re -pricing, some have 3 months re -prici ng, reset dates. So, what is it in your case.
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ We are entitled for passing on the same day, next day. But generally , we look at that it is a business call. If we want to grow something we want in certain areas we will pass it on the next month, or we will pass it on immediately. Generally , it will be decided in the ALCO Committee, madam.
■ Mr. Debashish Mukherjee – Executive Director , Canara Bank:
■ And what you are referring to, Monaji, is basically the MCLR reset dates, MCLR reset dates falls on various dates depending upon when it is applicable so that we keep on changing accordingly.
■ Ms. Mona Khetan - Participant:
■ Sure, got it. And on the slippages front if you could share the breakup of your slipp ages within the various segments.
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ Around 1050 crores is from agriculture, madam, 11 50 crores from MSME, around 750 crores is from retail. We don't have any corporate side slippage in this quarte r.
■ Ms. Mona Khetan - Participant:
■ Okay. 1150 from MSMEs?
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ Yes, madam.
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■ Ms. Mona Khetan - Participant:
■ Okay. And if you could also share your slippages from restructured book s so far?
■ Mr. K. Satyana rayana Raju – Executive Director , Canara Bank:
■ Actually , there is RF1 and RF2, RF1 the slippage is around 2.8%, madam, RF2 it is related to MSME and retail - it is around 14%.
■ Ms. Mona Khetan - Participant:
■ Okay. If you could share the total quantum and a lso the total restructured book, if I have to include the MSME and both RF1 and RF2 and exclude any common .
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ I am sharing with you the outstanding whatever is there as on December 31st, madam. RF 1 the outstanding is 2800 crores, RF2 is around 11,500 crores, madam.
■ Ms. Mona Khetan - Participant:
■ Okay. And the slippage from 2800 is 2.8%?
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ Yes, madam.
■ Ms. Mona Khetan - Participant:

■ And the s econd one, 11,500 is?
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ It is 14%.
■ Ms. Mona Khetan - Participant:
■ 14%, okay. And the MSME book?
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ RF2 is MSME, part of that, the MSME is o riginally it is there, there also it is the slippage is around 12 to 13%, madam.
■ Ms. Mona Khetan - Participant:
■ Okay.
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:

■ There the outstanding is 2200 crores.
■ Ms. Mona Khetan - Participant:
■ Okay. So , if I have to look at the total res

tructured book it will be around?
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ 16000.
■ Ms. Mona Khetan - Participant:
■ 16000, okay, got it. And how much of….
■ Moderator:
■ Ms. Mona, kindly request you to join the queue as there are several participants. Thank you. Mr. Ashok, you can unmute yourself and go ahead with the question please .
■ Mr. Ashok - Participant:
■ Good afternoon, sir, congratulations to you , Mr. Raju, for taking over the MD and CEOship of such a large bank, Canara Bank , and we are I think meeting you for the first time in this analysts meet of Canara Bank and all the best to you with that. Sir, I would like to compliment the Bank, the entire top management and the people in the bank for giving a nother , and I see Ashok Chandraji also , sir, welcome to you, I am seeing you now in Canara Bank on a lighter note .
■ Mr. Ashok Chandra – Executive Director , Canara Bank:
■ Thank you.
■ Mr. Ashok - Participant:
■ Sir, compliments to you for another set of good numb ers. Sir, I joined a little late because I was in the other bank's conference, I don't know whether this point has been covered or not. My first question, sir , or rather some information point is on the technology front. On the IT front where do we stand? Because I remember Canara Bank long back years back was the least IT bank, I mean it started very late on the IT. But now of course, it has caught up very well. So, what is the present position, what are the budgets , how are we going for end-to-end solutio ns for the entire bank or how are you making it as a digi bank. Some views on that, sir, and the budget.
■ Mr. K. Satyanarayana Raju – Executive Director , Canara Bank:
■ Definitely, sir, I would like to share with you that M eitY generally assesses all the Indian banks whether it is a private sector or a public sector based on certain journeys they have undertaken and it is reflected in the transactions in those journeys. According to those journeys like semi -urban, rural, north Indian states, everything will be taken into account. Based on those things 2021 -22 financial year, previous year, MeitY has ranked Canara Bank as Number One in India among 47 public

sector and private sector banks together. That shows the way what we are adapting the technology, how fast we are reacting to that. Th e steps that we are taking in is resulting in number of transactions how it is improving quantum wise. Just two years back we were at 192 crores transactions. Then last year it has gone upto to the 258 crores, and this year alre ady we crossed 330 crores and we are left with 3 more months. And we are sure that we are going to cross 400 crores. The major contribution what we are getting is the in itiation that we have taken in upgradation version of our mobile app, ai1. It has been introduced in June -July last year , within 6 months we got 4.2 to 4.3 public rating on the Play Store. And the people generally whoever are using that they felt it very customer friendly with innovative versions like whenever you feel some discomfort or som e suspected transactions in any of the mode , we have given a liberty to the customers that they can block in and block out. This feature has been introduced by us that has attracted the customers very well. And just one year our on -boarding the customers and active customers have increased from 77 lakhs to 155 lakhs. And simultaneously we realized that our penetration in the rural and semi -urban, our concentration is very high because 60% of our branches are in rural and semi -urban. We thought that popu larizing a QR code will be another area so that you can bring our rural and semi -urban customers into the digital front. That 's why we initiated the QR code popularization in addition to the BHIM QR code. This QR code will be generated not at the central leve l, even each branch they can generate and give

it to the customers. And last 12 months we have distributed more than 21
lakh QR codes and this is the highest amongst the public sector banks. That QR codes also in addition to that to make them more comfort able, these digital fronts whatever we are taking we are taking in the local languages, vernacular languages , 11 languages we are introducing it. And another one what we are doing we created a QR code app that is like a passbook. Generally, when you find a mobile app, you will have a passbook, but when one vendor who is having 4 QR codes or 4 POS machines with a different -different outlets, he should be able readily verify the QR code wise reconciliation. To make that more comfortable we created this app, a nd this has been given to all the people, it is also ai1 Merchant App, that is also well received, so that reconciliation is not a problem and for any transaction they need not go through their passbook, they can look at only for this app and the POS machi ne wise or QR code wise they can reconcil e. The third one is in India the first bank who has introduced audio system in confirming transaction success in QR code. And it has been first experimented in Bangalore and it is well received by the people. So far in India only private operators are providing that audio QR code box whereas now in the banks, we are the first bank we are enha ncing to entire country by this month end, and definitely that will be a game changer. Another initiative is we are also parti cipating , it is in the UAT stage - CBDC and definitely we will come out immediately whenever that infrastructure is, infrastructure is ready. One the UAT is over we will come out with CBDC and then we are going for the digital ending platform comprehensive ly end-to-end so that majority of the RAM we want to route through the digital front.

■ That we are going to achieve it by next six months, so we are working very hard on that and in addition to that we want to provide API banking to our Corporates. That is another game changer for our CASA. We know that we have to work hard on our CASA. We are taking several initiatives on the CASA. This is one of that, that we are dealing with the corporates but we are unable to encash it because of lack of the technology p latform but we are coming out with that API banking within this month, the next week, with the 15 features and several such even in the Cloud, even in the many such areas we are working on that. Many initiatives have been taken and just two years back we

invested 700 crores. Last year we invested 1000 crores, this year we budgeted for 1400 crores and next year we'll continue for higher implementation of the technology, Sir.

■ Mr. Ashok - Participant:

■ Thank you very much, Sir, for taking us such a long journe y, your IT journey, and it's good to know. Many of these things were not known basically but, yes, thanks a lot for and with a great speed you have taken us the entire journey. Point well taken, Sir, and we give credit to you for the same.

■ Sir, I've got a couple of other some questions and some data points. One is that, in that point Number 17 SR of 533 crore, the provisions figure is not given. I believe it must have been provided 100%.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ Yes-yes.

■ Mr. Ashok - Participant:

■ Yes, Sir. Okay, so 533 crores is fully provided for. And, Sir, can you just run through note Number 20 where the taxation , DTA and P&L 2490 crores and we have taken the provision which was earlier provided in '21 -'22 of 1578 crore s reduced from that, that is reversed, and 443 crores change in the…because of the new tax regime? So, can somebody…like we have this year the tax provision of 949 crores.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ Our CFO will clarify to you, Sir, exactly regarding on that tax benefit and all. Mr. Majumdar is our CFO. He's clari

fying to you.

■ Mr. S K Majumdar – CFO, Canara Bank:

■ Sir.

■ Mr. Ashok - Participant:

■ Yes, Sir. Please, Sir.

■ Mr. S K Majumdar – CFO, Canara Bank:

■ Sir. Sir, your query i s that why we have provided higher tax or what exactly is the query?

■ Mr. Ashok - Participant:

■ No-no, I just want to know, number one, we have come in the new tax regime now, so what is the DTA figure now left because here 2490 crores would have been into t he Profit and Loss account in this quarter but the excess provision of '21 -'22 of 1578 has been reversed. So, going forward where do we stand? What will the picture on 31st March 2023?

■ Mr. S K Majumdar – CFO, Canara Bank:

■ Sir, our DTA is…

■ Mr. Ashok - Parti cipant:

■ Sir, you are not audible.

■ Mr. S K Majumdar – CFO, Canara Bank:

■ Sir, our DTA presently is at around 6600 crores. So, if you know as far as DTA is concerned that up to CET 10% of my capital it is allowable.

■ Mr. Ashok - Participant:
■ Yes.
■ Mr. S K Majum dar – CFO, Canara Bank:
■ So, I am only maybe 200 -300 crores more than that. This quarter profit, say for the March quarter profit I will be coming to a DTA level which is just about 10% of CET 1. So, which I did not provide any additional for that. So, that is one part of it. That is when I talk about what is DTA and providing.
■ Another question is, maybe that when I have moved into a lower tax regime that how my tax like my provisions…
■ Mr. Ashok - Participant:

■ Yes.

■ Mr. S K Majumdar – CFO, Canara Bank:

■ I have a provision of around 900 crores which we have provided. Sir, whatever accumulated losses I had at the beginning of the year that was around 7300 -7400 crores. That entire amount has been completely wiped off now till by December. So, I do not have any accumulated losses. My slippages are coming down, that way my provisions are coming down, my realizations are going up. So, my provisions are getting reversed. So, my taxable income that way is going up. That is how this is a bit higher. You may feel that in spite of my reduction there is 900 crores.

■ Mr. Ashok - Participant:

■ Yes.

■ Mr. S K Majumdar – CFO, Canara Bank:

■ That is mainly due to that I no longer have any accumulated losses with me and my deductions, taxable deductions, in the form of provision s more NPAs and provisions are coming down. So, I have to now provide more for tax because taxable income is growing.

■ Mr. Ashok - Participant:

■ Yeah. So, now whatever profit we have now in the March quarter we will have to provide additionally to that ex tent bearing some set of small amount.

■ Mr. S K Majumdar – CFO, Canara Bank:

■ Exactly. Exactly.

■ Mr. Ashok - Participant:

■ So, that gives a little clear pictures. Thank you very much for the same, Sir. Sir, my last question in this round. Raju Sir.

■ Mr. K . Satyanarayana Raju – Executive Director, Canara Bank:

■ Sir.

■ Mr. Ashok - Participant:

■ Is the on the credit growth, Sir. Our domestic credit growth this quarter was 2.67 and overall 3.26. I might have missed some initial comments of yours but just in ord er for myself to be little comfortable…

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ What problem, Sir?

■ Mr. Ashok - Participant:

■ Hello? What kind of figure we look for March quarter, number one, and now going forward '23 -'24 when overal l credit scenario is improving and you are a large bank I understand, so where do we stand on the credit growth front and you are already, I think, CD is around 73.5 something, so going forward will you also be comfortable up to 79% -80%? Going forward with such kind of profitability?

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ Sir, actually for current nine months period the Domestic Gross Advances Growth is around 14% and our RAM also is growing around 13.81% means more or less. 14%. So , this 14% whateve

r first nine

months we are grown, we are confident that this current quarter also we will grow at least a minimum that 14%. That is a guidance for what we are going to give to the analysts, Sir.

■ Regarding next year, we feel that the same tempo will continue unless otherwise any unexpected things happens but otherwise we are more or less 14% -15% growth rate will be there.

■ Another question what you asked about CD ratio.

■ Mr. Ashok - Participant:

■ Yes.

■ Mr. K. Satyanarayana Raju – Executiv e Director, Canara Bank:

■ CD ratio, actually, earlier we have started our journey just to two years back we were at 67%. Now we came up to that 73.51%. Suddenly we don't want to jump into that 79% but we are aiming for 75%; 1% or 2% in and around. That is our actually the guidance we are looking at and we will work on that, Sir, because presently we are at 73.5% and we may look at 75%; 1% or 2% here and there.

■ Mr. Ashok - Participant:

■ Am I permitted to ask one more, Moderator?

■ Moderator:

■ No, Sir, sorr y. There are several participants.

■ Mr. Ashok - Participant:

■ Thank you. Thank you. Thank you. I'll come back again.

■ Moderator:

■ Mr. Deepak, you can unmute yourself and go ahead with the question.

■ Mr. Deepak – Participant:

■ Hello?

■ Mr. K. Satyanarayan a Raju – Executive Director, Canara Bank:

■ Hello, Sir.

■ Mr. Deepak – Participant:

■ Thank you very much, Sir, for the opportunity. First I have two questions. Now, Number one is, I just wanted to understand our Provision Coverage Ratio is at 87% around has been on an increasing trend. So, Sir, what is the optimum statistic level we are looking at in terms of our PCR ratio?

■ And my second question is, in terms of ROA. I mean what sort of ROA vision we would have maybe for the next year or going forward .

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ Sir, first the Provision Coverage Ratio. Provision Coverage Ratio, we have not kept a target that something we have to achieve it like that but we want to make our Balance Sheet is a future ready, as we were telling for the last two years. We want to continue that whenever we have the sufficient profits in that we want to strengthen our Balance Sheet by seeing that as much as possible to provide for our stressed assets. So, our continue whatever las t one year we have increased almost 300 basis points. The same tempo will continue in the future also. So, the Provision Coverage Ratio will gradually increase; show a steady growth on that.

■ The second question, Sir, what you asked?

■ Mr. Deepak – Partici pant:

■ ROA. 0.76 %.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ Return on Asset. This is actually we have achieved 0.76, Sir, and what we are given last time your guidance is 0.70. So, whatever the guidance we are given it for March it is 0.70. We are already achieved at 0.76. So, definitely the same tempo will continue in the future also, Sir.

■ Mr. Deepak – Participant:

■ Well, I mean, is there any thought process to target at least 1% ROA next year?

■ Mr. K. Satyanarayana Raju – Executiv e Director, Canara Bank:

■ So, that's what I'm telling, quarter on quarter there will be a steady growth. We may aim for the 1%. We may come five basis points here and there.

■ Mr. Deepak – Participant:

■ Yeah, that's fair enough. I mean, see, even we are tar geting maybe 90 -100 basis points kind of a ROA…

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ No, because next year so whatever the budget, Sir, this to be discussed in the Board and then we will come out with the guidance to the public bu t generally with the same tempo what we are showing for the last four or five quarters, I'm sure that we will be nearer to the 1% with the five basis points here and there.

■ Mr. Deepak – Participant:

■ Alr

ight, fair enough. And in terms of PCR, just a foll ow up on that. So, 90% -95% is the level that we want to achieve even at this level or 85% is optimum PCR level that you'll like to maintain?

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ No, Sir, if 85% is optimum then we wouldn't have sh owed 86.3% know. We already shown that PCR is 86.3%.

■ Mr. Deepak – Participant:

■ Correct.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ So, we are aiming that every quarter let us show some 1% additional comfort in the form of additional PCR. We are trying to do that.

■ Mr. Deepak – Participant:

■ I understood. I understood. Fair enough. Okay, yup, that's it from my side, Sir. All the very best. Thank you.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ Thank you very much, Deepak ji.

■ Moderator:

■ Thank you. Mr. Jay Mundra, you can unmute yourself and go ahead with the question.

■ Mr. Jay Mundra – Participant:
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■ Hi. Good evening, Sir, and thanks for the opportunity.

■ Mr. Debashish Mukherjee – Executive Director, Canara Bank:

■ Good evening, Mundra ji.

■ Mr. Jay Mundra – Participant:

■ Yeah, Sir. My question is on incremental margins, right. So, if I look at 444 schemes and there the bank is giving a deposit rate, very lucrative deposit rate, of 7.1%+, right, and our current NIMs a re 3% almost. So, this 7.1% deposit scheme, this is clearly NIMs dilutive, right, or you have some loan products which are yielding you more than 10%. So, I wanted…

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ Yes, Sir., see, always your credit portfolio will be a combination of those things, Sir. Whatever the pricing we have shown to the people or whatever it is, it is a ranging from various risk categories ; moderate risk and all. So, moderate risk people may be paying a higher rate of in terest. That's the reason you look at that even last quarter, entire quarter, we have offered 7.5%. 7% plus 0.5% for senior citizens on 666 deposit. That has been launched on October 6th. Throughout the quarter we paid that 7.5% on the deposits. We have al most more than 1 lakh crores we garnered in that scheme but even then we could manage. The cost of deposit, it has increased from 4.09 to 4.19, whereas yield on advances, you look at that, we have increased almost 20 basis points. So, with that comfort we are sure that we can manage this whatever…We have shown that 3% margin can be easily manageable and let me correct to you that our deposit is 400 days and based on our comfort only we are offering those periods.

■ Mr. Debashish Mukherjee – Executive Direct or, Canara Bank:

■ And it is basically a weighted average cost, you know. It is not that the whole portfolio of deposit will consist of these 400 days deposits. So, it is better depicted in cost of deposits and yield on advances. So, there I think we will b e able to get better NIMs.

■ Mr. Jay Mundra – Participant:

■ So, I agree, Sir, that this is on weighted, average one should see but I was asking from incremental perspective. Of course, there are a lot of tailwinds, right. You have had EBLR portfolio has be en reprised by 225 basis points give or take, right, and hence we have had NIMs which are 3% multi quarters, multi years high but if on incremental yields are such that, you know, if this deposit schemes of 400 days is actually NIMs dilutive on an incremen tal basis then NIMs will come off arithmetically. Right? So, I wanted to check…Yeah.

■ Mr. Debashish Mukherjee – Executive Director, Canara Bank:
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■ Sir, we will do some course correction and balancing, of course. It is not that once we have introduced a sch eme it will continue for a long time. If the interest rate scenario changes drastically, which we don't foresee right now, then of course we also have to do some corrections in the liability spa

ce so far as the rates are concerned. So, as on today we've th ought that this is the optimal balancing what we are having today NIM of around 3%. As on today, we expect that to continue. That is what we want to say.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ And another, Mundra ji, this offering of special deposits is not an unlimited period, Sir. These schemes always will be a limited period to the extent of our appetite. Whenever we feel that our appetite is completed we will withdraw that schemes.

■ Mr. Jay Mundra – Participant:

■ No, of course, Sir. What I wanted to check is, is there any product on the landing side, which is yielding you, let's say, 10%? You know, is the pricing cover…

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ See, many such products will be there, Sir. Man y such products will be there. We have a Canara Budget Scheme that will attract…it's 11.5%. There is almost 19,000 crores portfolio. Like that several schemes are there. We have ample schemes. Bucket wise if you compare, it is easily manageable. That's not a big issue.

■ Mr. Jay Mundra – Participant:

■ Okay. And, Sir, on your Gold loan if you can bifurcate of your 1 lakh crore plus gold loan, how much is Agri backed and how much is retail gold? And if you have a specific strategy to sort of grow the retail gold loan book?

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ No, as on date our 95% -96% is agriculture only, Sir, in the gold loan because our major gold loan contribution has come from South India where our branches are located mostly in the rural and semiurban branches but that retail products also is there. There the traction is there but we look at keeping on our commercials. In Retail, we may not able to offer the competitive rate so but Retail there is a product, there is a traction but the portfolio is around 5000 crores.

■ Mr. Jay Mundra – Participant:

■ Understood. And, Sir, if I were to see your PSL income, right, so usually it will have some seasonality around it. Third quarter, I think, the PSL income is very, very minuscule at a round 70 crores. The

fourth quarter, I mean, how has been the seasonality. Should it be like similar to three quarter or third quarter or it can rise substantially or it will only rise going into next financial year; first quarter, second quarter?

■ Mr. De bashish Mukherjee – Executive Director, Canara Bank:

■ Normally, fourth quarter would also, we are expecting it to be equally muted and it all depends on the other banks appetite, you know. It's a marketplace, we are ready with surplus PSLCs to issue but we don't foresee much of a traction in that in the fourth quarter.

■ Mr. Jay Mundra – Participant:

■ And lastly, 2 questions, Sir. One is, what would be your NPA recovery expectations in fourth quarter because there are a lot of assets which are nearing resol ution? You know, some of them are large, some of them are medium size, so what would be your best guess for recovery including NCLT and everything in fourth quarter?

■ Mr. Debashish Mukherjee – Executive Director, Canara Bank:

■ Sir, we would keep it like t his that on a quarter -to-quarter basis our recoveries have been or reduction has been more than our slippages. That trend will continue, Sir. With regard to the specific numbers, it is premature, yes, you are right. In many such bigger cases we are nearing the resolution stage but unless the money comes, you know, we have seen this happening in previous quarters also that money was supposed to come, it didn't come and so there was a spillover. So, we want to keep it like that, Sir, in this interaction that, yes, we will maintain that trend of more recovery than the slippages.

■ Mr. Jay Mundra – Participant:

■ Further and last two clarifications, Sir.

■ Moderator:

■ Okay.

■ Mr. Jay Mundra – Participant:

■ Yeah. One is, our capital number that is shown that includ es the interim nine months PAT, right? That is first clarification.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

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■ Yes, Sir.

■ Mr. Debashish Mukherjee – Executive Director, Canara Bank:

■ Yes, yes, yes, that is there. That is a part of that.

■ Mr. Jay Mundra – Participant:

■ But the interim PAT is included, right? That is…

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ Yes, Sir.

■ Mr. Jay Mundra – Participant:

■ Sure. And second clarification, Sir, I just missed that 15000 crores of Oil and Petroleum disbursements in this quarter, they are there in Overseas Book or…? Because Overseas Book…
■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ Overseas Book, Sir.

■ Mr. Debashish Mukherjee – Executive Director, Canara Bank:

■ These are in Overseas Book.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ Overseas. Overseas Book

■ Mr. Jay Mundra – Participant:

■ Because, Sir, that quantum is not that QoQ increase , if I see, not to that extent, right? So…

■ Mr. K. Satyana rayana Raju – Executive Director, Canara Bank:

■ No, it is there, Sir. From 33000 to it has increased to 50000. Out of that 15000 is from Oil companies in the overseas.

■ Mr. Jay Mundra – Participant:

■ Okay. Great, Sir. Thank you very much and all the very best.
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■ Moderator:

■ Thank you. Mr. Anand, you can unmute yourself and go ahead with the question.

■ Mr. Anand – Participant:

■ Thank you, Sir, for the opportunity. So, first and foremost, your OpEx seems to be far, far lower, is it that basically you are und ercutting on the OpEx front not adding as much of franchise or people on the ground? Because in the current scenario you will need a lot of deposits. Basically, you're trying to mobilize deposits largely through offering higher rates rather than, you know, expanding branches as much as you need to? Any comment for that?

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ So, regarding the Operating Expenses your question is. So, Operating Expenses, we are the one bank among these amalgamated ban ks has best used their synergy benefit. You can look at, you can compare among all these 5 -6 banks which are subjected for the amalgamation. We are able to maintain that Operating Expenses very controllable; under control. The reason behind that is we are using our resources very optimally and while closing down the outlets or while redeploying our units, we are looking at only the area where it is a potential and wherever certain leakages were there that we could plug in very well. That is the reason, one, our Operating Expenses are very efficient. Especially when there is an amalgamation, we got an opportunity to renegotiate with all our 10000 landlords; 10000 plus…14000 ATM landlords on the rental values. There we could save a lot of money due to Corona o r whatever it is, their competition is there in the market. Almost every year we are saving near to 160 crores what we are paying. We have saved money. So, if you look at the 10 years, next 10 years, it works for around more than 2000 crores. The same thin g, when our volumes became a double we could renegotiate with all our vendors in the technology and we have saved in one year almost more than 500 crores. It is not that we are compromising with our network or anything. Even now you can compare that our br anch network is much, much bigger than all our peer banks. We are not too keen on closing all the branches wherever it is unremunerative and all. We have a responsibility towards rural and semiurban, we will continue those branches but at the same time enh ancement when you go for the instead of going for an ATM we are looking at with the same transaction, same type of services we can extend through BC point. We are focus

ing more on
extending the BC point. That you can easily make out that September our BC p oints are 8900 and now we are already…Actually, now recently we have crossed almost 14000. We have recruited almost 6000 BCs in this last one or two months. So, we want to expand our outlets, we want to expand our services but at a better, minimal Operatin g Expenses. That is the reason it is showing that our OpEx is under control.

■ Mr. Anand – Participant:

■ Hope so. But then basically, Sir, if you look at their CASAs ratios, even during the best of the times, were not as good as one would have expected it to be after the amalgamation and now you are
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facing a lot of challenges on the deposits front and that's the reason the kind of scheme that you're offering could hurt your margins going forward.

■ Mr. Debashish Mukherjee – Executive Director, Canara Bank:

■ No. Here, Sir, let me come in. Our OpEx expenditure what you are saying, Operating Expenditure, it is not that we are, you know, reducing our expenditure for garnering of deposits. No. Our branch network is there. We are having, you know, enhanced BC netw ork. From there we can garner CASA. So, it is not our intention to do Wholesale Banking from the liabilities side. No. We still intend to go deeper and, you know, from our own customer as well as bringing in fresh customers we want to increase our CASA. So , that will be our endeavor for the coming quarters as well.

■ Mr. S K Majumdar – CFO, Canara Bank:

■ That is the reason we are investing heavily on the technology, Sir, to garner this CASA. We know that our CASA is low historically but we want to correct t hat and you will see in the next coming quarters that clear change in that CASA, Sir. That's why we are coming out with the heavily investing on the technology to attract more younger generation as well as various sectors.

■ Mr. Anand – Participant:

■ Sir, secondly on the ECL provision norms which have just come up, any impact that you can talk about that you've calculated? Because I believe that parallelly you also submitted your accounts based on IFRS to RBI, so at least there you would have some…

■ Mr. Deb ashish Mukherjee – Executive Director, Canara Bank:

■ That is just an exercise which we do because RBI, as you all know, have not yet come out with any guidelines with regard to IndAS for the banks. So, that is an exercise which we will continue to do. No impact so far as our bank is concerned because we are not following IndAS . So, I want to keep it at that only.

■ Mr. Anand – Participant:

■ So, but if you have to then any rough estimate that you have made?

■ Mr. K. Satyanarayana Raju – Executive Director, C anara Bank:

■ No, one thing we can say that the gap, the capital gap that will arise, we are at par with all our peers. In fact, we may be a bit better off. This much only we can say that from the capital point of view the extra provisions that goes into th at what the gap that exists we are no less. This much we can say at this point.

■ Mr. Debashish Mukherjee – Executive Director, Canara Bank:

■ We're not more than that.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ We're not more than that . We are at par with all our peers.

■ Mr. Anand – Participant:

■ Sure, Sir. Thanks. Thanks a lot.

■ Moderator:

■ Thank you. Mr. Pranav, you can unmute yourself and go ahead with your question.

■ Mr. Pranav – Participant:

■ Hi, Sir. Congratulations on the great set of numbers. Sir, I have just one question. So, you took a number of price hikes in loans and also hikes in deposit rates, I just wanted to understand that what percent of book has been , in loan book, has actually out of price hike how much of it is ye t to come time weighted? So, for example, say you have taken 35 basis point hikes then how much of the book is still remaining because of the time difference because s

ome of the loans will get reset on say X number of days? And how much…same thing for depo sit rate? So, basically, incremental spread on existing rates weighted average, what is that? So, is it above current NIM or below our current NIM. Thanks a lot.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ It is related to the REPO rate linked rates. We already clarified to the people that our 38% of portfolio is RLR linked. There it isn't already affected. The remaining 49% of MCLR is one month, three months, six months and 1 -year MCLR, that is the resetting dates. We have started growin g these things for the last two…October is there, August something is there and now December we have affected in the January. So, January whatever we affected that you would get where our majority of the…even 80% of our loans are one year resetting loans. So, because in those one -year resetting loans you will get benefit only after up to the December whatever it has happened only that you are entitled for recovery till the one year is over. So, that will have an impact on that as and when it has come for th e resetting. So, I don't think it will have an impact on our NIM at any cost because you look at the market. Even now, today, our MCLR is less than all the big peer banks.

■ Mr. Pranav – Participant:

■ Right, Sir.

■ Mr. K. Satyanarayana Raju – Executive Dir ector, Canara Bank:

■ We are not passed on whatever exactly other banks are passing on to the borrowers.

■ Mr. Pranav – Participant:

■ Right, Sir. And on the deposit side you have taken whatever hikes you have given? Are they completely in the base or still there will be some increase in deposit rates going forward? Like I am saying about the existing rates.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ As it is, the rate of interest and deposit defiance is depending on our liquidity comfort , Sir. As on date we are comfortable to match what we projected in the credit growth. So, I don't foresee any big change in that deposit rates; near future.

■ Mr. Pranav – Participant:

■ Sir, I'm not asking about new hikes. So, suppose if REPO gets above so me certain level you will get

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ See, look at that, Sir, look at that scheme. When you are given our we have a term deposits of 6.5 lakh crore. So, the scheme what we introduced is we got it aroun d 80000 -90000. That means remaining are with the normal rate.

■ Mr. Pranav – Participant:

■ Right.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ It is not that we have offered a special scheme and all deposits will convert into that special scheme.

■ Mr. Pranav – Participant:

■ No-no-no, I'm not saying that. I'm saying that is three months of rate hikes of deposits is in interest expense of this month? That's it. I'm not saying anything other than that.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ So, last quarter when we have enhanced it from October 6th onwards, that mean entire quarter has been already passed on.

■ Mr. Pranav – Participant:

■ Perfect, perfect. So, that means that in the short term, that is Q4 and Q1, if eve rything remains same then our NIM is in the same narrow range. Is that right?

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ We are confident, Sir,

■ Mr. Pranav – Participant:

■ Super -super. Thanks a lot, Sir.

■ Moderator:

■ Thank you. Sir, we have one question from the chat box. Sir, Q on Q jump in interest income was quite high at 11%, is there any one off?

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ No, Madam.

■ Moderator:

■ Okay. And, Sir, any plans in capital raising?

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ No. Actually, as it is, we are already growing qua

rter on quarter. Our 7300 CRAR is improving
comfortably. We are comfortably above16%. Still, our Board has approved during the first quarter

that's almost 9000 crores. Out of that we have already raised 6000 crores. There is a gap of 3000 crores. Depending on our cost and the requirement only we will look into that at the appropriate time whether to go for the 3000 crores or not.

■ Moderator:

■ Okay, thank you. Sir, we'll take that as the last question. Participants, thank you for participating in the conference call and thank you. Sir, I'll hand over the management for the closing remarks. Over to you, Sir.

■ Mr. K. Satyanarayana Raju – Executive D irector, Canara Bank:

■ Thank you. Thank you so much all the analysts who have participated and taken so much pain to participate in this, Sir. We can assure you from the top management that whatever the performance we are showing consistently for the last several quarters, it will continue in the future also with much more aggression in the technology side. We are actually thinking of focusing more on reconnecting the customers through a better technology. We can assure you that this performance will contin ue.

■ Moderator:

■ Thank you so much, Sir.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Bank:

■ Thank you once again, Sir.

■ Moderator:

■ With this, I shall now end the meeting. Thank you.

■ Mr. K. Satyanarayana Raju – Executive Director, Canara Ban k:

■ Thank you.

(END OF TRANSCRIPT)

Call: May 2023

■■■■■■ ■■■■■ Secretarial Department
■■■■■■ ■■■■■■■■■■ Head Off ice F +91 80 22248831
112, ■■ ■■ ■■■, ■■■■■■■■■ - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.canarabank.com Ref :: SD: 111/112 /11/12::20 23-24 12.05.2023
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
MUMBAI - 400 001

Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
EXCHANGE PLAZA
Bandra -Kurla Complex, Bandra [E]
MUMBAI - 400 051
Scrip Code: CANBK

Dear Sir/Madam,

Sub: Q4 FY 2022 -23 Earnings conference call with Analysts / Investors - Transcript

Ref : 1. Our Letter SD:59/60/11/12::2023 -24 dated 26.04.2023 &
2. Our Letter SD:71/72 /11/12::202 3-24 dated 04.05.2023

With reference to above and pursuant to the applicable provisions of SEBI (LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings conference call Q4 FY2022 -23 held on 08.05.2023 .

The transcri pt of Q 4 FY2022 -23 Earnings conference call is uploaded on Bank's website and the same can be accessed through below link:

https://canarabank.com/User_page.aspx?othlink=383

This is for y our information and records.

Yours faithfully,

SANTOSH KUMAR BARIK
COMPANY SECRETARY

EARNINGS CONFERENCE CALL
TRANSCRIPT
Monday, May 08 , 2023

Management:

Mr. K Satyanarayana Raju
MD & CEO , Canara Bank

Mr. Debashish Mukherjee
Executive Director, Canara Bank

Mr. Brij Mohan Sharma
Executive Director, Canara Bank

Mr. Ashok Chandra
Executive Director, Canara Bank

Mr. Hardeep Singh Ahluwalia
Executive Director, Canara Bank

- Moderator:
- Good evening everyone. We welcome you all to 4Q FY23 earnings web c all of Canara Bank. Thank you, Sir for giving us this opportunity to host the call. Today, we have with us; Mr. K. Satyanarayana Raju, MD & CEO. Mr. Debasish Mukherjee, Executive Director. Mr. Ashok Chandra, Executive Director. Mr. Hardeep Singh Ahluw alia, Executive Director along with senior members of the team . Without further ado , I hand over the call to MD Sir for his opening remarks post which we can open the floor for Q &A.
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Good evening to all o f you. Good evening to all our well -wishers who are attended this interaction session Sir. I wish to present a few highlights of that our Canara Bank's performance for the financial year 22 -23 to all of you. I know that you might have gone through the p resentation already, but I would like to share some of the few highlights once again. Our global business has stood at 20.41 lakh crore with a growth rate of 11.72%. Our gross advances - global advances have grown at 16.41% and stood at 8.62 lakh crore. Our domestic advances also has grown more than 15.01%. Our RAM credit has grown at 13.23 and stood at 4.77 lakh crore. With this improvement in the business has resulted to an excellent growth in the operating profit. This current quarter also we have recorded a YoY record growth rate of 16.94% and an operating profit of 7,252 crores. The year -on-year if you look at that the sequentially for the whole financial year, our operating profit growth has increased from 23,090 to 27,715 crores with a growth r ate of more than 20%. This resulted us in a quarterly growth - year -on-year growth of 90.63% in our net profit and that we stood at the net profit of this quarter, March quarter 3,175.
- Here I would like to share with you that the first time Canara Bank in the history

of its Canara Bank it
has crossed the five -digit figure for a financial year in the net profit. The whole financial year or net profit together has across 10,604 crores as against previous year of 5,600 odd. Our net interest - this net profi t or operating profit whatever the growth we have shown it was led by net interest income with a growth rate of 23.01% and the current quarter rate stood at the 8,617 crores. With these good numbers in the profit bottom line, our gross NPA has reduced con siderably to the extent of a 5.35% the present level is within the YoY decline of 216 basis points. Our net NPA also has considerably shown a declining trend with a 92 -basis points YoY decline and stood at 1.73% as against commitment of the Canara Bank at 2% and again we continued our strengthening the balance sheet, future ready balance sheet.
- This quarter also we have tried to provide as much as possible that has resulted to an improvement in our PCR at 87.31% with an YoY increase of 314 basis points. F urther to add this Sir, some more actually the key parameters I would like to share with you is our housing loan portfolio has thrust

area in our retail lending portfolio and that has grown at 14.27% and stood at 84,364 crores. Our gold loan portfolio is continuing our trend whatever the last two or three years we are showing the
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growth rate and this year also we could record the same growth rate and the growth rate is around 33.82% YoY and stood and that portfolio is 1,23,185. Our retail credit has shown a growth rate with the support of housing loan with the double -digit growth at 10.91% and overall outstanding balance stood at 1,40,000 crores. With all these things, I would like to share that the board has recommended for a dividend of 120% of the tota l paid up capital as against the 65%, which we announced the last year. For every Rs. 10 share price, now we are recommended for a dividend of Rs. 12 as against earlier last year recommended amount of Rs. 6.5.

- With all these initiatives and our return on equity has stood at 19.49% of one of the among the public sector banks one of the best figures we can show to the - we can reflect in this balance sheet with a jump of almost 667 basis points. Our CRAR is 16.68%. We are continuing above the 16% though that we have shown the credit growth rate at more than 16.4% still we are able to show the credit CRAR at above 16% because of our internal accruals. Our return on assets also we have achieved at 0.95% year -on-year with a basis points of 38 basis points improvement. Our cost to income ratio, this is sequentially for whole financial year, we could maintain below 45%, the 44.79% with a 137 -basis points improvement. Our net interest margin, as we have promised to that - committed to the investment communit y or stakeholders that we will manage above the 2.9 as against 2 .9 the last two quarters we are reflecting our NIM of more than 3% and just concluded March quarter also, we could able to show that the 3.07% NIM with YoY improvements of 14 basis points. If you look at complete financial year, our NIM is now stood at 2.95 as against our guidance of 2.90 . These are all the few highlights Sir and now it's open for the Dias people and the investors and our well -wishers we are ready . My all the Whole -Time dire ctors , Executive Director, Mr. Mukherjee Sir, Mr. Brij Mohanji, Mr. Ashokji, Mr. Hardeepji along with me and our CFO and all our top management people , we are ready to take any of your clarifications and to clarify you, Sir. Over to you, Sir.
- Moderator:
- Can we open the floor for - Thank you , Sir for your brief opening remark. We will start with Q&A . Participants who wish to ask a question can kindly raise your hand. We have the first question from Mr. Gaurav Kochar. Please unmute yourself and ask your question.
- Mr. Gaurav Kochar -- Participant :
- Yeah, hi, good evening, Sir. Than

ks for taking my question . Sir, I have a few questions . Sir, firstly can you clarify what is this 720 -crore , which is there in the other provisions , what does this pertain to ?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Sir, this is the 720 -crore is just to strengthen the balance sheet for future ready . Whatever we feel that, that there is some stress in some area even if it is in the news or something to take care of t hat future shocks or any sudden things to strengthen their balance sheets these 720 crores have been additionally provided Sir.
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- Mr. Gaurav Kochar -- Participant :
- Okay, okay, and Sir
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Not the specifics, th ese are all additional cushion what we have in the balance sheet , Sir.
- Mr. Gaurav Kochar -- Participant :
- Great , great . So, Sir what would be the total quantum of these additional provisions today on the balance sheet other than PCR ?
- Mr. K. Satyanarayana R aju -- MD & CEO, Canara Bank:
- Actually , for against the mandatory requirements that are there, we have quite comfortable additional surplus is there Sir, that our PCR itself is reflecting that we are at now 87% . Every quarter we strongly committed that at least 100 basis points additional cushion has to be brought to this whatever the NP As are there and the same journey is continuing and this quarter also we have strengthened our PCR from 86 % to 87% , more than 87% that itself reflects the question whatever it is available in that system , Sir.
- Mr. Gaurav Kochar -- Participant :
- Right , one is PC R, if there is over and above PCR like you provided 720 crores just wanted to understand what is the total that you've already provided ?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- See you look at that Sir actually our absolute numbers in the gr oss NPA is around 46,000 , whereas when it comes for that net NPA , it is only a 14,349 that means that the remaining entire amount is under the provision available , so that much cushion is there , of course as per regulatory requirement we are supposed to provide certain amount , but we always go beyond that regulatory requirements and provide the additional provision . Ultimately , our aim is to see that our net NP A should com e below 1% at the earliest that's the moto we are moving on that .
- Mr. Gaurav Kochar -- Participant :

- Got it, got it . So, the next year credit cost at 120 bips is assuming the PCR to increase further and in net NPA going below 1% is that the way we should l ook at it?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
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- Actually , our efforts will continue further Sir, but we have given that commitment to the our - commitment to figures in the last PPT of the last page that we are committed for the 1.2% in the credit cost . Of course , we are little conservatively we are giving that but we are confident that we will be much better than that and even net NPA we are given a guidance that 1.2 , but we are definitely confident of 1% .
- Mr. Gaurav Kochar -- Participant :
- Got it, got it and Sir giving to margins currently your full year margin was 2.95 for fiscal year 23 , next year you're guiding for 3.05 , which is 10 basis point high , so just wanted to understand what will drive that expansion , will it be the MCLR linked l oans that will come up for repricing or will it be more of a big change towards the RAM book?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- See entire thing actually, initially also last 2 -3 years we are communicating to our stakeholders that our com position of RAM and corporate will continue at a 55% and 45%, 2% here and there depending on the opportunities available. Suppose if we have a bigger opportunity in the corporate, we grow 2% more in that or if we look at that higher rate RAM we diverted t o that RAM, but ultimately our composi

tion is that's the 45% -55% we may move to 43 -57 or something that's the range we may look at that for because keeping in the margins are intact. That's the focus on the margins. The second one what you are asking abo ut MCLR and all external benchmarking rates, our 49% of total asset book is under MCLR. This MCLR even now we have 40 % to 45% of the portfolio is still yet to be repriced because most of these MCL R linked accounts will be reset annual basis . So, that's t he better - comfort to the bank is having in our hands , the remaining 40% of the portfolio still had to be repriced that will be rep resented in the days to come whenever their respect to account loan account is completed one year and that gives the additio nal income .
- Mr. Gaurav Kochar -- Participant :
- Got it and Sir on the - same question on the liability side what percentage of your term deposits are already repriced and what percentage will come up replacing in the next 6 to 12 months ?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Actually, whatever the one -year period what we have taken that's entire thing repricing is going on and we are now repricing - we are able to reprice at a lower rate of interest. Whereas in the last second quarter, third qu arter, and fourth quarter especially second and third quarter what we have taken in the form of CD's are a bulk deposits. We have raised at little higher side, but that we are now because in the first quarter there is now much traction from other banks.
- We want to encourage that and we are able to encash it, we are repricing that in the downward trend, but at the same time our focus more on the CASA deposits this time. Under the interest rate regime of increasing last one year because of the high rate of interest regime, we along with the
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other industry players we also have suffered in the CASA front that has been little bit stagnant in the first 2 -3 quarters , but in the fourth quarter we have seen some traction . Some quarter -on-quarter in the CASA itself India grown 4.26% . We want to continue that trend - that trend we want to continue in this all the quarters of this current financial year , that will address a majority of my repricing whatever it is to be done .
- Mr. Gaurav Kochar -- Participant :
- Okay, understood . Just last question Sir.
- Moderator:
- Gaurav, can you please rejoin the queue?
- Mr. Gaurav Kochar -- Participant :
- Just last question ?
- Moderator:
- Okay, please go ahead .
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Tell me, Sir.
- Mr. Gaurav Koch ar -- Participant :
- Yeah , sure , thanks . Sir, the g rowth guidance for fiscal year 24 is around 10 ½% and if you look at the ROE of the bank is well ahead of 19% -20% , so in that context do you foresee any capital requirement or you think that the internal accrual will be enough to meet the growth targets in the near term ?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Sir, we have given a guidance of credit growth at 10.5% and the present CRAR in for the Canara Bank is 16.68%. I think we are one among th e top the highest CRAR banks among the peer banks in the public sector front. Comfortably, in a common equity we are comfortable in Tier 1 and Tier 2. This 16.68, we could achieve it for the last one year though the last year credit growth is more than 1 6%.
- Even if the regulatory introduce IndAS further accounting system on the loan loss provisioning is to

be required that time available is five years and every year we need actually the 8000 crores, we assessed our requirement that in the five years our t otal requirement is 42,000 crores. Out of these 42,000 crores, every year we are on approximately we need 8000 to 8500 crores and our net profit
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first time we have crossed 10,600 crores. I'm sure with even after announcing the dividend 20% of my net prof it my existing accruals itself i

s required to - enough to meet the additional requirement
whatever the regulator expects from us. If you even maintain at the double digit growth in the credit for the next two to three years, our CRAR without going into th e mark we can easily manage above 14%, but at the same time in the next board meeting again we are going to the board only to replenish of our 81 bonds are Tier 2 bonds which are maturing or which are at higher rate of interest when the market is in our fa vor. We don't mind doing that to that extent only we go to the board and get a permission in the next board meeting, but we are not in plans for any common equity in the next one or two years because we are comfortable in that .
- Mr. Gaurav Kochar -- Partic ipant :
- Sure . Sir, just to clarify you mentioned 8000 crore of provision required for IndAS, can you explain a bit within
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- No, Sir it is not ATS. This is not ATF . If so far , it has not been implemente d in India. See IndAS, that is the loan loss provisioning , credit loss provisioning . If at all even regulator comes for that - implements that we are very active on that . So, that book demands higher provisioning , that provisioning also we can meet from our internal accruals , but as it is we are so comfortable at 16.68 and it is the highest among the peers - public sector peer banks 16.68 and we don't require any additional capital at this moment .
- Mr. Gaurav Kochar -- Participant :
- Sure , Sir got it. Than ks, and all the very best .
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Thank you, Sir.
- Moderator:
- Thank you. Participants , please restrict your questions to two to three per participants . We will take the next question from Anand Dama . Please unmute yourself and ask your questions .
- Mr. Anand Dama – Participant:
- Thank you for the opportunity. Sir, first if you can just help with like you know the broad breakup of slippages because what we've observed is that for you basically slippages have come whereas other banks slippages have been on the higher side, so if you can just spell out what's the slippages during the current quarter and how it compares on last quarters and s imilarly for corporate and MSME?
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- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Sir, your question I understand that that is regarding the slippages Sir because your voice is breaking , but I understood that you asked about the slippages . I'll explain to you that slippages Sir. Just you look at that the sli ppages , our focus is very much on the slippages as well as on the recovery , both the fr onts. If you study that the last entire financial year had that quarter -on-quarter the slippages is coming down . The March 22 , our slippages were 4736 , it has come dow n to the December 22 the slippages were 3 ,210, but whereas now the current quarter March quarter our slippages are further down and now the current quarter was only 2,973 crores . As against that the cash recovery in the current quarter was the 4 ,349 as ag ainst that slippage of 2 ,973, our cash recovery itself is 4 ,349. There is 1400 crores more than what we allowed the slippages . Here I would like to share with you that Sir our SMA position if you look at that , our SMA position also has been drast ically has come down . Sir, last March 22 our SMA if you look at that 5 crore and above , 1.53% , which it has come down to the 0.76, even 50% almost it has come down . That's the way we are working on that in the both the fronts together to address this NPA position Sir, that's the reason actually we could reflect - we could brought down the gr oss NP As to the what the percentages we announced in the gr oss NP A and net NPA percentages that we could show that 5.35 and 1.73 .
- Mr. Anand Dama – Participant:
- Sir, my question was about the broad breakup of slippage

during the current quarter in terms of
Agri, corporate , MSME?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Broad?
- Mr. Anand Dama – Participant:
- Slippage.
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Slippage bifurcation you want, Sir?
- Mr. Anand Dama – Participant:
- Yes, yes.

- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
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- 2,973, actually there are no account has slipped from the corporate Sir. This entire 2 ,973 from the RAM sector , 1450 to 1500 crores is from the MSME sector , 980 to 1000 crores is from agriculture , approximately 500 crores is from retail .
- Mr. Anand Dama – Participant:
- Okay sure and Sir secondly you have a recovery from written -off amounts of almost about 2 ,000 crore s on the other income , what is a broad break of that where from this recovery has come?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- No recovery Sir in return of account is continuing whatever we are doing it in the regularly for every quarter , but this quarter , March quarter , we got a good amount because we got some recoveries from ILFS Group companies and some LCLT resolutions , otherwise in the small ticket size whatever we are able to do it for the continuously for last three four quarters and thi s quarter also has been yielded the good results . That's the reason we are able to show good results in the bottom line both in the operating profit and net profit , it has contributed to us almost 2 ,150 crores Sir.
- Mr. Anand Dama – Participant:
- Okay Sir. How much was from ILFS?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Sir, two accounts we got some resolutions , the amount is around 600 crores - 600 to 650 crores .
- Mr. Anand Dama – Participant:
- Any further resolution is expected Sir in first quart er?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Definitely Sir, that's the action is going on , but exactly we cannot say that this quarter or next quarter . We are expecting in this financial year also some resolutions on that through NCLT or whate ver the process is there .
- Moderator:
- Hi, Anand, can you please rejoin the queue? We will take the next question from Mr. As hok. Please unmute yourself and ask your questions .
- Mr. Ashok Ajmera – Participant:
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- Yeah , this is Ashok Ajmera . Good evening , Sir.
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Hello, Ajmera Sir.
- Mr. Ashok Ajmera – Participant:
- Hello Sir, all of you.
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Fine, fine, Sir. I'm happy to see you Sir.
- Mr. Ashok Ajmera – Participant:
- Sir, good to see you as the MD and CEO of such a large bank. Having said that, Sir compliments to you for the fantastic performance of the bank. As you yourself said going forward I mean you have already crossed 10,000 crores of the net profit, even in th is quarter also the performance is very good overall, even the profitability front also you see. I have a couple of questions and some observations Sir. On the treasury front because of the existing pressure we were there in last you know about six month s or eight months' time, even in this last quarter also the bank performed so well rather the treasury income and the profits have gone down. Now, when the things are little bit easing down you know the rates are coming, never taken a pause, where do you see a treasury contributing to our profitability in the coming quarters Sir, this is one and on the credit growth Sir, though the overall growth for the year has been put, but in the last quarter, again our growth was muted, in the domestic credit if you t ake is only 1.39% and you're given a very conservative target also of 10.3%, but going forward then how do you immediately start I think quarter, what is the development so far in one month, are we going to achieve this credit growth of about

3.45% or 4%
and from where it will come, whether the corporate also will contribute to it? O n the technology front also Sir, the bank is a very fairly placed , but we would like to know what else is going on the digital journey of the bank and what kind of budgets are allocated and end-to-end solution for the entire operations of the bank is there any plan and when those plans will be fulfilled Sir. So, these are the couple of questions and one on agri loan acquisition we have acquired the loan of 1 ,322 crore , what is the nature of this loan Sir, you have stated that most of it is AA, AAA , but what kind of agriculture where the security is nil as per the table given , these are the few questions and observations Sir.
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Sir, treasury related our ED Mukherjee Sir will answer you. First, I will answer the other questions whatever it is there on that. First, you have spoken about the credit growth what we have projected 10%, what we have recorded in the front of the March qu arter credit growth. Sir, March quarter also RAM actually even in absolute numbers, we have grown considerably the 15,000 crores in the
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RAM credit itself, but the corporate also we have grown 6,000 crores. Generally, when you look at in a year, it is a 2 5,000 crores absolute numbers, if you grow it, it reflects in the 3% -point growth in the quarter -on-quarter basis, but actually overseas you look at that our exposures were little higher in the oil companies, which we were lent earlier there to the extent of 15,000 crores to the Indian oil companies on a short -term basis. The domestic corporate credit still continued to grow that, the only thing that there are repayments in the overseas corporate of oil companies not in the any other companies, it's only i n the oil company these are all Indian government oil companies only, that the short -term people are there again they may avail in the June quarter, it's not that that they will not avail, it's a short -term purpose, we have met that requirement an d it has payment as countdown, but the domestic corporate credit there is a continuation of credit is there even an absolute numbers also there is almost 6000 crores is growth is there, but the where we gone little slow is to address the bottom line, the w hatever the stress on the margins; margins like NII.

- NII, we don't want to compromise on that because you are all very much aware that the last two previous two quarters we have resource mobilization we are depended more on the term deposits that gives us some pressure on our NIM to address that in the AAA rated the advances we have started repricing of certain loans that's where actually the growth used look at that it is little slow, but at the absolute numbers we were doing that the good growth, th ere are good sanctions on hand, we already have a more than 20,000 -22,000 crores of sanctions even now. Last in one month also we have considerable sanctions we have made, every quarter there is a board CSE is the sanctioning the new proposals to address that we don't want to keep anything beyond seven days. So, sanctions are there, disbursements are expected to happen in those sanctions and we look at that the credit growth in the corporate whatever we are seeing in the last two three quarters that will c ontinue in the domestic front, because the overseas front that whatever the 15,000 crores we have given it short -term loans that will be repayable, so partly it has been repaid in the March, partly now also it has been repaid, and to that extent only it lo oks that it is a little low, but it's nothing to do with that our domestic credit growth.
- RAM, we are given an emphasis on the RAM we want to grow much bigger in the RAM side because we want to improve our ratios little further in that. Last quarter you s ee that from 54% to 55% we have improved, this time again we want to improv

e from 55% to 56% or 57% depending on the
opportunities available where we see that the higher returns will be there and the lower risk will be there. That's where the actually the restudying of our portfolio, so it's nothing but that's the reason initially also we announced that. Our standard is 45% to 50%, but always keep a cushion of 2% growth anywhere whether it is in RAM or whether it's a corporate depending on that r espective quarter or the financial year depending on the availability of the opportunities. Our opportunity looks at that higher returns, Sir. We focus on quality at the same time higher returns; these two while keeping in that this is the actually the t hing, but otherwise literally there is no question. In June, we are expecting the quarter -on-quarter growth of 2.5% to 3% and we are confident of doing that. So, the 10.5% whatever we are given the guidance to the market that will be quite comfortably achievable, it's not an because whatever the trend we are maintaining 8% we are projected and we have achieved a double digit. This year also our tendency we continue only while growing that we are keeping margins in our mind. We are not compromising that margins, except that nothing - there is no change in our approach or anything.

- The second one that technology front what you asked is, we are taking last continuously this is the third year, we got our board approved budgetary allocation for even the capit al CapEx investment in the IT exclusively that's more than 1,200 crores. That 1,200 crores will continue every last three years we are investing in the IT more than 1,000 crores, though little bit it impacts on my operating expenses when I'm investing hea vily, but keeping in view technologically transforming so that I can reach the younger generation that's ultimately where the wealth is there, you cannot neglect that younger generation, we are coming out with so many new initiatives. On April first week itself, we have kept our house ready for with the transfers and all those things, we have announced several new products both in the technology as well as to attract the CASA also. You might have seen many advertisements also is coming, we are very aggres sive in meeting the people and all. We have come out with premium payroll package to attract the salaries of big corporates.
- Simultaneously , to make the corporates comfortable to deal with us, we have come out, we have launched API banking for the first t ime with the 50 more features - 50 plus features and we want to upgrade that features in this year with another 150 more features, so that this year we want to introduce the 200 features and no corporate need to come to the bank for operating it. That's t he one active we are considering it that, Sir. The cross -border transactions that are there to tap the NRIs and all, Bharat Bill Payment whatever IT is the first Indian public sector bank who has had a tie up with the Bharat Bill Payment in the from Oman country. So, those NRIs whoever is there they can make the all the payments directly by using that and the tendency will continue and we are directly working with the RBI, the research wing at the Bengaluru and we are in regular touch with that. Recently also we have launched form #15G15H, submission of that form #15G15H through our website through only Aadhaar OTP nothing else, no paper nothing is there, you need not visit

anything that has been first introduced by us only, that has been again another in itiative. The one more initiative is UPI whatever the credit card on UPI in public sector bank we are the first initial banker to come on that and our CBDC, the Central Bank Digital Currency, we already live Sir in that and they have permitted us in 13 ci ties. We are working on onboarding the both the customers as well the merchant establishments also, so we are working on that.
- Like that we are initiating many new initiativ

es, ultimately our aim is to meet the requirements of
the younger generation and t ech savvy people so that we want to make ultimately the branch banking in their mobile, so for any purposes they need not come and we are about to finalize our digital lending platform. I think it commences its operations from June month end and business analytics already it is very active. Among the EASE , we are the highest earning banker for business analytics. To strengthen further for big data analytics, we have taken a project, we are working on that big data analytics, and many more i nitiatives Sir here afterwards any technological initiative you will see the Canara Bank is a forefront - forerunner in that, that every initiative you will - we would love to see our Canara Bank in that.
- This is actually some initiatives Sir, so many are there because of time constraint I'm not explaining all those things, but we are moving in the right direction to attract the younger generation and I will request our Mukherjee Sir that to address your third question that's regarding the treasury and all .
- Mr. Debasish Mukherjee, Executive Director, Canara Bank:
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- So, thank you very much , Sir. Mr. Ajmera to respond to your question with regard to treasury how we are looking forward with regard to you know income and profits in the quarters to come , let me tell you that because of this change in yields you know yields going up and then coming down slightly , we have not been able to do well that much what we had expected in the previous quarter . Now , with the yields coming down , there is an opportunity because we have a very high HTM holding that has helped us , that has come in good stead during our previous quarters where which has increased our portfolio yields from 6.28% to 6.63% , which is one of the best among our peers so far as our HTM portfolio of this t hing is concerned – holding - yield is concerned . So, we want to capitalize on that because we have a high you know HTM holding . Now , that the yields are coming down , but they are not coming down to that extent where we can you know get so much of profit , but yes we will definitely try to leverage this situation of lowering of yields and try to maintain a profit which will not be extraordinarily high , but which will be there in this quarter at least , then we will see the market and then see how it hap pens .
- Mr. Ashok Ajmera – Participant:
- What is the duration for AFS ?
- Mr. Debasish Mukherjee, Executive Director, Canara Bank:
- Our treasury portfolio duration - average duration minimum duration is 4.26 out of that AFS duration is around 2, so that also you know its very much under control.
- Mr. Ashok Ajmera – Participant:
- My one question was on the agri loan acquisition Sir.
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Pardon?
- Mr. Ashok Ajmera – Participant:
- On agricultural loan acq uisition of 1,322 crores I just wanted what kind of loan book had been acquired by the bank during the quarter ?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- No, it's not that acquisition Sir, you might have seen that that the growth rate whatever it is there in that, there is no , it's a routine way of doing that agriculture banking whatever we are doing for the last - see the percentage of if you look at that previous December 22 , it was a 24% agriculture , now in that is 25% agriculture , but it is su pporting by the gold loan as well as for the regular self -help groups and food processing and all , where you have seen that acquisition actually ?
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- Mr. Ashok Ajmera – Participant:
- No, no, note #17 Sir, the accounts acquired note #17
- Moderator:
- Ajmera ji, please rejoin the queue as there are several participants in the queue Sir.
- Mr. Ashok Ajmera – Participant:
- Note #17
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- We'll come back to you Sir j

ust
- Mr. Ashok Ajmera – Participant:
- Acquisition of – under note #17
- Moderator:
- We will take the next question from Mayank Bulbulia. Please unmute yourself and go ahead with

your question .
- Mr. Mayank Bulbulia – Participant:
- Hi, Sir. Thanks for taking my question. My first question is related to like previo us participant has shared like ECL provisions could be 45,000 and it translates to 8,000 to 8500 crores, so 42,000 crores would be incremental ECL requirement on top of whatever we are holding right now one standard asset, is my understanding, right ?
- Mr. K . Satyanarayana Raju -- MD & CEO, Canara Bank:
- The question clarity is not there , Sir. Sir, can you repeat that question , Sir?
- Mr. Mayank Bulbulia – Participant:
- Yeah. So, ECL requirement is 42,000 crore that we are previous parti cipant and that's right?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
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- Expected Loss credit Loss provisioning - expected credit loss provisioning , right?
- Mr. Mayank Bulbulia – Participant:
- Yeah, yeah.
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- So, w hat is the question on that ?
- Mr. Mayank Bulbulia – Participant:
- Yeah , so that translate to almost 5% of loan book so that seems to be on a relatively higher side , so what is driving such like high requirement on ECL whether it's any particular segment or is it higher relatively SMA2 book?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- No, nothing Sir. It's overall - it's not that the entire thing is only expected credit loss provisioning. This assessment of 42,000 crores is for that entir e IndAS. Whatever that's various regulations because of that regulations what are the extra provisioning it is expected from the system, we are well prepared to face that, that's what actually our communication is because our internal accruals - our inter nal accruals are so strong that we need not go to the market for depending to meet that regulatory requirements that's actually the communication what we are communicating to you, always raising from the market is one source that is available to the Canara Bank, we can anytime we can raise without any hesitation and there is a so many customers - the investors are there to invest in this, but at this moment since our CRAR is already more than 16%, it is the highest among the peer banks. We don' t look at those to see anything that hurry that we have to go to the market for bringing that. Then again, I'm telling you it's not the expected credit loss only, it's the remaining the so many features it is total to the requirement is 42% as per that In dAS, that is for five years not in one year. The one -year requirement is only 20% of that, that comes around 8,000, but the quality of the credit that see it is not because there is a quality is less and all those things, you can look at that our risk wei ghted assets is the lowest among the peer banks. Our risk weighted assets are only a 65% whereas all the peer banks risk weighted assets are 74% and above. There is a gap of 9% cushion to the Canara Bank. What we told the other banks requirement will be much , much higher . Our bank requirement is we have quantified and we are well prepared to face that , that's what actually our communication .
- Mr. Mayank Bulbulia – Participant:
- Thanks for that .
- Moderator:
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- Mayank, please rejoin the queue back. We'll take the next question from Jay Mundra. Please unmute yourself and go ahead. Jay, please go ahead. Please unmute yourself and go ahead with your questions. As there is no response, we will take the next question from Mona Khetan. Please unmute yourself and go ahead with your question .
- Ms. Mona Khetan – Participant:
- Yeah , hi Sir, good evening . I have two questions .
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Good evening , Monaji.
- Ms. Mon

a Khetan – Participant:
- Yeah , hi. So, firstly the MCLR loan you mentioned that about 40 % to 45% is yet to be repriced . This is as a percentage of advances right , the 40 %-45% .
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Yes Madam, let me say that it's not that 40 % to 45% of total advances , but what is ac tually total portfolio for 8,62,000 crores , 49% is under the MCL R regime , that means 50% , let us say that 4,00,000 to 4,30,000 crores . Out of that 40% is still yet to be repriced , that means around 1,60,000 crores .
- Ms. Mona Khetan – Participant:
- Okay and this is likely to be repriced largely in H1 of next - this fiscal.
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- 100% - 100% Madam. It's actually the - generally all these loans the interest resetting will happen

annually . As and when it happens , the first quarter whatever last year happens , that will be repriced now . The second quarter , this second quarter , that's the way it moves on .
- Ms. Mona Khetan – Participant:
- Got it. My second question
- Moderat or:
- Mona, can you please rejoin the queue, ther e are several participants waiting in the queue?
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- Ms. Mona Khetan – Participant:
- Alright. Thank you .
- Moderator:
- We'll take the next question from Ankur Gupta . Please unmute yourself and go ahead with your question .
- Mr. Ankur Gupta – Participant:
- Good even ing, Sir. Sir, am I audible?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Good morning Ankurji. Yes Sir.
- Mr. Ankur Gupta – Participant:
- Sir, thanks for the opportunity. Sir, first of all congratulations for the great set of numbers.
- Mr. K. Satyan arayana Raju -- MD & CEO, Canara Bank:
- Thank you, Sir.
- Mr. Ankur Gupta – Participant:
- Sir, we have achieved all the parameters as guided for the FY23 except CASA. Sir, regarding CASA I would like to understand what is the reason behind such low CASA, beca use if we compare to our peer banks like SBI, BOB, PNB, all are having CASA of about approximately 45% and we are having CASA at around 33.47% , so just want to understand your view on CASA and Sir
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- I will split your question . I
- Mr. Ankur Gupta – Participant:
- Sir and one more Sir, further what are the steps we are taking to improve the same ?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
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- Definitely, Sir. I'll split this question into two parts . One is why the last year it was stagnated or it is a low, that's the last year is of course it's an industry level experience, when the higher interest regime is there and there is a competition in the market and every bank is for sourcing that resource s to meet their resources requirement when they are offering at 8% for the retail term deposits, it will be tempting for the everybody to keep the part of their savings into the term deposits that's the major impact, otherwise nothing that's the serious im pact on that. It's a bigger interest rate driven impact on the CASA for the last year muted growth, which we even we could not achieve the target what we have set for that, that's the industry level experience. Then, historically, this bank is 117 years old banks Sir, and this is a basically South -based bank.
- Even during the amalgamation, again one more South -based bank has been merged with this. These South -based banks historically it's an experience that they are since beginning 100 years togeth er that's their CASA ratio is very, very low. The reason maybe the tendency of majority of their exposure is in the South India, their more branches are located in South India where the actually the branch the CASA producing states are they're these banks presence is less comparatively that, that might be the one reason that, otherwise there is no other reason to say that why it is low. It is in all

the South -based in banks if you study it, you will realize it that the CASA is historically is low, but in Canara Bank, we were also in the last three years post -amalgamation we started our journey at 39%. Last year we went up to the 35% from 29%, but in the last is this previous year, but the last year you know that the market conditions, the rate of interest is in higher side and there is a rate war in the industry for grabbing the resources that has yielded every bank not the Canara Bank that their CASA has been to that extent dented . So, but otherwise there is no such special things. To address th ese, what we are taking the initiatives is we want to be very active in the first week of April itself.
- We kept our house ready, we have completed our process of internal promotions and transfers in the first week itself, and we made the people in their re spective positions especially in the key positions and within seven days and we launched on the 3rd of April, almost addressing the CASA only more than five initiatives. In that initiatives, the major thrust we have given it to the salaries account. The salaried accounts, the product we have brought it is the salary premium payment package that is the salary we product we brought it. In that first time we covered a term life insurance for the salaries based on their fitment into that whether it is a silv er product or a gold product or a diamond product and there are four products are there. Depending on that we cover their life coverage from 1 lakh crores to 6 lakh crores, that's the first time in India. No other bank has come forward and we are looking at the overwhelming response from all big corporates because we realized that this salary package has to be driven from employer not from the employee, so our target is on that and we are moving in the right direction, but the simultaneously when you want to

attract a higher quality corporates - big corporates, they need a technological front support to strengthen their requirements, same day we have launched API banking so that these corporates need not come to the branch for meeting their any of the day -to-day requirements of the banking needs .
- We have started our API banking with 50 plus features. We are upgrading it in every quarter with 50 odd new features on that. Then, again non -salaried class also we have come out with one more product as a s elect in the rural, semi -urban, and urban and metropolitan that will take care of the requirements of the non -salaried class and we kept in mind the super seniors where the 75 years

and above where we have a little courtesy towards them because these are a ll the loyal customers for the Canara Bank for a decades together . We want to give an additional incentive so that we need not make them to wait in the branch for their meeting their requirements in wherever the doorstep banking is available in 200 places , so around 200 towns it is available as on date and across all the banks through outsourcing model that whatever the 14 services are available for meeting their requirements .
- So far it is being paid by the customers , but here based on the average income a nd all , monthly three services we ourselves wants to absorb the expenses , that gives and a more comfort to those super seniors and we are also working for a two more new products for women centric as well as a professional student centric , which we will la unch it very soon and we also launched a current account product that is also going well and we are modifying it for the requirements of that and we have launched 1 single number for contact cell , our contact center i.e. 1030 . If you anybody can do that 1 030, they can get 35 services in 12 vernacular languages . These are all the initiatives of small - few initiatives we have taken Sir. We are taking much , much many more such initiatives to address this CASA.
- Mr. Ankur Gupta – Part

icipant:
- Thank you for t he detail ed answer , Sir. One last question Sir
- Moderator:
- Thank you Ankur, we will take next question .
- Mr. Ankur Gupta – Participant:
- Sir one last question , Sir.
- Moderator:
- We will take the next question from Jay Mundra. Please unmut e yourself and go ahead with your questions.
- Mr. Jay Mundra – Participant:
- Yeah , hi Sir, good afternoon .
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Hi, Jay.
- Mr. Jay Mundra – Participant:

- Yeah, hi Sir. Sir, you mentioned that on the loan repricing side 1.6 trillion worth of loans you know will come for repricing and hence we will have yield benefit , but if I look your term deposit side right , so on an absolute number the term deposit itself is some 8 lakh crores right , which will also reprice . So, how are you then expecting a margin increase for full year?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Sir, actually in term deposits they need not wait for one year to reprise their deposit . The depositors are at liberty to reprise their deposi t whenever there is a higher rate of interest , they can switch over to the higher rate of interest within just one day . so, most of that whatever the actually the one - year period w hatever the deposits what we have taken almost in more than 90% of deposits have been repriced and kept in that 666 scheme or 400 -day scheme or even 444 scheme whatever it is going on now . So, that repricing has been happened already Sir. Now , our the deposit side whatever we are looking at the replacing is on the bul k side we want to reduce that rate of interest because in the first quarter there is a less traction from other banks , we are trying to rep rice at a downward trend , but the customer side they rep ricing is more than 90% is already completed because there is no bar that they have to wait for completing that contract period .
- Mr. Jay Mundra – Participant:
- So, you are saying Sir cost of the deposits should fall for Cana ra Bank and that does not seem
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- I'm telli ng you Sir that will be maintained at the present level . I don't say that it will reduce , but that depends on how my CASA grows in the next three months . If my CASA grows as we expected if our efforts comes to the reality and we get a good results on tha t then definitely there will be a downward , but otherwise we look at that the cost of funds will be already we are we have incurred our interest expenses that will be more or less in the same level Sir.
- Mr. Jay Mundra – Participant:
- Sure, Sir and last Sir
- Moderator:

- Jay, can you please rejoin in the queue as there are several participants. We will take the next question from Sushil Choksi. Please unmute yourself and go ahead with your question.
- Mr. Sushil Choksi – Participant:
- Congratulations to Cana ra Bank team for their excellent performance and all the milestone achieved .
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- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Good evening, Choksi Sir.
- Mr. Sushil Choksi – Participant:
- Thank you, Sir. What is your outlook on treasury as margins the lendi ng rates have peaked, treasury is indicating the bond market is clearly indicating of piercing 7 and maybe 675 and some of the peer bank calls are indicated for the year end and second is the outlook on subsidiaries, what is the road map because you're tak ing a lot of initiatives what is go ing to be in the subsidiary ?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Sir, Choksi Sir, subsidiaries first I will address it, otherwise our Mukherjee Sir already of course he explained about th e treasury, but once again he will reiterate that what he has told. Regarding subsidiaries you look at that Sir, we have submitted our road map even for the regulator also and all our subsidiaries and associates they

are earning a good profits now. As on that, the value of these subsidiaries for us is around more than 12,500 crores. We have given a road map to all these associates and subsidiaries that this value should be at least a 100% growth that is to match with the 25,000 crores to improve from 12, 500 to 25,000 crores, the value of the Canara Bank value. It's not that the subsidiaries value, Canara Bank value to the extent of whatever their shareholding that has to be multiplied to the double that to the from 12,500 to 25,000. In addition to that, we also given a go ahead with Canara Robeco Asset Management Company and Canara -HSBC Life Insurance to initiate steps to go for the listing. These two will come for the listing. Generally, the expected timelines is around 15 months to 18 months. Once they complete all these formalities from the regulators, but from board level, from the Canara Bank level we already has given a go ahead with these two companies for listing of those things as a stakeholders also we have taken other stakeho lders into confidence when we communicate to this respective boards and the Can Fin Homes , MD has reported .
- He has taken a full control of that and the results have come down declared already and that also has shown a 621 crores profit and I'm sure that wi th the present current MD is an experienced guy and this Can Fin Homes also will do extremely well . The remaining the computer – Canara Bank Computer Services , we want to strengthen it . There is a scope for that further strengthening and Canbank Venture Capital , we are strengthening that also because there is a lot of scope and tractions in that and the only thing that the Cana ra-Tanzania Limited , we may likely to go for the closure of that. We are already on the process , its valuation is going on that , just for the namesake we don't want to have any subsidiaries . It should give some value to the bank . So, that's why Can Fin; the Canara Bank Financial Services and Canbank ; the Canara Bank Financial Services is already defunct , this is because some li tigation's are there . Once that litigations have been addressed that company also will be closed Sir. These are all the actually our road map in short -term and long -term.
- Mr. Sushil Choksi – Participant:
22
- Congratulations
- Mr. K. Satyanarayana Raju -- MD & CE O, Canara Bank:
- And now I request
- Mr. Sushil Choksi – Participant:
- Congratulations at Can Fin Homes .
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Yes Sir, yes Sir. Thank you so much and now your treasury -related question , our Mukherjee Sir w ill address you .
- Mr. Debasish Mukherjee, Executive Director, Canara Bank:
- Thank you, Sir. good evening , Mr. Choksi . You see your question was with regard to what will happen to our treasury income in the coming quarter .
- Mr. Sushil Choksi – Participant:
- That's right.
- Mr. Debasish Mukherjee, Executive Director, Canara Bank:
- As I've told the previous person that, now the yields are coming down, but very slightly. So, we have actively built up our HTM book during the previous regime when the yields were movi ng up, so now we want to capitalize that and we want to you know use that and convert it into AFS and then you know go to the market for you know earning profits. It won't be a very spectacular profit, but we will continue that trajectory of profit making in this quarter also. After that, it depends on the market situation, we will see, and then we will evaluate, and see how it pans out, and then we will move. profitability will be there , but at a lower p ace.
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- I want to clarify to you under even that last two quarters toughness among peer banks we are the

better performer. So , that will continue .
- Mr. Sushil Choksi – Participant:
- Sir, congratulations to you and Mr. Mahesh Pai for

doing exce llent work.
23
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Thank you, Sir.
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Thank you. Thank you, Sir.
- Moderator:
- Participant s, due to time constraints we will t ake that as a last question . I will now hand over the call to Sohail Halai .
- Mr. Sohail:
- Yeah , good evening . Thanks everyone for joining in.
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Good evening Sohailji.
- Mr. Sohail:
- How are you, Sir?
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- Fine, fine, fine .
- Mr. Sohail:
- Sir, due to time constraints we'll end this call now here and probably if you have any closing remarks kindly share with us and Sir congratulations for a grea t set of numbers and best of luck .
- Mr. K. Satyanarayana Raju -- MD & CEO, Canara Bank:
- So, I request all the participants if still any questions are there , they can send to our MD , Secretariat mail that will be addressed immediately Sir, so that your questions can be addressed immediately . Thank you , Sir. Thank you so much .
- Mr. Sohail:
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- Thank you, Sir and with this we end the call of Cana ra Bank 4QFY23 earnings . Thanks a lot everyone for joining us . Thank you, Sir a lot .
-
End of Transcript

Call: Jul 2023

[redacted] Secret arial Department
[redacted] Head Office F +91 80 22248831
112, [redacted], [redacted] - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.canarabank.com

Ref:: SD:230/231/11/12::2023 -24 28.07.202 3
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
MUMBAI - 400 001

Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
EXCHANGE PLAZA
Bandra -Kurla Complex, Bandra [E]
MUMBAI - 400 051
Scrip Code: CANBK

Dear Sir /Madam ,

Sub: Q1 FY 2023 -24 Earnings conference call with Analysts / Investors – Transcript

Ref: 1. Our letter Ref: SD:197/198/11/12::2023 -24 dated 14.07.2023
2. Our letter Ref: SD:189/190/11/12::2023 -24 dated 13.07.2023

With reference to above and pursuant to the applicable provisions of SEBI (LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings conference call Q1 FY 2023 -24 held on 24.07.2023.

The transcript of Q1 FY 2023 -24 Earnings conference call is uploaded on Bank's website and the same can be accessed through below link:

https://canarabank.com/User_page.aspx?othlink =383

This is for your information and records.

Yours faithfully,

SANTOSH KUMAR BARIK
COMPANY SECRETARY

[redacted] Secret arial Department
[redacted] Head Office F +91 80 22248831
112, [redacted], [redacted] - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.canarabank.com

Q1 FY24 Earnings Conference Call/Analyst Meet
Monday, 24th July 2023

■ Mr. S .K. Majumdar – CFO, Canara Bank :
■ I, S.K. Majumdar – CFO, Canara Bank, heartly welcome all our investors and analysts for this call. Today we have here with us our MD & CEO – Shri. Satyanarayana Raju ji, Shri. Debashish Mukherjee, Shri. Ashok Chandra and ED – Shri. Hardeep Singh Ahluwalia. All three EDs a re present. And, we also have with us the members of the senior management. How do you like to do? Raju sir… would you like Mr. Raju to give a brief presentation and then start, or straightaway you want to start?
■ Speaker – Antique Stock Broking Ltd:
■ So, good afternoon everyone. On behalf of Antique Stock Broking, we welcome you all. We have on the Canara Bank management team Mr. K. Satyanarayana Raju – MD & CEO, Mr. Debashish Mukherjee – Executive Director, Mr. Ashok Chandra – Executive Director, Mr. Hardeep Singh Ahluwalia – Executive Director, along with senior members of the team. Thank you sir for giving us this opportunity to host the call. Without further delay , I hand over the call to MD sir for his opening remarks, post which, we can open the f loor for any queries. Thank you and over to you sir.
■ (no audio)
■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :
■ So, good evening to all of you, all the well -wishers, investors and analysts. For the current year quarter June, Canara Bank's global busine ss has grown year on year at 9.38% and stood at 20.80 lakh crores. Our Gross Advances have shown a 13.27% growth year on year, and stood at 8.87 lakh crore. We have recorded our highest Operating Profit and Net Profit with a profit year on year growth rate of 15.11%. The

Operating Profit stood at 7,604 crores, and our Net Profit stood at 3,535 crores with a year on year growth rate of 74.83%. This high Operating Profit and Net Profit is possible with our Net Interest Income growth of 27.72% year on year, an d stood at 8,666. Our RAM credit grew at 12.89% year on year. It is in line with our Total Advances growth so that we could maintain our corporate and RAM percentage of 45% and 55%. Our Gross NPA has come down to 5.15% with a year on year decline of 183 bps. Our Net NPA has come down to 1.57% with a year on year decline of 91 bps. These two things we could achieve with our PCR crossed 88%. This is an improvement of more than 350 bps. Our RAM sector growth, led by… our gold loan has improved… it almost recor ded a 30% year on year growth and stood at 1,29,800 crores. Our Retail Credit has grown at 10.64% and within this Retail Credit, our housing loan is the major component which has grown at year on year 13.64% and stood at 85,884. Our Return on Equity has no w reached 22.95% with a year on year improvement of 662 bps. Our Cost to Income ratio has gone down to the bottom. It is almost best so far in the last several years, that our Cost to Income has reached 43.61% with a year on year improvement of 115 bps. Ou r Return on Asset almost reached 1% and stood at 0.99%

with a year on year improvement of 34 bps. Our CRAR is maintained continuously above 16%, whereas our peer banks are at 14 -15%. Our Net Interest Margin (NIM)… last year the cumulative NIM is 2.95. As a gainst that, our NIM in the current quarter, we could maintain at 3.05%.
■ And, these are all the few features what we could share with you. Now the dais is open to you for interacting. I have along with me, our Executive Directors Shri. Debashish Mukherjee sir, Ashok Chandra and Hardeep Ahluwalia. Now the dais is open for interaction. We are open for answering any of your queries or clarifications.
■ Moderator:
■ Okay. So, we have our first question from Mona Khaitan. Please go ahead.
■ Ms. Mona Khaitan:
■ Hi sir, good evening. Thank you for taking my question. I just have two questions sir. I just wanted some more clarity on the gold book which stands at about 1.3 lakh crore today. How much of this would be agri v/s non -agri? What would be the yields here? And, if you could just give some colour on what sort of branch network is also enabled for gold lending v/s couple of years back? Thank you.

■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :
■ Actually, in the gold loan portfolio, our average yield is around 8.80. In addition to that… I'm speaking about the interest yield. Total out of this, majority of this is from agriculture lending. The reason is, our composition of the branches is such that 60% is in rural and semi -urban. In the urban and metropolitan our gold loan composition is comparatively less. There, we are getting on an average, around 7,000 under retail and 4,000 -5,000 under MSME. These two are there. If you remove that, the remaining entire portfolio is agriculture. How we are able to establish this gr owth is, just doubling that in 3 years i.e. we have identified certain pockets where we felt that very heavy potential is there, and we have identified almost close to 500 jewel loan shops. We have created within the branches, separate cells equipped with staff and machinery. These jewel loan shops have been given quality testing machin

es, and these people will be exclusively
for delivering the gold loan product. So, that has helped us in… actually, a customer raises a loan against gold only in an emergency . So TAT matters for growth. That TAT we addressed by creating exclusive counters in various branches… not only in these 500 branches, but in almost 1,500 -1,600 other branches separate counters have been created to address this and to promptly respond to t he request of the customers. That has created a confidence among the public, and whatever growth is there now, that would be walk -in growth.
■ Ms. Mona Khaitan:
■ Okay. So, while you said majority of the book is agri -gold, what would be the percentage, if I m ay understand better?

■■■■■■ ■■■■■ Secret arial Department
■■■■■■ ■■■■■■■■■■ Head Office F +91 80 22248831
112, ■■ ■■ ■■■, ■■■■■■■■ - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.canarabank.com

■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :
■ That's what I'm saying, around 85% would be agriculture gold madam. The reason is, majority of this gold loan portfolio is from… 60% is from rural and semi -urban.
■ Ms. Mona Khaitan:
■ Got it. And, when I look at your network of 9,600 hundred plus branches, how much of it is enabled for gold lending, if I may understand?
■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :
■ Actually, 9,200 of our branches are retail branches, and almost mo re than 6,000 branches are opened for gold lending. But, gold loans in the north sector is minimal, because there it will take to pick up, but there is growth. But when you compare volumes from South India and North India, there is ample difference. But, majority of the 1,30,000 business, around 80% of it is from South India.
■ Ms. Mona Khaitan:
■ Got it. And just one final point on this. So, if I have to look at 2 -3 years back, what would be the network against the 6,000, which is today gold enabled for you?
■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :
■ Almost 100% we doubled that network madam. Earlier it was around 3,000, now we increased it to 6,000.
■ Ms. Mona Khaitan:
■ Got it. And, just one last thing on the provisioning side. Apart from your PCR provisions or NPA provisions and general provisions and standard assets, what else do we hold on the prudential side, if anything? Standard prudential provisions?
■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :
■ Actually, whatever the stipulated provisions, beyond that generally, they are under the regulatory requirements, based on which we follow that provisioning. But, NPA… within this quarter, in this we are provided more than 800 crores beyond the requirement. We have provided more than 800 crores beyond the stipulated requirement, to strengthen our PCR. And every quarter almost we are doing that to strengthen our PCR, but historically, our PCR compared to other peer banks is at the lower side. So, till we reach at par with other banks, we continue to pro vide this additional amounts every quarter, to see that our PCR crosses 90%.
■ Ms. Mona Khaitan:
■ Got it sir. Thank you. I'll come back in the queue.

■ Moderator:
■ Thank you. We have our next question from the line of Mahrukh Adajania. Please unmute yourself a nd go ahead.
■ Ms. Mahrukh Adajania:
■ Hello sir, can you hear me?
■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :
■ Yes, you can speak.
■ Ms. Mahrukh Adajania:
■ Sir, so my first question is on your margins. So, your margins improved slightly in the 1st quarte r, but your deposits have not grown because your liquidity is good. So, when your loan growth actually picks up in the busy season and you will have to mobilise much more deposits, how will your margins behave? Will you be able to maintain margins given th at yields will now be stagnant, or will margins fall if deposit mobilisation increases?
■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
■ Madam, you're aware that earlier, our CD ratio was only 73%, and there is a scope to go up till even 78%. In the sta rt of the financial year, we said that the CD ratio we are looking at is 75% and we are moving on that. Keeping that, we expect that our credit growth will be much higher than our deposit growth. And, in the 1st quarter on quarter also, our deposit growth is around 1% to above 1%, it's that there is no growth in the 1st quarter. There is a growth in the deposits, but that has impacted that. So, whatever the high cost of deposits are, all of our existing deposits have been repriced, and there is no such pend ency at our level. So, our interest expense has already reached the peak at that level. But whatever future growth, still in our existing system there is a cushion for us to expand our CD ratio; that is one plus point for us.
■ The second plus point is, we have taken enormous number of initiatives targeting CASA. On the first working day of this current financial year on April 3rd, we have taken several initiatives aiming only for focus on CASA and liability products. This CASA, we have introduced first time in India targeting salaried class by offering term life insurance from 1 lakh to 6 lakhs, depending on their gross salary, in the form of four products – Silver, Gold, Diamond and Platinum. And earlier, before launching this product, our entire bank, the salaried class customers were around 11 lakhs. But, by introducing this in the 1st quarter itself, in the last 3 months, we got traction. We could onboard more than 3,10,000 customers who have opted for Canara Bank as their salary disbursing account.
■ The second one is, for non -salaried class, we also introduced a select product with zero charges. This is especially for urban and semi -urban areas. This too got good traction,

and we could onboard in the last 3 months, more than 70,000 such… in these accounts , the average balance will be little high, and those customers we have opened more than 72,000 -73,000.
■ We also introduced a Relationship Manager concept from 1st July onwards in 5,000 top savings bank concentrated branches covering 80% of High Net Worth i ndividuals of our bank. So, we feel that this also will support our CASA efforts in the coming quarters. You can look that, Canara Bank even under such circumstances, could maintain and not see further in CASA, because savings bank, even quarter on quarter , we could see more than 1.5% growth. The overall CASA is stagnated in the last quarter. But, if you look at the savings bank growth, around 0.57% gro

wth is there quarter on quarter.
■ These initiatives… in addition to that, whatever term deposits growth… and we also

launched recurring deposit aiming for 1,000 crores target; several initiatives have been taken. These things will compensate our interest rate expenses. But I agree with you, that there is stress on interest expenses, but we are confident that we can manage our NIM at 3 and little above 3.
■ Ms. Mahrukh Adajania:
■ Okay, that's so helpful sir. Sir, my next question is really on loan growth. You think you'll be able to maintain 13% loan growth, or it could get higher in the busy season, on a year on year basis?
■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :
■ From the bank's side, we have given a guidance that this year we show a reasonable growth of 10.5% in the loan growth. But, when I interacted last time with all of you, we are told that… we had informed you that we are expecting our credit growth will be between 12% to 14%. Generally you are all aware that, in the 1st quarter, the credit growth will be comparatively sluggish when you compare it with the remaining quarters. But in the 1st quarter itself, in domestic credit, we have shown more than 3%. Even i f you take that 3% into 4 quarter, we are already achieving what we have promised. There remaining… this much I can tell you that, whatever growth rate we have shown to you, that will be a minimum growth rate.
■ Ms. Mahrukh Adajania:
■ Sir, I just have one mor e question on PSLC. PSLC income usually comes in the 1st quarter or will it come in all quarters, because it's big obviously!
■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :
■ No madam. Generally, in every year, PSLC, in the 1st quarter, you get higher ma rgins. So generally, banks prefer to take the advantage in the 1st quarter. 2nd quarter something will be there, but not in line with the 1st quarter.

■ Ms. Mahrukh Adajania:
■ Okay. And 3rd and 4th nothing much, right?
■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :
■ Nothing much, very nominal amount.
■ Ms. Mahrukh Adajania:
■ Okay. So, this kind of reflects the full year PSLC income also.
■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :
■ Yes madam, definitely.
■ Ms. Mahrukh Adajania:
■ Okay sir. Thank you so m uch. All the best!
■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :
■ Thank you madam.
■ Moderator:
■ We have our next question from the line of Sridhar Shivaram. Please unmute yourself and go ahead.
■ Mr. Sridhar Shivaram:
■ Thanks. Good evening sir. Sir, my qu estion is more to get some guidance from the management on how we should look at the numbers at the current financial year. One is, Operating Profit, you've grown at 15% roughly in the 1st quarter. Is it fair to expect an Operating Profit growth somewhere in the range of 15 -16% for the full year? And the second on is on the provisioning. Roughly about 2,700 crores of provisioning for the 1st quarter. Should we expect around 10,000 crores full year provisioning numbers?
■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :
■ The first one was Operating Profits, right? Operating Profit last year, we could show 20% sir, but this year, because of that high interest rate regime and the interest expenses for mobilising the deposits, there is a stress on our margins. Th at's why we could show only 15.11%. We expect that in the current quarter als

o, the stress will continue on the interest expenses. So, the next… one the liquidity in the system improves, in the 3rd and 4th quarter, we may see a slight decrease in this inte rest expenses. Since it's double - digit at this moment, we are confident that we can manage the double -digit growth. But, our endeavour is to maintain the present growth that we have shown.
■ The second one was regarding PCR, Provision Coverage Ratio?

■ Mr. Sridhar Shivaram:

■ No, I asked about absolute provisioning? 10,000 crores, full year numbers.

■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :

■ Yes sir, definitely. Actually, if you compare it to peer banks, our Provision Coverage Ratio was historical ly low. But now we could recoup to a major extent, but still there is a gap between Canara Bank and other public sector peer banks; there is a gap to fill to strengthen our balance sheet. That's why, even in the initial stages, we have given a guidance to you that every quarter we will continue to strengthen our PCR. In that direction only, we are providing this 2,400 -2,500 crores. That will continue till we cross that 90% PCR.

■ Mr. Sridhar Shivaram:

■ Based on this, roughly, is it fair to expect that we'll r each somewhere in the 15,000 - 16000 crores full year PAT number?

■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :

■ Sir, the 1st quarter we have given you 3,535, right? And, you can probably look at our last 11 -12 growth that we showed. Quarter on quarter t oo, you can see what we are showing. That graph would give you a clear picture on that. Just look at our Net Profits. 1 year back it was 2,022, now we are 3,535. Every quarter on quarter also we are steadily growing, and we expect that the next 3 quarters also, we'll continue this steady growth. But absolute numbers, let us see. We will definitely be much above than whatever guidance we have given.

■ Mr. Sridhar Shivaram:

■ Sir, my last question is on the dividend policy. Last year you paid Rs. 12 dividend, which is roughly around 20 -22% of the profit. Is that a consistent number we should expect even for the coming year?

■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

■ Actually, being a public sector bank, we are supposed to announce a minimum 20% of our Ne t Profit as our dividend. So, how much dividend we pay depends on my Net Profit. But, we continue to give that minimum 20% dividend every year.

■ Mr. Sridhar Shivaram:

■ Okay. So then, if all goes well, your dividend could be in the range of Rs. 18 -20?

■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :

■ It's left to you and your imagination.

■■■■■■ ■■■■■ Secret arial Department
■■■■■■ ■■■■■■■■■■ Head Office F +91 80 22248831
112, ■■ ■■ ■■■, ■■■■■■■■■ - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.canarabank.com

■ Mr. Sridhar Shivaram:

■ Okay sir, thanks a lot and best of luck! We're happy shareholders.

■ Moderator:

■ Thank you sir. The next question would be from the line of Jay Mundhra. Please unmute yourself. Jay, your voice is not very audible.

■ Mr. K. Satyanarayana Ra

ju - MD & CEO, Canara Bank :

■ You ask your question, we'll try to understand.

■ Mr. Jay Mundhra:

■ (26.25 - unclear) of your corpora te loan of around 4 lakh crores . (26.32) How much of that should be (26.38) in Quarter 2?

■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :

■ See, what I understood is that you asked about corporate credit growth. Okay, repricing of the corporate. Almost 80% of the corporate repricing is co mpleted, because in many of corporate where short term loans are there, there only pricing is the concern. For all the long term loans, pricing has been taken care of initially also. In these short term loans, we have already taken care of 80% and we are c ontinuing to reprice that. You can see that has reflected in our average yield on advances. Our average yield on advances as on date is 8.43%. It's the highest so far in the last several quarters. That is continuing while we're even taking up proposals in the future, because ample scope is there, growth is there, demand is there. We have seen so much traction in the corporate side also, but while funding, the pricing is also making our decision in favour of that. That's why, we are selective both on the sec urity side, the rating side, as well as on the pricing side. This attitude, this approach will continue in the future also.

■ Mr. Jay Mundhra:

■ Okay sir. My question is, if you look at the yield on advances, while they are top as per the investor presentatio n, but I think QoQ they have only increased by 5 bps, because the March number that is shown in the presentation is for full year FY23. So, what I was trying to understand is, of the 4 lakh crore corporate loans, how much is yet to reprice in maybe the 2nd quarter? So, you said 80% has already been repriced.

■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :

■ That's what I said. 80% has been repriced. The remaining 20% will be there, because most of the corporate lending is MCLR linked. In our total assets, 52% is MCLR linked. Within this 52%, already 80% has been repriced, and the remaining 20% will be reprice d whenever it comes for that annual resetting.

■ Mr. Jay Mundhra:

■ Understood sir. Sir, coming to your ROA guidance, this quarter we have delivered 1% and we are guiding for 1% for full year. However, if you see this quarter of around 4,800 of pre -tax profit , we have around 1,500 crore plus coming from PSL, which should decline significantly as we go ahead in the year. So, what is the offset sir? I mean, how would you recoup the loss of income from the PSL, going into the next quarters?

■ Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank :

■ If you look at the last 2 years or 3 years balance sheet, in June our major contribution would be PSLC compared to the OP as well as the NP. The same tempo is continued in the current quarter also. But with the same background , last 2 -3 years also, September to March, we could show that minimum 15% growth rate both in OP, and a good growth consistency in Net Profit also. The reason is, quarter on quarter, you will get better revenues in different areas. In the 1st quarter, we m ight be dependent on PSLC. But, in the 2nd quarter, because already the stabilisation has happened in the 1st quarter itself, we have seen 3% growth in advances, of course, which might have happened majorly in the June quarter. Which is why, in the 1st quarter, we might not have go

tten the benefit
out of NII. But in the 2nd quarter, since already 25,000 crores absolute number advances have increased, and the more and more disbursement we look at, partly we wish to compensate with the interest income sir.

■ The remaining partly… in the 1st quarter, generally you look that the recoveries will be comparatively lower than the other quarters. Look at the March quarter. We could recover the technical written -off, which was around 2,200. As against that, in the 1st quarter we could recover only 790. So, there is a huge scope on that. We have a book of almost 66,000 crores of written -off accounts, which in the 1st quarter why the attention would be less is, the majority of the staff members will be transferred, their positions are changed, many people will be in the stabilisation area. But, when it comes for the 2nd quarter to 4th quarter, the recovery under the technical written -offs are D4 or last assets, whatever… Where the 100% provision has been made, there the re coveries will be very high.

■ The third one is the fee income. Fee income also contributes quarter on quarter. There is an increase, atleast 9 -10% every quarter, and in the 1st quarter generally, it will be less. So, these are all the options we have on tha t, and with these options what we are expecting is, we could maintain whatever we have shown growth in the current quarter, the same thing can reflect in that. It's not that we're totally dependent on PSLC.

■ Mr. Jay Mundhra:

■ Understood sir. And was there a ny…

■ Moderator:

■ We would request you to please come back in the queue, we have a lot of participants waiting. Sorry for that. Okay. Jay, we would request you to please come back in the

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112, ■■ ■■ ■■■, ■■■■■■■■ - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
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queue. The next question would be from the line of Mr. Saket Kapoor. Please unmute yourself and go ahead.

■ Mr. Saket Kapoor:
■ Hello. Sir, you can hear me?
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank :
■ Yes. Good evening, Saket.
■ Mr. Saket Kapoor:
■ Yeah, good evening, Sir and thank you for this opportunity. Sir, if you look at your interest, you can hear me now, Sir?
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank :
■ Yeah, tell me.
■ Mr. Saket Kapoor:
■ Yeah Sir. If you look at your interest on balances with the Reserve Bank, that has been at the highest number of 1,105 cro res. So, what should be penciling in going ahead from this line item and also Sir, on the other others there is a figure of 474 crore under the interest earned. So, what is the composition of the same and what should we read into it going ahead right fro m these two -line items? Sir, one more question here Sir. Please, you please answer this first.
■ Mr. K. Satyanarayana R aju – MD & CEO, Canara Bank :
■ See, our CFO is there, he will answer your question, but actually let me clarify to you afterwards he will t ell you that other interest income is overnight whenever you want to invest the CBLO or anything, these interest in which the amounts will be captured on this whenever you have surplus liquidity you will invest on overnight or some those things CBLO and al l those things that's the actually the amount we capture it. Generally, it carries on the same level of quarter -on-quarter increase whatever it is there it will be on those 1,100 to 1,400 that's the range generally it will happen. So, now the CFO, so you can speak to it.
■ Mr. S.K. Majumdar – CF

O, Canara Bank :
■ As our MD Sir are said that if you see that, that is quarter -on-quarter also, last quarter it is consistently showing an improvement over the period. It was 1100 -1500; 1100 last quarter and 1500 this quarter. So, it's a component as you yourself said it's a

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component of interest on call money and deposit with banks, reverse repos, CBLO. So, this is a figure which we feel that it will be almost consistent. I think it should be above 1000 crores which we expected to garner maybe a bit more also in the medium term, thi s much only we can tell you. There is not much apprehension there and as and even if there is a shortfall here, that should be compensated by interest on advances.

■ Mr. Saket Kapoor:
■ CFO Sir, you are clubbing both the figures, that is 1100 and 400?
■ Mr. S.K . Majumdar – CFO, Canara Bank :
■ No, no, no. I am telling you that I am only giving you a figure of interest on interest.
■ Mr. K. Satyanarayana R aju – MD & CEO, Canara Bank :
■ You are clubbing both and telling that?
■ Mr. S.K. Majumdar – CFO, Canara Bank :
■ Yes, y es.
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank :
■ Yes Sir, he is clubbed both and he has given that answer.
■ Mr. Saket Kapoor:

■ Okay and this will be a consistent number going ahead also?
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank :
■ See, when you have a surplus liquidity, we use that for this head of account. If we don't have surplus, that means this money will be diverted to disbursement in the loans, then that will earn much more than that. That will reflect in the interest income.
■ Mr. Saket Ka poor:
■ Okay. MD Sir, you mentioned about pressure on the yields going ahead and that is because of our liability side
■ Mr. K. Satyanarayana R aju – MD & CEO, Canara Bank :
■ No, just let me clarify to you, it's not on the stress on the yield, Sir, I told you that stress on the margins because of the more interest expenses.

■ Mr. Saket Kapoor:
■ Yes Sir, but the net yield will be lower if there is a higher interest expense?
■ Mr. K. Satyanarayana R aju – MD & CEO, Canara Bank :
■ That's what Sir, even with that whatever the initiatives we have taken already against the first question, I think I answered that how many initiatives we have taken on the CASA front to garner the more low cost deposits with that, we are confident that we can manage at 3 and little above.
■ Mr. S aket Kapoor:
■ Okay. A small point and then I'll come in the queue. Firstly, Sir, for this year, we are looking at NIM is above 3%. We closed last year at 2.9 and this year, I think
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank :
■ Yes Sir, last time cu mulative it is 2.95 as against the guidance of 2.90. This time we have given a guidance of 3.05. We are confident that we will manage, we will maintain above 3.
■ Mr. Saket Kapoor:
■ 3.?
■ Mr.

K. Satyanarayana Raju – MD & CEO, Canara Bank :
■ That's what Sir, 3.05, we have given the guidance.
■ Mr. Saket Kapoor:
■ I joined the queue.
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank :
■ 3.05, we are given the guidance, but we are confident that we will maintain above 3.
■ Mr. Saket Kapoor:
■ Okay. Sir, I'll join the queu e again.
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ Thank you.

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■ Moderator:
■ Thank you, Saket. The next question we have from the line of Pritesh Bam. Please unmute yourself and go ahead.
■ Mr. Pritesh Bam:
■ Hi, can you hear me?
■ Mr. K. Satyanarayana Ra ju – MD & CEO, Canara Bank:
■ Yes, Pritesh ji, good evening.
■ Mr. Pritesh Bam:
■ Good evening, Sir. Two questions from my side, just needed from the GECL. How much is the book and how much were the NPA from that book, if any?
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ Last time when we are shared with you, we were at very raw calculations. Sir, you're

asking about GECL?
■ Mr. Pritesh Bam:
■ Correct.
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ GECL, we are sanctioned actually 21,000 cro res. Out of that 19,000 crores were disbursed. As on date, the balance outstanding was around 13,400 odd. Out of this 800 crores slipped to NPA.
■ Mr. Pritesh Bam:
■ Okay and the restructured number as well Sir, if you can give that as well, outstanding restructure?
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ No restructure everything, RF1, RF2, and MSME restructuring everything, earlier it was 23,000 crores, now it has come down to the around 16,000 crores out of that 3400 crores for NPA.
■ Mr. Pritesh Bam:

■ Got it. Sir, our SME book also on quarter -on-quarter has moved up. Anything to read into that, it's about 3400 crores from
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ No Sir. SMA always you should look at not sequentially basis, year -on-year basis only you should look at that. Because the first quarter generally in banking industry – no, no, just first quarter in the banking industry, the transfers and all seasons will be there. The first quarter little less will be there, but you look at that the slippages in the first quarter of last year, it is 3940 crores, whereas against that the current years slippages is only 3482 crores, 3400 crores. If you look at only SMA 01 and 02 is higher in the first quarter is it generally happens in the first quarter as agriculture NPAs reflect more because the sowing season starts only from the June 15th and it will be available up to the September 30th. All these loans which falls due for the renewal from the 1st April to June, that will come for the r enewals only in the June through the September 30th. Then automatically this pressure will come down, little pressure will be there - is there already in MSM

E, which we are focusing on well within our appetite. What we have given that to you look at that the percentage also total SMA 1.29% to it has come down to 1.11%.
■ Mr. Pritesh Bam:
■ So, this total SMA 1 is more of agri which you're saying, it's moved up because of that?
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ You're looking at SMA 1, that is a quarter -on-quarter, it has increased to 3482. The majority is from agriculture and MSME. The agriculture generally in the first quarter that will start renewing that limits. Suppose when the due date is over, it reflec ts in the SMA 0 and 1. Once it has been renewed that account will go to the standard asset. The farmers will come for renewals generally from the June 15th onwards and the current quarter that will be drastically has come down, will come down. Otherwise, there is no such threat on tha t.
■ Mr. Pritesh Bam:
■ Sure, Sir. Thank you so much.
■ Moderator:
■ Thank you, Pritesh. We have our next question from the line of Ashilesh Sanjit. Please unmute yourself and go ahead.
■ Mr. Ashilesh Sanjit:

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■ Hi team, good evening. Sir, just one question from my side. Do you see there is a

need for you to raise term deposit rates over the next few quarters to garner term deposits?
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ No Sir, literally that is not required because our retail term deposits is growing . You just look at that almost today as on date, we already grown 2% of that from April to now. We got almost 8000 crores incremental growth in the retail term deposits at this current rate of interest. So, when every day almost we are seeing a more tha n 150 crores additions to my term deposits in the retail term deposits. When that accumulation is there, that is enough to meet my requirements because I already told you that our CD ratio, we have ample cushion that cushion we want to use it for effectiv e utilization of resources.
■ Mr. Ashilesh Sanjit:
■ Okay. Sir, in that context, where do you expect your quarterly cost of funds to trend over the next few quarters?
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ See that's what Sir, the present liquidity unless otherwise in the market liquidity improves the rate of interest on term deposits may not come down and the current quarter we don't see any such softening of rate of interest because in the 1st July onwards, we have experienced a little so ftness in the June month and May 15th onwards to June 30th and we could replace major part of our bulk deposits with little lower rate of interest, but again and we have seen that July 1st onwards the rates are little tightening and the market rate is litt le high. So, unless the liquidity in the market improves, the present to high rate of interest on the term deposits will continue. We don't see any change in the current quarter. Maybe the December quarter and March quarter, once the liquidity in the sy stem improves, the rate of interest may be a little softer.
■ Mr. Ashilesh Sanjit:
■ Okay, Sir and just on last data keeping question, can you give a break up of your slippages across segments for the quarter?
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ Yes Sir, you can look at that around 1300 crores, 1380 MSME Sir, around 800 crores is agriculture, 600 crores is retail, and around 400 crores is mid -corporate.
■ Mr. Ashil

esh Sanjit:

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■ Okay, perfect Sir. Thank you.
■ Moderator:
■ Thank you, Ashilesh. We have our next question from the line of Rakesh Kumar. Please unmute yourself and go ahead.
■ Mr. Rakesh Kumar:
■ Hi, thanks. Thanks a lot, Sir.
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ Good evening, Rakesh Ji.
■ Mr. Rakesh Kumar:
■ Good evening, Sir. Thank s for the opportunity, Sir. So, Sir, firstly the question was related to the recovery on written -off of loan number which is 796 -crore in the Slide #16 and then we have some other figure you know given on Slide #28?
■ Mr. K. Satyanarayana Raju – MD & CEO, C anara Bank:
■ 891, somewhere it has been given 891, somewhere it has given 796. The reason is, where the 796 is the book balance, where the remaining amount 100 crore is the interest on the technical written -off accounts, so total together when it comes for there it is 891. This is the book balance because in the profit you can book directly this is what the slot, they have shown under this slide is only our recovery towards the book balance of technical written off Sir.
■ Mr. Rakesh Kumar:
■ Okay. Is there an ything in the interest income line also coming from here?
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ Yes, Sir.
■ Mr. Rakesh Kumar:

■ How much is that number, Sir?
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ The balances are 891 -796, it is 103 cr ores, Sir.

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■ Mr. Rakesh Kumar:
■ 796 yeah. Correct and Sir this FX gain number is like you know what is happening there, could you just you know slightly elaborate, there is a quite a lot of volatility in that number FX gain
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ Which one?
■ Mr. Rakesh Kumar:
■ FX gain under every income number.
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ Sir, we have our treasury head with us. So, Mr. Janardhana Rao. You're on mute. You unmute and speak. He is there? He cannot speak? Janardhana Rao? So otherwise our Mahesh?
■ Mr. Mahesh Pai, Canara Bank:
■ Yeah, actually this number you are referring to is the June 22 number, which is 952 and you are asking the question of 236, this is what you are asking I believe.
■ Mr. Rakesh Kumar:
■ Correct Sir and like what is the underlying, you know, situation
■ Mr. Mahesh Pai, Canara Bank:
■ Sir, underlying transactions are the foreign exchange gains which has happened. This has reduced because of the spreads in the exchange transaction which has come down hugely because of the US interest rate hikes. So, if you see June 2022, the premiums were at the highest and presently the premiums are at the lowest. So, this is the number which reflects that. So, from now on, we expect that the premiums to go up. So, this number should go up technically from now on.
■ Mr. K. Satyanarayana Raju – MD & CEO, Can

ara Bank:
■ In March, we have gone to the bottom, but now in the current quar ter we have seen slightly increase. We expect that this increase will continue slowly.
■ Mr. Rakesh Kumar:

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■ So, in the FX transaction only like the value part is changing or there's any like you know change in the total transactional volume also for us?
■ Mr. Mahesh Pai , Canara Bank:
■ So, it doesn't depend on purely on the transaction volume. If you see the volume would have been remained more or less constant. This depends on the gain which you get out of the funds deployed in dollars.
■ Mr. Rakesh Kumar:
■ Okay .
■ Mr. Mahesh Pai - Canara Bank:
■ The market premiums.
■ Mr. Rakesh Kumar:
■ Got it, got it, got it. Understood. So, thirdly Sir on this staff cost, have we started making any provision for the terminal benefits obligation because there is
■ Mr. K. Satyanarayan a Raju – MD & CEO, Canara Bank:
■ No, terminal benefit always, it will be provided quarterly, Sir, there won't be any complacency on that. The staff benefits even beyond that we have moved and November onwards actually the wage revision is due further revis ion last November onwards. So, first five months we have provided 70 crores per quarter almost to 350

crores - 350 to 370 crores we provided, but this quarter we have provided beyond that almost we have taken 115 per quarter. That means we have provided additional 350 crores only towards the wage revision, expected wage revision by the bipartite settlement whatever it is going to enter into the IBA and the Trade Unions effective from last November. So, total more than 700 crores. Now, as on date within this eight months, we have provided already.

■ Mr. Rakesh Kumar:
■ Okay and anything for pension, gratuity
■ Moderator:
■ We would request you to please come back in the queue.
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:

■ The pension, whatever the funds a ctually is whatever we are supposed to provide everything has been taken care quarterly.
■ Mr. Rakesh Kumar:
■ Thank you. Thank you so much, Sir. Thank you.
■ Moderator:
■ Thank you, Rakesh. The next question is from the line of Nihal. Please unmute yourself a nd go ahead.
■ Mr. Nihal:
■ Hello, Sir.
■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
■ Good evening, Nihal.
■ Mr. Nihal:
■ Yeah, good evening. The quantitative number looks quite good. My question is on the qualitative side what the company is doing to track customer retention, customer satisfaction, and encourage transparent banking, but to take an example, my father passed away three months back and he was an employee of Canara Bank and even after three months his account has been freezed and my mother is waiting for the terminal compensation. So, this is just an example and this is the case of Canara bank employee.
■ Mr. K. Satyanarayana Raju – MD & CEO, Ca

nara Bank:
■ My request to Nihal, can you send it to my mail that - what are the details because we created in MD Secretary for a personal mail on that and with there are certain people are working on that and I myself is pe rsonally monitoring and one more thing for customer redressal resolution, first time in the bank, we have created a vertical and is now presently headed by a General Manager. We are paying a so much attention on that to give a best customer service to the possible extent for consistent improvement on that. You also might have seen that whenever you go to that branches, there is a huge change on the even ambiance even the basic facilities it is to be required for the customers. The third one is the from J uly 1st onwards to take care of retention of customer only, mainly the retention of customer is aimed for that the relationship manager concept why we brought it that in 5000 branches we introduced where we felt that the savings costs are concentration is available and with these 5000, we have identified a top 200 customers of that particular branch and with this we are covering

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80% of our top SB individual balance outstanding. So, our SB individual balance outstanding is around 2,60,000 and with this we a re covering almost 2,10,000 to 2,15,000 in their accounts. These customers have been now here afterwards we are providing personal relationship manager concept and whom we have marked to them that has been displayed in our website itself for genuineness a nd from head office itself we have written directly letters to the respective individual customers and there afterwards, we are also taking several initiatives on the customer redressal systems that we are onboarding a complete comprehensive the customer r elationship with software, whatever it is there, which is under the process of procurement. Once the CRM package is introduced, this retention will be much more closely micro level, we can observe these things and whatever the inconvenience caused to you, I'm extremely sorry for that, Nihal. If you can send the details to me, I'll take it as personally and see that it is addressed immediately.

■ Mr. Nihal:

■ Sounds fine, but Sir if you can 51:28 overlapping.

■ Moderator:

■ Sorry Nihal, we request you to

■ Mr. Ni hal:

■ That would be great to track customer retention and second,

■ Moderator:

■ The next question is from the line of Sushil Choksi. Please go ahead.

■ Mr. Sushil Choksi:

■ Congratulations to Canara Bank team and management for excellent result.

■ Mr. K. Satyana rayana Raju – MD & CEO, Canara Bank:

■ Thank you. Thank you, Sushil ji.

■ Mr. Sushil Choksi:

■ Sir, my sheet indicates that we are very conservative and whatever we are speaking today and I'm happy to note that we will outperform. Sir, can you throw some light on some initiatives which you have taken over last one or two quarters whether it's technology, subsidiary listing, the road map 52:13 Voice Breaking and various other initiatives, the technology tie up was in the news about IBM, we rolling out a big

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tend er. The second thing is outlook on treasury at the terminal end of the year of where would you be on the gross NPA, net NPA, and credit cost because I think we maybe heading toward single digit that is below 1% on the net NPA and based on technical recove ry, where would you see our end of the year kind of numbers?

■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:

■ Sir first, I'll touch upon that is NPA ratio. Gross NPA, we have given the guidance at 4.50 and the net NPA we are told that it is 1.20, but de finitely by the end of this quarter, we will be below than that whatever the guidance has been given that much I can confidently say to you. regarding the initiatives what we have taken the technology side, let me share it with you. Sir, I'm very happy t o share with you that the Canara Bank has been ranked #1 consecutively second financial year by the MEIT; Ministry of Electronics and Information Technology. Based on that rankings, the rankings will be happened on the both public sector and private secto r. Total 47 banks performance will be taken into account on various parameters like how their digital journeys are happening, how their digital transactions are happening, how their merchant onboarding is happening at rural or northeastern or various area s. Based on this their rate, the banks the marking 400 and last year also previous year also Canara Bank has rated #1 and this year also we continued to be rated just recently 10 days back only the MEIT has come out with their ranking and the Canara Bank has continued its #1 rank.

■ The second one what I want to share it with you is the transparency in our onboarding any vendor management. The vendor management, the onboarding last continuously 2 years Gem portal, the Canara Bank is the highest, the procure d through Gem portal promoted by the expenditure ministry that shows that whatever our internal investments what we are making on our new initiatives are a capital expenditure that we are most transparent bank on India among all private and public sector b anks and as you are told they're rightly that the news item is the IBM or Kendrell which is 3000 crores worth of contract that has been almost finalized Sir. The results have been announced that is of it is in the process and not only this Sir, we have go ne for the RFP for end -to-end digital lending which is already almost to final stage for selecting that, then continuous CRM package, the Customer Relationship Management package, then the co -lending package. This is also it is there and the onboarding th e video KYC, this is also is there on that and several such initiatives we are going on that. We are the bank though we have been identified on the third instant that for introducing the CBDC, but the onboarding both customers as well as in the merchant s ide we are the #1 bank as on date in India Sir, the CBDC, our app is well received. Our mobile app Ai1 in the July after 15th if you can look at that, that this is the highest rated public sector any mobile app that we got the on the Play Store, the Googl e Play Store or whatever the Play Store. Is there that rating has happened at 4.506 and we are the first banker who has the RuPay credit card has been integrated with the UPI payments. We are the first bank we are coming out with our self -help groups on -us and off -us dual

authorization through the BC points. We are the bank, we are very active on NCMC for commutation whatever the mobile cards what you are using, your existing RuPay card will be replaced that your existing RuPay card can be used in all whe rever NCMC integration is there in the all railway metro railway stations, metro journeys, are even transportation areas and all and we are the first banker who has onboarded bill payment due for the Oman customers across the board like that many technical initiatives we are taking, our MEIT ranking continuously the second year that shows that our whatever the efforts, we say less, but we do more. That has been proved once again in the technology front. In the business front, in the first quarter itself w e have taken several initiatives like already we told that innovative products we have launched in CASA to attract the customers. We have launched one bank, one call center that is 1800 -1030. This call center through this call center 24 X 7, 365 days, 35 services can be availed in 12 languages that has been created, that has helped us a lot to reach the customer. The one more is we are very active in spreading the QR code and the audio systems to the merchant establishment. We are targeting for the stre et vendors where the Prime Minister, PM Swanidhi, the beneficiaries are there. Those beneficiaries we already covered more than 1 lakh such customers have been provided with this QR code and onboarding them on the digital transactions. In this among 11,0 00 people have been given the first time in the public sector banks that audio system has been introduced and provided to the customers and these initiatives will continue in future also. Both the service, the people who comes to the branch we are giving innovative products. The people the younger generation who does not want to come to us for them also we are aiming and introducing so many new products. There are several new other products on the loan side as well as in the CASA side targeting the targe ting sectors women as well as the younger generation, but those products are in research side. We have completed that still it is said to be in the UAT, we may launch in the next quarter and the regarding the treasury, I request our Mukherjee Sir to pay o n that little, he will share it with you that's what is going to be by the end of this year whether we are expecting the same returns or any increase in the returns under that.

■ Mr. Sushil Choksi:

■ Sir, you forgot about – Sir, no problem, I will ask the ques tion after Debashish Mukherjee Sir.

■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:

■ Fine Sir.

■ Mr. Debashish Mukherjee – ED, Canara Bank :

■ No, it's fine. Thank you, Sir. With regard to Treasury, as we are all aware, it is market driven and because of this rising yields at the present scenario things are not doing as

much as we would expect, but in the days to come when some yields decrease, there we are going to, we are poised to make some better profits, so that is with regard to the Treasur y. With regard to the Treasury, I would like to mention a few more points that. During June, our portfolio MD is comfortable at 4.74, AFMD is comfortable with 3.45 and then our PV 01 AFS and HFT is 7.81 crores. Portfolio yiel

d has increased from
March 2 3 to 6.85%. Overall, a healthy portfolio which we are going to carry forward in the coming quarters as well.

■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:

■ Choksi Sir, you were asking something?

■ Mr. Sushil Choksi:

■ Yes Sir, either yourself or the Dada can answer outlook on subsidiaries and the road map which you have already decided or working on?

■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:

■ Sir, we have actually subsidiaries and associates and regional rural banks total together 13 are there in o ur bank. This June quarter we displayed already that they everybody is earning the net profits. No subsidiary or associate is incurring any loss on that and these profits also showing a steady growth on that. You have seeing that Can Fin Homes whatever the market has reacted. We have taken several initiatives on both side and all those things and I am sure that Can Fin Homes will continue to work on that. The remaining two we have promised, we are given a guidance to the stakeholders that the Canara HS BC and Canara Robeco that we have initiated to come out of that public issue IPO and that action has been just started. It takes a minimum 15 months Sir, 15 to 18 months. We expect that the next financial year in the second - half of that next financial ye ar, these two companies may come out for the IPO and there again I shared with you that our credit card division, we would like to shift it to our 100% owned subsidiary, for that we identify our Canara Bank Financial services, but there the Canara Bank Com puter Services, CCSL where our share price, our shareholding is only 69%. We are already written to the remaining 3 stakeholders to for purchasing of - we expressed our interest to purchase that remaining 31% stake that negotiations are on, we are hopeful of getting it completely by the, I think around in the next quarter, Sir.

■ Mr. Sushil Choksi:

■ Sir, my last question is that we have proved our number from last quarter on ECL provision much lesser than what you had spoken Sir, that would be icing on the ca ke, so can you highlight that number?

■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:

■ Yes, Sir. Actually, initially in the last quarter whatever we have shared that's a rough calculation on very initial stages, but there afterwards we sought some clari fications. We also reworked on our calculations and all it has come down more than 50% of what we actually last time shared with you and thereafter so further tuning, now it has come down to the around Effect is only 2 to 2.25% of effect and now further w e are onboarded consultant on that to further guide in this regard once he will be with us for next one year till that is implemented Sir, so that we take his expertise in further reducing these things and we are sure that we will be in line with the other banks and it will be around only 2%.

■ Mr. Sushil Choksi:

■ Sir, thank you for answering all my questions and all the best to Team Canara for the years to come.

■ Moderator:

■ Thank you so much, Sir. Thank you so much. This would be our last question for the day. I request MD Sir for his closing comments.

■ Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:

■ So, thank you so much Sir for everybody whatever the we thank to all our well -wishers and investors and all. With your great support, we want to contin

ue our steady
growth. We are very, very much particular about the consistency in our growth and that consistency will reflect in all our key parameters in quarter -on-quarter. We

assure you on behalf of all the entire top management that this consistency will continue in the coming quarters too. Thank you very much, Sir.

■ Speaker – Antique Stock Broking Ltd:

■ Thank you, Sir for giving us this opportunity to host this call. I request everybody to sign off. Thank you.

End of Transcript

Call: Oct 2023

[redacted] Secretarial Department
[redacted] Head Office F +91 80 22248831
112, [redacted], [redacted] - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.can arabank.com
Ref :: SD:379/380 /11/12::2023 -24 31.10.2023
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
MUMBAI - 400 001

Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
EXCHANGE PLAZA
Bandra -Kurl a Complex, Bandra [E]
MUMBAI - 400 051
Scrip Code: CANBK

Dear Sir/Madam,

Sub: Q2 FY 2023 -24 Earnings conference call with Analysts / Investors - Transcript

Ref : 1. Our Letter SD:344/345/11/12::2023 -24 dated 18.10 .2023 &
2. Our Letter SD:363/364/11/12::2023 -24 dated 26.10.2023

With reference to above and pursuant to the applicable provisions of SEBI (LODR) Regulations, 2015, we herewith enclose the transcript of post results Earni ngs conference call Q2 FY2023 -24 held on 26.10.2023 .

The trans cript of Q2 FY2023 -24 Earnings conference call is uploaded on Bank's website and the same can be accessed through below link:

https://canarabank.com/User_page.aspx?othlink=383

This is for your information and records.

Yours faithfully,

SANTOSH KUMAR BARIK
COMPANY SECRETARY
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Q2FY24 Earnings Conference Call -- Canara Bank
October 26, 2023

- Moderator:
- Good afternoon everyone. On behalf of Antique Stock Broking, we welcome you all. We have on the Canara Bank management team side, Mr. K. Satyanarayana Raju – MD & CEO, Mr. Debash ish Mukherjee – Executive Director, Mr. Ashok Chandra – Executive Director, Mr. Hardeep Singh Ahluwalia – Executive Director, and Mr. Bhavendra Kumar Executive Director along with other senior members of the team. Thank you , Sir for giving us this opportu nity to host the Q2 FY24 post results earnings call. Without further delay, I hand over the call to MD Sir for his opening remarks, post which, we can open the floor for any queries. Thank you , Sir and over to you.
- Mr. K. Satyanarayana Raju - MD & CEO, C anara Bank:
- Good evening , Sir for all the investors and all our well -wishers. I wish to share few highlights of this quarter performance with all of you. Of course, by this time you might have gone through our presentation , still for the starting I want to share few

glimpses on this. Our total business has grown year -on-year first-time double -digit growth in the last few years and reached a high -level total business level of 21.56 lakhs crores and our gr oss advances has grown at 12.11% and stood at 9.23 lakhs crore . Our operating profit has reached 7 ,616 crores with year -on-year growth rate of 10.3% . Our net profit has reached 3 ,606 with year -on-year growth rate of 42.81%. This profit - operating profit and net profit we could achieve it because of a g ood growth in the net interest income with 19.76% in the year -on-year and reached to that position of 8 ,903 crores. Our RAM credit has grown at 13.63% and stood at 5.1 7 lakh crore. Our gr oss NPA has reduced 161 basis points year -on-year and reached to that below 5% that is at 4.76% and our net NPA has declined 78 basis points year -on-year and reached at 1.41% and our PCR has further improved to 88.73% with a year -on-year change of 337 basis points upwards.

- Our retail credit growth has now crossed double -digit figure and it is grown at 10.56% and the total amount stood at 1.48 lakh crores and it is led by the housing loan with a 12.32% and educational loan at 14.68% and vehicle loan at 9.29 %. Our return on equity, we continued the good performance that sto od at 22.5 1% with year -on-year improvement of 514 basis p

oints. Our CET 1 that's a common equity,
it's through internal accruals we could achieve 11.58 % all time high that year -on-year improvement is 44 basis points. Our return on asset , first time in the last decade we have crossed 1% and stood at 1.01% with year -on-year improvement of 30 basis points. We are able to contain our expenses and maintained cost to income ratio well below 45% and it stood at 43.68% with an improvement of 53 basis points year -on-year.

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- Our net interest margin , though there is a stress on the interest expenses, we are able to maintain just above the 3% that we stood at 3.02% with year -on-year improvement of 19 basis points. These are all the few glimpses we have shared with you Sir, but I'm sure that you might have gone through all our entire presentation. Along with me, all our four Executive Director s are there and all our top management is here. We are happy to receive any clarifications or corrections on our performance in this quarter, Sir. It now open s for all of you, Sir.
- Moderator:
- Thank you, Sir . So, we'll now open the session for any Q&A. I would request participants to limit their questions to 2 per participants , so that everyone can get a chance. Okay, so we'll w ait for some time. Okay, so we have the first question from the line of Mahrukh Adajania . I would request to please mention the company name as well. Thank you.
- Ms. Mahrukh Adajania:
- Yeah, h ello Sir. Good afternoon and congratulations Sir.
- Mr. K. Satya narayana Raju - MD & CEO, Canara Bank:
- Thank you, madam.
- Ms. Mahrukh Adajania:
- Yes. Sir, basically my first question is on the outlook ahead for margins and the reason for that is in the festive season, all banks are offering lower rates on incremental lo ans like some retail incremental loans and all banks have increased their flagship deposit rates as well . So, would that from here on, will we be able to hold margins at 3 or what is the outlook like given that there's so much deposit competition, higher rates etc.? That's my first question, Sir.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Yes, Madam . Actually , it is true that there is a stress on the interest expenses , but sourcing of liabilities is not a big issue. There is a consistency growth in our liability side as we given the guidance of above 8%, we are growing th e domestic deposit more than 8 %. Even retail term deposits in absolute number, there is a growth of almost 20,000 crores in the last six months. Even in the Savings Bank , there is a 4,000 crores growth. In CASA there is more than 1 ,000 crores and absolute numbers, growth is there. That means the growth is there, but it is the present rate of interest what we are offering to the public and the term deposits is high . I don't see any further increase in the term deposits because there is a continuous inflow is there and we are not finding any difficulty in raising the resources at this rate of interest . So, that's the s aid, but because already we are offering at a higher rate of interest our pressure on margins is continuing . So, if the liquidity improves in the system for next two quarters then inflow may increase.

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- If the inflow increases , our cost of deposit may come down then we may be able to maintain the around 3 or 3.05 wh at we projected , but if this current scenario

continues with high interest rate and the same liquidity issue is there in the next two quarters, we may land up at 2.9 , that is the range what we are expecting in the coming quarters.
- Ms. Mahrukh Adajania:
- Okay Sir, that's so clear and helpful . Sir, my next question is on the new investment guidelines by RBI, which are not yet applicable. What will be the impact on Canara Bank?
- Mr. Debashish Mukherjee -- Executive Director, Canara Bank
- We have made some asse ssment, not much impact will be there

in our case because
our mostly holdings are in HTM portfolio , so not much impact. That is all we can say right now.
- Ms. Mahrukh Adajania:
- Okay , Sir. Thank you.
- Moderator:
- Okay. So, we have the next question from the line of Mona Khaitan . Please unmute yourself and go ahead.
- Ms. Mona Khaitan:
- Yeah. Hi, Sir. Good evening and thanks for taking up my question. Sir, my first question is on the provisioning line . So, there is this other provision of 222 crores , what e xactly is that about?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- See this is - see last one year also we are building up this . We have some stress in one big account of LRD that of course as it is continuing in that SMA , but in anticipation in fut ure if any shock is there to prepare ourselves , we are providing additional provision for that. That is only a cushion what we are taking that , but as it is, that account is still continuing in the stress, but it is not N PA and last two quarters also we h ave provided 458 crores for that account, the same account now we are provided additional 200 crores approx .
- Ms. Mona Khaitan:
- Okay. So, total you have provided 458 crores or
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
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- Approx 650 crores .
- Ms. Mona Khaitan:
- Got it and how large is this account? I mean we have provided 650 , so how much have we provided ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- With this, i t will be sufficient to meet the requirement of the provisioning .
- Ms. Mona Khaitan:
- Okay, okay and
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Even if it slips, but we don't see that, but in anticipation why to keep that when we have surplus, we are in anticipation of that we are providing this.
- Ms. Mona Khaitan:
- Got it . So, will it be like 50% provisions against this account or higher ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Pardon .
- Ms. Mona Khaitan:
- Will this 650 -crore be like 50% provisions against that account or will it be higher?
- Mr. K. Satyanarayana Raju - MD & C EO, Canara Bank:
- Ultimately , whatever it is required, we have provided it.
- Ms. Mona Khaitan:
- Got it , Sir. So, apart from the NPA provisions which we provide under the PCR and this 650 that you already mentioned, do we have any other provisions made agai nst the SMA book?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, that's always we take a future ready that's the stand what we are taking the Canara Bank for last three years that always our provisioning will be aggressive saying that the future re ady balance sheet . The same tendency is continuing every quarter. Our provisioning will be always in aggressive side .
- Ms. Mona Khaitan:
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- No, s o what I'm trying to understand is against our SMA book, you mentioned this LDR account and against which you pro vided 650 crores , is there any other provisions apart from the 650 -crore against the SMA book or any particular account?

- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- See when our PCR is more than 88.73 that itself shows that how much extra it is there. It's not required to be disclosed individual account wise how much we provided. We are already maintaining a provisioning coverage ratio. We have given a guidance that we will try to reach 90% by the end of this financial year and we are moving on t hat direction that means that it's not that required only the required provisioning we are making we are making provisioning beyond that . In addition to that whatever the employee's expenses because you know that the bipartite settlement is due for that a greement and it is due for the last November 2022 onwards. We started providing that 15% every month and this quarter also we provided only for that incremental in future suddenly if we have to pay the ar

rears ,
there should not be any shock to that balanc e sheet. That's why in anticipation of that this quarter also we provided 345 crores for that.
- Ms. Mona Khaitan:
- Got it, Sir. And just finally on the restructured book, can you share the outstanding amount and how much has slipped through the quarter so far?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- See, including RF1 , RF2, and MSM E restructuring, everything , originally it was 24,000 crores Madam . As on date it is approximately 20,000 crores outstanding was there and 14,000 still continuing in t he standard assets , around 6 ,000 crores is under NPA.
- Ms. Mona Khaitan:
- Sorry, how much is NP A?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- 6,000 crores is already slipped to NPA. 14,000 crores is continuing in the standard asset. 4,000 crores lia bility has come down.
- Ms. Mona Khaitan:
- Got it, Sir. Thank you. That's v ery helpful. I'll come back in the queue.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Thank you, Madam.
- Moderator:

- Thank you. The next question is from the line of Mr. Ashok . Please unmute yourself and go ahead.
- Mr. Ashok:
- Compliments to you Sir - Raju Sir
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Thank you, Ashok ji.
- Mr. Ashok:
- and the entire team for the excellent result in this quarter. In fact, if you see on all the parameters including the operating profit, net profit , your g ross NP A has come down, ne t NPA has come down , credit cost is also under control , and R OA is also 1.01. So, excellent result Sir. just I picked up one point out of that. That LRD accounts which is under SM A2, now the SMA2 total figure is 4 ,413 crore. In the last quarter it was 3 ,367 crore . So, if this 4413 crore includes was it in SM A2 even in the last quarter also, which is not possible actually.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No Sir. Now, this quarter that is in the SMA2, Sir.
- Mr. Ashok:
- So, it means the other SMA2 the balance
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- has come down .
- Mr. Ashok:
- has come down . Yeah, that's what
- Mr. K. Satyana rayana Raju - MD & CEO, Canara Bank:
- It has come down. T hat has reflected in our SM A position also. If you see that , our SMA position 5 crore and above, last quarter it was 1.11%, now it is 0.70, all-time low.
- Mr. Ashok:
- That's very good, Sir. Sir, this being an LRD account, we must be having very good security in
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

- We don't have literally any problem in that account because we are secured by more than 150% hardcore, city properties. It's not the ques tion of any issue is there, but in anticipation of any such sudden s hocks, it should not impact our balance sheet.

We are preparing ourselves, that's all.
- Mr. Ashok:
- That's definitely a prudent and that gives a lot of comfort actually because I mean even if it slips, the recovery prospects are very fast and very good being having 1 50% coverage . Point well taken, Sir. Sir, on the CASA side, Sir, I mean historically our CASA percentage is lower as compared to many of the peer banks, as compared to the last quarter it is improved. A little bit , so going forward, Sir, are we doing something aggressive even in this scenario? Is it possible to increase CASA and what is our target so that we become more competitive in the market on the interest rate front , Sir?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- We strongly believe that CASA can be garnered by improving our customer service by reconnecting with them . So, for that we have taken several initiatives in the first quarter. We already shared with you all that the products, innovative products, what we launched for the targeting that salaried class

, retired people , and specialized non-salaried class people. We have come out with several new initiatives and t hat has attracted very well and salaried emp loyees , because of that product , that product covers that gives the term life insurance coverage to the people who opt to the Canara Bank as their salary dis bursing bank. They are getting a term life insurance at a free of cost instead of in addition to t hat accidental death that has helped a lot in that . Our existing actually before commencing this product, our existing, the total salaried class who draws their salaries from Cana ra Bank was 14 lakhs . Now , it has touched 20 lakhs . Than in the last six m onths , we almost garnered 6 more lakhs new salaried class and simultaneously for Jeevan Dhara one pensioners, we are given the new accounts in that we have had a tie up with one TPA whatever it is there , in that we are extending some benefit to them .
- We have created a Customer Relationship Manager to handle the top 150 customers of individual HN I customers of individual branch in 5 ,000 branches and several initiatives we have taken . Even we are popularizing our digital footprint and we are the first bank who has come out with so many new initiatives in the current financial year . Interoperability in credit card , linking with the credit card with UPI, making more friendly by our mobile app, so many initiatives we are taking to attract the younger generation , the existing loyal customers , and the separate sectors , and we are also coming out with two more new features or products targeting the younger generation, professional students , and the women separately . There are two more new schemes , we are working o n that , we will launch very soon on that , and we are also launching a corporate mobile app for corporate clients. That's also is a very - I can say that very few banks are in India now it is offering that benefit that we are

about to launch in another one-week time and API banking we are making it more and more customer friendly.
- We are taking several initiatives and focusing of this Casa . So, we believe that , that We can improve that because you can see that the absolute numbers there is an increase almo st 4,500 crores, 4 ,200 crores in Savings Bank and almost 1,000 crores in CASA that you can see that absolute numbers is increasing. That itself is creating a confidence once the liquidity in the system improves, our CASA will improve definitely as we expe cted and definitely we are targeting - at least our immediate target is to maintain that existing level of percentage because the balance sheet is growing double -digit growth to maintain that first we have to grow double -digit in the CASA then you have to think beyond that then to improve the legacy issue of low percentage . So, our first focus is we don't want to sleep from that the existing percentage , we want to maintain that and there afterwards we want to further build on that with our initiatives. I'm sure that with our initiatives , we will build up that.
- Mr. Ashok:
- Thank you, Sir for such an elaborate answer .
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Ashok Sir, tell me Sir?
- Mr. Ashok:
- Can you hear me, Sir now?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Yes Sir, I can hear you Sir. Tell me Ashok, Sir.
- Mr. Ashok:
- Sir from here , can you take us through the digital journey, Sir, now because you said so many initiatives, can we have a little more detailed report or kind of an answer on our total digitalization or digi -banking with your all these initiatives and what kind of

budget which we have and we have spent, how much you've gone to P &L and how much has gone to capital account?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Defin itely Sir, definitely, definitely. Let me explain to you that on that , first

of all
before because you are expecting us to talk on the digital, let me share it with you on a happy moment , I can say that the consecutive last two years MEIT; Ministry of Electronics and Information Technology is a ranking the Indian Public and Private Sector Banks together . There are 47 banks , they rank it every year based on their journeys , their target versus achievement and the growth in the transactions, growth in the POS machines, growth in the merchant establishments, growth in the reaching
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of the villages and northeastern States and all , and consecutively last two years among these 47 banks , the Cana ra Bank stood #1
- Mr. Ashok:
- Oh, Congrat ulations Sir.
- Mr. K. Satyan arayana Raju - MD & CEO, Canara Bank:
- with 92 marks out of 100 marks. 92 marks out of 100 marks, 90 above no bank has scored , all are in the below 87. I can say that the 87 is the highest marks that shows that how much importance we are giving for th e digital front. Whatever I shared last time continuing to that even C BDC, we are the first banker who made it interoperable in the Canara Bank though we started our CBDC onboarding in the third stint , but we are the first banker made it interoperable . So, that the other person need not have a wallet of CBDC even if he is having a UPI, he can transact with CBDC currency transactions. That interoperability in India, we are the first banker who has introduced that. The second one is when the RBI is talkin g about a frictionless credit, the fastest STP route . First initially they have started implementing on experiment basis in Madhya Pradesh and six banks have started on the August 10th and we are the one among that six banks and it will be spread across all the remaining. It is expected to be spread in 25 states based on the revenue record digitization and all. Once that has been done and there will be a sea change in the sanctioning of the agriculture credit, it will be no time the credit will be happen , you can say that it's less than 3 minutes or 4 minutes that we have fortunately RBI innovation hub in Bengaluru headquarters and we have very good relation with them.
- We are continuously having a separate team engaged with them and recently just one week back on self-help group frictionless credit and we are the first to banker , we experimented, we successfully launched , and we are expanding it on that self-help groups STP route. There won't be any manual intervention , directly that self-help group loans and all will be done . Simultaneously , we onboarded the digital lending platform from end-to-end a nd the progress integration is going on. We expect that six products will be launched end-to-end by December 30th and in that including Mudra loans , the cle an loans, the personalized loans , first initially we will start that there afterwards we will extend it to the other personal loans and there are several in such initiatives , we are a ggressively going on that Sir, especially we are making our analytics - business analytics the wing so strong , we increased their strength from earlier, originally started from three people to now it is almost touching 45 people. We want to further strengthen it by using the latest tools on that, that we want to use it effecti vely in enhancing our business, new garnering the business , and we are giving more thrust on cross selling by using the business analytics.
- Moderator:
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- Thank you, Sir. The next question would be from the line of Mr. Mayank Kumar Gulgulia . Please unmute yo urself and go ahead.
- Mr. Mayank Kumar Gulgulia:
- Yeah. Hi, Sir. Thanks for taking my question . So, first like interest on the balance with RBI that amount used to be 500 to 600 crore one year back and it has increased to 1,000 to 1 ,100 crores.
- Mr. K. S atyanarayana Raju - MD & CEO, Canara Bank:
- That is interest earned or interest sp

en t? See the interest e arned is generally when
there is a liquidity issue is there in the market. If your treasury operations are effective whatever, that's overnight lendin g to the other required needy reported entities , so you can earn more interest - overnight interest whatever it is there on

that. So, that's the effective operations that benefit we are getting it and another is automatically whatever the interest we are getting it , see interest on investment is there. The interest on call money market , CBLO, whatever we are investing it that income it is increasing on that.
- Mr. Mayank Kumar Gulgulia:
- Okay. Sir, actually jump in interest income and that amount is much sh arper than the like movement in cash and
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No. If you compare to the June to September, it's hardly 230 crores.
- Mr. Mayank Kumar Gulgulia:
- Yeah .
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- It's no t a sharp increase. You might be comparing one year back.
- Mr. Mayank Kumar Gulgulia:
- Right. One year or two
- Mr. K. Satyanarayana Raju – MD & CEO, Canara Bank:
- One year back, system itself is having ample liquidity. There is no much demand in the over night lending and all , call money market and all. It's a market driven. If tomorrow ample liquidity is there in the system again, this interest income may come down.
- Mr. Mayank Kumar Gulgulia:
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- Okay. There's no one of, its pure money market and balance w ith the RBI. There is no one of in this - there's no s wap, interest income from swap , there's no one off in this amount .
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- So, these are all the - that's the details what we have given it to you, further de tails if anything is required, our CFO will forward to you.
- Mr. Mayank Kumar Gulgulia:
- Okay , sure. And within a fee-based income this quarter , miscellaneous had jumped to like 840 crores, it used to be 500 to 600 crores . So, can you share like jump in th at line?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Yes, Sir. Just. See debit card annual fee , the check - you see these are all the fees, SMS alerts, recovery in written off accounts . So, these are all the regular various parameters, those inco mes that annual fee , see debit card has increased that annual card also is there actually what will happen last time I can say that they clearly compared to the previous year, last year whatever the hike in that interest , the acquiring cost of the debit ca rd has been borne by the bank and for passing on to the customer it took time at six months' time . The plastic card cost was increase d enormously last year from ■24 to ■84, but the first six months it was absorbed by the bank , that's why it was not reflected in the last year , but there afterwards from December onwards it was started passing on to the customers that has helped us in getti ng the same amount.
- Mr. Mayank Kumar Gulgulia:
- Okay , got it . Sir, this will be a recurring income going forward also like it will be like around 800 crores or something.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- There may not be a reduction on th at much on that .
- Mr. Mayank Kumar Gulgulia:
- Got it. That was helpful and lastly like recovery from written off account , it was 1,612 crores in noninterest income and on the asset quarter slide we have shared 1,791 crores . So, can you share the accounting treatment of remaining 1 79 crores ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, Sir. Actually , exactly account to account shar ing, it will be not good personally , but actually NCLT, I'll tell you that through NCL T recoveries under written off accounts, the total whatever it is we received that , that's around 650 crores we got
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through NCLT settled accounts. The remaining

all amount has come through either
the OTS or the existing small ticket size recoveries.
- Mr. Mayank Kumar Gulgulia:
- Sir, I'm l ooking from the entire written off account
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Just one minute, one minute , our CFO will explain to you that .
- Mr. S.K. Majumdar – CFO, Canara Bank:

- Your query is that in this , in one place we are saying 1 ,612 and in the slide #28 we are saying at 1 ,791 that is your query isn't it? That difference is that interest amongst , whatever amount is
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Interest amount, interest on those written off accounts. If you have received book balance , it will be treated as a n actual recovery. If your received beyond that, that will go to the income head. That is an interest amount, interest amount. That's the difference is only the interest on return of accounts also recovere d.
- Mr. S.K. Majumdar – CFO, Canara Bank:
- The balance amount is taken as part of the interest income - other interest income.
- Moderator:
- Okay. Thank you, Mayank . The next question would be from the line of Mr. Ja i Mundra. Please unmute yourself and go ah ead. Jai? Not able to hear you.
- Mr. Jai Mundra:
- Can I come in?
- Moderator:
- Okay. So, we'll take the next question from the line of Mr. Anand Da ma. Please unmute yourself and go ahead.
- Mr. Anand Dama:
- Yeah. Thank you for the opportunit y. Sir, basically the LRD account that you're referring, is it more specific to the bank where you or basically that account itself where you're seeing a stress or is there a general stress in the L RD segment, #1?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

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- No, no, n o, it's a specific only single account .
- Mr. Anand Dama:
- Okay and otherwise basically you are not seeing any stress in the L RD segment ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, no, no, not at all.
- Mr. Anand Dama:
- Sir, a ny other bank has an exp osure to that account ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Pardon ?
- Mr. Anand Dama:
- Any other bank also has an exposure to that account ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, no, no, LRD is a - sole accounts only .
- Mr. Anand Dama:
- Okay Sir. Sir basically , what is the reason for the stress in that account ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- See actually it has started from COVID, it's a mall, so when it is a mall COVID there is an issue . So, when there is a re occupancy has come that sometimes they were struggling in the cash flows and all that was the reason , but we expect that the promoter will take care of that whatever it is required , but they are trying their best , but in anticipation of future ready , we ar e making it additional provisioning. It's a precaution and nothing else.
- Mr. Anand Dama:
- Okay. So, we are 100% provider on that account is it , Sir?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, there is no question of 100% provision. Whatever i t is required, we already provide d.
- Mr. Anand Dama:

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- Okay , and Sir secondly, the effective tax rate seems to be again on the higher side , so is it more to do with that we have had decent recovery during the current quarter that's the reason it is on higher side?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Effective tax rate , CFO saab.
- Mr. S.K. Majumdar – CFO, Canara Bank:
- No, no . This is the tax whatever provision we may design anticipation of the profit that we expect to make during this year. You must remember so far whatever tax provision we were making that we were having accumulated losses with us. Now , that is completely wiped off. There is no accumulated loss with the bank. Now , whatever is the expected operating profit based on that on

ly tax provision has been done .

- Mr. Anand Dama:
- So basically , we have move to the new tax regime, right for effective tax rate?
- Mr. S.K. Majumdar – CFO, Canara Bank:
- Yes, yes. This provision is based on the new tax rate only.
- Mr. Anand Dama:
- For full year it will be 25% , right? Effective tax rate ?
- Mr. S.K. Majumdar – CFO, Canara Bank:
- You are aware of it , it is 25% only is my tax rate and whatever provision we are making is based on that on ly.
- Mr. Anand Dama:
- Okay Sir, lastly on PSLC fees, so this quarter the PSLC fees are actually come off . So, any strategic reason for lower ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- See you should be aware about that. I am sure that you are aware about those things , Sir. The PSL C certificate, the demand will be th ere in the first quarter because the bank also will get full year benefit, the bank which purchases that's why whatever the opportunity it is available, we try to encash it in the first quarter and that the same benefit will not be there in the remaining 3 quarters . That is the general phenomena and again in the June quarter, we can earn more money on that .
- Mr. Anand Dama:

- Next year ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Yes, Sir.
- Mr. Anand Dama:
- Sure Sir. Thanks a lot.
- Moderator:
- Thank you , Anand .
- Mr. Jai Mundra:
- Yeah, hi Sir. This is Jai Mundra. I'm sorry I could not speak earlier.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Good evening, Jai Mundra Sir.
- Mr. Jai Mundra:
- Congratulations on the great set of numbers Sir. I have a ques tion Sir on your loan yields, right . So, loan yields whichever way I calculate they have increased at least by 25 basis point Q oQ and someone was also asking that you know is there any component of NPA recovery in the interest income , so if you have that number is that number like 200 crores odd or there is some more number, some more income that has come from NP A recovery and the increase in loan yields because if you look at it RBI data right , they give the monthly W ALR and you know lending rate number that and also other commentaries of the other banks on the lending rate seems to be stabilizing only , but for our bank it has increased , so any comments there?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, our lending rates actually we are very clo sely, very margin conscious decisions we are taking when we are giving a corporate side the decisions, credit decisions, but we are focused more on RAM sector where our average yield is always around 9% . So, you can see that the growth in the current quar ter, quarter -on-quarter more than 5% we are grown in the RAM sector as against that 2 ½% in the corporate sector that is helping us and in the corporate sector also we are trying to reprice our existing low yielding advances . If necessary , we are trying to reduce that exposure and redeploying it in a better pricing way . So, that's the reason r ejigging is happening at a corporate level that is helping us in maintaining that increase in the average yield.
- Mr. Jai Mundra:

- Okay a nd what is the total NPA inter est that has come in interest income, Sir?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- That will be a regular routine. I think it will not be in an even 4 -digit. It will be very three -digit figure only exactly I didn't remember , but our CFO will s hare it with you directly .
- Mr. S.K. Majumdar – CFO, Canara Bank:
- That is the difference what previous that is,
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, interest on NP A accounts , so he is asking . That’s what, I read around 1,000 to 1,100 cro res.
- Mr. S.K. Majumdar – CFO, Canara Bank:

- No, no , no.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- 450 crores, 450 crores.
- Mr. Jai M

undra:
- So, Sir I mean 450 crores is the NPA interest that has come in the interest income, right?
- Mr. K. Satyanarayan a Raju - MD & CEO, Canara Bank:
- No, that every quarter you get Sir. It's not that this quarter you are getting it. Wherever in the NPA balance is there , if you can recover beyond the balance that interest on NPA will be there , it's a part of the general banking and every year, every quarter that will be there. It's not that this quarter you got additional amount in the form of that 450 crores . Every quarter on an average 300 to 500 you will find that interest on N PA accounts .
- Mr. Jai Mundra:
- Okay. So, nothing unusual here ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, no, no, no. Nothing unusual.
- Mr. Jai Mundra:
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- Secondly Sir, on your cost of deposit, while you mentioned that you know cost of deposit remains under pressure , but given your envis aged deposit growth, you know, where do you think this should stabilize or do you think it will not stabilize at least for the next 2-3 quarters ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, at this moment , we see that there is - we are experienc ing that there is a stress on our margins because of interest on deposits, but there is no struggle in mobilizing the deposits. There is a continuous flow in our retail term deposits , in savings bank, and current account . Maybe savings and current the gr owth is very slow compared to the retail term deposits . Retail term deposits growth is good . Even quarter -on-quarter, the retail term deposit growth is more than 3% . So, that is growth is there , but that rate of interest what we are offering is special scheme 7.25% - 7.25 is comparatively very high , that is continuing now at this moment . At this moment, there is no plans to reduce that rate of interest , at the same time there is no plan to increase also because there is a continuous flow . Whatever we r equire, we are getting that funds at this rate . So, we don't see any further increase in that rate of interest, but , however , paying 7.25 is definitely a burden in coming quarters.
- Mr. Jai Mundra:
- Okay and Sir if you were to put a median number to your bu lk deposit wholesale rate, what would that be range? I mean, let's say what would be your blended rate for bulk deposits and how has that blen ded?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, bulk deposits depending on the period, it varies from 6.5 to 7.5 , 7.7 that is the average rate , it is coming even 6.5 if you are taking it a short -term deposit . So, that's why we are making our bulk deposits or CD in the combination of three months, six months , and 12 months. In that way , on average we are trying to maintain below 7.5.
- Mr. Jai Mundra:
- Okay , understood, Sir a nd last question, Sir, some of the banks have reported treasury l oss this quarter. Of course, our treasury team has done phenomenally well, but just wanted to check, was there any, MT M in the G -sec, which would have been offset by something else or you know, there was no M TM?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No such anything special, Sir. It is a regular what we do, it is the same transaction , but look at that, you are comparing with the last quarter, then you are telling that last two quarters you are doing better here , but if you compare year -on-year , I lost almost 50%.
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- Mr. Jai Mundra:
- Right, okay , and Sir if you have this number of loan mix by benchmark, how much is repo, how much is MCLR , and fixed rate that would be?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- It is almost 50% is in MCLR, Sir. 38% is in RLLR. The remaining is staff loans, loans against deposits , and all those things are there, Sir.
- Mr. Jai M undra:
- Thank you so much, Sir, and all the very best.

- Moderator:

- Thank you , Jai.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Thank you, Sir. Thank you.
- Moderator:
- The next question would be from the line of Ashilesh . Please unmute yourself and go ahead.
- Mr. Ashilesh Sanjit:
- Can you hear me? Hello , hi Sir. I hope you can hear me ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Yes, Sir.
- Mr. Ashilesh Sanjit:
- Sir, just a couple of questions. Firstly , on the wage hike provision , which you have taken of about 345 crores, what is the percentage wage hike which we are assuming here ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- 15% . Actually , the last wage revision it was around 14 % to 15% the settlement was happened . In anticipation of that same line, we are continuing to provide 15% every month. We have more than 1 ,150 crores provisioning in that so far and we continue to provide.
- Mr. Ashilesh Sanjit:

- Okay Sir a nd secondly on the MC LR link ed loan book, we have taken a hike of only around 10 basis points since March 23 , do you expect any further repr icing left in this MC LR linked book ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Growth in the loan book, Sir?
- Mr. Ashilesh Sanjit:
- In the MCLR linked loan book, do you expect any repricing left?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, that's rep ricing almost it is coming to the end. See the MCLR 50% our exposure is there and we have revised MCLR there. It's almost coming to the end.
- Mr. Ashilesh Sanjit:
- Okay Sir. Okay and Sir just one question to end with , the profit on exchange transactions line item within non-interest income that has been steadily declining, is there any reason for this ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Pardon?
- Mr. Ashilesh Sanjit:
- That is the profit on exchange transactions.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- That is the transaction, t hat is a treasury, that is a treasury transaction, Sir. You know that the treasury transactions are happening that because of market condi tions only. It's nothing beyond the control of the individual, Sir. It's because of market conditions , the trend is like that.
- Mr. Ashilesh Sanjit:
- Okay Sir, perfect. Thank you.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Okay.
- Moderator:

- Thank you. Thank you, Ashilesh. Before we move on to the next participant, just one question from my side, Sir, your SMA number has reduced to 0.70. How do you say fresh slippages spanning out in second -half of the year?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- We feel that we can continue with that, Sir. The percentage that we have shown that 0.70, we are confident that we maintain that percentage.
- Moderator:
- Okay Sir. Okay . So, the next question would be from the line of Sushil Chokshi. Unmute yourself and go ahead.
- Mr. Sushil Chokshi:
- Congratulation team Canara for excellent performance.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Thank you, Sir.
- Mr. Sushil Chokshi:

- Sir, my first question is based on the entire digital spend you worked o ut rolling out with lot of co -lending and various other partnerships , onboarding of corporates and SME for digital initiatives you w ould have taken for many products , will second -half not do much better than the first half because of your outlook on RAM as well as existing retail products is getting better?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No business front, we see that definitely with the second quarter, third , and fourth quarters will be better than the second quarter in business front , but we are very conscious on the margins too, Sir. It's not we are taking the decisions based on the margin also. Only, we are not looking at the top line. We are looking

at both top line
and bottom line . So, our growth will be steady. I don't say tha t there will be an too much change in that, but we have given the guidelines, guidance that our advances will grow at 10.5%, but we are already told initially itself that our advances may grow between the 12 % to 14% and we think that definitely we will gro w at about 12% and total business we have given a guidance of 10% and we are going above 10% .
- Mr. Sushil Chokshi:
- Sir, that is typical of Cana ra, be conservative and outperform . So, that's fine. The second thing is your outlook specifically based on wher e money market is concerned in India or globally, what is our treasury outlook and what is outlook on our international book , which may be yielding rewards right now?

- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Our Mukherjee Sir will answer you , Sir.
- Mr. Debashish Mukherjee – Executive Director , Canara Bank:
- Sir, with regard to the treasury book, not much significant difference will be there in the current quarter that is what we anticipate . So far as our international operations is concerned , we are seeing steady growth there. Incidentally, we have gone in for opening of one IBU in Gift City as you are aware and that will be fully operational in this quarter , we have already started business .
- So far as our international business is concerned , it is growing steadily . With regard to treasury operations , it will maintain the same pace as it was in this quarter. This is all I can say .
- Mr. Sushil Chokshi:
- Sir, based on the outlook and what we have highlighted in press that we may be capitalizing on som e of our subsidiaries with IPO and some of our subsidiaries where market was seeing some problems have been resolved and they started performing well. Can you give gist because this time I don't see anybody asking you a question on them rather give us som e positive or color on the positivity which has emerged in last one quarter?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Sure, Sir. Actually , whatever we promised on that subsidiary, the actions are continuing it. We told already that in two cases we will come out with that public issue and the respect ive companies are taking the necessary steps towards that because since it's a long period duration, the things are going in the right direction and again we told that in One Can Fin Homes now you hav e seen that the uptrend is there and we are very closely associating with them in their day -to-day functioning and nowadays we are trying to give as much technology benefit to them also to internal control and to have better monitoring systems . They are d oing very good business, but they need support from us in the form of a technology support that which we are extending to that subsidiary , so that we are confident that that subsidiary also will do well in the days to come. Then 4th one is the shifting of our credit card business to a subsidiary that is also his action is going on . Now, recently we posted a GM level person as a General manager to take forward whatever the initiatives we have taken into that as an MD of that company .
- Mr. Sushil Chokshi:
- Sir, congratulations on excellent choice for Can Fin Home . Sir, m y next question is on the digital spend , which we had decided for the large amount, how much of that work would be over in current year and what percentage of money would have been spent by now?

- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- See g enerally on an every year , we are targeting a capital expenditure of around 1,000 to 1 ,200 crores in that Sir and this year almost 80% of that transactions have been completed. Maybe the payments may happen in a staggered manner , but the purchase orders and all have been given through , it has been done everything

through Gem portal only and when you are investi

ng heavily in the capital
expenditure continuously for three years, naturally that A TS wh atever the annual maintenance charges and all it Increases your operating expenses to some extent, but that we are able to maintain even with that ATS extra charges by controlling that internal operating expenses by regulating our non-core branches and all well with in that.
- Mr. Sushil Chokshi:
- Sir, do you see a cost of income coming to 40% in next 12 months?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No Sir, we don't see that. See given the guidance below 45, we maintain that . It's a too Big Bang , Sir.
- Mr. Sushil Chokshi:
- Thank you and all the best for years to come.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Thank you, Sir. Thank you, Sir. Thank you.
- Moderator:
- Next question would be from the line of Omkar. Please unmute yourself and g o ahead. Omkar, can you unmute yourself and go ahead.
- Mr. Omkar:
- Hello.
- Moderator:
- Yeah, you are audible.
- Mr. Omkar:
- Yeah, hi Sir. Thank you for the opportunity. I just wanted to ask you our agri book has grown very well at almost 6% quarter -on-quarter . I wanted to know how much of this has come from the gold portfolio?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

- Actually , of course , gold portfolio also has contributed a good amount in this agriculture. We can say that the 4% out of this 6.3 onl y I am giving that bifurcation . 4% from the gold and 2.37 from the core agriculture , but the core agriculture also has started picking up because of the self-help group lending and rural infrastructure lending those things, there's areas we have focused a nd we introduced some area wise products also that is getting a good traction on that. That's why first time we are seeing any even a core agricultural double -digit growth.
- Mr. Omkar:
- Okay. Thank you, Sir. That's it.
- Moderator:
- Sir, we have one question from the chat box. If you could provide slippages breakup for this quarter ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Sir, you can note down that's 800 crore is from agriculture, 900 crore from MSME, 400 crore from retail. The remaining is corp orate ; corporate is around 750 Sir.
- Moderator:
- Thank you, Sir. Sir, the next question is from the line of Chintan.
- Mr. Chintan:
- Yeah , hi. Thank you for the opportunity . So, two questions from my end. Firstly , on the branch network, so I see Sir our bra nch number has been consistently declining and it's almost near to three years low. So, j ust wanted to understand what is the strategy here on the branch expansion ? That is my first question.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Actually , the post amalgamation wherever it is a repetition of that branches in the same location has to be gradually - has to be either relocated or the merger that was the decision of the board. In that direction every year we are identifying some things and we ar e continuing to close or me rger the relocate those branches , but at the same time this year we identified such 400 branches , but at the same time we are also permitting the all our field functionary circles and regional offices to open at 275 new branches where the potential - CASA potential is there . So, that's the actually the part of the C ASA when we focused more . This rationalization of branches or relocation of branches or opening up new branches is also a part of strategy to improve that C ASA. That is indirectly helping us in operating expenses control also.
- Mr. Chintan:

- Sure Sir, but this rational rationalization is going on since the past three years, you

mean, right?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- See the rationale behind that is, if suppose two branches are in adjacent of just 500 meters or 300 meters

of the same bank when the technology is so high and it's a
merely because of the olden days, the two different banks, they have the two different branches when it is merged slowl y, we are looking at those merging of those things branches.
- Mr. Chintan:
- Okay. Sure, Sir. And Sir, just one thing on this stress account, just to catch up on that again, you don't get that one account which is L RDs under stress. Apart from that, any ot her accounts which are kind of very much sticky in SM A and where do we think we could provide some in case we have any buffer or something?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No Sir.
- Mr. Chintan:
- And the re are no other sticky accounts?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- That you can easily make out from our SMA figures . No, no, no account. That you can easily make out from our SMA figures.
- Mr. Chintan:
- Okay. So, Sir the provision I mean on that usually, so you don't - we h ave been provided adequately so, that is like 15 %-20% odd there or more or would you just drop a comment on that number ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- When we say that we are in anticipating and providing more than what it is required that you should get the answer from that .
- Mr. Chintan:
- Sure Sir. Sure . That is very helpful. Thank you , Sir.
- Moderator:
- Thank you, Chintan.

- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Thank you.
- Moderator:
- The next question is from the line of Bh avik Shah. Please unmute yourself and go ahead.
- Mr. Bhavik Shah:
- Hello. Am I audible?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Good evening, Bhavik.
- Mr. Bhavik Shah:
- Good evening, Sir. Sir, congrats on good results . Sir, just two questions . Sir, RBI has been flagging concerns of low savings account rate , what should we read through that like are you anticipating increase in savings account rate over the couple of quarters?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- At this moment , we are not anticipating any upward revision in the savings bank account interest rate, but we keep observing the market . If necessary , we don't mind to take such decisions, but I feel that the savings bank deposit by increasing the rate of interest you can i ncrease the balance, it may not be the case , but it's more or less depends on the service and the satisfactory level of the customer that gives you more savings.
- Mr. Bhavik Shah:
- Understood Sir. And Sir circling back to one more comment that you kind of indicated earlier that whenever there is periods of constrained liquidity that interest on balance component of the interest earnings will be high . Sir is that also to do with your LCR ratio . So, whenever the LCR ratio is high , you will kind of keep deplo ying?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, no, no, no, not at all. Our LCR is very comfortable . Actually , the last year our LCR was 119. This year we are touched almost 130 above. Now , as on date we are maintaining on an average 130 a bove. The regulator expectation is 100%. Our internally we kept a barrier is 120, but we are maintaining well above that even 120 and we are maintaining on an average 130 to 135.

- Mr. Bhavik Shah:
- Okay , Sir. So, that excess that you are holding, is that helping you all that income like how should one read th at?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, that access or holding means you see that we are already increased our CD ratio 75%. We also increased our investment portfolio also . You can see that in the last six months and this because we have excess SLR by using that window , we are borrowing from the RB I and we are effectively using that money to earn the funds , traditional income.
- Mr. Bhavik Shah:
- Underst

ood, Sir . Sir, that was very h elpful , Sir. Thank you, Sir.
- Moderator:
- Thank you , Bhavik . The next question is from the line of Rishikesh. Please unmute yourself and go ahead .
- Mr. Rishikesh:
- Hello . I'm audible ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Yes, Rishikesh.
- Mr. R ishikesh:
- Hi. Thank you for the opportunity . Sir, my question is with respect to the credit cost. Sir, how do you see credit cost for coming, let's say one to two years , could you please give some light over here?
- Mr. K. Satyanarayana Raju - MD & CEO, C anara Bank:
- No, actually we are given guidance of credit cost is 1.2 – 1% so that's 1.2. Just now we are reaching to that 1.10 to 1.22. Now , we are already reached to 1.02. I don't see a drastic reduction on that. We may maintain around that.
- Mr. Rishi kesh:
- Okay and how would that shape up for
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Because there is a still scope for me to increase our PCR .

- Mr. Rishikesh:
- Okay and how do we see that for FY25 and FY26, if you can share for that too?
- Mr. K. Sa tyanarayana Raju - MD & CEO, Canara Bank:
- That's what I'm telling. We can manage around 1% . So, till we reach our PCR is around 95 %.
- Mr. Rishikesh:
- Okay. Okay. No problem. Thank you.
- Moderator:
- Thank you, Rishikesh. The next question, the last questi on is from the line of Bharat Jain. Please unmute yourself and go ahead.
- Mr. Bharat Jain:
- Sir, v ery good evening. Sir, my question is on the slow pace of recovery on NC LT referred accounts. So, l ike if you have any comments about what is happening on those lines ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Mukherjee Sir.
- Mr. Debashish Mukherjee – ED, Canara Bank:
- Actually , let me tell you, you are all aware about the workings of NCLT. In spite of our best efforts, although we are getting some fru its of NCLT processes , but mostly by way of liquidation and that is #1. #2, some of the cases are just at the verge of, you know, getting some results . So, yes, the pace is very slow, but we still feel that NCLT has a process, IBC has a process, has a de terrent factor which also helps us indirectly in recovery . So, that way it is pretty helpful.
- Moderator:
- Thank you. Thank you , Bharat . Due to time constraints, this was the last question. Thank you, Sir for giving Antique Stockbroking the opportunity f or hosting this call . I would request MD, Sir for his closing comments .
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Thank you. Thank you. Thank you, Sir. Thank you , investors. We are continuing whatever we told that whatever guidance we have gi ven a t the initial stages of this financial year. Hope you all realized that we are moving in the same direction in a much better, stronger way , and we continue to do that. We will try to see that , that our value of this bank is increasing multifold in t he coming days and whatever the

hard work we are continuing in all the parameters, the same focus we will continue.
Thank you, Sir. Thank you very much for your support.
- Moderator:
- Thank you, Sir. I request all the participants to please sign off. Thank you.
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End of Transcript

Call: Jan 2024

■■■■■■ ■■■■■ Secretarial Department
■■■■■■ ■■■■■■■■■■ Head Office F +91 80 22248831
112, ■■ ■■ ■■■, ■■■■■■■■■ - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.canarabank.com
Ref :: SD:607/608 /11/12::2023 -24 31.01.2024
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
MUMBAI - 400 001

Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
EXCHANGE PLAZA
Bandra -Kurl a Complex, Bandra [E]
MUMBAI - 400 051
Scrip Code: CANBK

Dear Sir/Madam,

Sub: Q3 FY 2023 -24 Earnings conference call with Analysts / Investors - Transcript

Ref : 1. Our Letter SD:568/569/11/12::2023 -24 dated 19.01.2024 &
2. Our Letter SD:586/587/11/12::2023 -24 dated 24.01.2024

With reference to above and pursuant to the applicable provisions of SEBI (LODR) Regulations, 2015, we herewith enclose the transcript of post results Earni ngs conference call Q3 FY2023 -24 held on 24.01.2024 .

The trans cript of Q3 FY2023 -24 Earnings conference call is uploaded on Bank’s website and the same can be accessed through below link:

https://canarabank.com/pages/Earning -Conference -Call-Transcript

This is for your information and records.

Yours faithfully,

SANTOSH KUMAR BARIK
COMPANY SECRETARY

Canara Bank Earnings Call

- Moderator:

- On behalf of Antique Stock Broking Limited, we welcome you all to Q3FY24 Post Earnings Conference Call of Canara Bank. From the bank’s side from the management team we have Mr. K. Satyanarayana Raju - MD & CEO Sir, Mr. Debashish Mukherjee, Executive Director, Mr. Ashok Chandra, Executive Director, Mr. Hardeep Singh Ahluwalia - Executive Director and Mr. Bhavendra Kumar - Executive Director.

- Without further ado, I hand over the call to MD Sir for his opening remarks post which we can open the floor for any queries. Thank you, Sir, and over to you.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Good afternoon to all of you. I'm here to share some few performance highlights of the December quarter of Canara Bank. Our Net Profit has increased and reached up to 3656.

- We request all of you to mute your mics.

- First time we have crossed the 5 -digit figure. Last year Net Pro fit was 10,604 crores but in this current financial year in the first three quarters itself, nine months, we could surpass that last entire year's the Net Profit of 10,000. Now, the current nine months Net Profit is 10,797 crores. This could be possible be caus e of our Net Interest Income.

- Participant:

- Namaskar, Raju Sir.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Namaste, Sir. Shall I continue, Sir?

- Moderator:

- Yes Sir, please continue.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

● Our Global Business has crossed 22 lakhs and reached to the 22.13 lakhs within a 9.87% year -on-year growth.
● Our Domestic Advances are growing at 12.56. Our Total Global Advances have crossed 9.50 lakhs crores.

● Our Total PCR has improved 269 basis point and sto od at 89.01%.
● The Return On Asset, we are continuing to maintain above 1%. The current quarter also Return On Asset is at 1.01% with an improvement of 25 basis points year -on-year.
● First time our Credit cost has gone below 1%. Now, our Credit cost is 0.97% with a year -on-year decline of 24 basis point with a healthy portfolio and improvement in the recoveries in the NPAs and the return of accounts.
● Our Gross NPA has come down to 4.39 as against our guidelines of 4.50 for the entire financial year, with a de cline of 150 basis points year -on-year. Our Net NPA also has further down to 1.32%, year -on-year dec

line of 64 basis points.
● This Global Business and the Global Advances what we achieved 9.5 lakh crores is led by RAM sector as we have given the guidance th at we focus more on the RAM sector. Our RAM sector has grown at 14.56%. and stood at 5,30,000 crores. This was led by Retail Credit growth of 12.14%. Agriculture and allied activities including the gold loan 19.26%. MSME, first time for the last 3 -4 years we are touching almost 10% year -on-year growth.
● And within the Retail Credit also the major growth is in the Housing Loan and the Vehicle Loan at 12.07% and 13.22%.
● Our Earning Per Share is improved 45.74% year -on-year and reached to the ■79.21.
● Our Return On Equity still we are maintaining at 21.95% with a year -on-year improvement of 357 basis points.
● Our Net Interest Margin, though there is a stress on the cost of deposit, still we are able to maintain about 3%. Our Net Interest Margin is at 3.02%. Initia lly itself we have given a guidance that we are focusing more on a yielding advances like in a RAM sector; more focus will be given on the RAM sector. Accordingly, just one year back our RAM sector was at 54% and Corporate was at 46% but because of the hig her growth rate shown in the RAM sector our RAM sector composition has become 56% and Corporate has reduced it to 44%. But more or less every parameter is growing in the double digit, near to the double digit, including the Corporate which also has grown y ear-on-year at 8.26%.

- You can see the specific ratios.

● Net Profit is continuously increasing.
● And the PCR also is increasing from 86.32% to 89.01%.

● Gross NPA also is continuously reducing from 5.89 to 4.39. And Net NPA also is coming down gradually from 1.96 to 1.32.

- Certain key ratios I wish to share with you that reflects the consistency and the stability of the Balance Sheet of the Canara Bank.

● Return On Asset above 1%. That's both quarterly as well as cumulative is 1.01%.
● Return on Net Worth, quarterly at 21.06 and a cumulative it is 21.95.

● Cost -income ratio quarterly 50.37 but cumulative 45.93. But here I would like to clarify here itself why the cost of Cost -income ratio for the quarter is 50.37%. There is not much increase in the Operating E xpenses but you are aware that the current quarter, the bipartite settlement has been signed between the Employees Association and the IBA. They signed the agreement at a 17% incremental growth in the wages and it is effective from the November'2022. That means up to December'2023 so total 14 months. When we started our journey from the November'2022, initial first quarter we have provided in the anticipation of incremental growth in the salary bill; we have provided 10%. Afterwards, two quarters we have pr ovided 15% -15% because last time the wage revision was happened in between the 14% -15%. But now the settlement has happened at 17% which demanded a higher provision. So, up to December 31st, 2023 that means a total entire 14 months period we calculated the burden on the Employee Cost because of this wage revision at 17% and the entire amount whatever it is up to the December 31st, the gap, we have provided in this quarter itself. In addition to this, because of this wage revision there will be an Actuaries on the retirement benefits also. Out of that also 250 crores we have provided in this quarter itself. So, totally in addition to that regular provision of 15% -17%, 700 crores extra we have provided towards meeting the requirements of the staff wage revisio n impact so that there will not be any much pressure on the next two quarters on this particular issue. Entire that expenditure, whatever it is in actual, we have calculated it and the entire amount has been provided in this quarter itself. That's the reas on the Cost -income ratio has shown little more in the 50% in the current quarter but overall cumulative is 45.93. We have given a guidance at 45

%, we are
sure that by March we will maintain that at 45 below.
● Our CD ratio is just above the 75%; 75.26%.
● Our EPS (Earning Per Share) current quarter it is 80.17 and cumulative it is 79.21.
● Our Book Value has further improved ■390.78.
● And our NIM is maintained about 3%.

- So, our Capital Funds, here again I want to clarify that continuously last three quarters we are able to maintain above 16% but because in the December quarter the regulator has changed the risk weightage on certain NBFC exposures and the personal loans exposures of all the Banking Industry that has affected, impacted the Canara Bank's capital in a downward 52 basis points. But because of our internal accruals in the current quarter also, after meeting the current quarter advances growth we could have a surplus of 10 basis points. That's why the net impact for us, though it is initially because of t hat higher risk weightage it was impacted 52 basis, but it has reflected finally at the end of the quarter is only 42 basis points i.e. 16.20 became 15.78.

- And, of course, here let me clarify to you that the Board has already approved the bank to go to the market for raising AT1 and Tier 2 Bonds to the exten t of 7500 crores. Out of that AT1 bonds is 3500 and Tier 2 Bonds is 4000 crores. In the just concluded quarter, we have gone to the market for 100 0 crores, raising 1000 crores AT1 bonds, keeping in mi nd

the rate of interest at 8.4%. So, we got bidding at 8.4 almost to the extent of 1443 crores and the entire 1443 has been absorbed. The remaining 6100 crores is yet to rise from the market. We are watching the market because we are very rate sensitive an d concerned about that rate of interest. Whenever we feel that it is favorable to us, definitely we will raise this remaining 6100 crores in the next two months if the market favors to us. And this is actually guidance at the initial financial year that's given the guidance to the Analyst as well as the Media, Sir, and actuals what we have given is we have given the business growth globally at 10%. We are maintaining that 10%. Advance growth, we have given at 10.5 but we are growing at 11.69. We are sure th at we maintain that to 12% whatever the growth rate is there.

- Deposit. We have given a guidance of 8.5. We are growing at 8.55.

- CASA is one of the area of concern still for us though we have given ambitious 35% but we are able to maintain only 31.65%. This is because though the deposits are growing at 8.55 our CASA year -on-year it has grown only 5.05. It is not in sync with the Tot al Deposits. That's also one reason that we are not able to reach that CASA 35%. But this current quarter we have taken it as an exclusive campaign for the deposits, especially in the Retail Term Deposits and main focus on the CASA. We have initiated sever al initiatives. We are hopeful that this current year , year -on-year growth will also be in sync with our D eposit growth

- Gross NPA, as against 4.5 we already achieved 4.39. Net NPA as against the guidance of 1.20, we already achieved 1.32.

- PCR. We have g iven 90% as a guidance. We already achieved 89.01%.

- Slippage ratio. This is also another area to show the reflector that to reflect the health of the portfolio. As against 1.30 we have achieved 1.24%.

- Credit cost. First time that it is also helping indir ectly in our NIM also. That's 1.20 as against…and first time in Canara Bank history that we could achieve the Credit cost below 1% i.e., at 0.97%.

- Return on Equity, as against the guidance of 19.50% we achieved 21.95%.

- Earnings per share. We have given a guidance of ■65 but against that it is ■79.21 what we have given. The results have come and that's why we could achieve that ■79.21

- Return on Average Assets, another strong ratio which we are able to maintain. As given the guidance is 1% for this coming financial year end but we could achieve it we

ll before
that and we are able to maintain at 1.01%.

- These are the few highlights of the performance of the December quarter from our side, Sir. Now it's open, you can ask any questions. Along with me our Exec utive Directors and CFO are all available. We are ready to answer your queries whatever it is there, Sir, or the clarifications.

- Moderator:

- Thank you, Sir. Those who wish to ask a question, please raise your hands. In fairness to all participants, we would like to request you to please limit your questions to two per participant.

- So, I would first request Maru to ask a question. Please, unmute yourself.

- Ms. Maru – Participant:

- Yeah, hi.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Hi, Madam.

- Ms. Maru – Participant:

- Hi. Sir, my first question was on the interest income. If you see other interest that has gone up a lot, that has gone up nearly by 800 crores, the other interests in the total interest income. So, what does that comprise of? What items does it comprise of ?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- These are all actually items, Madam, it is related to the Income on Reverse Repo, Income…whatever the interest we keep it for overnight, we lend to the other partners in the market because when we have a tool of borrowing from the RBI at a cheaper rate.

We have a scope to invest wherever the liquidity issues are there with the other partners. There we can lend overnight or in a short term basis. These are all the things and, of course, some other is their interest and swap. Many times whenever the swap, interest rates will be there and that income also will be there. Some interest on tax also will be there. These are all the components of that, Madam.

- Ms. Maru – Participant:

- So, Sir, can you quantify th e swap income and tax income so that we know how to forecast this for future? Because it's gone up very sharply by 800 crores, so that way.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- That's correct, Madam, but you can see that there is a steady growth for the last four quarters. So, hope you might have seen that continuously that quarter -on-quarter there is a growth. That means you can understand that we have focused on that particular parameter and we are working on that. That's why these result s are giving that.

- But exactly item wise, I don't have the clarification but we'll come back to you, Madam, on that.

- Ms. Maru – Participant:

- Okay. But just, Sir, if you could give the tax refund, if not the swap. How much is interest on tax?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Our CFO will be in touch with you, Madam.

- Ms. Maru – Participant:

- Okay. Okay, Sir, and my other question is that now what is like earlier you had indicated in the previous calls that at the 15% hike your wage bill per month was around 115 crores and now that you have provided 17% what does that move up to?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Madam, actually, already now the settlement has been happened. Final draft guidelines they are drafting i t but the agreement has been happened between the Employees Unions and IBA at 17% load on the November 1st, 2022 salary bill. Based on that we are providing it at 17%. If we calculate it every month, it is calculating around 129 crores; approximately 130 c rores per month. So, we calculated from last 14 months on the same basis 129 crores and whatever the shortfall we have provided earlier based on 15% guideline, whatever the shortfall is there that entire amount we are absorbed in this quarter itself up to December 31st, Madam. That's why we have provided 700 crores extra in this quarter towards the employees.

- Ms. Maru – Participant:

- Correct, Sir. And, Sir, you mentioned that that 250 crore of actuarial pensions.

- Mr. Satyanarayana Raju - MD

& CEO, Canara Bank:

- Yes, Madam. Yes, Madam.

- Ms. Maru – Participant:

- So, that is up to December? You provided up to December?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Actuaries, see, is up to March, Madam. So, up to March whatever it is there, in that majority we have already provided in the Actuaries. A small portion may be there, that we will provide in the March. Very small portion will be left out in the Actuaries. In Actuaries also majority portion we already absorbed in this qua rter itself.

- Ms. Maru – Participant:

- Okay. So, now in the March quarter most likely you will just see a provision of 130 crore into 3.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Yes, Madam.

- Ms. Maru – Participant:

- And very small pension, correct know?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Very small portion of Actuaries. Very small portion of Actuaries.

- Ms. Maru – Participant:

- Okay, Sir. Thank you. Thanks a lot.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Thank you, Madam.

- Moderator:

- Thanks, Maru. We have the next question from the line of Mona Khaitan. Please, unmute yourself and go ahead.

- Ms. Mona Khaitan – Participant:

- Yeah. Hi, Sir. Good evening.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Good evening, Madam.

- Ms. Mona Khaitan – Participant:

- Yeah, my first question is on the pro visions line. So, we see a write back of about 490 crores during the quarter, what does this pertain to?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Actually, Madam, you might be aware about that RF 1 and RF 2, when we do that we have provided, because of that restructuring some provisions have been made. That when it is coming to the accounts have been completed the required tenure as well as the accounts are n ow standard assets for that and whatever it is there on those things whenever the loans also closed in this know that reversal of this provisioning on RF 1 and RF 2 is major that 490, Madam, whatever it is there.

- Ms. Mona Khaitan – Participant:

- Okay. So, this mainly pertains to restructured book comin g off etc ?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- That's why this delay. Delayed RP also is there, Madam. Resolution process is there know wherever delayed RP, we have provided extra provisions. Once that has been admitted in the NCLT, that provision also will be reversed.

- Ms. Mona Khaitan – Participant :

- Sure. And where does the residual restructured book stand today against about 14,000 crore last quarter?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Yes, Madam, it is there. Actually, originally this RF 1 and RF 2 and MSME their restructure happe ned 24,000 crores. As on date, it has come down to that 17,000 crores and out of that for almost 4900 crores is NP A and 12,000 crores is standard asset.

- Ms. Mona Khaitan – Participant:

- Okay. Sure. And my second question is on the recovery. So, we have seen very strong recoveries over the last two quarters from written off accounts.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Yes, Madam.

- Ms. Mona Khaitan – Participant:

- So, what sort of expectations you have for the coming quarters and the next fiscal as well?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- In current financial year in initial stages itself we have told you, we informed to the Analysts that our target is our s lippages will be well within our recoveries towards the NPA and the written off and upgradation. And the same guidance we are continuing and in that we are able to maintain for last continuously three quarters and the December quarter also we could maintai n that. The recoveries, again, under the written off it is coming not only from the NCLT. NCLT we got o

nly 450 crores odd amount through
liquidation or the settlement resolution through and the remaining all is through small loan accounts, Madam. Wherever some OTS is ther e, every time we have attractive OTS schemes are there in written off accounts and through OTS in across the 10,000 outlets we get this recovery.

- And because we are focused on that recovery especially, we are driving in all the areas. So, we are getting a better recovery under written off account. And the slippages also you can see that year -on-year it is slowly, continuously it's coming down quarter -on-quarter. So, December it was 3000 thereafter was 2857 and September it is 2894 and now it is 2697. These are all the fresh slippages, Madam. We are also controlling our fresh slippages and these 2697 know, the slippages are 1200 crores towards MSME, 1000 crores are towards Agriculture and 400 crores is towards the Retail.

- Ms. Mona Khaitan – Participant:

- Sure, Sir. Can you just repeat the breakup of slippages?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- 1200 crores from MSME, 1000 crores from Agriculture, 400 crores from Retail.

- Ms. Mona Khaitan – Participant:

- Okay and nothing from Corporate?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Small amounts from the existing loans and the small -small accounts.

- Ms. Mona Khaitan – Participant:

- Got it, Sir. Thank you so much, that was useful.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Thank you, Madam.

- Moderator:

- Thank you. We have the next question from the line of Rakesh Kumar. Please, unmute yourself and go ahead.

- Mr. Rakesh Kumar – Participant:

- Yeah, hi. Thanks, Sir. Thanks for the opportunity.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Hi, Rakesh.

- Mr. Rakesh Kumar – Participant:

- Hi, Sir. So, Sir, first question was pertaining to this wage revision provision that we have made incrementally in this quarter. So, we understand that there was an increase in you the settlement number at 17% and we were making provision at around 15%. But like the incremental rise in this quarter like we have made around 740 crores approximately, correct me if I'm wrong.

- Mr. Satyanarayana Raju - MD & CEO, Cana ra Bank:

- Yes, Sir, I'll explain to you that. I'll explain to you that. In that, actually, already last year December quarter then March quarter, June quarter, September quarter; there four quarters have been completed. In the first quarter we have provided 10% and there afterwards we started providing at 15% in anticipation that it will be in line with the last

times settlement. But this time settlement has happened for 17%, so I have to calculate 17% from 14 months and we calculated that 14 months. When we calculat ed whatever the shortfall, the shortfall it has come around 450 crores. That 450 in addition to that regularly what every month we are supposed to provide was 129 crores per month. That is for these three months also has been provided and in addition to th at that 450 also has been provided. In addition to that, that Actuaries towards the retirement benefits, some burden will be there around 400 -450. There also we have taken some 250 in this quarter because in this quarter we felt that some cushion is there for us. So, we absorbed this in this quarter itself; these two together. So, total 700 crores we have provided additionally. That has impacted that OP as well as the Cost -income ratio, Sir.

- Mr. Rakesh Kumar – Participant:

- Previously we were not making p rovision on account of Actuarial benefit obligation?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- No, but generally Actuaries the payment will be once you have finalized and then only Actuaries you can arrive what is the actual amount. But since the settlement is not finalized, that will happen only at the time of payment. B

ut now this time also because in
anticipation of next quarter it has to be paid. Since we have a cushion in this quarter, we have taken some burden in this quarter in advance. Othe rwise, generally the tendency practice is at the time of payment only Actuaries will reflect in that quarter.

- Mr. Rakesh Kumar – Participant:

- Okay, understood, Sir. And, Sir, like Return of Pool still is close to around 69,000 crores, so firstly if you can give some picture on these 69,000 crores written off pool. So, what is the vintage of this pool? Like these are two years old, three years old, so if you can categorize that number?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- No, I can tell you that broadly. Broadly I can tell that but the majority will be in already NCLT cases. More than 51,000 crores to 52,000 crores is in the NCLT cases. The remaining is in the RAM sector in various areas. So, D3 where you have provided 100% or the loss asset where there is no security, so on those matters only this pool is there. So, some efforts what we are continuing in the NCLT that is also giving the results but these remaining 14,000 -15,000 where the base is available other than NCLT ca ses, there we have an attractive OTS system and we have streamlined our machinery to focus more on that like conducting within Bank Adalat. We are going to the villages for conducting Village Sabhas and all to encourage them to avail these benefits. So, th ese are all actually we have provided 100%, even whatever money we get it is a profit for us. That focus we have taken as a main focus, that's why we are getting a better results in that.

- Mr. Rakesh Kumar – Participant:

- Correct, Sir. Correct. Very nice, Sir. Sir, just one last question, what is the haircut that we take in the OTS scheme, Sir?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- No, Sir, actually haircut is the NCLT it will be decided by the NCLT, right, because based on the resolution proc ess as well as otherwise it is on the liquidation. Whatever it is there, it is a collective decision creator. So, it is secured creators decision and we have to follow according to that. In normal cases depending on the size of the account or the securitie s available, there Board approved policies are there written off and only to that extent written off will be there. Written of means sacrifice will be there. In smaller ones, actually book value sacrifice will be less.

- Mr. Rakesh Kumar – Participant:

- Okay. Roughly around what number like the OTS what is the…

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- See, you cannot justify that by saying it exactly but, generally, in small values the book values whatever is there you can expect the 75% -80% in tha t book value. But where it is NCLT, that may not be the case.

- Mr. Rakesh Kumar – Participant:

- Correct, Sir. NCLT number we are aware of, Sir, but only OTS scheme thing we are not fully aware of.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- No-no, in some cases you will get 100% book value and in some cases where it is a loss and there is no security and it's very old NPA we may accept it even 75% of the book value.

- Mr. Rakesh Kumar – Participant:

- Very good, Sir. Very good. Superb, Sir. Th ank you. Thanks a lot, Sir. Thanks a lot.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Thank you, Sir.

- Moderator:

- Thank you. We have the next question from the line of Bhavik Shah. Please, unmute yourself and go ahead.

- Mr. Bhavik Shah – Participant:

- Hi, Sir. Am I audible?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Hi, Bhavik ji.

- Mr. Bhavik Shah – Participant:

- Sir, I just want to understand so on your interest income, the Other Income, which is 14 million, Sir, how should we think about it? Like going forward is it sustainable? Like what are th

e levers which will help you sustain? Or you cannot sustain at this pace?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- See, what we want to tell you is just look at the last four quarter how it is gradually showing that. But I don't think that here further increment or increase or improve will be there because we already reached to the optimum level and presently market ma ybe funds are very tight and we cannot generate so much funds to effectively use that. So, here afterwards again further improvement showing in that Other Income may be very difficult.

- Mr. Bhavik Shah – Participant:

- Okay. Sir, on a steady state basis like should we assume 400 -500 crores?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Pardon?

- Mr. Bhavik Shah – Participant:

- On a steady state basis just how we 400 crores around.

- Management:

- Other Interest Income how much?

- Management:

- Reduction.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Reduction?

- Mr. Bhavik Shah – Participant:

- No, no. What I'm asking is that the current number is 1400 crores.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Yes, Si r.

- Mr. Bhavik Shah – Participant:

- So, on a steady state basis how should one think about this number?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- No, this all predicting is too early. It is demand and supply. If the demand is high, we get a higher income. If the demand is not there, we may not get that income. So, very difficult to predict that.

- Mr. Bhavik Shah – Participant:

- Understood, Sir. And , Sir, what would be the LCR this quarter?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Pardon? LCR?

- Mr. Bhavik Shah – Participant:

- Liquidity Coverage Ratio.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- LCR is 135%, Sir. 135.01%.

- Mr. Bhavik Shah – Participant:

- Thank you, Sir. And, Sir, good luck.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- That's why we are comfortable, that is why we are able to earn that money.
- Mr. Bhavik Shah – Participant:
- Understood, sir.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Okay, sir.
- Moderator:
- Thank you, Bhavik. The next question we have from the line of Ashok Ajmera. Please unmute yourself and go ahead.
- Mr. Ashok Ajmera – Participant:
- Good afternoon, sir.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Good afternoon Ajmera sir.
- Mr. Ashok Ajmera – Participant:
- Congratulations Raju sir and the entire team for very good set of numbers. Because if you take away with this additional provisions and increase in the employees cost, then the profit would have been phenomenal. And considering that, shall we consider that from the next quarter the employee cost will come down as against Rs. 4,533 crore to around Rs. 4200 crores?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Sure, sir. Definitely.
- Mr. Ashok Ajmera – Participant:
- So that will add to the further profit of the bank. Sir, one small data point. Maybe because certain entries are there, our net worth which is shown in the results...our net worth in September was Rs. 67,480 crores. If you add this profit of 3,656, it becomes Rs. 71,136

crores and net worth shown is 7,893. So there is a difference of, reduction in net worth of 243 crores.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Let me tell you sir that actually when it has come for that the expiry of the bonds, whatever it is there where you can see that in the 71,000 to 74,000 common equity, what we have shown. You are talking from the presentation, sir or you are talking from any other area?
- Mr. Ashok Ajmera – Participant:
- No your results. In your results the net worth shown is Rs. 70, 893 crores. But if you plainly add the profit of this quarter to

the last time net worth shown, then there is a difference
of 243 crores. So are you saying that is bond value erosion of Rs. 243 crores or...?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- No sir, bond value erosion will not be there. You are asking about net worth, right? Some expired bonds might have been paid. That might be one case. And when you are taking it to account for that int ernal accruals, we don't add the entire net profit to that. We keep a 20 -21% to the proposed dividend. That also we keep aside. We don't add entire thing. That might be the root cause for that, sir.
- Mr. Ashok Ajmera – Participant:
- All right, point taken. Now coming on this credit growth, you have given 10.5% of the target for the entire credit. If you look at, up to December, it's around 7.09% in the credit growth. So does it mean that in the coming quarter, that is January -March quarter, we will have abou t Rs. 40,000 crores of increase in our overall credit book?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Generally, that is the tendency, sir. In March generally you will find more. Look at that year -on-year growth that is there. Now also it is reflecti ng almost 11.69 and easily we can manage that 11.69 or around 12%, the year -on-year for the current year also, sir.
- Mr. Ashok Ajmera – Participant:
- Yeah, current year also it is around 10.5 to 11%.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Around 11 .5 to 12% we can...
- Mr. Ashok Ajmera – Participant:

- 11.5 to 12%?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Yes, sir.
- Mr. Ashok Ajmera – Participant:
- That's good. Sir, we were talking about that recovery from the written off account because it has become very attractive for every bank because it just plainly gets added to the bottom -line. So what is our overall cumulative book of the written off amount?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Just now my friend from another analyst has also discussed about this. Around Rs. 69,000 crores, whatever it is in the book, out of that Rs. 52,000 crores is NCLT book. The remaining is from the RAM sector, RAM and other than NCLT sector, sir.
- Mr. Ashok Ajmera – Participant:
- That is Rs . 14,000 crores or something.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- No 52,000, in that the remaining is, whatever it is, Rs. 14,000 is from other than NCLT accounts.
- Mr. Ashok Ajmera – Participant:
- All right, sir.
- Moderator:
- Ajmera ji, we'll req uest you to please join back in the queue as there are more participants in the line. Next question would be from the line of Jai Mundra. Please unmute yourself and go ahead.
- Mr. Jai Mundra – Participant:
- Good evening, sir and thanks for the opportunity.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Good evening, Mundra ji.
- Mr. Jai Mundra – Participant:

- And congratulations on 1% ROA, sir.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Thank you.
- Mr. Jai Mundra – Participant:
- I have a few questions. Fir stly, sir, this actuarial hit that we have taken of around Rs. 250 crores, the residual hit that could come...
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- 250?
- Mr. Jai Mundra – Participant:
- Yeah, 250 we have taken. What is the residual, sir? Is it like less than 250 or it could be much higher in number?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- It will be less than 250, sir. Much, much less than 250, sir.
- Mr. Jai Mundra – Participant:
- Understood, okay. And sir, secondly, in terms of your loan growth, right. So, especially in the large corporate segment, we see that the NBFC exposure has come down, which is

probably due to this demand -supply thing. But what is your sense in the total corporate growth only, I mean only the large corporate growth?
- Mr. Satyanarayana Raju - MD & CEO, Cana

ra Bank:
- So large corporate growth, what we are targeted is 10%, sir. We are sure that will happen because in the first nine months, if you see that, as on December 31st we could achieve it at 8.69% even without inc reasing any exposure in the NBFC, you can see that. NBFC exposure has come down drastically, almost 8000 crores from last quarter to this quarter. The reason behind is when the regulator has increased the risk weightage in certain NBFCs, as a corporate goa l, we have taken a corporate call. We have taken a call that a part of that burden has to be passed on to our existing NBFCs who are enjoying a concessional rate of interest. Wherever they are accepted on negotiations, the increment that's an increase in t hat rate of interest, we have continued that exposure. There maybe one or two cases where it has not happened. There is no mutual agreement between us and the party, we have received back that money, sir. We have asked them to repay it and they have repaid it. So it's not that there is no demand. There is a huge demand for NBFC for funding. But we are very much cost consciousness, yield consciousness is there.

So we don't want to compromise at the cost of bottom -line to show a growth at the top - line. That's why we have taken. But even without this NBFC exposures , now there are so many applications pending with us for even NBFC by paying the money whatever we are demanding it. But a huge demand is there from infrastructure, green energy, steel, power and eve n data centre creation. Several other manufacturing sectors also it is there. already we have sanctioned and pending for the dispersal also is there and several proposals are there on pipeline also. So, we are very much confident that the 10% corporate gr owth will be there.
- Mr. Jai Mundra – Participant:
- Okay. And sir, what about next year? I mean, if you have any ballpark numbers should it remain stable or you see any signs of this accelerating to like 15 -20%?
- Mr. Satyanarayana Raju - MD & CEO, Canara Ba nk:
- No, we feel that the stable growth will continue next financial year also. But as Canara Bank we have taken a call that we want to grow faster in the RAM sector than the corporate sector because we don't want to grow balance sheet at the cost of bottom -line. So current year whatever we are projecting the same, 1 or 2% here and there, may reflect in the next financial year also.
- Mr. Jai Mundra – Participant:
- Understood. And sir, if you can share your split of the book by benchmark how much is EBLR? How m uch is MCLR?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- MCLR is around 51%, sir and RLLR is around 39%. The remaining is all remaining, a fixed rate will be there, staff will be there and the old base rate and all will be there, sir. That is, majorly 90% is covered with RLLR and MCLR. MCLR is 51%.
- Mr. Jai Mundra – Participant:
- Correct, sir. And sir, if you can share the broad trends in passing on the MCLR? So let's say, the card rate from one year back book which comes for re -pricing in let's say Janu ary this year, the card rate...
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, the MCLR change is ongoing. Every month we change that based on our cost of the deposits. Even the just concluded month, first week, we increased 5 basis points. One or two months back also we have seen that 5 basis points we increased. It depends on that but it's not that once you have increased, it will be implemented for entire 51%. For that to have an effect, it takes minimum twelve months to impact that entire portfolio . But

still we feel that some 25 basis points difference is still to be collected from around 15% of that....15% to 20% still of the portfolio to be passed on to them.
- Mr. Jai Mundra – Participant:
- So sir, your yield on advances should not stagnate, right ? Is that what you're saying, that the yield on overall advances should

still rise by whatever the pace they continue?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- No. The major concern here is the yield on advances cannot be stagnant, sir. We keep increasing it till the higher rate of interest regime is there in the market. Because our cost of MCLR will be defined based on our cost of funds. Since January 1st, we are experiencing a much higher rate of interest on the deposits. So naturally that will im pact our MCLR proportionately in the coming months. It will never be constant, sir. It's totally dependent

on our raw material, deposit cost.
- Mr. Jai Mundra – Participant:
- Okay. And sir on your LDR, you mentioned that we have around 75% LDR. Do you think that from now onwards you can have loan growth growing at a faster pace than deposit? Or now you have to have a balancing act between...
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Two year back or three years back, our CD ratio was around 67% to 68%.
- Mr. Jai Mundra – Participant:
- Right.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- So were losing so much money in the interest income that we felt that we can go up to the 77 -78%. We have reached 75% but we don't want to neglect the liability growth. That's why we thought that the current quarter we want to take it...this particular specific quarter growth we want to match both. The deposits also we want to grow at the rate the advances are growing. Maybe 3% or 3.5% whatever it is there, whatever we are expecting in the advances the same percentage we want to grow in the deposit also. That's why special campaigns have started for the deposit mobilization.

- Mr. Jai Mundra – Participant:

- Yes sir. But the question is slightly longer term, I mean twelve mont hs basis. Could you still see an uptick in your LDR ratio? Or you think 75% is more or less the peak?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- There is no hard and fast rule that we should restrict ourselves at 75% but it is a guidance. Guidance in the sense, it is an advisory that it is a healthy maintenance of balance sheet at 75% to 77% is a healthy maintenance of the CD ratio. We want to be in that bracket only.
- Mr. Jai Mundra – Participant:
- Sure sir. And last, two clarifications.
- Moderator:
- Jai, we would request you to please come back in the queue.
- Mr. Jai Mundra – Participant:
- Sure. Thank you.
- Moderator:
- Next question is from the line of Kunal Shah. Please unmute yourself and go ahead.
- Mr. Kunal Shah – Participant:
- Hi sir. Congratulations on a good set of numbers.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Hi Kunal.
- Mr. Kunal Shah – Participant:
- So firstly, maybe in notes to accounts what we give with respect to this wage revision overall provisioning of 1816 so that includes pension as well or that doesn't include pension?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, no. 250 is extra, sir. 1816 plus 250. It's a 2066.
- Mr. Kunal Shah – Participant:

- Yeah. So I was just looking at it. So maybe last quarter this 1816 was 1070 and no w it's becoming one 1816. So actually the increase towards the wage revision would have been Rs. 730 crores, and over and above that there would be another 250 odd crores .
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, you please recall that. Every qu arter we are providing Rs. 345 crores. This we are maintaining for last three quarters onwards at 15%, 115 per month, 345. This Rs. 700 crores is over and above that 345.
- Mr. Kunal Shah – Participant:
- Okay. So what you are trying to say any which ways thi s Rs. 345 crores was due over and above...
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Because last quarter also we have provided 345 crores. So this time, 345 is in line with the last quarter. But over and above again we have provided Rs. 700 crores.
- Mr. Kunal Sh

ah – Participant:
- Okay. Because last time when we look at it, Rs. 1073 crores and if you would have provided for eleven months, it could have been about...
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- ...you have to deduct Rs. 300 crores, n o? If you deduct this Rs. 340 crores automatically you get 450 only, approximately. That's the same amount you will get.
- Mr. Kunal Shah – Participant:
- Got it, okay. And this NBFC, you have highlighted that there has been some repayments. But how much we would have tried to pass it on in terms of increase in the rates to the NBFC suppose the risk weight increase?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- See, you can't pass it on to everybody on the same pricing . It is on negotiated terms. If it is a AAA, we might have passed it on to 10 to 25 basis points. For AA, a little more. For A, it may be little more. It varies from their risk weightages and all. But it is a party to party negotiating system, what the rel ations they are maintaining with us, what other ancillary business we are enjoying with them, all these factors will be a part of our decision making.

- Mr. Kunal Shah – Participant:
- Okay. But for a AAA rated entity, how much would that be? Around about 1 0-15 basis points or it would be 30 -40 basis points?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Surely it will be more than 15 basis points. I can say that confidently.
- Mr. Kunal Shah – Participant:
- Okay, more than 15 basis points. And lastly in term s of branch expansion, so we see some branches getting added after a long time. So maybe how we are looking at it in terms of the expansion of the network because generally we are not seeing that kind from PSU banks as such.
- Mr. Satyanarayana Raju - MD & C EO, Canara Bank:
- See, if you look at the outlets branch network, the increase in the number itself will reflect that opening of new branches are there. Though some closures of branches are also there, but opening up branches are there too. I think already 140, 150 branche s we have opened newly. And the remaining also will be completed in this quarter.
- Mr. Kunal Shah – Participant:
- Okay. So the only question was, we will continue to do that or how would that be?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Yes, dependin g on the business opportunities.
- Mr. Kunal Shah – Participant:
- Okay. Thanks a lot.
- Moderator:
- Thanks Kunal. The next question is from the line of Rahil Shah. Please unmute yourself and go ahead.
- Mr. Rahil Shah – Participant:
- Sir, good evening.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Good evening, Rahil.

- Mr. Rahil Shah – Participant:
- Sir, two questions. This EPS, the run rate we've been at EPS, what is your outlook there now? Can we sustain this per quarter wise?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Sure, we can sustain that.
- Mr. Rahil Shah – Participant:
- Okay. So quarter four we can expect 20?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- No. Whatever we have reflected in the December quarter, definitely that will sustain. That much I can tell you.
- Mr. Rahil Shah – Participant:
- All right. And cost of funds quarter -on-quarter have slightly moved up. Do you see any pressure on NIMs?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Sure sir. There is a pressure. Last time also I sh ared with you. Actually we are expecting that our NIM will be between 2.9 to 3.0. But we are trying our best to manage at a possible extent so that we maintain nearer to the 3%.
- Mr. Rahil Shah – Participant:
- Okay sir. Thank you and all the best.
- Moderator :
- Thank you Rahil. The next question is from the line of Pritesh from DAM Capital. Please unmute yourself and go ahead.

- Mr. Pritesh – DAM Capital:
- Hi sir.
- Mr. Satyanarayana Raju - MD & CEO, Canara Ba

nk:
- Hi Pritesh.
- Mr. Pritesh – DAM Capital:

- Sir, just one clarification needed. When you give breakup of slippages, corporate you said it is very negligible. But last month back there was a report that BGR has been as a default. There your exposure is about 5.6 billion. So was it taken earlier? Is i t going to be taken next quarter? What is the stance there?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- No. Actually for our bank, I can comment only on our bank, our bank slippages are very much under control. Because if you look at that one slide we have given it on stressed assets. If you see that SMA 1 and 2, the entire 5 crore and above if you take, it is only 0.63. And if you take entire portfolio including the Rs. 10,000 loan also, even then it is less than 3%. So I don't see that problem will b e there in our bank. That's why we are telling that our slippages gradually quarter -on-quarter we are seeing a downward trend because we are able to maintain...when it is in the SMA 1 and 2 itself we are addressing those accounts. It's only because of our monitoring system we have tightened.
- Mr. Pritesh – DAM Capital:
- No, I appreciate that sir. I see that the whole systems in the asset quality is quite strong. But why we are asking this is that it was noted that it is as per divergence report of RBI and so one was under the impression that it was a weakness.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- That's what I'm telling you, I can comment only on the Canara Bank side. Canara Bank divergence nothing is there in that aspect. It may because based on the industry they might have commented. But for Canara Bank, I can comment on that based on our figure, sir.
- Mr. Pritesh – DAM Capital:
- Got it. Second, this quarter we had a slightly higher write offs than the trend. What is your view on write off going ahead? We had a 3900 crore write off this quarter.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- See w rite off, when you have already provided 100% in D3 and loss asset. Depending on your balance sheet comfort, you can keep doing that. But our call is to the extent what we are recovering towards the written off under the NPA and the up gradation. We don't want to do beyond too much on that. We want to restrict ourselves nearer to that. The second one is, this write off, majority write off is for NCLT cases. When you are getting something then you are forced to do the write off for a balance amount. You can' t keep in your books just like that.
- Mr. Pritesh – DAM Capital:

- Sure. Thank you sir. Those were my two questions. All the best.
- Moderator:
- Thank you Pritesh. The next question is from the line of Sushil Choksi. Please unmute yourself and go ahead.
- Mr. Sus hil Choksi – Participant:
- Congratulations to Canara Bank team for a stable and wonderful performance.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Thank you Choksi saab.
- Mr. Sushil Choksi – Participant:
- Thank you sir. Sir please don’t call me sir. First question. You declared that you would monetize some of your subsidiaries.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Yes sir.
- Mr. Sushil Choksi – Participant:
- Do you expect something in the current year or r oll over into next year?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, disinvestment may happen in FY25, sir.
- Mr. Sushil Choksi – Participant:
- Okay. And as per your plan, you'll do two disinvestment or one?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Two, sir.
- Mr. Sushil Choksi – Participant:
- Two, okay.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- For one, already our Board's approval has come and we are informed to SEBI and the market also, sir. Second one, is in the process. Once our Board has approved that also we will disclose to the market, sir.

- Mr. Sushil Choksi – Part

icipant:
- Okay. Second thing sir, we've taken lots of initiative for digitization, a lot of developments where products are concerned. I am sure I've seen a lot of features . Are you accelerating your spend on digitization further or the current program is fine and when do we see the actual result of the entire process? Within next twelve months or a year later?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Already initiatives for the decisions taken two years back have been taken. We are getting some results on that. Let me share some figures to you, sir. Just three years back, our UPI transactions per annum is around Rs. 98 crores, sir. But now we have reached to the position that per month it is Rs. 83 crores. That's the jump we have seen. This is because of our initiatives that we have taken for last two years. We are on boarding the people, our ai1 has gotten attention of many of the people. Many people are join ing in the UPI initiatives and all. But simultaneously first time we have come out with the CBDC interoperability. We are the first banker. Many such initiatives we have taken. But now, one more thing is, we have got a very good feedback regarding our mobi le app from our customers. So many demands have come from our corporate clients also that they also need in addition to net banking through laptop and all. They expect that mobile app also should be available to corporates. That we have launched recently a nd that also has attracted many people's attention on our clients.
- Then, recently also you might have gone through that newspapers and all that on the first day of this current calendar year, January 1, we have inaugurated a centre of excellence for data and analytics – DnA, and along with that data lake also we have inaugurated. This data analytics, what we are working for the last two years is on a small scale. But initially we thought that first let us clean our existing data so that make your data as genuine as possible so that you get the better results when you use the tools. That's why we worked last two years strongly on the existing legacy data by using the dump data analytics and now we got a confidence that yes, we have cleaned that data to the maximum extent. Now, if you start using this with the latest AI and machine learning model tools available in the market, if you can use and you can generate a business and support your outlets for garnering them when you are aiming for more than 10% growth, definitely you ne ed a support to the branch channel also to supplement that business growth. This initiative is helping us and what we have taken that initiative is contributing in the last nine months period I can tell you that through this analytics, what the leads we ge nerated based on their expenditure behaviour, studying for the last five years and ten years we are generating in several products like a savings bank, current account, MSME, housing loan,

vehicle loan, personal loan, pension loans like this and almost 8 t o 12% of incremental growth, whatever the growth we are showing for the last nine months, out of that 8 to 12% growth we are converting from this lead generation, sir. That itself is a major contribution. So this we want slowly increase to 20% to 25%. For that we are adopting a new tools and the latest tools that we are implementing is, we are creating a data bank for each outlet within their 2 or 3 km operation. The data bank contains how many business units are there, how many schools are there, how many government offices are there, how many societies are there, and this entire data, we are making it available to the branches so that they can straightforward go and meet those people and convert them into that. Such type of uses we have started implementin g and many such tools are there.
- Recently, you might have also seen that on 1st January, we had finals of a hackathon that we had conducted in the last three

months. There was an overwhelming response.
Globally there are 2899 applicati ons, M ore than 250 p eople have submitted their ideas. The ideas also we have given three topics. One is, using AI and machine learning in customer experience, default prediction and fraud prevention and we got excellent response from them – younger generation, many IITians ha ve participated and all these ideas are available for us and now we are working more and more on that. We already started enjoying the results of whatever we have started. So it doesn't mean that we stop here, we are continuing to move forward and of cours e, very soon we are going to launch even self -help groups, end -to-end STP process in sync with our RBI innovation hub. That product is also completed, UIT is completed. We are ready to launch that.

- Several initiatives like that we are taking. Our API bank ing we have strengthened. Though we started with 35 services, now we have extend it. Almost 135 APIs we have made it live. Like that, everything we are doing. Innovations in the IT will continue but at the same time we don't want to just invest and leave i t. Periodically we created such a setup that return on investment on this IT is a core focus point for us and we are focusing on that sir.
- Mr. Sushil Choksi – Participant:
- Sir, Canara Bank is always willing to learn and that is going to be your future. Ho w much are we likely to spend to enhance our human resource with these technology abilities which you are creating?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- That's what sir, I already told you about business lead conversion, it is incremental growt h. So far it is contributing around 10%. But we aim to improve it to around 20% to 25%. So that will supplement it to the staff.
- Mr. Sushil Choksi – Participant:

- Sir my question was, you have created the technology, you created a data centre and you are em powering the branches. But technology can do certain things. How are you empowering the human resource who will all the job? How are you...?
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- That's what sir. Again, let me explain to you sir. So our human res ources, 84,000 of human resources is our strength. Technology is a supplement to their efforts. I don't think that the technology is a substitute for the human resources. For banking sector, it is a service. Selling the services is mainly human beings, sir . We never undermine our internal talent. I can say that many of these technology initiatives is in -house. So we have created that pool and they are doing that. Now by using these initiatives, by all the 84,000 how it is possible. We have created even virt ual classes by using the metaverse and that has been imparted to our training institutes. That is every employee will be trained at least one to three days in every new technological initiative . That is helping them, making them more useful. Even CBDC, ent ire 84,000 people have been on boarded on that CBDC. Our staff benefits are being created through CBDC. So we are making them familiar with our initiatives so that they can easily use these initiatives and do better to this bank.
- Moderator:
- We'll take that as the last question. Thank you sir. Due to time constraints that would be our last question. Thank you sir for giving Antique Stock Broking the opportunity to host this call. We'd like to hand over the call to you for your closing remarks. Thank you.
- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
- Thank you. Thank you very much. International business also we are continuing to do that. We have three outlets. We got license from Gift City for the fourth branch which is going to be launched very soon. And with the opening of the Gift City branch, I'm sure that globally whatever the corporate lending we can do, we can do from here only with the limited regulations and I'm sure that will help in incre

asing our both bottom -line as well
as the to p-line, and we will continue to do this. Thank you very. Our main focus is consistency. That is I am sure that it is reflecting in our quarter -on-quarter results. Thank you.
- Mr. Sushil Choksi – Participant:
- Congratulations and best wishes for 2024.
- Mr. S atyanarayana Raju - MD & CEO, Canara Bank:
- Thank you sir. Thank you.
End of Transcript

Call: May 2024

[redacted] Secretarial Department
[redacted] Head Office F +91 80 22248831
112, [redacted], [redacted] - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@c anarabank.com www.canarabank.com
Ref :: SD:97/98 /11/12:: 2024 -25 14.05.2024
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
MUMBAI - 400 001

Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
EXCHANGE PLAZA
Bandra -Kurl a Complex, Bandra [E]
MUMBAI - 400 051
Scrip Code: CANBK

Dear Sir/Madam,

Sub: Q4 FY 2023 -24 Earnings conference call with Analysts / Investors - Transcript

Ref: 1. Our Letter SD:70/71/11/12::2024 -25 dated 30.04 .2024 &
2. Our Letter SD: 89/90/11/12::2024 -25 dated 08.05.2024

With reference to above and pursuant to the applicable provisions of SEBI (LODR) Regulations, 2015, we herewith enclose the transcript of post results Earni ngs conference call Q4 FY2023 -24 held on 08.05.2024 .

The trans cript of Q 4 FY2023 -24 Earnings conference call is uploaded on Bank's website and the same can be accessed through below link:

https://canarabank.com/pages/Earning -Conference -Call-Transcript

This is for your information and records.

Yours faithfully,

SANTOSH KUMAR BARIK
COMPANY SECRETARY

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Canara Bank Investor Meet
8th May 2024
- Moderator:
- Good evening everyone. We welcome you all to 4Q FY24 earnings web call of Canara Bank. Thank you, Sir for giving us this opportunity to host the call. Today, we have with us; Mr. K. Satyanarayana Raju, MD & CEO. Mr. Debasish Mukherjee, Executive Director. Mr. Ashok Chandra, Executive Director. Mr. Hardeep Singh Ahluwalia, Executive Director and Mr. Bhavendra Kumar along with senior members of the team. Without further ado, I hand over the call to MD Sir for his opening remarks post which we can open the floor for Q&A.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Good evening to all of you sir. So I am presenting here before you few highlights of the just concluded fourth quarter of the financ ial year 2023 -2024. So our global business has touched all time high of Rs. 22.73 lakh crore with a year -on-year growth

rate of 11.31%. Our global advances has grown at 11.34% stood at Rs. 9.61 lakh crore. Our global deposits have grown at 11.29% year -on-year and stood at 13.12 Lakh Crore . The deposits in the fourth quarter has grown considerably. As we shared with you during that announcement of the third quarter results that we focus this quarter more on the liability side to see that our incremental CD r atio in the current financial year will be well within 100% which we could achieve. That has helped us in controlling the cost of deposit as well as in the improvement of the CASA percentage. Our net profit stood at Rs. 3,757, all -time high in the history of the bank at a yea r-on-year growth rate of 18.33%. With this, the Board has permitted us to propose a dividend of 161% of paid up capital as against last year dividend of 120%. Our net interest income has increased 11.18% year -on-year and stood at Rs.9,5 80 and the return on asset has further improved to 1.01% and year -on-year improvement is 20 basis points. Our PCR has improved to 89.10% with year -on-year improvement of 179 basis points. Our credit cost is again maintained below 1% that stood at 0.96% wit h a year -on-year improvement of 21 basis points. The gross NPA has stood at 4.23% year -on-year, a decline of 112 basis points. Our net NPA stood at 1.27% , year -on-year decline of 46 basis points. 11.34% growth of advances that we announced, is led by our R AM sector grown at 13.52% and stood at Rs. 5, 41, 489 crore out of 9,6

0,000 crores, and this led
by retail credit at 11.68%, agriculture and allied activities have grown at 18.69% and the housing loan has grown at 10.81% and vehicle loan grown at 14.03%. O ur year -on-year earnings per share has improved 37.26%, stood at 80.23 compared to last year earnings per share which was at Rs. 58.

- Now about the net interest margin. Last year total cumulative, last entire financial year NIM was 2.95 as against that cur rent year NIM cumulative is at 3.05% with an incremental improvement of 10 basis points which is also one of the remarkable performance I can say under the present hard conditions for the banking industry at a high interest rate regime of the lia bilities. Even that liability side rate of interest has steeply increased. We could manage by managing the credit portfolio. That's the

reason we could manage in the last fourth q uarter, our quarter -on-quarter, incremental growth in the yield on advances were 11 basis points versus the increase in the incremental interest expenses is 8 basis points. This we could achieve it. That's why we could achieve 3 .05% percent, for the fourth quarter itself, our NIM was 3. 07%. This we could achieve where we already shared earlier also, two, three quarters back that we have some 60,000 to 70,000 crores corporate exposure at much, much cheaper rate which we lent 2 years back because to invest our surplus money which we want t o gradually reduce that exposure and to avoid the stress on the margins. We are successful in that in the current quarter also. We reduced such exposure to some extent, around 10,000 to 13,000 crores that has helped us in improving our NIM and the yield on advances.

- These are all the few ratios that we are sharing. I think now it is open for you, if at all, if you want to ask, because this presentation has been already shared with all of the investors as well as online also. On our website it has been disp layed. Now the forum is open for all the analysts for your clarifications and queries that you want to raise. And along with me, all my four executive directors are with you now. The forum is now open for the discussion.
- Moderator:
- So the first question w e have from the line of Ms. Maruk
- Ms. Maruk – Participant:
- Hello, sir. Hi. Good afternoon sir.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Good afternoon madam.
- Ms. Maruk – Participant:
- Yes sir. So sir, I have a couple of questions. My first ques tion is on your guidance that relative to what you have achieved in FY24 on credit growth, your credit growth guidance is slightly softer for next year and everyone is quite bullish for the next few years, in terms of loan growth in retail and corporate. A nd then even on margins, your guidance of 2 .90, that's like 17 basis points lower than the fourth qua rter exit rate. So these are some questions on the guidance portion. And then I have a question on the new RBI draft circular. First your comments. And the n companies like L&T Finance, REC have actually quantified the impact from the draft circular based on their initial estimates. So, if you could give any back of the envelope calculation.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Yes madam. Let me clarify regarding our guidance in that advances growth. Generally

whenever we give guidance, we give conservatively only. But we want to outperform what we have given to that guidelines. Earlier also we had given 10% and you can see that we have grown 1 1.34% even after rejigging the pricing of the corporate portfolio. And this year also what we have given, 10%, is a minimum growth. And we are sure

that we will grow around 12% in the current financial year. But the guidelines, it's a practice of this bank for last three years that we are a little conservative on the guidelines. But when it comes to the performance, we are outperforming in every quarter -on-qua

rter and beyond that. Even NIM also. Last time if you see, our NIM is 2.95% - the annual NIM. But t he current year under such difficult conditions also we are the only banker where we could show the improvement in the NIM with ten basis points. Our annual NIM is 3.05. Of course, fourth quarter it was 3.07. The 2.9 0 is only a guidelines given to you. It' s the minimum. But we are sure that we will maintain at 2.95% to 3 .00%. This is subject to presuming that the present tightness in the liquidity will continue throughout the year. If at all that liquidity eases once the elections are over, naturally that w ill impact in our cost of deposit and automatically it will impact on improvement in the NIM.

- This is a basic minimum, based on the existing circumstances, we have given it, madam. But we are definitely confident that we can perform. What we are doing is outperform in the last several quarters. The same will continue in the next quarters also. We are not looking at any low traction in the credit, either in the RAM side or in the corporate side. Only that lower credit growth what we have shown is, because, two years back we invested Rs. 60,000 to 70,000 crores. When we have a surplus in our system, we invested at a very low price to some big organizations which presently is not feasibl e to continue at that price hence, slowly, whenever it is coming for the renewal, we are reducing our exposures to that borrowers. That is the reason it is looking like the growth rate is low in the advances side. But for all practical purposes, for the new sanctions and all, compared to last year , this year new sanctions are mu ch more than what the last year sanctions. So growth will be there, demand is there. But only thing because we are rejigging our balance sheet in the low pricing, we are making it to reasonable pricing. Because to maintain that margins it looks that it is a little lower side on the credit growth.
- Your second question is on the RBI draft guidelines. Madam RBI draft guidelines is still at a premature stage. It was provided only two -three days back. Preliminary we tried to assess it. But we have several doubts on that the guidelines because the guidel ines never spoke about what is the floor limit for that project. We have to calculate every small project also, whether it is 1 crore or 10 crore or 100 crore or 500 crores . Tha t clarity is not there. Unless we get those clarities from them, it will be di fficult to assess what is our impact on that. But whatever the impact it is, whatever be the guidelines and if it is implemented as it is also, we are very much well prepared. Because you know that last time when the risk weight is on the NBFC exposure has been increased or improved by the regulator we were the first banker partly we shared with our borrowers. This also will continue whenever there is an improvement in these things. Suppose provisioning norms a re increased, we recalculate. Naturally. Part o f that we share with our borrowers and the remaining things we will observe it. I don't see too much pressure on our bottom line or even on the capital side, madam.
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- Ms. Maruk – Participant:

- Thank you, sir. Just what is your marginal cost of deposits? Inc remental cost of deposits?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Madam, incremental deposit, which is the term deposits, on an ave rage 6.5 0 to 6.75 is there . But because the CASA is there and the previous outstanding deposits at a lower rate the cost of deposit last compared to quarter is increased from 5.4 0 to 5.50. Now the cost of deposit, as on date it is 5.50. But from last quarter you see that only 8 basis points has increased there. However yield on advances has increased from 8.60 to 8. 71. That means 11 basis points has increased. That's why we are able to show the 3.07 NIM as against our projection of 3.05.
- Ms. Maruk – Participant:
- Got it, sir. Ok

ay, sir. Thank you. Thanks a lot.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Than k you, madam.
- Moderator:
- Thank you. The next question we have from Ms. Mona Khetan, request you to unmute yourself.
- Ms. Mona Khetan – Participant:
- Hello?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Hello.
- Ms. Mona Khetan – Participant:
- Yeah. Hi s ir. Good evening.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Hi Mona madam.
- Ms. Mona Khetan – Participant:
- Just a few clarifications. So firstly, when I look at your CA balances, it was over 30% this quarter. So what exactly has driven this highe r?

- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

- No CA percentage is floating funds, madam. Whenever it comes for the floating funds, you get that benefit. But we have taken some new schemes also in the CA. Actually two new schemes we introduced six months back. Those new sc hemes also have started earning because we made it free of charge for every transaction. In that we have given several customer friendly services and last year we also introduced API banking for corporates. And we also introduced a mobile app for the corporates. These are all some of our initiatives, both product side and the future side and the platform side. It has helped us in giving that boost in that current account. But one or two institutional accounts where we could canvas the state governments or the central government accounts, there also some flowed funds have come. That is the reason. But we have seen the steady growth in the savings individuals accounts . Savings individuals for year -on-year basis we have grown more than Rs. 17,000 crores. That has actually given a confidence that in the current year we could easily achieve 33% CASA ratio that we had projected. If you look our fourth quarter CASA, it has improved from 31.65 to 32.21 or something . So that itself is around 63 basis points. It has increased in the fourth quarter because the entire machinery, entire bank, we have focused on CASA by introducing new products, new platforms, new features and new initiatives to reach the new customer as well as the connecting and reconnecting with the existing customers. And this current year also, in the first working day we have launched one product, Canara Angel. Angel that's targeting for the women customers and that is widely accepted by the public. And already in a one month, we got more than 200 crores deposit mobilization from the new accounts alone, not from the existing accounts. This tempo of introducing new products and the initiatives, technology related initiatives, making the customer journey more comfortable for them will continue, madam. So that is our focus. we know that unless we work hard on the CASA, it will have impact on our NIM. Th at's why we are working more and more on CASA products and the CASA mobilization madam.
- Ms. Mona Khetan – Participant:
- Got it. And secondly, on the operating expenses front. So what led to the sharp rise in other OpEx and what sort of pension provisions h ave been made in this quarter. And given that there was retrospective impact of wage hike this year, what sort of normalized employee expense we can expect in FY25?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- The staff cost, you know that as per th e bipartite settlement last time also we have provided Rs. 750 crores. During that time I shared with you that we have to provide another Rs. 150 to 200 crores towards the actuaries or the pension benefits. But when it comes for the actual calculation, it has come to Rs. 350 crores. That entire Rs. 350 crores and in addition, whatever the increase incremental salary we have to pay, the entire has been provided in this quarter only. That is the reason the staff cost has shown that increase . But ultimately ou r staff cost will stabilize around 4,100. Tho

ugh
it is currently at 4,458 but next quarter onwards our quarterly expenditure what we are looking at is 4,000 to 4,100. So to that extent the cushion is there in our books.
- The second one is other operating e xpenses also, whatever the one -time requirement is there, that is around Rs. 200 crores, we have booked that expenditure also. And

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since we are investing on IT, naturally increase in IT expenses also is slowly leading to the increase in the operating expen ses. But we are sure that we will maintain CI ratio around 47%. Whatever we could achieve, the cost to income ratio, we will try to maintain that or little to the lower side at 47%.
- Ms. Mona Khetan – Participant:
- Got it. And just finally, what's the outsta nding standard provisions on our books? And what is the PCR we hold against the restructured book.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Madam, restructure portfolio overseas when it is comes for the RF1, RF2 and all. So total of restructure has made. During that time it was Rs. 24,000 crores. But now as on date outstanding is only Rs. 17,000 crores. Out of that already, Rs. 12,000 crores is standard asset and Rs. 4,800 crores slipped to NPA.
- Ms. Mona Khetan – Participant:
- Okay. And what sort of provisions do we hold against this Rs. 12,000 crore of standard assets.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- So whatever the regulatory stipulation is we are maintaining well above that, madam.
- Ms. Mona Khetan – Participant:
- So say around 10% or thereabouts.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No. Whatever is the regulatory requirement we are providing it.
- Ms. Mona Khetan – Participant:
- Okay. And other than the general provisions of 40 bps we may not be holdin g any other excess standard provisions. Is that a fair understanding?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, madam. Wherever it is required, actually even if it is not required in one big account the last year it is sl ipped to NPA, in antic ipation of future ready we have provided some Rs. 300 crores additional provision which is not required as per regulatory requirements . But we have provided the Rs. 300 crores.
- Ms. Mona Khetan – Participant:
- Okay. But that was a slipped account…
- Mr. K. Sat yanarayana Raju - MD & CEO, Canara Bank:

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- Total, actually, additional provisioning what we have done is Rs. 1800 crores, madam.
- Ms. Mona Khetan – Participant::
- This Rs. 1800 crore is the standard asset provisioning.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No madam. Whatever the total regulatory requirement is, beyond that we have provided Rs. 1800 crores. That is for only future ready balance sheet.
- Ms. Mona Khetan – Participant:
- Okay. And this excludes the restructured book, the minimum requirements of restructured book as well.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Yes ma'am.
- Ms. Mona Khetan – Participant:
- Okay, got it.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- See everything, whatever is the regulatory requirement, we are meeting that requirement. And beyond that too, we are over provisioning. That is, the over provisioning is around Rs. 1800 crores in the form of whether it is in the standard asset or restructu red asset or NP asset.
- Ms. Mona Khetan – Participant:
- Got it sir. And if I could just squeeze in one last question. On the recoveries front, when it comes to recovery from written off accounts we have seen very strong numbers at about Rs. 5900 crore in th is year, if I take the full year and this constitutes a very large part of your overall profitability at around 40%. So what would be the guidance here on what sort of because I mean the pool may be coming down etc. so what would be the guidance on this fr ont?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Ba

nk:
- Madam, we still have written off accounts. Technically the written off accounts portfolio with us is around the range of 68,000 to 72,000 crore . Still there is a lot of scope to recover out of that. A nd every year we expect that 4,000 to 5,000 crores we get from that bunch. And the fresh written off also keeps on happening in every

quarter. And when you write off, there is every possibility that in that also there is a possibility to recover the amount s. So this is an ongoing process and it is not a one -time measure . Every year we look at recovering Rs. 4,000 to 5000 crores from the written off accounts. And the main where we can share it with you is our quality of the assets is most important. Look at that. One year back we had told and we had

shared with all of you that our recoveries and up gradation will be better than the slippages. That is the standard we have taken. And the entire top management along with that staff members are working on that. C ontinuously every quarter we are able to maintain that. In the current quarter also if you see, our slippages are from existing it is Rs. 3082 crores , the new fresh slippages. Even existing, add on is Rs. 300 crores . If you add, total is 3400 crore slippag es there. As against that the up gradations are Rs. 520 crores and cash recovery is Rs. 3,161 Crore . Total it is 3,681 Crores . Against 3681, the slippages are only 3400. So we are continuing in that. And even when we are working hard on even existing SMA 0 , 1, 2, there also. That gives the two figures more comfortable for you that you just look at that one year back our percentage of the SMA 0, 1, 2 is at 0.76%. In between though it has gone to 0. 80. Now it has come down to the 0.69. So we are working very hard on that. Number of accounts if you see that, both accounts and amounts, both at zero level and one level and two level. We are working hard to control there itself. So that is helping us in maintaining our credit cost below the 1% and less pressure on our NIMs.

- Moderator:
- Thank you. We move to the next question from Rakesh Kumar. Request you to please unmute yourself.
- Mr. Rakesh Kumar – Participant:
- Hi, thanks a lot. Sir, couple of questions I have. So firstly, we have a total gross NPA and written of f pool of 11.6% of total loan book. So what is the total unrealized interest income that we have on the book?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Pardon? Unrecovered.
- Mr. Rakesh Kumar – Participant:
- Unrecovered, unrealized interest income on the gross NPA and the technical...
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Sir, that is very difficult to calculate and tell. Our CFO will share it to you through mail. The entire amount has to be calculated exactly. But at book balance I can tell you. So almost 1,10,000 to 1,20,000 it is available including the gross NPA and the written of book balance. But the unapplied or waiver interest, if you take the documented rate, it will be multi -fold. But there is very limited possibility that you can earn out of that some amount. That's why generally we don't maintain that figures. Individual account wise it will be there. But when the negotiations happens, we also try to get not only the book balance if at all any part of that unrealized interest to be recovered, we will keep recovering that. But that is multi -fold will be there. So when I see it is 110 to 120. That will be definitely more than 100% of that amount.
- Mr. Rakesh Kumar – Participant:

- So for this quarter, sir, this quarter the interest income that we have accrued, what would be that number, sir from NPA recovery and TWA recovery?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- That's what sir, this time again we are targeting around TWMA, the book balance and all, it is approximately we are expecting around 1500 to 1600 we can recover. But these a

re all ultimately in a year we book around that 4,000 to 5000 crores from technical written off. One quarter it may come down one quarter it may go up based on that materialization of our neg otiations. In the anxiety of achieving that things, sometimes we will not compromise on our business, when we can require higher amount we will try to recover the higher amount only even if it is one month delayed. That's why exactly telling in the particu lar quarter how much it is very difficult. But in overall year, we definitely recover in the technical written off around 4,000 to 5000 crores which we have already reflected in the last one or two years' financial balance sheets.
- Mr. Rakesh Kumar – Parti cipant:
- Correct sir. So the interest income part, sir, interest income part that we have accrued this quarter, sir how much would that number be?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

- See again interest income part also, it is based on your gr owth in the advances, average growth in the CAP advances. That is an interest income, no? Or interest on non-performing assets you are expecting?
- Mr. Rakesh Kumar – Participant:
- Correct.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- You are expecting from me interest on non -performing assets?
- Mr. Rakesh Kumar – Participant:
- Yes sir. Non -performing asset and the technically written off loan that we have recovered this…
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- More or less every quarter almost it will be there in the same lines. But to tell you the exact amount, budgeting will not be there for that. Whatever the best we can do, we will try to recover as much as possible.
- Mr. Rakesh Kumar – Participant:

- Great sir. Sir on the other OpEx, I would like to come to that number again. That number has gone up by around Rs. 600 odd crore this quarter. So what is the incremental number here in other OpEx, sir?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- In OpEx, the staff cost you see, the first on e is the staff cost. One thing is operating expenses pay, the staff cost, because of the bipartite settlement we have to provide 17% and we have completed that entire payment of arrears from November 2022 to now. And in addition to that, whatever it is req uired towards pension and the gratuity, based on the recommendations given by the actuaries, and initially we expected that it may be around 150 to 200 crore balance, but in actuals it has come 350 crores. That entire Rs. 350 crores also we have provided b elow the line. So that's why your staff cost is reflecting that 4,458. But on an average every month from next quarter onwards this staff cost will be stabilized around 4,000 to 4,100. There is a question of Rs. 350 crores here in the operating expenses.
- The other operating expenses is in the depreciation, and one time expenditure related to IT also, around 150 to 200 crores we absorbed this time only. So those things are there. That's why it is reflecting a little more in the operating expenses. But otherw ise, whatever our control in the operating expenses will continue and it will stabilize. Even other operating expenses are around 2600. So in the 600, staff cost 300 benefit will be there. Down the level also there will be some 300 crores cushion will be t here in the coming quarters. So that will be the 250 to 300 crores benefit there. So that will be the comfort for the next quarters, few quarters whatever it is there.
- Mr. Rakesh Kumar – Participant:
- Sir, just one last question.
- Moderator:
- Rakesh, we would like you to please join back in the queue.
- Mr. Rakesh Kumar – Participant:
- Sure, sure.
- Moderator:
- Thank you, Rakesh. Next question is from the line of Jay Mundra. Jay, if you can unmute yourself and go ahead.
- Mr. Jay Mundra – Participan t:
- Good evening, sir and thanks for the opportunity.
- Mr. K. Sa

tyanarayana Raju - MD & CEO, Canara Bank:
- Good evening Jay.

- Mr. Jay Mundra – Participant:
- Sir, in your opening remarks you mentioned that you are still studying the RBI new circular on project under implementation. But out of your infra book, you would have an idea as to how much of the loans are under DCCO as of now. Maybe within the infra boo k of Rs. 1,29,000 crore.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- See, there are several conditions. It is not only the guidelines. So project under implementation is there, project completed but the balance has not come down below 20% is there, balance projects are implemented the 20% has come down, that is also there. And we don't know what the floor price we have to take for the project is. Whether it's a project cost we have to take or are the loan sanctioned? Has to be

taken. So many doubts are there. These doubts we are seeking the clarification from the regulator. Exact amounts and tentative amounts, we can achie ve it. Otherwise now in the absence of that, tomorrow you may sanction one loan for MSME for 25 lakhs. for That 25 lakhs is a proj ect implementation also you have to provide. We don't know that exactly, no? So these clarifications, unless otherwise we get the clarifications it is too early to comment on that. But one thing I can give you a confidence that whatever the guidelines give n by the RBI, we are well prepared to face that. That much confidence I can give to you. Because partly whenever there is an impact on burden either in the bottom line or in the capital side, the calculations our risk department will calculate what is impa ct on that and that calculation partly we absorb and partly we request our borrowers to absorb it. And we are successful in convincing our borrowers, even recently, last time when the risk weight is on NBFCs have increased. That is the reason we could main tain our NIM at 3.07 and we have shown an improvement in the yield on advances in the fourth quarter. The same thing will continue when you have a good relation with your borrowers and we can easily convince them to share the part of that. Even in existing borrowers also we can request our borrowers to share part of that burden. So I don't think there is a need to panic too much. And you see, last year our net profit is Rs. 10,600 crores. But this time our net profit is Rs. 14,554 crores. Don't you see that there is a 37% increment for us? So we have ample cushion in our balance sheets. We are ready to face whatever is the stringent guidelines. If it comes for the betterment of the balance sheet, we are in line with that regulator.
- Mr. Jay Mundra – Particip ant:
- Understood sir. And on April 1st, there was a new RBI regulation on reclassification of investment portfolio. You must have redrawn the balance sheet as on April 1st. Was there any accretion to CET 1 or reserve or general reserve out of that exercise? And if you can quantify that?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- I request my executive director who is overseeing that treasury, Sri Debashish Mukherjee sir. He will share his views on that.

- Mr. Debashish Mukherjee - Executive Director, Canara Bank:
- You see, on implementation of the new accounting guidelines from 1st of April, it has added about Rs. 1400 crores to our reserves. So that is a positive point which has happened by implementation of this. Secondly, our HTM portfolio which is q uite high, more than 80%, so that is also giving us ample scope for future profitability, because the yields are coming down. And even in the last financial year, let me tell you, that our portfolio yield has increased from 6.69% to 6.91% for the total inv estment portfolio. So, our treasury, our investment portfolio is doing satisfactorily, I can say.
– Mr. Jay Mundra - Participant:
– Point well taken, sir. 1,400 crores is a decent amount. It's just that

it is the combination
of both AFS reserves and general r eserve, right? I mean, or is it only the AFS?
– Mr. Debashish Mukherjee - Executive Director, Canara Bank:
– Right, right.
– Mr. Jay Mundra - Participant:
– No, sir, just wanted to check sir, is this the revaluation of both HTM as well as AFS, or only the AFS to portfolio?
– Mr. Debashish Mukherjee - Executive Director, Canara Bank:
– No, no, HTM and AFS.
– Mr. Jay Mundra - Participant:
– Okay, sir. And the last thing sir, if you can give the breakup of slippage during the quarter, and the loan book breakup?
– Moderator:
– What is that sir?
– Mr. Jay Mundra - Participant:
– Slippage breakup and breakup of loans by benchmark.
– Mr. K. Satyanarayana Raju - MD & CEO, Canara B ank:
– Slippage breakup? It's around 3400 now, sir. Actually, out of that, 1,080 is agriculture, 1,200 crores is MSME, 400 crores is retail and 400 crores from mid -corporate it is there, sir.
– Mr. Jay Mundra - Participant:
– And breakup of loan book by benchma rk, by EBLR, MCLR fixed rate?
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

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– The MCLR book is around 51 point odd, that is approximately 52%., sir. Our RLLR linked is 38%. The remaining 10% is staff loans and loans against deposit and all those specif ic schemes.
– Mr. Jay Mundra - Participant:
– Sir, if you permit, I can ask one more question?
– Moderator:
– We request you to please join back in the queue.
– Mr. Jay Mundra - Participant:
– Sure, no problem. Thank you very much, sir. All the best.
– Moderator:
– The n ext question is from the line of Ashok Ajmera. I request you to please unmute yourself and go ahead.
– Mr. Ashok Ajmera – Participant:
– Thanks for giving me the opportunity, though I am waiting from the first question itself. Anyway, sir. Yes, definitely, th e profitability of the bank has improved and it is the one of the best quarters as far as the net profit is concerned. Having said that, I have got again a question on our credit growth. Sir, if you look at this current quarter, I mean, the last quarter, t he net credit growth is only 6,717 crores in the domestic book, which is just 0.75%. So overall, you said you set a target of 10% and you achieved 11%. But going forward, how are we going to, if in a quarter, the credit growth and that is also in the in th e March quarter itself, if it is only 0.75%, so how can we expect the credit to growth to come in, in the coming quarter? Does it mean that a big chunk of loan has been repaid and a fresh loan
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– Yeah, let me explain to you, sir. I was sharing with you for the last four quarters that we have, two years back, invested 60,000 to 70,000 crores in AAA rated borrowers at much, much cheaper rate. Because during that time, that decision was good because we have surpl us of 60,000 to 70,000 crores in our system, and we deployed that. But now that deployment became costly for us because that borrowers are not inclined to increase their rate of interest. And at that rate, maintaining that 70,000 just to manage our top lin e, will be difficult and it will be having a stress on our margins. So as a calculative business decision, the bank has taken a decision to gradually reduce our exposure from these 7 -8 borrowers, from the 70,000 to an acceptable level of 25,000 to 30,000 c rores. That in over stretch, we cannot reduce it.
– Whenever it comes for the renewal for those things, we are reducing 50% or 60% or 30%, depending on the price what we are getting from that borrowers, and we are renewing it partly. So the remaining amount we are accepting as a payment from them, and that amount we are investing in that. But in the credit growth, there is no question of sluggishness. I already shared with you in the last quarter itself, we are

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almost to 14,000 to 15,000 crores. We have redu ced that limits from exi

sting AAA
rated or whatever it is, because the rate of interest is much, much below than the market rates. So that's why that is not reflecting in your QoQ basis of the incremental growth. If that is the case, that would have impact ed our ramp growth. You look at that our ramp growth, it is more than 2%. Then it is not that the credit growth is not there. So only because of the corporate growth, we have taken that decision. And to reach our portfolio without impacting our margins. An d where this 60,000 -70,000, the burden is there, that slowly we want to reduce that burden. This is only that.
– And one more green patch I will tell you to that, maybe this is the first of its kind. From April this month, 30th of this month, from March 31s t to April 30th, we are positive by 9,000 crores in the balance sheet.
– Mr. Ashok Ajmera – Participant:
– That’s great.
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– And that means in advances itself, we are positive by 3,000 to 4,000 crores. And, don't you think that it will give us a benefit in the interest income?
– Mr. Ashok Ajmera – Participant:
– Yeah, definitely.
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– So we don't want to be in the market when the market is too busy and working for the top line. Our policy is very clear, sir. We don't want to grow at the top line at the cost of bottom line. We know when everybody is relaxed, we want to do our job. That j ob we are doing in April itself. And in April, our balance sheet is so comfortable, first time

in the history of our bank, as well as in all the banks. We are 9,000 crores more than the domestic business of March 31st.
– Mr. Ashok Ajmera – Participant:
– Yes, sir. Sir, my second…
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– And, majority of this incremental growth has come from either in the savings bank or in the advances, nothing else.
– Mr. Ashok Ajmera – Participant:
– That's great, sir. Sir, you said t hat the additional provision of over and above the IRAC norms is 1,800 crores. Sir, out of that, that one major account, which was slipped last year… this year, how much out of that 1,800 crore is of that particular account?
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– Approximately 300 crores is there, sir.

– Mr. Ashok Ajmera – Participant:
– So overall 300 because 300 you made this year.
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– No, this is not overall, additional we have provided 300.
– Mr. As hok Ajmera – Participant:
– Out of this 1,800 crores which we have the floating… I mean, the extra provision, that one account…
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– 300 extra provision we have made towards that account.t
– Mr. Ashok Ajmera – Participant:
– Okay sir, point well taken. Sir, I will come on treasury. We have given a very good handsome profit on…
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– No, let Ashok ji ask, sir.
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– If any apprehensions are there, it is better to take the clarity.
– Mr. Ashok Ajmera – Participant:
– No apprehension sir, it is just a few points of information and data. Sir, our treasure has performed very well. The profit from the sale of investment is 66 3 crores out of 865 crores of profit in this quarter. Now, our AFS book is also increased by around 9,000 -10,000 crores even in this quarter also. So, Mukherjee saab or you, going forward, will this momentum in the treasury performance or income continue i n the coming quarters? Do you see that softening of rates might come by RBI also?

– Mr. Debashish Mukherjee - Executive Director, Canara Bank:
– No, no, definitely sir. We are definitely for churning our portfolio in investments, and we have been trying to d o that. And that is why, as I told you, earlier, that our portfolio yields ha

ve increased to 6.91 from 6.69. And also, please note that this change in accounting has given our CET -1 a boost of 21 basis points, which is a very big amount; about 1,400 crores . So going forward, our AFS portfolio, we will continue to increase and churn it. As well as, use our HTM portfolio as well, for churning and getting more and more profits. That’s been our intention always, and this time also.
– Mr. Ashok Ajmera – Particip ant:
– That s great Sir, if you permit just last question in this round.

– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– Okay, sir.
– Mr. Ashok Ajmera – Participant:
– If you refer the Note number 13, sir, we have sold an NP accounts, 12 NP accounts of 2850 crores. That was the book value also and the outstanding also. So, aggregate consideration received is 916 crores Whereas, in the next same note, in the in the Note number 13 -E, we are mentioning that the quantum of exce ss provision reversed in the P& L account from the sale of the state's loan is 371 crores. So, the consideration received is 916 crores.
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– Let me let me explain to you, sir. Let me explain to you, sir.
– Mr. Ashok Ajmera – Participant:
– Yes, sir. Just for clarity.
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

– Whenever you are transferring your account, you are selling your account to NARCL or any other ARC. We have sold to only NARCL; no other ARC we have sold. The NARCL, when you a re selling it, the 15% only upfront you will get the cash, sir. The remaining 85% they will give in the form of a SRs guaranteed by Central Government. Though it is guaranteed by Central Government, as per the existing regulatory guidelines, we cannot reve rse that provisioning on that SR, that portion. So, whatever the settled amount, 968, upfront what we got is 15% of that cash, we will get it. In the remaining accounts, what ever the SRs they are issued , that SRs provisioning against that amount will conti nue in the system, sir.
– Mr. Ashok Ajmera – Participant:
– All right. So, this 371…
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– That’s why, that provision reversal, you don't see that.
– Mr. Ashok Ajmera – Participant:
– We see only 371 crores in the prov ision reversal for this?
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– Yes, sir.
– Mr. Ashok Ajmera – Participant:
– And what was the percentage of this overall, including 15% and 85% of the book outstanding? I mean, how much realization percentage?

– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– Sir, it varies from account to account. Some accounts we get upfront cash more, some account upfront cash will come less, but the minimum upfront cash is 15%. But that varies from account to account.
– Mode rator:
– Thank you, sir. The next question is from the line of Sushil Choksi. Please unmute yourself and go ahead.
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– Thank you, Sushil ji.
– Mr. Sushil Choksi – Participant:
– Congratulations for a very stable n umber and stable outlook. Sir.
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– Thank you very much, sir.
– Mr. Sushil Choksi – Participant:
– Entire world is searching CASA. And specifically, Canara Bank, if we compare with our peer banks at our size leve l, what are we doing to make sure that our CASA, that's the difference between your balance sheet and their balance sheet where cost to income or other numbers are concerned? Assuming the other two numbers are stable, which are yet to be announced, what ar e we enabling that our CASA, from current 32 goes to 35 or 40% over a period of 3 -4 years?
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– Sir, we are working hard on that CASA. Undoubtedly, we have taken CASA as our first priority among all our busine ss parameters. But

historically, when you say that the
62% to 65% of branches network is in South India, CASA historically is a challeng e for our bank, because , though it is yielding an asset side benefit, but this side is a CASA. We don't want to accept t hat weakness as it is. And last year, first working day itself, we started, we launched six products targeting various sectors. For retired people, we have come out with the two products, and for the salaried class, we have come out with 3 -4 products. Then special other than salaried class, for savings bank, we have come out with some select products. And business community also, we have come out with the two products in the current accounts.
– We also simultaneously developed our digital footprint so comfor table with the customers, so that the younger generation with whom we feel that so much CASA is available, who are the high earning individuals in the present society. So, targeting them also, we are launching several features, several products so that the y will start dealing with us. And that has given us a very much comfort If you see our CASA as on December and CASA as on March, CASA as on December, it is only 31.662. Whereas, the CASA at the March level has gone to the 63 basis points more, and we have crossed

32.25 or 26 something; that's the area. This is possible only because our incremental growth in the SB individuals.
– In the absolute numbers also I can share, approximately around 16,000 to 17,000

crores in SB individuals alone has been increased. Out of that, only 6,000 crores we got through new schemes that we have introduced. So that is actually the major chunk where we have got the jump. And simultaneously, we introduced a Relationship Manager concept to reconnect with our high net worth custome rs. That has been established in almost 4,900 branches. An exclusive officer has been given to handle or serve the top 200 customers. And we have introduced API banking with 200 features to make corporates comfortable with dealing from their host -to-host i ntegrity.

– We also have done corporate mobile app. we are the second public sector bank to make it more comfortable for the corporates, so that they can shift their entire ancillary business towards us. And we are taking several initiatives to attract that . Recently, in continuation of that, with the motivation given by the last year, with whatever the new products, the enthusiasm has increased in our rank and file. So, in the first working day of this current financial year also, we launched two new produc ts. One is directly a CASA i.e. Canara Angel targeting women. And this is the first of its kind in India. Whatever products we are launching in the last one year and these two months, are first of its kind in the industry. There afterwards, other banks, wh ether they are public or private sector banks, are introducing similar products. And this Canara Angel has got so much attention from the various sections of the people, especially various geographical areas. And in the first one month itself, we got 200 crores in the new accounts opened in that particular product; it is not from the existing accounts migrated to that. So new connections what we got through them, we got more than 200 crores in that.

– Simultaneously, we also launched to target the younger ge neration whom we want to attract to onboard as a customer. So, we introduced a Canara Heal that is a medical gap funding. So whenever the health insurance scheme has been taken by any youngster for their dependents or for themselves, when they admit their dependents on that, there will be a difference between the TPA settled amount as well as the corporate hospital billed amount. That gap funding, the person can avail it within 2 -3 minutes by opting online. This entire thing is being STP process; no physica l intervention. The documents, everything , can be uploaded online, and one can opt for that. T

hat product also has attracted many corners from many areas, and nowadays I'm seeing more traction as well as the discussions on that product. This product i s aimed not for lending only it is for me aiming to onboard the younger generation. So, they can open their account online and take this facility then and there, and they can repay it in whatever the instalments they like.

– Such innovation R&D has develope d a lot. You know that very well that in the last January 1st itself, we introduced an industry best business analytics and data lake in our special exclusive lab, and that is also as creating wonders in garnering the leads, especially in the CASA side. So these are all the initiatives.

– We are not stopping here. We are also now having discussions with many vendors for bringing GenAI into our regular customer experience areas, so that that also will

attract the younger generation. Our innovation in technolo gy to make more of t he younger generation attracted to this bank will continue. And to attract other sections of the societ y, our R&D is target -oriented, the sector augmented or segmented targeted products we are launching. And these efforts will continue. With that, we are very much confident that in the current year we will achieve that 33% CAS A. And as you said, that it is reaching to 37% to 38%. Definitely it's a long way to go. We are working on that, we are not sure whether we can achieve it in 3 yea rs or 4 years. But we are aiming and we are working on that only.

– Even recently when we had a Board Strategy Meet, we wanted to achieve 35% in the next two years, and there afterwards, again we want to keep it in the longer five -year plan also we are draf ted. There we kept it after five years. We want to achieve around 38%. These things are quite possible if we continue with the innovative products. And we are sure we will achieve those things, sir.

– Mr. Sushil Choksi – Participant:

– Sir, your city attracts the highest and the best talent, and your state attracts the best talent to the service economy as far as new generation is concerned. The amount of digital spend which we have done to migrate the bank from old Cana ra Bank to a new generation Canar a Bank, when do you think this entire migration will reward the bank? Whether this year, next year or it will take some more time?

– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

– See innovation and technology importing is a journey, sir. It is not a destinati on that we have we can say that, yes we have achieved 100%. So always you will get innovative

things and you have to capture that. And you should be the first in the industry. Then the people will be attracted you, people will recognize you, people will id entify you as their preferred banker. But the majority of the investment, I can say, that we have completed. But now we are taking the fruits out of that investment. So now we are working hard on that.
– But simultaneously, our investment may not be that mu ch. Volumes may invest but at a little lower side, but investment will continue in the IT. Now in the current year, we have targeted for GenAI, artificial intelligence, sir. New GenAI, what is there, that area, whether we want to improve our customer servi ce, customer experience, by introducing in the chat bots or even the customer call centre, or even in the online transaction monitoring to address the cyber security, cyber -crimes and all those things. Many areas we have identified, and we are working on t hat.
– Mr. Sushil Choksi – Participant:
– Sir, in the current year, we have already finished one month. Based on unavailable limits and what we have sanctioned, and your credit guidance of 10 -11% or you may do 12%, what is the limit available with people who… let's assume that the economy is on a very high trajectory after the election. What kind of limits can be available? What is unavailed lim

its, undrawn limits?
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

– See, in the corporate itself, what we sanctioned and partly dis bursed, we have appro ximately 25,000 to 30,000 crores in the RAM sector, in different areas. And even in MSME also, unavailed limits are there 4,000 to 5,000 crores. All these things it's not that overnight they will use it. As and when they require, as and when it is due for that, they will use it. But what I want to tell you is, the credit growth, I want to share it with you, that the from March 31st compared to the last working day of April, after one month, on the total balance sheet, in domestic business, we are 9,000 cror es more than March figure. This may be the first bank. We are openly sharing with you that the we are 9,000 crores positive than the March 31st figure. That's what our business plan is. And when the activity is less, we want to do more a business so that t hat will take care of our NIMs also and returns yield on advances also, interest income. In the first month itself, we are almost 4,000 crores positive in the advances.
– Mr. Sushil Choksi – Participant:
– Sir, my last question in this round, if time permits, besides the two IPO which you are proposing, any other asset monetization plan from Canara Bank?
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– No, sir. At this moment only those two we are thinking of listing. And it is in advanced stage. One is in ad vanced stage, one is still half way. And we expect that one may come to the listing in the last quarter of this financial year. The other one may come in the first quarter of the next financial year.
– Mr. Sushil Choksi – Participant:
– Thank you and best wish es to Canara…
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– Because, our CRAR, Sushil ji hope you will agree, that this is one of the highest CRAR are among the public sector, peer public sector banks at 16.28%. And, our internal accruals are so high, and that is taking care of our growth rate, whatever it is there. At this moment we are working on improving the value of our investment. Our focus is more on improving our value of the investment, whether it is through subsidiaries or our bank.
– Mr. Sushil Choksi – Participant:
– Sir, last 24 to 30 months you have outperformed most of the peers in terms of the balance sheet size, or many other aspects, and shareholders have been rewarded. And I hope that journey continues with your team.
– Mr. K. Satyana rayana Raju - MD & CEO, Canara Bank:
– Sure, sir. We can assure you that, that whatever the rewarding the shareholders… last time 120% this time 160%. The same tempo will continue in the current year also.
– Mr. Sushil Choksi – Participant:
– Thank you all the b est, sir.

– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– Thank you, sir.
– Moderator:
– Thank you, sir. We have the next question from the line of Anand Dama. Request you

to unmute yourself and go ahead.
– Mr. Anand Dama – Participant:
– Hi, thank you for th e opportunity. Sir, my first question is on the margins. So, this quarter we have seen almost like stable margins, as such. Was there any interest on NPA recovery during the current quarter? And what is your guidance in terms of margins for FY25?
– Mr. K. Sa tyanarayana Raju - MD & CEO, Canara Bank:
– So NIM margins means, NIM, whatever we are telling presuming that current liquidity position continues. So, we have seen in the bulk deposits and CDs little softness from the March quarter to now in April. The rate s were earlier too high now, and it has come down something to the extent of 7.6 -7.7 that range. But still, in retail term deposits, the same rates are continuing, which is high -cost deposit only. So at this moment, we don't see too much change in the cost of deposit and the yield on advances. In the current quarter too much change may not

be there. So, whatever the
performance what we are showing in the just concluded March, may continue in the margins level. But cautiously, we are projecting ourself that it may be around 2.95 to 3%. But our endeavour always will be to see that our NIM is around 3 or more than 3. But cautiously, we are giving the guidance presuming that this liquidity tightness will continue throughout the year. If the flexibility is there, automatically that will impact our NIM and that will show a positive reflection on that.
– Mr. Anand Dama – Participant:
– Sir, can you just talk about interest on NPA recovery during the current quarter? Like, 4th Quarter, how much was it?
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– Interest on…?
– Mr. Anand Dama – Participant:
– NAP recovery.
– Sir, NPA recovery interest specifically saying that this much target and all it will be very difficult.
– Mr. Anand Dama – Participant:
– No, I just want it for the 4th Quarter.
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

– That's what, sir. 4th Quarter, overall, whenever we recover, towards the tranches.. See, if it is a technical return, written off accounts, in that written off accounts, whatever they we getting, even book balance is a profit for us. And more than that whatever we get, we recover it. And whatever the existing levels four quarters it is there… So, that 200 to 250 crores will continue every quarter. That may not be a big change. You will see that in one quarter may you will get 600 crores, in one quarter may only 10 crores. On an average, generally, interest on NPA will come around 200 to 250 crores; that will come in that.
– Mr. Anand Dama – Participant:
– Sure. And, sir one thing basically . If you can just talk about what is the overall project financing exposure that we have on our book as of now, in terms of percentage? I just want a ballpark, like 10%, 20%?
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– See, I have already addressed this question twice, but I don't mind repeating that. You tell me, what is the floor limit I have to take, then I will tell you.
– Mr. Anand Dama – Participant:
– Sir, all we are asking is, basically any project financing exposure in one quarter…
– Mr. K. Satya narayana Raju - MD & CEO, Canara Bank:
– See, you are asking me you tell me what is your exposure on the project finance? I am asking you, what is the floor limit? Whether it is 10 lakhs, whether it is 1 crore?
– Mr. Anand Dama – Participant:
– You take it 1 cro re.
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– See, is it possible to calculate 1 crore above and all those things and readily share with you? … MSME portfolio and all. So let the clarity come. At this moment, we expect that our exposures are in a nd around of one lakh crores if you take everything. But the let the clarification come. If the clarification comes that project cost or the loan amount, the floor limit if they say one crore, it's okay, if they say 10 crore it is… if they say 50 crores, d ifferent figures will be there. But if you don't take any amount and 100% amounts you have to take, it will be around one lakh crore, approximately.
– Mr. Anand Dama – Participant:

– Sure, sir. Thanks a lot.
– Moderator:
– The next question is from the line of Ashlesh. Please unmute yourself and go ahead.
– Mr. Ashlesh – Participant:

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– Good afternoon, sir. Just a couple of questions. Firstly on the corporate loan book, are there any further low yielding corporate loan that you plan to shed? And, what is the average yield on the corporate loan book right now?
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– See, corporate loan book, we don't shed it just like that shedding. So when we generally… whenever there is a due for that, low cost or low yielding… low yielding corporate book is there. I already shared with you that we have

60,000 to 70,000
crores. When ever those loans come for either the repayment or for the renewal and all, we are negotiating with that parties. If those negotiations happen as per our expected level, if it is well within our appetite, we would love to continue with them. But suppose the y have a better options from other banks and they don't want to increase their rate of interest, in such cases, we are reducing our exposures. It is an ongoing exercise, but it's not that suddenly there will be a negative growth in that just like the last month what it is there. It will not be there, because already from March till now, we have seen 3,000 crores incremental growth in the corporate book alone; in one month.
– Mr. Ashlesh – Participant:
– Understood, sir. Sir, what is the average yield on the cor porate loan book for us?
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– Now it has crossed to 8.05, sir. Earlier it was 7, now it is 8.05… 8.17. 8.17, and we are comfortable with anything above 8%.
– Mr. Ashlesh – Participant:
– Understood, sir. And what w as this number in the previous quarter, 8.17?
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– That's what sir, one year back it was only 7.02 or 7.06. Almost 110 basis points have increased in that
– Mr. Ashlesh – Participant:
– Understood. Sir, just one las t question. What would be the average cost of outstanding term deposits for us?
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– See, average cost… already cost of deposit is reflecting. It is 5.5%. If you want exclusively term deposits, it may work out around 6.25 to 6.50, sir, if you don't add CASA. Only the CASA of term deposits, it would work around 6.25% to 6.50%.
– Mr. Ashlesh – Participant:
– Understood, sir. Thank you.
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

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– Thank you, sir.
– Moderator:
– We'll take that as the last question due to time constraints. Thank you sir, for giving Antique Stock Broking this opportunity. We'll hand over the call to you for your closing remarks.
– Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
– Thank you very much, sir. We'll continue to perform as expected. Our main thing is consistency, that consistency will continue. We will not see any knee jerks in our balance sheet in the coming quarters too. That much assurance I can give. Thank you, sir.

– END OF TRANSCRIPT

Call: Jul 2024

[redacted] Secretarial Department
[redacted] Head Office F +91 80 22248831
112, [redacted], [redacted] - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@c anarabank.com www.canarabank.com
Ref :: SD:228/229/11/12::202 4-25 30.07.2024
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
MUMBAI - 400 001

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Listing Department
National Stock Exchange of India Ltd
EXCHANGE PLAZA
Bandra -Kurl a Complex, Bandra [E]
MUMBAI - 400 051
Scrip Code: CANBK

Dear Sir/Madam,

Sub: Q1 FY 202 4-25 Earnings conference call with Analysts / Investors - Transcript

Ref : 1. Our Letter SD:197/198/11/12::2024 -25 dated 18.07.2024 &
2. Our Letter SD: 223/224/11/12::202 4-25 dated 25.07.2024

With reference to above and pursuant to the applicable provisions of SEBI (LODR) Regulations, 2015, we herewith enclose the transcript of post results Earni ngs conference call Q1 FY202 4-25 held on 2 5.07.2024 .

The trans cript of Q 1 FY202 4-25 Earnings conference call is uploaded on Bank's website and the same can be accessed through below link:

https://canarabank.com/pages/Earning -Conference -Call-Transcript

This is for your information and records.

Yours faithfully,

SANTOSH KUMAR BARIK
COMPANY SECRETARY

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Canara Bank Q1 FY25 Earning Call
July 25, 2024

- Moderator:
- Good afternoon, everyone. We welcome you all to Q1 FY25 Earnings Call of Canara Bank. Thank you, Canara Bank, for giving us this opportunity to host the call. Today we have with us Mr. K. Satyanara yana Raju – MD & CEO, Mr. Debashish Mukherjee – Executive Director, Mr. Ashok Chandra – Executive Director, Mr. Hardeep Singh Ahluwalia – Executive Director, and Mr. Bhavendra Kumar, along with other senior management people of the team. Without further delay, I hand over the call to MD sir for his opening remarks, post which we can open the floor for Q&A. Over to you, sir.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Hello . Can y ou hear me , Sir?
- Moderator:

- Yes, Sir, you are audible. Please go ahea d.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Yes Sir. Good evening, all of you . Sorry for the inconvenience . I am here to present the first quarter results of this financial year . Again, one more consistency , we are able to show that in these results of the June quarter . Our global business has grown 11.07% year -on-year and stood a t 23.10 lakh crore . Our global deposit has grown at 11.97% year -on-year and stood at 13 .35 lakh c rore . Our global advances have grown at 9.86% with year -on-year growth and stood at 9.75 . This is despite we have in the current quarter also we continued our shedding of low yielding advances . We have shed almost to 22,500 crores in the corporate , even then we could show this near to the 10% growth , which we have give n the guidance last quarter when announcing the results. W ith this, our net profit has grown at 10.47% year -on-year growth and stood at 3 ,905 crore . First time in the history of the Cana ra Bank, our common equity Tier 1, that is CET 1 has crossed 12% an d stood at 12.05% with a 55 basis points year -on-year improvement . Our return on asset has further improved from 1% to 1.0 5% in the quarter and with a year -on-year improvement of 6 basis point . As given earlier also the guidance have to reach the 90% of this year . We continue to provide the additional ly, that's why our PCR also has further improved to 89.22% and with an improvement of 118 basis points year -on-year . Our credit cost has shown further improvement and stood at 0.90% with a decline of year -on-year 20

basis points . Our gross NPA both in absolute number and percentage has shown an improvement and the decline to 4.14% with year -on-year decline of 101 basis points

Our net NPA also has shown improvement and declined both in absolute number and p ercentage and stood at 1.24% and a decline of 33 basis points year -on-year . This business has grow th led by RAM Sector .
- As earlier we were repeatedly giving the guidance that we are focusing more on the RAM sector and we want to see that our RAM sector wil l reach to the 58% of our total credit portfolio and with this our RAM sector has touched the 57 % where one year back, our RAM sector was 55% and now it has reached to 57% . This was because the RAM credit has grown 12.26%, though that overall credit grown at 9.86 , the RAM sector alone has grown 12.26% . This is led by our retail credit has grown 23.54% and stood at 1.75 lakhs and our housing loan also growing near to the 12% and stood at 96,108 crores . Our vehicle loan has grown at 15.49% and stood at 17,708. Our earning per share before telling the figure , let me again remind you that during the quarter our share price has been split into 1:5 and earl ier the share price was ■10 share , now it is split into 5 shares , that is now each share is ■2 with a face value . With that ■2 of face value o ur earning per share becomes 17. 27 with a year -on-year increase of 10.18% . Our fee-based income has shown 16.75% growth and stood at 1,910 crores . These are all the few glimpses I've shared with you . Anyway, we have shared our entire presentation to all of you, I'm sure that by this time we might have gone through that entire presentation . Now , we are all open al ong with me, our Executive Director, Mr. Debasish Mukherjee Sir, and our Ashok Chandra Sir, and Hardeep Singh Ahluwalia. We are all there with you and all the top management is with you . You can ask any clarification , Sir. We are here with clarifying th at. Now, this forum is for you , Sir. thank you very much .
- Moderator:
- Thank you, Sir . First speaker w e have is from the line of Mona Khetan .
- Ms. Mona Khetan - Participant:
- Yeah, hi, Sir . Good evening .
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Hi, Mona ji.
- Ms. Mona Khetan - Participant:
- My first question is on the growth . So, essentially if I look at retail, we have grown by 12% QoQ . Sir, w hat exactly is driving this book because if I look at HL and vehicle the growth is in line with the other books , it's not that high . So, yeah, what is driving the sequential growth in retail book ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- So, let me say, Madam, actually the RAM credit consists of retail , agriculture , and MSME. Our RAM credit is grow ing at 12.26%. That contains the retail . Retail growth

in the current quarter it has shown 12.39% year -on-year 23.54% . The main reason is in agriculture our gold loan portfolio, we have stopped lending gold loans in the metropolitan cities for agricultu re purpose because when the loan is growing with the portfolio is growing, we want to take some conservative steps on that , but at the same time, we want to meet the requirements of the metropolitan customers . The metropolitan customers also, he wants to avoid the gold loans . That's why we introduced the retail product in the Gold Loan Retail w ith a little higher rate of interest and low L TV. That product has received very well in the metropolitan . We stopped lending with agriculture and this portfolio is growing very fast . That is also is helping that retail for growing up to 23.54% to that extent small decrease there in the agriculture , that's the reason quarter -on-quarter agriculture, you can see a negative growth of 4.86 %, b ut MSM E last quarter sequ entially it was - last quarter it was almost stagnant little negative though, but thi

s quarter we could recoup that
and with this quarter itself, we have grown 2.42% . overall , if you see that retail has grown at 12.39 and MSME up to 2.42 and all , these th ings have brought that the 12.26 growth in the RAM credit .
- Ms. Mona Khetan - Participant:
- Sure . So, it's mainly the non -Agri gold loan in urban cities that's driving the retail growth apart from
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No mad am. You see that the vehicle loans this bank has never grown in the double - digit growth . Now , we are growing almost near to 16% and the housing loan we are continuing to improve our market share every year -on-year . This is the very one few banks , one am ong the few banks that their market share in the housing is increasing . There is a consistency and in our bank we don't buy any portfolio buy out and we hardly participate in the co -lending portfolio . So, the entire RAM business, whatever we garnered, we garnered from our brick and motor outlets branch derived business . So, this is the concrete business . It's not that only the gold l oan portfolio what we introduced is the main c ause , but it has helped us . Earlier we used to grow at 14 % or like that , but now the retail growth at 23% definitely that portfolio that particular product is helping us .
- Ms. Mona Khetan - Participant:
- Sure and what are the yields in this book, the gold?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- More than 9%, Madam .
- Ms. Mona Khetan - Participant:
- Sorry ?

- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- More than 9% .
- Ms. Mona Khetan - Participant:
- Okay. What is it in the Agri gold book?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- It is 8.75, Madam .
- Ms. Mona Khet an - Participant:
- Okay . And secondly on the margin front, so this quarter we saw dip in the margin, which is closer to your lower end of your guided range of 2.9 to 3, so, what will be the full year guidance NIM and is there any change?
- Mr. K. Satyanaraya na Raju - MD & CEO, Canara Bank:
- Madam, y ou can observe from the last past three years, generally in the first quarter our NIM will be comparatively lower because the NIM will be calculated based on our business . The first quarter our business reflects higher , gradually it comes down , that's why NIMs will go up and in the second and third and fourth quarter, the NIMs will go a little better , but last time also I shared with you, though we have given the guidance at 2.9 , our NIM maybe around 2.95 to 3, and I feel that 2.95 by the end of this year we can expect that to 2.95 .
- Ms. Mona Khetan - Participant:
- Sure . And just finally, your data keeping question, what will be your outstanding restructured book? Thank you .
- Mr. K. Satyanarayana Raju - MD & CEO, Canar a Bank:
- Our outstanding RF1 , RF2 everything together as on date originally it was 24,000 crores , as on date it is 16,000 crores . Out of that 11,000 crores are standard as set. 4,900 or approximately 5 ,000 is our NPA .
- Ms. Mona Khetan - Participant:
- Sure . Thank you so much . I'll come back in the queue .
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

- Thank you, Madam .
- Moderator:

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- Thank s. Our next question is from the line of Mahrukh Adajania . Please unmute yourself and go ahead .
- Ms. Mahrukh Adajania - Participant:
- Yeah, hello, Sir .
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Hi.
- Ms. Mahrukh Adajania - Participant:
- Hi. Sir, just a couple of questions . Reason for growth in SMA 0.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- SMA 0, you see th at SMA 1 and 2, we are able to control on year -on-year or even sequentially quarterly we have shown better performance . The SMA 0 was because of one account . It is a central public sector undertaking has sl

ipped to SM A 0 and
there the exposure is little higher side.
- Ms. Mahrukh Adajania - Participant:
- Its huge Sir? It's 45 billion . It's 45 billion – 4,500 crore ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- It is 3,800 crores approximately Madam .
- Ms. Mahrukh Adajania - Participant:
- Okay and which s ector?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, madam . Further details it is a central PSU pertaining to Andhra Pradesh that much I am telling you that is enough to identify that .
- Ms. Mahrukh Adajania - Participant:
- Yes, yes, of course, Sir . Thank you so much . Thank you. And Sir, the other thing that I have seen chang e in investment norms, right? So , with that, what has been the - what has have you taken to the shareholders fund and then to the increasing investment yield because of these shifting?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Yes, Madam . Our Treasury in charge is there . Our Mukherjee, Sir, h e will explain to you that . Actually , whatever the - because of this reclassification, I will explain to

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you, outwards he will further clarify to you . because of the new classification, there is no chance of shifting periodically from Held to maturity to available for sale . Because of that, the interest on investment has shown an improvement, but at the same time, treasury yiel ds have come down .
- Ms. Mahrukh Adajania - Participant:
- Okay . But what is the impact on yield on investment? Just because of the change is done?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No. The yield on investment we have shown that it has gon e up . The yield on investment you see that earlier, it is 6.91 , now it is 6.94 , 3 basis point has increased .
- Ms. Mahrukh Adajania - Participant:
- Okay. So, it has increased 3 basis points because of this ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Yes, Madam .
- Ms. Mahrukh Adajania - Participant:
- Okay . And Sir, my last question is on low yield, basically.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, actually, if you look at that, NIA comparative sequentially in the normal interest rates on the previous March quarter and this quarter, there is one accounting policy has changed as per the regulator requirement . Earlier we used to collect the premium interest whatever we collected . We used to count in that interest income, but now as per the regulatory directions from 1st April onwards , we are counting it in the other income .
- Ms. Mahrukh Adajania - Participant:
- Okay .
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- And the difference is approximately 150 to 160 crores .
- Ms. Mahrukh Adajania - Participant:
- Got it.

- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

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- And then you are asking about NPA and generally every quarter it will be around 150 to 200 crores will be there , but compared to March, we have recovered a little more . So, we got a round 300 crores, but this quarter again normally we are between the 150 to 200 crores .
- Ms. Mahrukh Adajania - Participant:
- Okay , Sir. Okay . This is very helpful, Sir . Thank you .
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Thank you, Madam .
- Moder ator:
- Thank you . The next question is from the line of Anand Dama . Please unmute yourself and go ahead .
- Mr. Anand Dama - Participant:
- Thank you, Sir . So, basically the yield on loan which have contracted during the current quarter , is what you have basi cally mainly said because of the change in the regulation related to pen al interest?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- One is the change in the regulatory treatment of that penal interest . Second one is other interest income is there Sir, last quarter sequentially we got 2 ,000 crores . That is the inte

rest on overnight deployment of the surplus funds , that has come down to 1,800 crores . So, there is a 200-crore shortfall there .
- Mr. Anand Dama - Participant:
- Then in that case, the next thr ee quarters, basically we should expect the yields to again improve because this one of will be largely behind and on quarter -on-quarter basis, we should see an improvement in yields , right?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Interest on ad vances , definitely it will show some improvement, but other interest income depends again the depending on the availability of opportunities . When you have surplus money , you have to invest in the overnight or that's the call money market that is there, that depends on the demand and supply .
- Mr. Anand Dama - Participant:
- Okay . Sir, secondly, on the SMA book, you said that there is one large PS U account, base in Andhra Pradesh , any another public sector bank with the Union Bank had

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also shown a higher SMA book during the current quarter, but they have made a provision on these loans . Do we have a
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Let me say that - let me confirm to you that this entire portion, even if it slips in the September or even because of restructuring, if even downgraded , the requirement of 15% provision , entire provision of 560 crore , we already provided in this quarter itself .
- Mr. Anand Dama - Participant:
- Okay. You have already done that . Oh, great .
- Mr. K. Satyanarayana Raj u - MD & CEO, Canara Bank:
- Yes, 100% . We already done requirement .
- Mr. Anand Dama - Participant:
- Sure, Sir. Great Sir. Thanks . Thanks a lot.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Thank you , Sir.
- Shareholder :
- Yeah, very good afternoon . Two things I was looking at . One is like I could see the total; I mean cost of funding going up . That is one thing I wanted to know, what is the reason ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- What Sir ?
- Mr. Anand Dama - Participant:
- I also s aw that the total loan book has gone down and it is also I mean the realization total interest income is also gone down . So, what is happening in these two scenarios ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- One is cost to income, Sir . You see that from the March, it was actually more than 50% . Now , it is 47% . sequentially , there is a reduction of 3% in the cost to income

ratio . One is that in March it was very high than the cost to income ratio was , because the staff cost was very high , bipartite settlement has happened once in five years and entire arrears have been paid in the December and the March quarter . Whatever the retirement benefits provisions has to be made , entire thing as we have

concluded in the March quarter, that's why the c ost of staff expenses have been increased , but to that extent - to some extent it has come down to 4 ,200 crores , now it is.

- Okay, cost of funding . The cost of funding is deposits, so it is why it is increasing Sir. The incremental deposit growth, whateve r it is happening in the system except the CASA where the SB and current account, the remaining entire retail term deposits and bulk deposits, the bulk deposits are ranging between the 7.5 to 7.8 and the retail term deposits anywhere in and around of 7% it is there . So, since the market demand is very high for the deposits, the cost of deposits, the average cost of incremental deposit is more than 7.5% . That is increasing cost and forcing us for that acquisition of the deposits, the cost of deposit is inc reased from 5.5 to 5.70 . It will continue for the next one or two quarters also because unless otherwise the liquidity in the system improves , again as concerns are expressed in various sections . Now, the technology is matured, 20% of the savings are

div erting to mutual funds and the
equity side that is also is putting some pressure on the bank deposits, but since we have a central government sovereign guarantee for rising deposits, we are not facing any difficulty , but only thing we are forced to pay hig her price, higher rate of interest for garnering that deposit . You can see that our deposits have grown in double digit , almost more than 11% we have grown . So, rise in the deposits, we don't have any issue , but whatever the incremental deposit we are ra ising it is a costly affair for us . That's why our cost or deposit is increasing .

- The yield on advances . There is no reduction, Sir . We have taken enough care on that yield on advances by 8.71 to 8.66 is merely because of reclassification of the penal i nterest in come . Earlier , we used to count in the interest income . Now , we have shifted it to as per the guidelines given by the regulator . We are reflecting in other income . So, that has shown that to 6 basis points reduction , beyond that nothing is th ere in the yield on advances , but okay I can say that the yield on advances already reached the peak . Further improvement, unless otherwise , there is a repo rate increase, there is no chance for further increase in the yield and advances . Already, whatev er the regime we can do in the corporate book , we completed that regime with this quarter . Now , all our advances corporate sector also is carrying our average yield on the corporate sector are now touched all time high of 8.21% . So, the yield is now alre ady reaching the peak.
- Mr. Anand Dama - Participant:
- Okay . So, can we expect the NIM to be possibly improving in the coming quarters ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Now, generally compared to first quarter, second, third, fourth quarte r, when you reach to the fourth quarter, slight improvement NIMs will be there Sir . So, what we have given earlier also I shared with , when I am sharing with the guidance of 2.9 0, we may end up at 2.95 by the end of this year .
- Moderator:

- Thank you . The n ext question is from the line of Omkar . Please unmute yourself and go ahead .
- Mr. Omkar - Participant:
- Hello . Yeah . Hi, Sir . In this quarter, our Agri exposure has reduced quite a lot . So, any reason , is this a cautious stance from your side or what is the reason for this?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, Actually, our gold loan portfolio is the major contributor for agriculture portfolio , Sir. Out of th ese 2,40,000 crores , 1,01,000 crores are core agriculture and the remaining 1, 00,000 whatever it is there 38,000 or 39,000 crores is from the gold loan book . But when the book is growing so fast, we have taken a calculated business decision that we are here afterwards because the agriculture when we are classifying that gold loans in the agriculture , you are need ed to maintain certain land records and all those things . To have a more and more clean portfolio, we have decided that in metropolitan cities, we stopped funding agriculture loans against gold, but at the same time, there is a lot of potential in the Metropolitan city also to raise the loans against the gold loans . That's why we introduced the retail product , personal loan

secured by the gold loan and with a higher rate of interest , a little higher rate of interest that ha s attracted the attention of the metropolitan customers and that is giving a good business growth in the retail level , but to that extent , there is a dent in agriculture portfolio .
- Moderator:
- Okay . Thank you . The next question is from the line of Dinesh K. Please unmute yourself and go ahead .
- Mr. Dinesh K - Participant:
- I have a question – am I audible?
- Moderator:
- Yes, you are audible.
- Mr. Dinesh K - Participant:
- Sorry, Sir, I have a question on slippages . Si

r, slippages are consistently around 3 ,000
crores . So, there is no relief there . So, I have a question on short -term and long run, what the company is doing to make it below 3 ,000 or whatever the rectification in our system going on ?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- See, when you are having a 10 lakh crore , near to 10 lakh crore asset, in a year 12,000 crores is I feel that it's reasonably a banking practice , but it doesn't mean that

we are complacent on that . We are reached to our required goal, and we don't do further fine tunin g that . If you look at that the - there, actually this quarter we have done well in - this quarter and last quarter in the RAM sector and all , but there are in existing NPAs, if any additional debits has to come that is showing some 300 to 350 crores addi tional slippages on that , but otherwise , our core whatever the fresh slippages , we are able to control below 3 ,000, but suddenly bring ing to 3 ,000 to 2,000, I don't think that is easily practically possible . But definitely quarter -on-quarter maybe 100 cror e or 200 crore or 50 crore further reduction , we will keep on trying that . We are confident of reaching that .
- Moderator:
- Thank you. The next question is from the line of Rahil. Please unmute yourself and go ahead.
- Mr. Rahil S. – Participant:
- Hello, good a fternoon sir. Just a question on the guidance you had shared earlier for FY25. So just quickly, are we on track when you said advances will grow at 10% and ROA will be 1%, credit cost at 1.1? Sir, if you could just share your outlook. Is there any revision there, please? Thank you.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, we are not revising any of these guidelines. I don't feel that it is difficult to reach all these guidelines except in the CASA. But still, CASA also we want to try for that 33%, whatever guidance we have given. But we have given the guidance of business growth at 10%. 1st Quarter we have grown at 11%. Our advances growth we have given 10%. We almost reached the 10% even after shedding 22,500 crores in the 1st Quarter itself. And I am very much confident that we will grow beyond the 11 -12% growth in the next three quarters. And NIM, it is 2.9 we have given. We are already in the 1st Quarter itself. We are able to show that 2.9 and further three quarters there will be a further slight improvement in that only, there won't be any deterioration. Gross NPA we have given a guidance of 3.5. There is a further reduction. We have come up to 4.14. Net NPA also we have given a guidance of 1.10. We already have come down to 1.24. Slippage Ratio we want to maintain at 1.3, that almost we are able to maintain it. Credit Cost, Return on Equity, Earning Per Share, Return on Average Assets, all these things already we surpassed. Whatever guidelines we have given for the year end, in the 1st Qua rter itself, Credit Cost, Return on Equity, Earning Per Share, Return on Average Assets, we already surpassed those things.
- Moderator:
- Thank you. The next question is from the life of Suraj Das. Please unmute yourself.
- Mr. Suraj Das – Participant:
- Hi Sir , just one question in terms of this book that you are talking about. What will be the quantum that is sitting in the retail?

- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Now it is almost 19,000 crores.

- Mr. Suraj Das – Participant:
- Okay. And Sir, r est of the book, I mean, what will be the other segments in retail?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Mostly it is 19,000 crores that is there. Now, as on date it is 155,000 crores is there. 1,55,000 crores total. So if you remove that, m ay be hardly 1,000 crores is in the MSME, remaining is all in the agriculture. Retail gold loan is 19,000. But if you remove that 19,000 out of 175 retail, so 96,000 is in the housing loan, 17,0

00 under
the vehicle loan, 16,000 under the educational loan. The remaining is personal loans and mortgage loans and all.
- Mr. Suraj Das – Participant:
- Okay. Sure. Thank you.
- Moderator:
- Thank you. The next question is from the Line of Jai Mundhra. Please unmute yourself and go ahead.
- Mr. Jai Mundhra – Participant:
- Hi, sir. Good evening. Sir, if you look at Slide 22, wherein we give the yield on advances, I believe the numbers are cumulative number, right? So for March 2024, 8.71 yield is for the 12 months.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, sir. Tell me, sir.
- Mr. Jai Mundhra – Participant:
- So I wanted to check, sir, if this number of March 2024, is it the cumulative number or for the quarter? Because if it is cumulative number, that would mean that the QoQ decline in the yield on advances is muc h, much sharper, right? Because we started…
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, sir. What we have given in the March 2024, 8.71 is that particular quarter, and along with that cumulative… That is cumulative, correct. Our CFO will explai n to you further.
- Management - Canara Bank:

- Just that what you asked, this 1st Quarter is not cumulative. It is a stand -alone quarter. What we gave for March was the cumulative of four quarters. So what you are anticipating…
- Mr. Jai Mundhra – Participant:
- No, sir. Please complete.
- Management - Canara Bank:
- No, no. What you asked that if this is taking into consideration that March, then it is a sharp fall. No, it is not considering the March. It is stand -alone April, May, June yield.
- Mr. Jai Mundhra – Participant:
- Okay. So this is only for the quarter
- Management - Canara Bank:
- Yes. Now whatever we will show, every quarter will be cumulative. For up to say next quarter, it will be from April to September, December, it will be April to December. But this, w hat we showed now, the yield is stand -alone April to June.
- Mr. Jai Mundhra – Participant:
- No worries, sir. Secondly, if you can provide the break -up of slippages in the quarter.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- You can note down, sir. Ag riculture is 900 crores. MSME is 1,220 crores. Retail is 500 crores. The corporate, including existing NPAs which we increased, the total is around 600 crores.
- Mr. Jai Mundhra – Participant:
- Okay. And Sir, lastly, if you can provide the break -up of the loa n book by benchmark, how much is EBLR, how much is MCLR and how much is Repo by Rupees -Crore?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Sir, out of the total book, 51% is MCLR, sir, 38% is RLLR, (Repo rate linked rate). The remaining is loan against deposit, staff loans and all.
- Mr. Jai Mundhra – Participant:
- Okay. And Sir, lastly, you mentioned that we have now a very strong CET -1. a) what was the impact of the guidelines on CET -1?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- What was the impact on the…? Because of…reclassification. New accounting procedure of investments, sir.

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- Management - Canara Bank:
- Sir, it is around 1,400 crores which got added, of which 1,100 crores is on the reserves, and 300 crores has gone to HTL.
- Mr. Jai Mundhra – Participant:
- Okay. And lastly, sir, if you have any capital raising plan? Because if you can clarify, do we have a board approval or…
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Since CET -1 is very comfortable, it is above 12%, I don't think we n eed to go to the market for core capital. But, tier -1 and tier -2 AT1 bonds and tier -2 bonds, the board has already permitted the management to go to the market to the extent of 8,500 crores to raise. Out of that, 4,000 crores is AT1 bonds and 4,500 crores is tier -2 bonds. That we will come to the market depending on the favourable conditions of the… We are very much price

sensitive. So, we look forward for that. Whenever we get a better opportunity, better pricing, then we will go to the market and raise th at. And again, I want to tell you that we have a plan…
- Mr. Jai Mundhra – Participant:
- Thank you so much, sir.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- No, just one minute. Because we have plans to disinvestment in our subsidiaries. One of that plan in the Canara Robeco Mutual Fund, it may come to the disinvestment in the 4th Quarter of this financial year. That also may support our capital CET -1, sir.
- Mr. Jai Mundhra – Participant:
- Right, sir. That is very helpful, sir.
- Moderator:
- Thank you, J ai. The next question is from the line of Ashok Jain. Please unmute yourself and go ahead.
- Mr. Ashok Jain – Participant:
- Good afternoon, sir. First of all, congratulations. I am C. Ashok Jain from Mumbai. Congratulations for an excellent result. I have fe w questions. One is, our CASA has come down. If I compare from March 2024 to June 2024, CASA has come down
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Let me clarify this question, sir, first of all. The savings bank, whatever our initiatives, it h as started giving the results. And state savings bank, you can see the accumulation and creation of the deposit. From year on year, June to June, if you see

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that absolute numbers, 12,000 crores, there is an improvement in the SB individual itself. Actually , the SB individual's incremental growth is almost 18,000 crores. It is more than what it is reflecting there. But in SB there are institutional deposits which gradually is going out of the system because of Central Government, that new system of… they are keeping most of these funds with the Reserve Bank of India because of the latest software. So Central Government funds are slowly going out of this banking system. But that is being compensated with the SB individual accumulation savings. But overall, it is reflected absolute numbers way. It is 12,000 crores absolute numbers in year -on-year. But in the current account, the March figure, when you see that sequentially, March figure, in the March month, we are dealing with one Central Government department. We are the banker for them. We got funds of around 15,000 crores in the current account. And after 1st April, in the 1st week of April, that amount has converted into bulk deposit. So, to that extent, the dent is reflecting it. But it is 15,000 crores, it has moved from current account to there. But the reduction what it is appearing is only 11,000 crores, if you see that.
- Mr. Ashok Jain – Participant:
- When we explain it, can we show it to the market? Because it is giving wrong signal to the market. Maybe the breakup what you are…
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- We will try to explain to them, sir. There is no problem. If any correspondence is there, we will try to tell them that.
- Mr. Ashok Jain – Participant:
- Yes, sir. Second question i s that, recently you have come with infrastructure bond. So, what is your plan? I mean, you want to come with more amount or how…? And how will it impact our bottom line?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

- No, sir. Actually, board has perm itted for this year to raise of 10,000 crores, which initially we thought that we will raise 5,000 crores and 5,000 crores. By seeing the overwhelming response of our issue, whatever the green shore option is there, entire 10,000 crores we have taken in a single stroke itself. For this current financial year, whatever the board has permitted, we have already raised it, sir. Because whatever we are raising against the infrastructure bonds, it has to be invested or lent only towards infrastructure lending. Of course, we have enough cushion in our book. We have already lent enough, more than what we have raised from the market. That much expos

ures are there. But still we will see in the second half, if the
board permits for us, we will think about that. It depe nds on the market availability of the liquidity, again the demand for the infrastructure bonds, sir. If suppose my liquidity is improved, my cost of funds in the deposits have come down, then I may not think about it. Since currently the incremental deposi t cost is very high, we have gone to that infrastructure bonds to compensate or to use the other resources at a lower rate of interest.

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- Moderator:
- The next question is from the line of Piran Engineer. Please unmute yourself and go ahead.
- Mr. Piran Engine er – Participant:
- Hello sir, congrats on the quarter. Just wanted to follow up on the comment you made on savings bank deposits. Sir, what percentage of our deposits come from government funds, government or other non -retail?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- I will tell you that , In the savings bank itself, out of 332, it is only approximately 48,000 to 50,000 is from the institutional deposit. These 48,000 to 52,000 is also not entirely from the government deposits. These institutional de posits contain NGOs, pilgrim centres, colleges, universities, everything will be there. But I see that the government deposits may be around 20,000 to 22,000, that is the range we might be having. So that fluctuation will be there. Whenever that fluctuatio n is there, because of some initiatives and new products, that is being compensated with the individual savings bank. Our focus now is in individual savings bank, sir.
- Mr. Piran Engineer – Participant:
- Okay sir, that was very useful. And secondly, this mi ght be a bit early, but under Ind_AS accounting, will you be allowed to reclassify your NPL provisions into standard asset provisions?
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- I will ask my CFO to answer to you, sir.
- Management - Canara Bank:
- But as you know that Ind_AS provision is still not crystallized. But there is nothing which suggests that NPL will be allowed to be classified as standard asset. The only green shoot that may be available there is, in case of NPL, especially doubtful and loss assets, in spite of having good security, we are making 100% provision. But if against those loss or doubtful D3 assets where there are good securities, that may allow us to provide less. Only that is expected, but that will only be clear when the full guidelines come.
- Mr. Piran Engineer – Participant:
- No sir, actually I meant, right now your provision is around 30,000 crores on NPL. Can you say reduce to 25 and move 5,000 to standard asset? Will the auditors allow? Is it allowed under the new accountin g standards?
- Management - Canara Bank:

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- See, especially the entire details of the new accounting system has not come. But as you said in NPL, especially loss doubtful, we are making 100% provision, irrespective of the liability. In case… I said in relaxati on, it may get some green shoot, but that will be more than compensated by standard asset provision, where I have to make much more than 0.4% which we are making. But having said that, the bank is in a very comfortable position if any provision that we hav e to make in under Ind_AS, even considering that, although as you know, what RBI said is to be covered over a period of 5 years. Even if it hypothetically needs to be provided in a 1 year, all our capital ratio should be in a comfortable position. This muc h we can say.
- Mr. Piran Engineer – Participant:
- Okay, sir. Thank you so much and all the best.

- Moderator:
- Thank you. The next question is from the line of Rakesh Kumar. Please unmute yourself and go ahead.
- Mr. Rakesh Kumar – Participant:
- Yeah, hi. Thanks a lot, sir. Sir, just one question with respect to this other interest income of 781 crores. I don't know if you had responded to this query. So,

if you can
clarify what is the corresponding balance sheet number where we are getting this interest income? O r maybe if you can explain what is the source of this number? Year -on-year, there is a large jump in this number.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Sir, actually these are all the… that's what actually earlier also I clarified. When you have surplus money in your system, when there is a liquidity crunch in the market, your surplus money can be used effectively in the market by deploying in the overnight or call money or anything. When you are deploying that, you are entitled for some inter est. Because we have an excess SLR of almost 8% and we have in our system also last 4 months, we are having a surplus in our liquidity, this liquidity we are using effectively by lending wherever it is required depending on the demand from the other instit utes. That is the major contributor. The minor contributor is from some of the tax deducted, income tax, whatever it is there, some interest on that tax deducted. This reference also will be there.
- Mr. Rakesh Kumar – Participant:
- Okay. But, if we take thi s complete the return what we have from cash balances other than CRR, sir, why this number is so high? Like, you know, if I take the interest income on the cash balances and this interest income, what you are saying on the liquidity… the surplus liquidity that we have, this number is very, very high, sir, as compared to any other PSU bank.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:

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- But if you say… PSU bank is… when you say PSU bank, liquidity is not there in the top 5 banks. Only we are having comf ort in that way, and we are deploying that. The other thing is, year -on-year if you see, that is very high. But sequentially it has come down. You have not seen that? Sequentially that other interest income has come down from 2,000 to 1,800.
- Mr. Rakesh Ku mar – Participant:
- So, for the full year, sir, if you can help us that how much, how would this number look like for the full year?
- Management - Canara Bank:
- No, Rakesh, if you see, this is a number because, that includes interest from interest rate swaps , SDL, RIDF, etc., including some, as sir said, on income tax refund. These are not steady income sources. So, this can vary based on market conditions. So, it is very difficult to say what will be the figure on a consistent basis. But if you see, there is some sort of consistency which we have maintained over the last year.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- For the last 3 -4 quarters, we are maintaining that consistency. If you see that last September onwards, I remember that September, De cember and March now, there is a consistency. It is around 1,500 to 2,000, and we are able to maintain that consistency.
- Mr. Rakesh Kumar – Participant:
- Okay. And secondly, sir, on the non -SLR side, the total non -SLR, if you look at Slide 26, there is a o ne line has come from, item which is Others , So, there is a 10,000 crore increase in that number, which is reflecting the increase in the total non -SLR also. So, what is that number, sir, which is sitting into the Others?
- Mr. Debashish Mukherjee – Executi ve Director, Canara Bank:
- It is investment in mutual fund. That is around 7,500 crore, roughly.
- Mr. Rakesh Kumar – Participant:
- So, in the March part of that…
- Mr. Debashish Mukherjee – Executive Director, Canara Bank:
- No, no. It was very small. So, becaus e we had some surplus funds, so, we deposited in this mutual fund and CD. CD is around 3,000 crore. So, if you add that, you will get the number.
- Management - Canara Bank:
- And it was a very short duration. As we speak today, that amount is not there in Others. So, it was a short -term investment that we liquid certain amount…

- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- See, whenev

er you get an opportunity to earn higher yields, these are all the windows available to the banks and they use these for earning higher returns. Because the balance sheets are based on particular specific date, and on that particular date the investment may be outstanding. But it is not that once that is outstanding, it will be there in every quarter that much.
- Mr. Rakesh K umar – Participant:
- Okay. Got it. Thank you, sir.
- Moderator:
- Thank you. Due to time constraints, that would be the last question for the day. We hand it over to MD, sir, for your closing remarks.
- Mr. K. Satyanarayana Raju - MD & CEO, Canara Bank:
- Thank y ou. Thank you very much, sir. Whatever we have given the guidance, we will try to do much better than that. And actually 1st Quarter itself is what we are doing is consistency. In our performance, our main thrust area is consistency. There should not be an y knee jerks in your performance, whether it is a bottom line or the top line. In the corporate call, we want to show steady growth in all the business parameters without affecting the bottom line, and that will continue, sir. And we will continue to perfo rm. Thank you. Thank you one and all.
- Moderator:
- Thank you. We conclude today's meeting. You can all disconnect.

- END OF TRANSCRIPT

Call: Oct 2024

[redacted] Secretarial Department
[redacted] Head Office F +91 80 22248831
112, [redacted], [redacted] - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@c anarabank.com www.canarabank.com
Ref :: SD:428/429 /11/12::2024 -25 30.10 .2024
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
MUMBAI - 400 001

Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
EXCHANGE PLAZA
Bandra -Kurl a Complex, Bandra [E]
MUMBAI - 400 051
Scrip Code: CANBK

Dear Sir/Madam,

Sub: Q2 FY 202 4-25 Earnings conference call with Analysts / Investors - Transcript

Ref : 1. Our Letter SD:389/390/11/12::202 4-25 dated 18.10.2024 &
2. Our Letter SD: 409/410/11/12::202 4-25 dated 29.10 .2024

With reference to above and pursuant to the applicable provisions of SEBI (LODR) Regulations, 2015, we herewith enclose the transcript of post results Earni ngs conference call Q2 FY2024 -25 held on 29.10. 2024 .

The trans cript of Q 2 FY202 4-25 Earnings conference call is uploaded on Bank's website and the same can be accessed through below link:

https://canarabank.com/pages/Earning -Conference -Call-Transcript

This is for your information and records.

Yours faithfully,

SANTOSH KUMAR BARIK
COMPANY SECRETARY

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Q2 FY25 Earnings Web Call of Cana ra Bank
October 29, 2024

– Moderator:
– Good evening , everyone, we welcome you all to the Q2 FY25 Earnings Web Call of Cana ra Bank. Thank you for giving us this opportunity to host the call today. Today with us we have Mr. Sat yanarayan a Raju - MD and CEO, Mr. De bashish Mukherjee - Executive Director, Mr. Ashok Chandra - Executive Director, Mr. Hardeep Singh Ahluwalia - Executive Director and Mr. Bhav endra Kumar - Executive Director, along with other senior members of the team. Without any further ado , I hand over the call to MD sir for his opening remarks, post which we will open the floor for questions and answers.
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Good evening to all of you . First of all, I wish you a happy Dhan teras for all the people participating in these interactions. I am presenting the September Quarter

results. Again, one more consistent quarterly results we are putting forth before you. Our global business has grown at 9.42% and stood at 23.59 lakh crore. Global deposit growth at 9.34 % and stood at 13.47 lakhs crore. Our global advances also have grown at 9.53% and stood at 10.11 crores. Our Net Profit has increased 11.31% year -on-year , and first tim e it has crossed a quarterly net profit of 4000 crores . It stood at 4,014 crores. Our CR AR year has reached all -time high of 16.57% with a year -on-year increase of 37 basis points. Our PCR , first time we have crossed 90% and stood at 90.89% with year -on-year increase of 216 basis points. Our Gross NPA has come down belo w 4% i.e. June Quarter it was 4.14%. Now it has come down to 3.73% with year -on-year decline of 103 basis points. Our Net NPA also has come down below 1% from the June level of 1.24%. It has come down to 0.99% with year -on-year decline of more than 42 basi s points.

– Our credit growth is led by the RAM sector , and our RAM credit has grown at 11.54%. If you see , sequentially , our RAM credit growth in the current quarter itself is 4.5% , contributed by the retail credit grown at 31.27% and stood at Rs 1 .94 lakh crore. Our housing loan growing at 12.29% stood at Rs 99,452 crores , but as on date we've already crossed Rs 1 lakh crore in this housing loan portfolio. Our vehicle loan is also growing at a good growth at 15.49% and stood at Rs 18,607 crore.

– Our Earnin gs Per Share… N ow this

is against the Rs 2 face value of the share. Our
Earnings Per Share stood at Rs 17.41 with year -on-year growth rate of 10.57%. Our fee-based income has shown a growth rate of year -on-year at 17.68% and stood at Rs 2,436. First time w e could touch the slippage ratio at the bottom of 1% , with an improvement of year -on-year 32 basis points.

– These are all some highlights of this. Just I want to compare our latest performance with the guidance given in the 1st Quarter for this whol e financial year.

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– The whole financial year we have given a guidance of business growth at 10%. As against that , 9.42% we have grown up to September 30th. The main reason for that was, in the 1st Quarter of course we shed our low yielding advances in the co rporate sector of Rs 30,000 -35,000 crores. That's why the 1st Quarter growth was only around 1%. But the 2nd Quarter advances has grown at near to 4% and deposits also has grown at near to 3%. That has contributed this growth rate of business growth at 9.42%. Advance s growt h at 9.53% and deposit growth at 9.34% , as against the guidance of 9%.

– First time in the last three quarters, CASA has shown uptick on growth compared to sequentially the quarter -on-quarter. June Quarter to now it has improved by almost 28 basis po ints. It was 30.98% , now i t is 31.27%. And in absolute numbers also , quarter -on-quarter we improved CASA of Rs 8,000 crores. Our NIM slightly has come down compared to the peer banks . It come down from 2.9 to 2.88 . Though there is a lot of press ure on the cost of deposit s, but we could manage this because of efficient management of o ur resources, alternative resources , and efficiently lending at little higher cost . These two we could manage efficiently. T hat's why, the peer banks, their NIMs have been impac ted from 7 to 10 to 11 basis points . But w e could manage with only two basis points reduction in the NIM.

– Our Gross NPA has come down from 4.14% to 3.73% as against our next March level guidance of 3.5%. Our Net NPA , next March level guidance w e had given 1.10 , but already we are at below 1% i.e. 0.99%. Our PCR we had given a guidance of 90% at the next March level , but we are already touching the 91% at 90.89%. Slippage ratio also we had given a guidance of 1.3% for March , but we alr eady could successfully control slippages and we have touched that 1% slippage ratio. Our credit cost slightly increas ed quarter -on-quarter from 0.9 to 0.97 , but still it is much below the guidance that we have given at 1.10. This increase in the credit co st is from 0.9 to 0.97 is not because of any of the quality. We have provided additional more than 500 crores in existing NPA accounts to strengthen our PCR coverage ratio. That was the reason that the credit cost has shown a little higher side at the poin t, compared to the previous quarter , but it is well below the guidance what we have given in the initial financial yea r.

– Our Return on Equity also is maintained well above that guidance of 18% , at 20.44%. And our Earnings Per Share, what we ha d given the guidance is 16.40 , and as against that 17.41 we could achieve. Return on Assets, the guidance was the 1% , but we are able to maintain at the 1.05. It is sequentially last quarter also at 1.05 . Now also it is 1.05.

– These are all the basic important paramet ers I want ed to share with you. Now it is open for all of you to raise any queries or clarifications . Along with me , all the four

EDs are available. Our CFO is there. All the top brass is available here. Now it is open for you to ask any clarifications fro m our side, sir.
– Moderator:

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– Thank you, MD sir. We will wait a couple of seconds for the question queue to arrange. If you wish to ask a question, please raise your hand. We have our first question from the line of Mona Khetan. Please go ahead, ma'am.
– Ms. Mona Kheta n – Participant:
– Hi sir. Go

od evening and congratulations on a good quarter. Firstly, on the growth a bit, so if I look at the sequential growth, the retail book grew by about 12% QoQ . So just wanted to understand where is this growth coming fro m, because if I look at both home loan and vehicle portfolios, which are bigger part, they have only grown by 3% , and larger part has come from Other PL book as per Slide 29. So yeah, where is this growth coming from?
– Mr. Satyanarayana Raju - MD & CEO, Ca nara Bank:
– Yes, ma'am. Actually, last time also I shared with you , that in the current year, we have introduced a new product in the gold loan for metropolitan cities. Earlier in the metropolitan cities, we used to lend for the agriculture purpose for gold loans, tha t we stopped . In metropolitan, we are not lending for any agricultur al purpose. We are lending only for commercial purposes only with a little higher rate of interest . And we have introduced a customer -friendly product, a tailor -made product for lending ag ainst gold in the metropolitan cities. That has attracted a wide… from all the metropolitan cities. It has contributed very good growth in that. That is helping in our retail growth much better.
– Ms. Mona Khetan – Participant:
– Sir, where does th is gold boo k stand as on September?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Yes, ma'am. Actually, as on date, whole entire bank, our gold portfolio was 1,65,000 crores. This retail growth , with the product what we launched , is around 28,000 crores .
– Ms. Mona Khetan – Participant:
– Okay. And this was about 19,000 last quarter, if I am correct?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Yes, ma'am.
– Ms. Mona Khetan – Participant:
– Okay. And this Other PL also includes education loan, if I am corr ect?
– Mr. Sa tyanarayana Raju - MD & CEO, Canara Bank:
– Yes, ma'am. Education loan also is there. Mortgage loans are also there.
– Ms. Mona Khetan – Participant:

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– So how large are these books, education and mortgage loan, if you could share?
– Mr. Satyanarayana R aju - MD & CEO, Canara Bank:
– Educational loan is almost 16,000 crores, ma'am. That is also growing at double -digit growth.
– Ms. Mona Khetan – Participant:
– Okay. Got it. And so mainly the growth is coming from this gold product introduced in metro cities.
– Mr. Satyana rayana Raju - MD & CEO, Canara Bank:
– No, it is not that mainly, ma'am. Actually, that is a contribution. On an average, the RAM sector is growing at … the retail other than gold is growing at 3.5%. The 10% growth is because whatever excess is the re, it is b ecause of that gold loan product.
– Ms. Mona Khetan – Participant:
– Got it. And what would be the yield s in this particular product, which is introduced in metro cities?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– It is one -year MCLR, ma'am . Above one -year MCLR. 10 basis points above the one - year MCLR. On an average, we are getting 9.15 yield.
– Ms. Mona Khetan – Participant:
– Okay. Got it. Secondly, if I look at the SME…
– Moderator:
– Ma’am, y ou can come back in the queue. We have other participan ts also. Th ank you.
– We have a next question from the line of Mr. Rakesh Kumar. Sir, please go ahead.

– We have a next question from the line of Mr. Nitesh. Sir, please go ahead.
– We have a next question from the line of Mr. Jay Mundra. Sir, please go ahead , you have been unmuted.
– Mr. Jay Mundra – Participant:
– Hi. Good evening. Sir, just wanted to check on the SMA -2 number that is high . Last time you had mentioned that there is one Central Government steel exposure. Anything about…
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Carry on, carry on. You ask that question. Complete that question.

– Mr. Jay Mundra – Participant:
– No, no. So, that is it, sir. Apart from the steel exposure, is there anything whic

h is
contributing to the rise in SMA -2?
– Mr. Satyanaraya na Raju - MD & CEO, Canara Bank:
– Yes, sir. Actually, one more account is there, one State Government account. But it appears sometimes in SMA -2 and again it comes back to that SMA -0. That account, this as of September, has reflected in the SMA -2. There the exposur e also is comparatively high. These two have contributed 60% of that SMA -2.
– Mr. Jay Mundra – Participant:
– Right. And what is the provisions that you hold on to the steel Central Government exposure?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Already , earlier also I shared with you , 15% we already provided , which is a round 560 crores.
– Mr. Jay Mundra – Participant:
– Right. And the additional provision that you have provided , 500 crores , is only on NPA, right? So, that has increased the PCR.
– Mr. Satyan arayana Raju - MD & CEO, Canara Bank:
– That is only on existing NPAs, sir. That 500 crores we have provided on existing NPA accounts.
– Mr. Jay Mundra – Participant:
– Correct. And sir, lastly, if you can also share the loan book by benchmark , how much is EBLR , how much is MCLR and how much is fixed rate?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Sir, our EBLR is 41%. Our MCLR is 48%. The rest is staff loans and fixed rates.
– Mr. Jay Mundra – Participant:
– So, sir, in Agri also, you have a decent chunk of Agri and Agri Gold. That is also floating …?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Sir, no, actually floating rate, it is linked to the MCLR, no?
– Mr. Jay Mundra – Participant:
– Okay. So, that is al so floating…

– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Retail and MSME is EBLR. Remaining all portfolios are MCLR.
– Mr. Jay Mundra – Participant:
– Right. And last thing, sir, on your margins, we have a decent contribution coming from … apart from interest on loans and interest on investment, there i s a decent proportion coming from the balance with the RBI and Forex transaction. How do you look at that going ahead in the overall NIM? Thank you.
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Sir, if you look at the last consecutive five quart ers, more or less, we are able to manage around 1 ,500 crores in that ; 1500 to 1600 crores every quarter. The same tempo will continue because we have a n 8% excess SLR. By pledging that, we can draw some money from the RBI at 6.5, which we can lend it to th at effe ctively overnight or any short -term durations. That is giving some benefit to us.
– Mr. Jay Mundra – Participant:
– Okay. Thank you, sir. I am done.
– Moderator:
– We have the next question from the line of Pritesh from DAM Capital, sir.
– Mr. Pritesh – DAM Capit al:
– Hi, sir. On e question on margins and yields. So, we have been sh redding the earlier loans … I think about 2 -3 lakh crores were the loans which we were sh redding, which

were lower interest rate and that is affecting yields . But that is not reflect ing on the margins. So, can you just give a little bit of colo ur on that? How will the margins move up from here , and how can it go beyond 3%?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– See, beyond 3% at this moment, because you should understand fir st that our CASA ratio is 31%. When your CASA ratio is for 31%, your cost of deposit compared to other peer banks will be little on the higher side. Our cost of deposit is stabilized at 5.7%. And when your cost of deposit is that much, yield on advances, e arlier I told you, that around 60,000 crores was with the low yielding advances . Out of that 35,000 to 40,000 crores we already shed and we 've withdrawn th ose sanctions and we are taken back t hat money. That has helped us in improving the June Quarter too. In the September Quarter, if you see yield on advances, it has increased from 8.66 to 8.77. That means , 11 ba

sis points. This 35,000 crores , what we have
withdrawn from low yielding advances and again deployed in higher yielding advances, that has reflect ed in ou r yield on advances. If you see that is only quarterly . June Quarter to September Quarter cost of deposit is maintained at 5.7, there is no deterioration there , but there is an improve ment in the yield on advances

from 8.66 to 8.77. Earlier just th ree quar ters back , our yield on advances, especially on the corporate sector used to be 7.12%. Now it has increased it to 8.48%. That juggling what we are supposed to do, we have completed that. But it is not as you are expecting that it is 2 to 3 lakh cr ores, it is 60,000 crores . Out of that 40,000 to 45,000 crores we have done already. The remaining is well within our appetite.
– One more thing I want to clarify is, under the present conditions of tough high rate of interest for deposits, controlling the cost of deposit is little tough for the bankers. Under such circumstances, expecting a crossing of the NIM for 3% in the near quarters, in one to two quarters , it may not be possible.
– Mr. Pritesh – DAM Capital:
– Sir, just a follow on that . Basically, our C D ratio is also in favour . We are at about overall 73%. And we are growing faster on the loan growth than deposit growth. But that is not reflecting in the margin. So where is the pressure coming from? I understand there will be pricing pressure in terms o f the lo an book side or the corporate loan book side. But we are also growing our retail book quite fast. But it does not seem to be that it is reflecting in the margin side. So just wanted to check on that.
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– No, I h ope if you have gone through that , all the banks which have published their results, if you have seen their NIMs, every bank has lost their NIMs from minimum 7 basis point s to almost 12 to 13 basis point s. But in our bank, if you see that we lost only 2 ba sis point s. That itself is a reflection that our credit, whatever the RAM is growing in, that is contributing to us. But let me clarify once again that our cost of deposits is comparatively higher than the other peer banks. The reason behind is our CASA is at 31%. That is why our focus is more on the CASA. We have initiated … w e have almost launched more than 10 section -focused targets in the products. We have launched for the last 20 months , which has attracted very well from various sections of the society , and that has garnered almost 17 ,000 to 18,000 crores in the SB individuals. That is where our main focus is. A nd we are also using alternative resources like infrastructure bonds or raising the window available with the RBI by pledging the excess SLRs. T hese things we are also using for keeping our cost of funds under control.
– Mr. Pritesh – DAM Capital:
– Got it, sir. Thank you so much. Thank you for the answer.
– Moderator:
– Sir, we have next question from the chat box. Mr. Jay Mundra has asked a qu estion . How much is unsecured personal loan and GNP in rupees -crore and slippage in the quarter ? And recovery target for H 2 FY25 ?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

– See, in our bank, the unsecured loans in the RAM sector, especially retail se ctor, is only approximately 18,000 crores. So, out of that, it's pensioners and salaried class ; where they get their salary or the pension through our bank , only those people will get the unsecured loans. Other than that, we don't give any unsecured loans to any non-customer or other than salaried class customer. That's why we don't see any

stress in that. And it's only 12,000 crores. The remaining 6,000 crores is unsecured loans u nder the educational loan. So, anyhow, that 's under control. So, whatever it is there .
– Under the current slippages, if you look at , our entire retail NPA percentage is only just above 1%. Ou

r other personal loans, if you look at , the percentage is only 0.52% NPA. And total overall current quarter 's slippages, entire slippages, our retail portfolio is 1,94,000 crores. Out of that, slippage is only 440 crores.
– Moderator:
– Thank you, sir. We have our next question from the line of Omkar. Omkar, please unmute yourself and go ahead.
– We have our next question from the chat box again. We have a question from Mona Khetan. What is the outstanding standard provisions on your balance sheet? How much of it is towards restructured book?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– In the restructured book, I can answer. T he standard provisi ons, my CFO will answer . Our restructured book, RF1, RF2 and all together, now it is 14,000 crores. Out of that, 4,500 crores under NPA and 9,500 crores is under standard asset. The provisioning against the standard asset, in this particular September, we have provided 134 crores. But total outstanding, I will ask my CFO to share with you, whether we have the figure .
– Management - Canara Bank:
– Standard asset provision is around 2,000 crores for us. And anything else you require?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– That's all.
– Moderator:
– Thank you, sir. If anyone wishes to ask a question, please raise your hand. We have the next question from the line on Mr. Pranav.
– Mr. Pranav – Participant:
– Hi, sir. Thanks a lot for the opportunity. Sir, c redit growth has slowed down. Any outlook into the future? Will this come back ?

– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– See, in the initial years, we have given a credit growth of 10% guidance. But when I am interacting with all of you, I told that it is a min imum credit growth and we will do more than that, maybe 11% or 12%. In the 1st Quarter , because of our stress on those margins and all, we have taken a call to withdraw some sanctions at low yielding advances . That we have done some 35,000 to 40,00 0 crores , which has impacted the current year growth. But still, the current latest concluded September Quarter, if you see , the credit growth is almost touching a 4%. 3.78% growth was there. It is 4%. The remaining two quarters also, we see the same type of growt h because the September Quarter comparatively is a slack season. But the December Quarter and March Quarter will be a peak season for credit growth. And we will definitely see near to the 4% growth in these two quarters. So overall, definitely, wha t we com mitted that we may reach 11%, definitely, it may happen , even after shredding that 35,000 crores, low yielding advanc es.
– Mr. Pranav – Participant:
– Right, si r. Two more questions. In the SMA increase, it certainly happened because of the two accoun ts that you mentioned. That is one. And second, in your NII, what was the impact of the penal interest being classified as Other Income?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– No, it's a hardly . See, every quarter, it will be around … Actually, you are ask ing about the interest recovered in the NP A accounts, no? Every year, every quarter …
– Mr. Pranav – Participant:
– No, sir. I am saying that your NII is slightly down . So, that impact is totally due to the…
– Mr. Satyanarayana Raju - MD & CEO, Canara Ba nk:
– No, NII has slightly increased, 9 ,100 to 9 ,300. It has not come down. Compared to June, June NII was 9,166, September it is 9 ,315. So, there is a 150 crore incre ase in the NII.
– Moderator:
– Thank you, sir. We have the next question from the line of Ashl esh Sonj e. Go ahead, it will be unmuted.
– Mr. Ashlesh Sonje – Participant:

– Hi, sir. Good afternoon. Firstly, can you give a breakup of slippages across segments?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Slippage breakup is total 2,300 crores. Out o f that, 1,000 crores is from MSME, 800 crores from agri

culture, 500 crores from retail.

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– Mr. Pranav – Participant:
– Sir, second question. Housing loan NPA has gone up by 20 basis points in this quarter. Anything to highlight over here?
– Mr. Satyanarayana Raj u - MD & CEO, Canara Bank:
– No, actually there is no such threat. Actually in the earlier days, when one account slipped, in some joint accounts, accounts linked to t he 1st name , system ha d allowed to slip into the NPA. But the 2nd name on the linked accoun ts was n ot slipped to NPA, which been pointed out in the audit that we have rectified it one -time. We have allowed such type of things all into the NPA. That is why there is a slight increase showing in that , otherwise there is no serious concern on that.
– Mr. Pran av – Participant:
– Sorry sir, I do not understand. What do you, what is the 1st name and 2nd name?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– See, when any joint borrower is there and that account slips to NPA, all the accounts in both the bor rowers' names, all those accounts also slip to NPA. But in our system, somehow only 1st name related accounts are slipped, 2nd name related accounts were not slipped . That has been pointed out by the auditor and it has been a one -time thing. We have allowe d that s lippages and now we are recovering that.
– Mr. Pranav – Participant:
– Understood sir, makes sense. Sir, the SMA -2 account, the other account apart from the stee l exposure which you have, that other account seems to be about Rs. 2,000 odd crores. Can y ou just confirm that number and also give us some more detail about it.
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Yes, the other account also is around 3,000 c rores, but there is a State Government guarantee. We do not see any too much concern on tha t accoun t and it has come down to SMA -1 as on date. It moves from various SMAs, SMA -0 to 1, 2 like that.
– Mr. Pranav – Participant:
– Understood sir. And just lastly, what is the status of discussions on the steel exposure account, steel SMA -2 account?
– Mr. Satyanar ayana Raju - MD & CEO, Canara Bank:
– RINL, that steel exposure account, resolution work is going on, and as on date this is a going concern. All banks have al ready formed a consortium. Earlier this was under the multiple banking. Now to bring unifor m rules and regulations, a consortium is formed and we are all working together. And management is also supporting us in bringing a resolution.

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– Mr. Pranav – Partici pant:
– Understood sir, thanks a lot for answering my questions, I will come back if I have more ques tions.
– Moderator:
– Thank you. If anyone else wishes to ask a question, please raise your hand. We have our next question from Mr. Rakesh Kumar. What is the NPI now , and what is the reason for provision write backs in Others in the provision line?
– Mr. Satya narayana Raju - MD & CEO, Canara Bank:
– In NPI there is a reduction. Sequentially if you look at that, our total NP I is around 5,900 crores, and last June it was around 6,000 odd. It has come down slightly. And there is no further s lippages in the NPI. The write back is 72 crores.
– Moderator:
– And sir, what is the LCR now?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Our LCR is 130.55 i.e. 131% . And even the RBI new guidelines if you implement it, it may impact around 10 to 11 bas is point s. So, we will be comfortable at around 120%.
– Moderator:
– So, we have a next question from the line of Omkar . Corporate loan growth has been strong for PSU ba nk during this quarter. When will Canara Bank start picking up in this segment and which se gment?

– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– No, this quarter actually the corporate credit growth has shown a 3% growth . 3% quarterly would be 12% growth annualised , which is above our guidance. So, already in our bank it has picked up. In the 1

st Quar ter also, we did several sanctions and disbursement, but when we shred that 35,000 crores of low yielding advances, it has not reflected in the outstandings . But otherwise, credit growth is on average 3% every quarte r. And we are confident that nex t two qu arters also it wi ll happen at 3%.
– Moderator:
– We have the next question from the line of Mr. Shastri. Any update on the indicative timeline for IP O of Canara Robeco AMC and other subsidiaries?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– As on d ate it i s scheduled in th e 4th Quarter , sir. Still we believe that it may happen in the 4th Quarter only.

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– Moderator:
– The next question is from the line of Mr. Rake sh Kumar. How does the economies of pledging SLR with RBI work , considering its impact on LC R and lo wer funding cost at 5.26?
– Management - Canara Bank:
– See, in respect of this impact of SLR related changes which RBI is contemplating, those who are borrowi ng heavily on a daily basis will not have much impact because they will be having the benefi t of arb itrage. So, other s who are holding it only will be having an impact as far as LCR is concerned. Our position is better because , as sir said, the changes has been brought in the new LCR guidelines , for which the impact will be maximum 11 basis point s. Hope it is clarified.
– Moderator:
– Thank you, sir. W e have a next question from Ashlesh Sonj e. What is the outlook on recovery from bad loans in H2 FY25? Any large resolutions expected?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Large recovery. See nowadays , the first two t o six months, our recovery mostly we are getting it from small ticket size. NCLT resolutions of quarter , total together we got around 549 crores . Out of that , some accounts are from liquidation. But these are all not more than 100 crores e ach. It may be 50 crores, 60 crores , that is the range we are getting in each account. We are not getting like 400 -500 crores from one account. These are al l from different accounts only. 50% of our recovery is coming from small ticket size. The re maining 50% only are these big tickets. But these big tickets also are not from a single account. Various accounts, various resolutions are in different stages. Dur ing that process, some are in the OTS, some are in the liquidation, some are in the resoluti on appro vals. In these st ages we are receiving the money.
– Moderator:
– Thank you, sir. If anyone wishes to ask any questions, please raise your hand. We have the next question from the line on Mr. A shlesh Sonje. Please go ahead, sir.
– Mr. Ashlesh Sonje – Participan t:
– Just one last question. A few other banks have reported recoveries from the Reliance Capital account in this quarter. Any exposure which you had , and wha t was the recovery amount from that?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– No, we don't h ave anything. We got the money from Reliance Infra account and not from that other account.
– Mr. Ashlesh Sonje – Participant:

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– Understood, sir. Thank you.
– Moderator:
– We have our next question from the line of Mr. Sushil Choksey . Please go ahead.
– Mr. Sushil Choksey – Partic ipant:
– Congratulations to Team Cana ra for excellent results in stable environment. Sir, my first question is what is your outlook on the 2nd Half balance between treasury and corporate and retail credit , as market is indicating tha t the tr easury has peaked and MCLR rates also would have peaked. So , do you anticipate that lot of profit taking would happen where treasury is concerned , and lot o f credit growth ? Because the yields have peaked and the demand on Infra is going to be high?
– Mr. Sa tyanarayana Raju - MD & CEO, Canara Bank:

– Sir, credit side I will speak, the treasury side I will ask my ED sir to speak to you. But actually , credit side g ood growth is the

re . We are seeing a traction also. In the just concluded quarter , almost ne ar to 4% we could grow in credit. In absolute number , domestic advances have grown 35,000 crores in one quarter. That is the range of growth what we are seeing. And the same thing is continuing in the current quarter also. And we believe that in the curren t quarte r also , we may en d up around 3.5 to 4% gro wth rate in the credit. S ir, in the March Quarter also it may be likely to … So, with that we believe that though in the 1st Quarter we lost the something because of shredding that low yielding advances , but still o verall , we believ e that our credit growth may be around 11%. But since the management has taken a call to reach that RAM sector at 58% and corporate is at 42 %, our credit growth focus will be more on the RAM sector. Even as on today , our total cred it growt h is 9.53 , but ou r RAM sector is 11.54. So , the RAM sector may grow little faster than the corporate sector. Corporate may grow around 9 to 10%. But the RAM sector may continue to grow around 12%.

– And regarding the treasury, I will ask Mukerj ee sir to expl ain to you.

– Mr. Debashish Mukherjee - Executive Director, Canara Bank:

– Actually , our portfolio yield remains at 6.95% , and we expect it to continue. Now one opportunity which we will get is that 5% HTM sale. That 5% HTM sale we have not yet done. That we have kept because yields are softening. So we would like to use that opportunity , which many of the banks have done so far. So that will give us a lot of opp ortunity for profit making. So that way , we hope that our treasury profits will be maintain ed.

– Mr. Satyanarayana Ra ju - MD & CEO, Canara Bank:

– That we are keeping it for better pricing. Once we feel that softening of the yields may happen , then we may get a better pricing in this. That's why we have kept that 5% HTM sale pending . That we may ex ercise w henever the oppor tunity is good.

– Mr. Sushil Choksey – Participant:

– It sounds prudent , what you are indicating on the treasury side. Sir beside s treasury, on the retail growth, do you anticipate with so much of technology spen d and digitization, Sou thern ec onomy led by tech nology, lot of manufacturing coming to your side of part of the country , do you think the consumer demand at our end will be much higher tha n what is anticipated?

– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

– No, definitely I ha ve seen good traction in the even MSMEs. In a smaller manufacturing area also , we have seen that in absolute numbers , we have grown in the first 6 months to more tha n 6,000 -7000 crores. And even now , in the current 20 days also we have seen almost 2,000 -2,500 crores more growth . So in MSME also we are expecting that the growth may be touching near to 9 to 10% this year. The last year we had grown at 6.5%, previous ye ar we had grown at only 2%. But this year we are expecting that it may t ouch 9 to 10%. And retail g rowth will be def initely a dominating contributor in RAM credit. That will continue to grow around 14%, 13 to 14%.

– Mr. Sushil Choksey – Participant:

– Sir, se eing you are taking advantage on city loans where gold is concerned and many other things, any aspi rational targets the bank is setting up to garner this loan market?

– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

– No actually as prudent banking , when we stopped lending for agriculture purposes in metropolitan branches, we don't want to lose th at busin ess opportunity. That's why we have created a product suitable to the metropolitan citizens with little higher margins, higher yields. And that has attracted very well in the field . And we have done the entire … because in a day-to-day basis, almost 40,000 to 60 ,000 number of accounts will open in the entire country , including agriculture or the retail number of gold loan s. That we have

digitized . From middle o f September onwards we have digitized this entire process end-to-end. So that has helped us in meet ing the customer requirements in a faster mode. Nowaday s, we are giving loans within the 10 to 15 minutes because the entire process is digitized. Many thing s we can take control from the back end also like LTV ratio. Instead of depending on the br anches , now we are centra lized . We have minimized that … We are trying to mitigate the risk associated with gold loan. With al l these steps already existing , we are g rowing at 15

to 16% . And we look at that , the growth will be around 16 to 17% this year.
– Mr. Sushi l Choksey – Parti cipant:
– Thank you and congratulations to team Canara for the current year . And Happy Dhanteras and Happy Diwali.
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

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– Thank you , sir and same to you.
– Moderator:
– Thank you , sir. W e have o ur next question from the line of Mr. Dev araj Mota. Please go ahead.
– Mr. Devaraj Mota – Participant:
– Hi sir . Congratulations on a good set of results. I just have on e question . For the last two or three years , you all have consistently had recoveries great er than incremental slipp ages. But given that now we are entering a period where a lot of the large recoveries are behind us , do you think this will still continue o r you think we'd go to a more normalized environment where slippages are higher than recove ries?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– No, I believe that it will continue . Because the reason is to , clean the balance sheet one is our underwriting standards have been improved , and that is helping in controlling the slippages . That is on e side. The other side on recoveries is , to have a cleaner balance sheet , every quarter we do some technical written off also . That is adding to my kitty. And whatev er we are recovering , that is again adding back to that kitty in the form of technical writ ten off. That will contin ue to support us. I believe , that whatever we are shown in the last one year or two years , similarly, we are expecting that every year the r ecovery and technical written off is around 4,000 to 5,000. That 's what actually even last time als o I shared with y ou, and that will continue to support our balance sheet.
– Mr. Devaraj Mota – Participant:
– Got it. Very helpful. Thank you so much. Those wer e the questions I had.
– Moderator:
– Thank you. If there is anyone who wants to ask a questio n, pleas e raise your hand . We have our next question from the line of Mr. Rakesh Kumar. Sir, you have been unmuted. Please go ahead.
– We have our next question from the line of Mr. Manish Shukla.
– Mr. Manish Shukla – Participant:
– The new gold loan product t hat you are talking about , what is the nature of the customer profile of the borrowers for taking these loans?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Gold loans is for any individual who is having a repaying capacity. If they are having a gold wi th them, jewellery. Gold means we pledge only the jewellery. If somebody is there , that is the only criteria and their CIBIL should be acceptable and they should have a clear credit report. And they should have an account with us. For us it is

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mandatory we don't disburse anything in cash. All our gold loans are disbursed through only account. So , he must be our customer. These are the basic requirements.
– Mr. Manish S hukla – Participant:
– And the earlier product that you have discontinued. You have said that it was Agri-gold loan in metro area.
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Yes sir, metro area because the agriculture gold loans have to be in line with the regulator. Proof of land records and all is required and we don't want to take any risk there. So that's why we discontinued that. We are confining

that product only in the
rural, semi -urban and urban areas , where there is a possibility of obtaining proof of holding the land, easily for lending. Metropolitan that may not be possible. That's why we d iscontinued. But we didn't lose any business there. So earlier it was lent under Agriculture. Entire thing has been converted into retail . And rather , we are growing much faster than that.
– Mr. Manish Shukla – Participant:
– And is there overlap in te rms of c ustomers who borr owed under the older product versus new product?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– That also may be there. Some overlapping w ill be there. Because, since we have

stopped that funding under that , so they are forced to … if t hey are eligible fo r that , they may have to raise th ose loans in this product.
– Mr. Manish Shukla – Participant:
– Last question on this. Are you seeing lot of b alance transfer on this product? Because your rates might be very competitive in terms of l ending r ates for the gold loan.
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– No, I don't see that. But actually , almost out of 9500, 7 ,000 branches are lending th is gold loan. We are very much established in South India and pan India also. If someone wa nts to r aise the gold loa n, they know that Canara Bank is a better option. Because gold loan generally anybody will raise only on emergencies. Otherwise , no househol d will be interested to raise the loan against gold. Their sentiments will be there in Sout h India. Only in emergenc ies they raise it. When they come to the bank on emerge ncies , how fast the bank lends that money , that gives you comfort. There we have alre ady streamlined the processes and we 've established it. For a ll these things we don't do an y separa te campaigns and all. Walk-in clients only will be there.
– Mr. Manish Shukla – Participant:

– Okay. Last question , and sorry if you already answered it. What's the credit cost guidance for this year , FY25 ?
– Mr. Satyanarayana Raju - MD & CEO, Canara B ank:
– See, actually we hav e given guidance of 1.10 , and as against tha t, 0.97 we achieved. I think we will be below 1%.
– Mr. Manish Shukla – Participant:
– And does tha t assume any further provision on the government accounts?
– Mr. Satyanarayana Raju - MD & C EO, Cana ra Bank:
– That's w hat. Wherever it is required , we are providing that additional. By taking that only this is , otherwise we would have been around 0.9%. Becau se we want to strengthen our balance sheet , we want to provide additionally to improve our provisio n coverage ratio , that's why I'm telling you that we will be below 1%.
– Mr. Manish Shukla – Participant:
– Understood , sir. Thank you. Those are my questions.
– Moderator:
– Thank you, sir. We have a next question from the line on Mr. Asho k Ajmera . Plea se go ah ead.
– Mr. Ashok Aj mera – Participant:
– Good evening, sir. Sorry for joining the meeting little late . I'm at the airport basically and I thought I may not catc h. But I'm fortunate to have got the line with you.
– Mr. Satyanarayana Raju - MD & CEO, Can ara Bank :
– Without hearing your question we will never close the investor's call, sir.
– Mr. Ashok Ajmera – Participant:
– Sir, I just wanted to have your views on the c orporate loan book. When there is the overall slowdown on the total credit side , and of cou rse the deposit side also , what are your views on strengthening or increasing the corporate book? Are you getting some inquiries? And , are there some project s in the pipeline in the sanctions so that we can grow our overall credit book a little faster ?
– And secondl y, you have alway s been of the view that you want to you are interested in direct lending and not through co-lending. That's been your stand in the past. Are you changing that stand and going for some co-lending tie -

ups, so as to increase the
book?
– Mr. Sa tyanarayana Raju - MD & CEO, Canara Bank:

– So first let me speak on the corporate credit growth, sir. Actually, corporate growth in actual terms , is happening at double digit only in all banks , and also in our bank. Because the cost of funds is very high , no bank wants to c ontinue to lend at a cheaper rate which the y've been lending for quite a long time . So, every bank is withdrawing that type of sanctions. So only when they are withdrawing that , it is not reflecting that , it is reflecting finally t hat slow growth is there. But actually , I didn't see any slow growth in demand or the disbursement in the corporate sector, sir. S ir, on an average , every quarter , 3% can be easily achievable. And we see that traction. Since the low yielding advances, ever y bank i s cautious about their NIMs, e very bank is cautious about their margins , they are not lending to this low-cost, low -yielding advances to institutes or centra l PSUs, whatever you call it . That's why it is looking

like that . Otherwise, in private inv estment and all, we have seen that the tractions are there. Even in infrastructure good traction is there. Manufacturing sector, in certain infrastructure related ma nufacturing sectors , a good traction is there. Even in data centre creation, good traction is there . In our bank als o, almost sanctioned but pending for disbursement is more than 20,000 crores. We've already as on date , from September 30th to now , we have grown more than absolute number of 5 ,000 crores. That itself is reflecting that good demand is ther e on that.
– The s econd one you have spoken on is the co -lending model. Since beginning , initially , we were very slow in the co -lending model because unless w e have a n end-to-end digital platform , we don't want to lend on the co -lending , because we don't want to make it a m ess by maintaining it manually. Now we are onboarded that co -lending platform. We are one of the initial banks that have onboarded that exce llent platform digitally. But only thing , we have almost tie up with 8 to 10 such NBFCs to co-lend. But the pro blem is, they expect us to dilute from our credit policy and match with their sanctioning policies , and we are not so keen to dilute our policy. If any NBFC comes forward and refer s to any portfolio which matches with our existing credi t policy underwriting sta ndards , we don't mind to do ing that. Otherwise , we want to confine ourselves to our policy. We don't want to deviate from our policy, sir.
– Mr. Ashok Ajmera – Participant:
– What is the book size on that, sir?
– Mr. Satyanarayana Raju - MD & C EO, Canara Bank:
– Very miniscule, sir. It is only 320 crore.
– Mr. Ashok Ajmera – Participant:
– Yeah, that's what I thought. But going forward you see some flip in that ?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Again, the same thing I want to r epeat , that we are ready with the platform , but the only thing is that we don't want to compromise on our underwriting standards. If any NBFC can match with that , we are ready to co -ordinate with them.

– Mr. Ashok Ajmera – Participant:
– My last question in th is round is on the treasu ry side. With the indication of rates softening here in India also , what is the composition of our treasury book , and how ready we are to bo ok some good profits in the AFS book? Though this will go to the reserve , but on the tradin g profit side also , how o ur treasury is performing and what is the view going forward in the remaining two quarters of FY25, sir?
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Our ED Mukerj ee sir will reply to that.
– Mr. Debashish Mukherjee - Executive Director , Canara Bank:
– Actually , our HTM portfolio is around 80%. So , we have kept it at that . And our portfolio yield right now is 6.90%. We are maintainin

g that ov er the last two quarters. Now unlike other banks , we have not shred 5% of our HTM which we are entitled to. So, we w ill use that amount for our profits because yields are softening. So, over this quarter or the next , wherever we find opportune time , we will sell that. And then , we will maintain our treasury profits in the same line as it was in this quarter.
– Mr. Ashok Ajmera – Participant:
– Okay, sir. Thank you very much, sir. Thank you for answering my questions. All the best to you and Happy New Year.
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Thank you, sir. Same to you.
– Moderator:
– We w ill take that as the last question. Thank you, Can ara Bank for giving us this opportunity. We hand over the call to MD sir for his closing remarks . Over to you, sir.
– Mr. Satyanarayana Raju - MD & CEO, Canara Bank:
– Thank you, one and all, sir. Once again , I wish y ou a happy Dhante ras and Deepavali for all the investors and all the participants, sir. Thank you once again.

– END OF TRANSCRIPT

Call: Jan 2025

■■■■■■ ■■■■■ Secretarial Department
■■■■■■ ■■■■■■■■■■ Head Office F +91 80 22248831
112, ■■ ■■ ■■■, ■■■■■■■■■ - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.canarabank.com

Ref:: SD: 646/647 /11/12::2024 -25 29.01.2025
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
MUMBAI - 400 001

Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
EXCHANGE PLAZA
Bandra -Kurla Complex, Bandra [E]
MUMBAI - 400 051
Scrip Code: CANBK

Dear Sir/Madam,

Sub: Q3 FY 2024 -25 Earnings conference call with Analysts / Investors - Transcript
Ref: 1. Our Letter SD:619/620 /11/12::2024 -25 dated 21.01.2025 &
2. Our Letter SD:642/643 /11/12::2024 -25 dated 27.01.2025

With reference to above and pursuant to the ap plicable provisions of SEBI (LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings conference call Q3 FY2024 -25 held on 27.01.2025.

The transcript of Q3 FY2024 -25 Earnings conference call is uploaded on Bank's website and the same can be accessed through below link:

https://canarabank.com/pages/Earning -Conference -Call-Transcript

This is for your information and records.

Yours faithfully,

SANTOSH KUMAR BARIK
COMPANY SECRETARY

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Canara Bank Q3 FY25 Earnings Call
January 27, 2025

■ Moderator:
■ K Satyanarayana Raju – MD. We have with us Ashok Chandra - Executive Director, Mr. Hardeep Singh Ahluwalia - Executive Director …
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ No, Mr. Ashok Chandr a is not there. He is gone already to PNB as MD.
■ Moderator:
■ Sorry sir. Mr. Hardeep Singh Ahluwalia - Executive Director and Mr. Bhavendra Kumar - Executive Director , along with other senior management team out here. Without any further delay, I hand over the call to MD sir, post which we will open the floor for questions and answers. Over to you sir.
■ Mr. K Satyanarayana Raju – MD, Canara Bank:

■ Good afternoon to all of you sir. So, another consistent performance figures I would like to share with you as o n the December Quarter performance. Our global business has grown at 9.3%, stood at 24.19 lakh crore. Our global deposits have grown at 8.44%, stood at 13.69 lakh crore. Our global advances have grown at 10.45%, stood at 10.49 lakh crores. Our operating pr ofit, again , regained and it is reflected more than 15.15% year -on-year growth, stood at 7,837 crores. Our net profit grew at 12.25% year -on-year and stood at 4,104 crores.
■ Our PCR has reached all -time high of 91.26% with year -on-year improvement of 225 basis points. Our Gross NPA has come down to 3.34%, year -on-year decline is 105 basis points. Our net NPA has reached to the all -time low in the history of Can ara Bank to 0.89% , with year -on-year decline of 43 basis points.
■ When we have grown the advances m ore than 10%, what we have given the guidance double digit at 10.45%, it was led by the RAM credit at 12.32% , and our Corporate has grown at 8.08%. This RAM credit as led by again retail credit with 35.46%, mainly on the housing loan grown at 12.26% and ve hicle loan grown at 17.26%. Our earning per share stood at 17.59 . This is against Rs. 2 face value. And our fee -based income show ed a steady growth with year -on-year 23.31% and stood at 2,185 crores. Our slip page ratio first time it has come down below 1% . We are able to maintain that below 1% , and the year -on-year reduction is 28 basis points, we stood at 0

.96%. Our credit cost again all -time low in the history of the Can ara Bank to reach to a 0.89% at 8 basis points.
■ See, at the initial stages when we co mmenced out the financial year , while announcing the last financial year results, we have given a guidance in 13

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parameters to the investors. The same 13 out of 13 for March , whatever we are given the guidance, out of the 13, 9 parameters already we surpas sed or we have achieved whatever the guidance we have given it to achieve by the end of the March. We achieved well within that 3 months earlier only . Within 9 months itself we could achieve that 9 parameters. These 9 parameters are advances growth, then the Gross NPA, Net NPA, PCR, slippage ratio, credit cost, return on equity, earning per share, return on average assets. These are all comfortably we surpassed whatever guidance was given in March .
■ In 4 parameters business growth and the deposit growth and CASA and NIM . I want to share it with you that though the growth is steady, but still here we are facing a constraint that the market liquidity is still having a problem. We can garner the term deposits, it is not a big issue for the bank, it’s not a conc ern for the bank, but only thing is, at what rate we have to raise that. Since in the market the rate of interest war is going on, it has become a costly affair. That is why last quarter when we have an 8% of excess SLR, instead of garnering the high cost term deposits , we depended on a window available with the RBI by pledging our excess SLR and raise d it around 40,000 -45,000 crores . And that we could raise it around only 6.5%. That is helping us in reflecting a better performance in the bottom line. That is the reason actually we have shown a growth of 8.4% in the deposit .
■ That has indirectly impacted our guidance of 10% business growth to 9.3%. But we want to continue , because again , we have kept in mind that the LCR guidelines, what are the regulatory g uidelines which is going to come effective from 1st April onwards , that may impact our LCR to 12 -13 basis points. At this moment , our LCR is 123% as against the regulatory requirement of 100% and within the bank requirement of 105%. We are at 123% . But if you impact that those guidelines are implemented as on today itself, our LCR would have fallen from 123% to 110% or 111%. Just to bring it back to 120% , in the 1st week of the December Quarter, we introduced a two long term tenure term deposits and offered a higher rate of interest i.e. 2-3 years and 3 -5 years’ buckets , and we offered at a 7.3 and 7.4 for general public. That has attracted quite a handsome of amount. We almost garnered 8,800 crores so far in the last one month , and we will continue to do th at, so that that will take care of our shortfall of LCR. Whatever the guidelines we are going to impact our LCR, that 10 basis points again we want to regain by canvassing the deposits under these two buckets. That has impacted our cost on deposits a little bit . That is also has impacted our NIM to some extent.
■ So, these are all the few glimpse of that performance I have shared with you. Now, open for all of you sir . You can ask any clarifications. We are there to answer you.
■ Moderator:
■ Thank you , MD sir. W e will wait for a couple of minutes for the question due to arrange. If you wish to ask a question, please raise your hand .

■ We have our first question from the line of Ms. Ma hrukh . Please go ahead ma'am.
■ Ms. Mahrukh – Participant:

■ Yeah, good evening sir.
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Good evening , madam.
■ Ms. Mahrukh – Participant:
■ Yeah, hi. So, just a couple of questions. Firstly, just in terms of deposit growth, how do you plan to boost your CASA? Because it is already down to 30, right? I know there is a lot of competition . Traditionally also your CASA was very competitive , given that your geographica

l presence kind of matched that low CASA. But now at these levels, how do you boost CASA? And what is the tolerable level of LDR? As in , as o f now the domestic LDR is already 78. So, can you take it up to 80 -81? What is your comfort level of LDR? That's my first question , and I have two others.
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Okay madam, first question. First, let me answer about th at CASA what we are doing. We have recognized our shortfall of the CASA. That's the way the last two years , we have come out with so many new products targeting various sections of the people. But all those products have been deeply penetrated and it has a ttracted almost 23 lakh new customers in those new products. It has contributed to us almost 17,200 crores incremental CASA deposits, savings deposits alone.
■ But what the unfortunate part is , at this moment , when we have introduced , at that time itself , the market liquidity has become a major issue and the market has gone beyond expectations. And simultaneously , industry started offering very high rate of interest . And you are aware , that now presently in all public and private sector banks , the payment pl atforms have been stabilized. Every individual can shift his surplus funds anytime to either the term deposits or to the mutual funds , or whenever he wants he can redeem it and bring it back to his savings bank account. Under such matured payment systems , the customers nowadays , the tendency became that they are not retaining beyond whatever is the basic requirement of the CASA amount in the savings bank. Remaining entire surplus , they are shifting to the term deposits or even for the other income revenue s ources. That is a major concern .
■ But our t hrust will continue in the CASA . Because recently also , just one month back , in the current month only , we introduced a Canara Cr est, that is, to reconnect with our existing high net worth individuals. This is als o an innovative product Canara Crest and Canara Cr est Plus. This is a targeting our existing customers who are maintaining a well average balance, daily average balance, good handsome average balance. We are making them as a customer of the bank instead of a customer of a branch. We are making all 10,000 branches as a home branch for them. Anywhere if they visit , they get a same treatment in all the 10,000 branches , and we made the Branch Man ager as a Relationship Manager for the such high net worth individ uals. We are meeting them, we are extending this facility and the initial response is very , very high. So that whatever the steps we are taking in augmenting the fresh

deposits , this initiative of retaining the existing customer and their balances , will help in growing little bit in the coming 2-3 months. But definitely it is a challenge to grow in that . That is why our innovation of products targeting the sections will continue here afterwards also.
■ And the second one is , you asked about…
■ Ms. Mahrukh – Participant:
■ LDR.
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ CD ratio. We are already at 76.65%. We may reach at … W e are comfortable at 78% because the 18% is SLR, 4% is CRR. Together it is a 22% . If you remove these 2 things , the 78% is comfortable for us ; that is our comfort level. Till that time , we will continue to grow in that. The 78% for us, psychologically is a limit we can absorb . That is our global CD ratio.
■ Ms. Mahrukh – Participant:
■ Got it sir, got it. Okay sir. Sir and my other question is , is there any one -off in interest income because other interest seems to have gone down this quarter ? And likewise , in your fee -based income where you have three components - commission, service charge and miscellaneous . You have 3. S o, the miscellaneous is a ve ry big amount. It

is bigger than the commission, exchange and brokerage , and this quarter it has fallen QoQ. So can y

ou break it down into components or explain why the miscellaneous fell so much ? And likewise , if there is any one -off in interest earned , interest income ? And also in the provisions there is an investment provision , NPA investment provision of 4 billion. What is that for? Non -performing investment.

■ Mr. K Satyanarayana Raju – MD, Canara Bank:

■ Yeah. The first question.

■ Ms. Mahrukh – Participan t:

■ First question is one off in interest income . Tax refund or anything.

■ Mr. K Satyanarayana Raju – MD, Canara Bank:

■ Let me first answer you about the one -off interest income. Actually the interest income the if you look at that the Q oQ and year -on-year basis, interest on loans and advance , a considerable improvement is there because our average advances are growing steadily. But the only thing the last year , last year and this year we used to get a benefit of excess liquidity whatever available in our syst em, we used to lend effectively in the overnight market or call money market . That benefit we are taking it in. That is the actually other interest income. But this time , since we are using our excess liquidity in increasing the credit growth , we are not l ending more in th ose overnight investments. There we have seen some reduction in that the other

interest income. The one -time interest is , last quarter we got some 320 crores benefit in the NPA account. One NPA account when we were resolving , our recovery towards the interest on NPA is 320 crores. That 320 crores one-time is not available this time. Even with these two conditions , still we could recoup because of our improvement in the interest on loans and advances. That is why , if you see that sequentiall y, only 200 crores shortfall is there in the interest income. But it is a bottom line with its base. Here afterwards , we strongly believe that quarter -on-quarter there will be a steady growth in NI I.

■ Then second it comes for that fee income. Free income ha s grown at 23.31 %. Madam , this fee income , one is commission exchange brokerage , whatever it is there. It is a steady growth only which is there. It is not that too much growth whatever it is there. But we are focused on non -fund based business mostly. That earlier was a stagnant. But because now we have centralized that non -fund based business entire thing , in the initial stages, that stabilisation took some time. But now it has started giving the results. Again , we also started cash management and collect ion cent res. That is also giving some good income. That has helped in giving some 100 crore s, which we got in that , fee-based income. Earlier last year this vertical was not there. But this vertical has been created in the second half of the last year. That has contributed good income.

■ Regarding the m iscellaneous income , miscellaneous income is only debit card charges. And that you have to see that … Miscellaneous income you cannot see from sequentially quarter -on-quarter . It has to be looked at year -on-year wise. Because many of the incomes , in the four quarters, some incomes fall in one -time measure of either September Quarter or December Quarter or March Quarter. Let us say that CGTM SE fee collection . That will fall in September Quarter. That is why in September Quarter that it looks that more it is there and there is a fall in that. When you have to compare , it cannot be compared sequentially , you have to compare only year -on-year basis. If you see the year -on-year basis , 570 crore became a 747 crores wit h a 31% growth. There , I feel that it is in line with the as -expected only.

■ Then again treasury income also we got some improvement in the treasury income. That is because as per the latest regulated guideline s, every bank can sell their 5% of held -to-maturity (HTM) securities. First two quarters we are not sold any securities because we want to keep it as we have suf

ficient incomes. Since we are getting some benefit from the market, we have immediately taken some call . Part of that 5% we sold in this quar ter and the remaining part we kept it for the next quarter , the current quarter . That benefit also we got some around 300 crores. That has shown some increase in the treasury income.

■ Now regarding NPI . With a true resolution , when we send that when we tra nsfer our account from banks to N ARCL, there we are getting 15% only get down cash payment. The remaining 85% we get SRs. That SRs will be accounted in the investments. But only thing , even though it is a Central Government guaranteed accounts , we cannot r everse that provisioning. So it is nothing but increasing the provisioning in NPI , but to that extent , decreasing the provisioning in the NPA. If you

look at that overall , the provisioning is almost same as last quarter. Except that , there is no fresh inve stment is Slipped to NP I. Hope I ’ve answered all your questions.

■ Ms. Mahrukh – Participant:

■ Yes, sir. So only on that miscellaneous income , it’s only debit card?

■ Moderator:

■ Sorry ma'am we have a lot of participants waiting in the queue. If you could pleas e rejoin the queue.

■ Ms. Mahrukh – Participant:

■ Sure.

■ Moderator:

■ We have a next question from the line of Mr. Engineer. S ir, please go ahead.

■ Mr. Engineer – Participant:

■ Hi sir. Congrats on the quarter and thanks for taking my question. S ir firstly , you a re one of the largest players in agri -gold loans. And right now , RBI has been talking about some changes in that segment in terms of they have to be collateral free. They have increased the limit from 1.6 lakhs to 2 lakhs. Just any thoughts on how this product evolves , because I presume everything is collateralized. And if RBI wants it to be collateral free for PSL benefit , how will this business evolve?

■ Mr. K Satyanarayana Raju – MD, Canara Bank:

■ Sir our internal audit by RBI is concluded , and I have not seen any such comment from that RBI regarding our gold loan in the agriculture. So I don't see any problem at this moment from any regulatory comments on that.

■ Mr. Engineer – Participant:

■ Sir, this full 1.5 lakh crore book comes under PSL, gets a PSL bene fit?

■ Mr. K Satyanarayana Raju – MD, Canara Bank:

■ No sir. No, no .

■ Mr. Engineer – Participant:

■ Sir, how much?

■ Mr. K Satyanarayana Raju – MD, Canara Bank:

■ So 38,000 crores is retail portfolio. The remaining amount is under agriculture.

■ Mr. Engineer – Partic ipant:

■ So that remaining gets PSL 1.1 lakh crore?

■ Mr. K Satyanarayana Raju – MD, Canara Bank:

■ Yes sir.

■ Mr. Engineer – Participant:

■ Okay. So there is no issue on that front with RBI.

■ Mr. K Satyanarayana Raju – MD, Canara Bank:

■ Because in the current year a udit, the RBI exit meeting also is over , we have not seen any comment related to that particular area. That's why we cannot comment on that.

■ Mr. Engineer – Participant:

■ Okay. And just in general , on the retail portfolio , RBI has been concerned about certai n practices ; you can't revolve without paying the full thing. They are concerned about bullet loans in gold loans. Any changes to the underwriting we are doing ? And also, the 75% LTV , is it only at disbursement or throughout the term of the loan?

■ Mr. K S atyanarayana Raju – MD, Canara Bank:

■ So, that LTV is throughout the loan. There is no question of at the time of disbursement. Because the expectation is , whenever the rate of interest is charged, as and when charged, it has to be serviced. Regarding the r etail loans, we don't have any bullet payment type of products at all. It is all equated monthly instalments only. And wherever it is there, if it is a bullet payment, the interest , as and when charged, has to be serviced by the borrowers. Without that , no such product is available in Canara Bank.

■ Reg

arding the regulatory concerns, it is only unsecured loans. Th ose unsecured loans is not so active in our bank , because against salaries and pension, it is 15,500 crores as on date. So that is a very small amou nt compared to our total 2,05,000 crores or 2,06,000 crores retail product. It's hardly not even 6% or 7%. And in that , NPA is also less than 1%. We don't give any clean loans other than the salaried class and pensioners , who draw their salary or pension t hrough our bank. We don't give any pre-approved loans. We don't give non -salaried class clean loans and all. So that

concern is not there.
■ Again , another concern by the regulator is MFI exposure. Our MFI exposure we reduced . One year back it was around ab ove 700 crores , now it has come down to 300 crores. And we have kept … the maximum cap is only 40 crore s for MFI. And we are not so aggressive on the lending to the MFI.
■ Mr. Engineer – Participant:

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■ Okay, s ir, this was very useful. S ir secondly, to the previ ous question, you mentioned 320 crore interest benefit. S ir, can you just repeat? I think last year something else came …
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Let me say that. In the last quarter, our interest on NPA recovery is 780 crores. 700 crore s interest on NPA accounts for that quarter. But generally , on an average, we get every quarter 400 to 450 crores. But in the last quarter, because in one account resolution we got 320 crores towards the interest , we have taken that benefit in the interest income. But otherwise, the average interest on NPA , every quarter we receive 450 to 500 crores . This time also we got around 530 crores.
■ Mr. Engineer – Participant:
■ And s ir, that comes in Other Interest Income line item, right?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Yes, sir. It is not Other Interest Income…
■ Mr. Engineer – Participant:
■ Okay, it's on Advances.
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Yes, it's on Advances. Other Interest Income is, w hatever you are overnight lending. You do it for whatever the excess liquidity i s there. Whatever the excess liquidity you have, you will deploy in the overnight or short -term investments , that income . That income h as come down a little bit.
■ Mr. Engineer – Participant:
■ Understood. Sir, just last year, i t may be a little early, but what is your deposit growth?
■ Moderator:
■ We have a lot of other participants waiting in queue.
■ Mr. Engineer – Participant:
■ Okay. Okay. Sure. Thank you so much, sir. And wish you all the very best.
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Thank you.
■ Moderator:
■ We have the next question from the line of Mr. Jay Mundra.

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■ Mr. Jay Mundra – Participant:
■ Hello, sir. Good evening. Sir, I have some questions. Thanks for the opportunity. One is, apart from this interest reversal, the i nterest on NPA that was lower by 300 crores , was there any other reason why the loan yields would have declined in this quarter? Any other product where you are seeing maybe where t here is a pressure on yield?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Sir, if you look at our yield, quarter -on-quarter if you see that , earlier in September Quarter, our yield was 8.77. Now it is 8.79. There is a 2 basis point increase in the yield. So literally , no product we are compromising in the rate of interest and we are not reducing any rate of interest. Even let me share it with you , that one year back, our corporate portfolio of 4 lakh crore used to give at 7.1 to 7.20. That was the yield, average yield. But now we are successfully , by re -merging, re -jigging that th e exposures and all , now we are almost touching 8.5% in the corporate yield. Yield wise, we don't have any concern. We already are in the highest level. But our only concern is the cost of deposit.
■ Mr. Jay Mundra – Participant:
■ Okay. Under

stood. Secondly, sir, if you can provide the breakup of slippages for this quarter , and outstanding standard restructured books.
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Okay, sir. Actually the total slippages are : 800 crore s is agriculture, 500 crore s is retail, near t o the 1 ,000 crore s is MSME. This is a 2 ,300 crores, sir. No corporate account is slipped to NPA. Now the outstanding restructuring RF1, RF2 and MSME

restructuring , total now as on date , standard restructuring is outstanding at 8 ,600 crores . And already res tructured accounts of 4 ,500 crores slipped to NPA. Total 13,000 crores are outstanding in our books in the restructuring, sir.
■ Mr. Jay Mundra – Participant:
■ Right. And lastly, sir, I think you partly answered on gold loan. So, if I remember correctly, last quarter our retail gold was 28 ,000 crores, which has increased to 30,000 crores , right? So that product is still growing in a decent way. Is that the right understanding? Is the number comparable with 30 ,000 to 28 ,000 crores?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Yes, sir. Actually, it is growing decently because metropolitan cities with stringent LTV ratio, we created a product available to them instead of giving earlier ways to give for agriculture purposes with the documentary evidence. Now we ha ve discontinued that. W e are created without any documentary evidence , if anybody wants to avail a secured personal loan, they can avail that secured personal loan. So, that product has attracted the attention of many metropolitan borrowers. That is giving a continuous growth of almost 15% , sir.

■ Mr. Jay Mundra – Participant:
■ Any changes that you have to make to the product in terms of, let us say, disclosure of end use or maybe rollover? I mean, do the customer s rollover ? They have to necessarily pay the e ntire outstanding ?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ No, sir. We are 100% complying the RBI guidelines . No rollovers in these accounts.
■ Mr. Jay Mundra – Participant:
■ Sure, sir. I will come back in the queue.
■ Moderator:
■ We have a next question fr om the line of Mr. Ashok Ajmera. Mr. Ashok Ajmera, please unmute yourself.
■ We have a next question from the line of …
■ Mr. Ashok Ajmera – Participant:
■ I'm here.
■ Moderator:
■ Okay, sir. Go ahead, please.
■ Mr. Ashok Ajmera – Participant:
■ Give me some time, beca use the technology takes some time. Good evening, sir. Good set of numbers as regards the profitability is concerned, sir. Operating profit is good . And in spite of the difficult times, once again, coming in the banking, you have performed well on the prof itability front , because you managed it well. Now, sir, my only concern, which is a general concern nowadays in the entire banking sector , is the growth in the business. You have answered in your initial remark only, and especially the credit growth. Now, if you look at the current nine months, I think both on deposit front , of course, we are almost half and if you calculate the total FY25 and what is left now in the remaining 2 ½ - 3 months, then on both the fronts, how do you plan to meet the given target s, sir? Because then , there will be a lot of pressure during this quarter, both on the deposit mobilization side also and the credit side also. And you 've already consumed a major part of your excess SLR also.
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ No, sir. Actually, let me say that even today, our excess SLR cushion is still there , because partly we are even onward lending to the overnight deployment, whatever . Because we are getting in excess SLR by 6.5. If the market is paying 20 to 30 basis points extra, we are lending there. That benefit we are taking it. So, if my credit growth is picking , what we have given the guidance is 10%, we are growing at

10.45%. I am sure that the 10.5% we can definitely

easily achieve . So, whatever the
given target under the advances growth, 10.45% may not be a big issue for us to meet that requirement. I do not think that because we have enough cushion in the RBI window, we do not have any problem in meeting that requirement.
■ But at the same time, I do not want to cross my CD ratio beyond 78%. That is why we are putting our entire energy again on the liabilities for this entire quarter. We have already given calls to them . And wherever we are addressing the people, we are giving a special thrust on that campaigning mode on the liability side. Its not that we're only focusing on CASA, we are even interested in the retail term deposits. So, retail term deposits, actually in the September Quarter, there was a muted growth.

But in the December Quarter, we've grown at least 5, 000 crores. And now as on date, we have grown at least 15,000 absolute numbers in the retail term deposits. We aim to grow in the retail term deposits, as well as the CASA, sir. So, we will continue to do that. I don't think it will impact my credit growth , because our given targeted growth is only 10%. We have already achieved 10.5%. And business growth also 10% is achievable, because if you can focus on that 8.4% deposit growth, if you cross 9%, we'll achieve the business growth also.

■ Mr. Ashok Ajmera – Participant:

■ Okay sir, point well taken. My second question is on the recovery side, both in the normal recoveries, and also the recovery from the written off accounts. So, what do you think now this quarter is going to be? I mean, is it because you are ma jor thrust, as you said will be on the deposit side in both quarter on the recovery front, how do we spend this quarter in total FY25, both from the normal recovery and in the written off accounts recovery and having said that, after that on the on SRs, yo u know like you said that 85% of the SRs and only 15% of the cash recovery and especially in case of NARCL, even if it is government guaranteed, we do not take it as a new income. So, in this quarter, how many such cases have taken place and how much amou nt of recovery and SRs which we have gone in recovery in SRs?

■ Mr. K Satyanarayana Raju – MD, Canara Bank:

■ Sir, first let me say that about the recovery of the recovery steps, what we have taken, of course NCLT is one aspect, but the S ARFAESI is another asp ect. Major thrust is OTS and DRT also w e are pursuing it . See, when you focus on DRT, SARFA ESI, NCLT , ultimately, people will come forward and try to settle the accounts under OTS. So, our recovery is more through OTS is more compared to all other thing s. Even if you see that the existing recoveries plus upgradation total together in the current quarter, the December quarter we could achieve around 3600 . If you say the cash recovery alone it 3100 cores . Out of 3100 crores , we g ot the benefit of NCLT of 653 crores . The remaining all we got it through other mod es of recovery. The same tempo if you have seen that we have shown to the earlier also that in September also our recoveries are more than the slippages . Whatever our focus, we are shifting to t he liabilities is not from the recovery side to the liabilities . Recovery sections are separate . Teams are separate. We don't want to mix those teams into that liability side, but the marketing teams, whatever it is there for business growth

there, we w ant to focus divert them into a liability focus , but the retail, the recovery and the slipp ages t eams exclusively earmarked for these two parameters will continue to work on that, and the March quarter also, we expect that the same type of performance what ever we have shown on the December quarter, the slippages we could reduce it to below 2400 crores and recovery should be m ore than 3000 crores that we w ill continue. We are expecting even 2000 crores in the technical written off accounts . The

remaining i s in the normal NPA accounts, the cash recovery Sir. and regarding NARCL shifting , the current quarter, we are expecting we may get some 500 to 600 crores benefit . They identified some accounts, but all consortium banks have to come forward and everybody has to give the clearance then only it happens . But we are also wherever we identified, we are negotiating with the NRCL in two accords . We got positive response . We are hopeful of th e two accounts . If we do th e two accounts , we may get a benefit of 5 00 to 600 crores Sir.

■ Mr. Ashok Ajmera – Participant:

■ So, this 500 -600 crore s, the outstanding, I mean or the recovery ?

■ Mr. K Satyanarayana Raju – MD, Canara Bank:

■ No, Sir, it is not the outstanding. It is a recovery what we are expecting . But out of that again, cash recovery will be only 15% Sir. The remaining entire thing will be in the form of SCR s.

■ Mr. Ashok Ajmera – Participant:

■ Okay , Sir. Sir, last point is on

■ Moderator:

■ Sir, we have a lot of other participants , Sir. Please come in the queue.

■ Mr. Ashok Ajmera – Participant:

■ Okay, a lright, alright .

■ Moderator:

■ Thank you , Sir.

■ Mr. Ashok Ajmera – Participant:

■ I will come back in the second round. Thank you. Thank you and all the best.

■ Mr. K Satyanarayana Raju – MD, Canara Bank:

■ Thank you, Sir .
■ Mod erator:

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■ We have a next question from the line of Mr. Jugal.
■ Mr. Jugal – Participant:
■ I hope I'm audible ?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Hi Jugal Ji .
■ Mr. Jugal – Participant:
■ Thank you, Sir. Thanks for the opportunity . My first question is re garding the bank s density for advances and just wanted to know how it is trending and the RWA density of our international advances portfolio .
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Sir, actually our total global CD ratio is around 76.5% and we see th at because CRR is 4% and the SLR requirement as on date is 18% , total to the 22% . So, we don't want to cross 78% in a normal condition , though we have support in the form of own funds and even refinance funds and even infrastructure bonds and all those th ings, but still in a normal course, we don't want to cross our CD ratio . Beyond 78% . With that to the CD ratio, we are at 76.5% at the present . Our g rowth also projected is only at 10.5% to 11% . We will be well within that 78% for the March . The globa l only I shared with you , domestic may be little bit one or two percent for here and there may be happened . That is only for overseas .
■ Mr. Jugal – Participant:
■ Sure, Sir and what proportion of our total advances are externally rated?
■ Mr. K Satyanarayana R aju – MD, Canara Bank:
■ Pardon .
■ Mr. Jugal – Participant:
■ What proportion of th e total advances
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Externally aerated , actually we have – see e xternal rating is mandatory in our bank as per our policy , it is 25 crores and above . So, in all those things, 80% of our exposures are A and above .
■ Mr. Jugal – Participant:

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■ Sure and Sir, if you could just guide on the impact was proposed RBI guidelines on LCR?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Sir that proposed RB I guidelines of LCR is going to come , expected to come effective from 1st April onwards . As on date our LCR is 123% and we are assessing that if we implement those things as and today it may impact our LCR from around 11 to 12 basis points . So, our LCR m ay come down to 110 to 111 . But to take care of those things again, we introduced in the last quarter for raising the deposits at a longer tenure that is a two to three years and three to five years buckets we introduced and we are offered a higher rate o f interest at 7.3 and 7.4 . We already garnered more than 8000 crores in this and we want to continue to garner in those two buckets at least for n

ext two months so that again, we can restore it back by LCR to around 115% to 120% .
■ Mr. Jugal – Participant:
■ Sure, Sir . Sir, could you help us with the total exposure in HAM projects and also ethanol projects and other biofuel -based projects per se?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Yes. Our exposure to that HAM projects is there around 25 ,000 to 26, 000 crores and everything is standard . We a lmost financ e, we are a part of financial closures of 70 such projects . But there we have some internal policy that generally we take it up A and above rated companies only . But now again, we are actively consi dering monetization of those HAM process which are started taking the - receiving the annuities that is also is in the market that also we are act ively participating in that and ethanol also whatever the actually it is there its more than 2000 crores it is there . Compress ed biogas also we are actually considering that .
■ Mr. Jugal – Participant:
■ Sure . Sir, i f you would possibly help us with the total exposure to renewable sectors like solar and wind energy per se?
■ Mr. K Satyanarayana Raju – MD, Canara Bank :

■ The exact figure, if it is required that our CRO will share it with you .
■ Mr. Jugal – Participant:
■ Sure .
■ Mr. Uday Sankar Majumder – CRO, Canara Bank:
■ See, with regard to renewal, solar and energy together, our exposure is around 6500 crores

■ Mr. K Satyana rayana Raju – MD, Canara Bank:
■ That is actually outstanding what he is telling about, but the sanctions are there around 15 ,000. These are all project funding it gradually, depending on the progress of the sanction, the progress of the projects only it wi ll be dis bursed . As on date , outstandings are 6 000 to 7000 crores are there plus 2000 crores ethanol is there , so total 9000 crores is there , but t he sanctions are there . Total sanctions if you consider that exposures are more than 15,000 crores .
■ Mr. Jug al – Participant:
■ Yeah, makes sense. Sir, if you could help us with the e xposure to Kerela and Telangana government and specifically the state PSU s, if you could help us out with the same ?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ It's specifically disc losing outside i t may not be correct, but we have state wise risk rating is there , state wise exposure limits are there. T hese are all the limits will be fixed by the boards and boards sub committees . We are well within that sub limits .
■ Mr. Jugal – Part icipant:
■ Sure, Sir . Sir, my last question is on the potential impact of new RBI guidelines on operational risk and interest rate risk in banking loan ?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Our CRO will explain to you Sir .
■ Mr. Uday Sankar Majumder – CRO, Canara Bank:
■ See the new guidelines on RB I is to be I mean date is yet to be announced, but new guidelines have come . RBI is yet to announce it and as per the guidelines , if the impact of interest rate change is beyond 15% of my Tier 1 capital, then to that I have to provide additional capital in the pillar 2 . So, as of now with the rough estimate, it is below 15%, so we need not provide any additional capital as far as pillar 2 is concerned . Yeah . It is below that, below 15%. So, there is no impa ct. As of now , there is no adverse impact one the new IR RBB guidelines implemented .
■ Mr. Jugal – Participant:
■ Thank You, Sir. Thanks a lot .
■ Moderator:
■ Thanks Sir. We have our next questions from the line of Suraj Das?
■ Mr. Suraj Das – Participant:

■ Yeah . Hi, Sir. Thanks for the opportunity . Sir, two Questions . First one is, i n terms of subsidiary monetization, I mean, what is your plan? And the second one, I think in terms of the subsidiary business overlap, what has been your response and in case the current guidelines have to come in the same s hape and form, what would be your action plan?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Sir, actually the first subsidiary, disinvestment is already we have proposed a disinvestment in two subs idiaries that i s 1 - Canara Robeco Mutual Funds and Canara HSBC Insurance Company . These two cases may already all regulatory required permissions we h ave obtained . Now , we have communicated to that respective boards to take it forward for that coming out of that publi c issue . With respect to boards have created sub -board committees and for close monitoring of this progress . They are all doing their job and now at this moment, I think bankers have been appointed, so it is under as expected lines and we are expecting t hat both the companies we may come for the IPOs in the next financial year . The second one is if the RBI guidelines as per RBI guidelines, a common activity between the parent company and the subsidiary is only for us Can Fin Homes , but there are no timel ines to be stipulated by the regulator . We are watching that market, if at all we feel that we get enough pricing, we expect that our pricing valuation of that company should be in the four digit . Whenever we expect that the share price crosses the four digit , we may think of coming out of that .
■ Mr. Suraj Das – Participant:
■ Sure, Sir .

■ Moderator:
■ Thanks Sir. We have our next question from the line of Mr. Rakesh Kumar.
■ Mr. Rakesh Kumar – Participant:
■ Hi, Sir. Can you hear me, Sir?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Yes, Rakesh Ji .
■ Mr. Rakesh Kumar – Participant:
■ Yeah , thanks . Thanks for the opportunity , Sir. Sir, just I was a little confused with the number s, that you know you mentioned in the questions that you know you have changed the asset c omposition in favor of loan and reduce d the cash balances number and that is pretty evident in the number as well . But I am not able to see that you know the yield on fund has gone up . So, t hat has not happened even though there is an increase in the yield on advances . So, with the asset composition, that could have happened .

■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ See, let me see that, Sir . Actually , this exercise we have started from December , last December to June . When we are done this rejiggin g of that low yielding advances have been we have taken it back . We s tarted doing that high yield which is 8.6 to 8.79 , 19 basis points increase is there in that yield on advances . The 19 basis points is not a small amount . That is happened only because of these things . Otherwise , our MCLR there – our RLLR there is no change for the last two years . Then even then, how the yield has increased , that increase in the yield is only because of that, Sir.
■ Mr. Rakesh Kumar – Participant:
■ Sir, I was referring t o the slide information that we have . Anyway, I understood your point . Second thing Sir, last quarter we had the LCR of 130% . Now, w e have you mentioned 17 0% or 17 3%. So, do
■ Mr. S K Majumdar – CFO, Canara Bank:
■ Rakesh ji,
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Just one minute, Rakesh ji . Our CFO wants to share something to you .
■ Mr. S K Majumdar – CFO, Canara Bank:
■ Your question is when yield on advances have gone up to that extent, how yields of funds have not gone up, isn't it? That is your que stion ?
■ Mr. Rakesh Kumar – Participant:
■ And with the change in asset composition in favor of
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ We are reaching that composition . I answer ed correctly . Now tell me, survey LCR related, LCR, know?
■ Mr. Rakesh Kumar – Participant:
■ Yes Sir. What I was saying that you know, we have switched separated some of the
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ See the LCR earlier 130 to 123 why it has come down , that is your question, Sir?
■ Mr. Rakesh Kumar – Participant:

■ No, no.
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Generally , LCR will
■ Mr. Rakesh Kumar – Participant:
■ No, no, Sir .
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Last quarter, we announced that 130 .
■ Mr. Rakesh Kumar – Participant:
■ Yeah . So, that has happe ned. What I am thinking is that do we plan to further you know shift cash balances to advances considering that LCR guideline as you are mentioning might come and we have LCR at around 123 %. So, do we have room for that to do it further?
■ Mr. K Satyanaray ana Raju – MD, Canara Bank:
■ Sir, as per regulatory requirement, one has to maintain 100% , within that our bank we kept our board has kept a n internal ceiling of 1 05 as against requirement of 1 05, already w e are at 123 %. So, even if the R BI new guidelines implemented that will impact only 11 to 12 basis points, which may come down to 110 to 111 . But we do not want to be play or this business at such a smaller gap. That's why we have

already taken initiatives to garner the more deposits in the longer tenur e buckets that is 2 to 3 years and 3 to 5 years, which we are offering the higher rate of interest and we already started garner ing the deposits. We garnered more than 8000 crores in the last one month .

■ Mr. Rakesh Kumar – Participant:

■ And last question Si r, is there any classification issue in the Commission exchange brokerage income line?

■ Mr. K Satyanarayana Raju – MD, Canara Bank:

■ No, Sir. There is no such a miscellaneous income. You are aware that last year RBI guidelines have come that penal interest should not be charged in the interest side . It has to be booked in that other charges . So, that's the accounting standards have been changed compared to last year to this year . So, to that extent, interest income has come down and to that extent the miscellaneous receipts are increased . Except that remaining things are only because of the business growth , nothing else that comes approximately 150 crores or 160 crores .

■ Mr. Rakesh Kumar – Participant:

■ Okay. Thank you. Thank you so much, Sir .

■ Mr. K Saty anarayana Raju – MD, Canara Bank:

■ Thank you , Sir.

■ Moderator:

■ We have our next question from the line of Mr. Mahrukh. Mr. Mahrukh? You can unmute yourself now. We have our next question from the line of Mr . Sushil Choksey.

■ Mr. Sushil Choksey – Participant :

■ Good evening and congratulations . Yeah, Mahrukh go ahead.

■ Mr. Mahrukh – Participant:

■ Thank you, Choksey saab.

■ Mr. Sushil Choksey – Participant:

■ Sir, c ongratulation to Team Cana ra for very stable and positive result . Sir, y ou just highlighted that you a re open to monetizing Can Fin Homes. Now, if you are looking for a strategic p remium because you are saying that you are looking for ■1000 price with the current market condition which is in a little correction or a consolidation mode, whether it's a housing finance sector or overall financial market . Are you open for any strateg ic buyback ?

■ Mr. K Satyanarayana Raju – MD, Canara Bank:

■ No Sir. Actually, because the RBI has given a guideline on the subsidies that a common activity should not be there, but there are no for existing organization there are no timelines for closing down t hose things . So, since it is opened for the individual banks to take a call on that f or us, we know the internal strength of that company . We have 29.9% shareholding in that company . We feel that we have initiated something with the help of that board an d that current top management . Some initiatives we have done in cleaning at the top level as well as in their functioning that will start yielding the results in a one or two years . We want to wait for that one or two years when it results are coming out the real value will come out . When the real value comes out, t hen we may think about that this, whether it has to

be strategic sale or whatever it may be .

■ Mr. Sushil Choksey – Participant:

■ Sir, but if somebody is working with a positive outlook that you have done, the cleansing, the value is already there ■1000 or ■1200 or ■1100, whatever may be the fair value and because you are offering 30% which enables them to make a n open offer too, so you can i ncrease your stake on the market and the market will tender

the shares . In such scenario , will we participa te or will wait for one or two years only ?

■ Mr. K Satyanarayana Raju – MD, Canara Bank:

■ Sir, it is actually as an individual, th ese decisions cannot be taken as at this level, but it generally these option s will be discussed in our strategy meet generally happens once in a year at a board level, and this year also it will be scheduled either in March or in the April . During that board meeting, it will be discussed thoroughly . Then as per the board directi ons, w e will proceed and we will share it with you, Sir .

■ Mr. Sushil Choksey – Participant:

■ Thank you for answering that question . Sir, n ext is non-interest income, treasury

was concerned and written off accounts are concerned. How do you see that panning out in the current quarter?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Sir, the Treasury m eet actually whatever the benefit, we got it as a part of that 5% sale of HTM Securities that benefit we have taken because all other banks have taken earlier , we h ad not taken, w e had kept it pending and now this December quarter also we have not taken entire 5% , we have not sold it , part of that only we sold it . The remaining balance we can sell it in this quarter . That b enefit always will be there that we will take the benefit out of whatever is the benefit is there. Second, recovery and technical written of accounts will continue . We are expecting this quarter also will be there around 2000 to 2100 .
■ Mr. Sushil Choksey – Participant:
■ So, what are the number out standing on written off accounts ?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ We have around 68,000 crores, Sir .
■ Mr. Sushil Choksey – Participant:
■ Okay. Sir, i f the yield on G-Sec is in the region of 6.5 to 6.7, the profit can match up the previous quarte rs?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ We will wait and watch Sir. Let u s see that what w ill happen .
■ Mr. Sushil Choksey – Participant:
■ And do you anticipate to monetize your subsidiaries, which you' re already looking towards Canar a Robeco in this quarter or you think it will go into the next quarter?

■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ No, Sir, not in this quarter . Sir, t hat will be in the next financial year .
■ Mr. Sushil Choksey – Participant:
■ Sir my l ast question,
■ Mr. K Satyanarayana Ra ju – MD, Canara Bank:
■ Because already the merchant bankers have been appointed . Now , it is in their hands once they say that we are ready, then we will think about it .
■ Mr. Sushil Choksey – Participant:
■ Okay. Sir, I know you answered the majority of the p articipants question on CASA . If we move well on CASA, I think we'll outsmart majority of the comparative banks . So, what acceleration program other than what you garnered in deposits, n ew schemes can be done from the geography where we are present . Because it's difficult geography where CASA is concerned, because people generally don't keep idle balances because they are smarter humans, what can we do differently that will help us to grow better way?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Sir, now adays every year we want to open some 250 to 300 new branches . These new branches we are planning to open well the CASA of potential is there especially where our presence is little comparatively lower and that's why the work compared to the South India, we are opening more in the North and Eastern side that bra

nches
and l ast year we opened 211 branches. This year already we opened 180 branches and we are targeted for 250 branches . This will continue for 2 -3 years and these thousand branches , if you once o pen, definitely create a mark in that , that the strategy anyhow, it is continuing that Sir .
■ Mr. Sushil Choksey – Participant:
■ Thank you, Sir . Thank you for answering all my questions and best wishes to Canara Bank team for the years to come.
■ Mr. K Satyana rayana Raju – MD, Canara Bank:
■ Thank you, Sir . Thank you . Thank you so much .
■ Moderator:
■ Thank you , Sir. We have our next question from the line of Mr. Arvind Dara .
■ Mr. Arvind Dara – Participant:

■ Hi, Sir. Thank you so much for the opportunity .
■ Mr. K Sat yanarayana Raju – MD, Canara Bank:
■ Hi, Arvin d.
■ Mr. Arvind Dara – Participant:
■ Hello Sir. You mentioned about, you know, maintaining CD ratio below 78% . If the deposit environment continues to be constrained , of course we may continue to

remain on you kno w CD ratio maintaining CD ratio below 78 % or would be flexible in that aspect . That is my first question . And the second question is on expenses . This year we have been able to like manage expenses you know much below and in m uch more controlled manner and can we expect you know expenses to be like in line or closer to income growth next year? These are two questions .
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Set first goal . First, let me say that liability , Sir, liability for us also, earlier also I shared something against that. It is not that CASA we are finding it difficult to garner the more CASA , but liabilities we are not finding difficult to garner it. Only thing you have to sh ut higher rate of interest which we are cost consciousness, that's why whatever i t is required we are garnering that liabilities . When we have decided that our CD ratio is 78% , there afterwards our incremental deposit and advances we will ensure that we will match these two things by if at all if necessary, we may have to increase the deposit rate . That's All. Otherwise , see it is not difficult for us to garner the deposit only thing w e want to be cost consciousness. We don't want to shut the higher rate of interest. That's why when you have surplus cushion in your s ystem, we want to take maximum benefit out of it . Once that is, if it is coming to the exhaust it, then we may go ahead with that offering a higher rate of interest and garner the deposit , but at this movement, I don't see any such i ssue . The second one is expenses . I don't see any further increase in the expenses suddenly, but the annually suppose 6 % to 7% annual growth in expenses is likely to happen, but that's only to that extend I'm expecting that. Otherwise, we will continue with the cost to incom e ratio around 47 %-48% .
■ Mr. Arvind Dara – Participant:
■ Sure, Sir and just one more question from my side . SARFA ESI, especially in the system level, the unsecured loans you know personal loans, you know credit cards and these are the segment s where you kno w multiple companies have faced issues because of the higher growth you know like you know when people say like over leveraging you know with the particular part set of borrowers that led to issues that we can see in different companies . Like I have simil ar question for MSME Sir, like in the MSME, i n the system as well as what the bank has, you know grown in a commensurate rate in the past few years , do you see any signs of, you know over leveraging or any issues there which could be propping up there ?

■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ No, Sir. I don't see any such leverage in MSME. Its last two years back, we have revisited underwriting standards of all our MSME products and we have centralized the processing of those accounts. We created each regional office , 17

7 re gional
office s. We c reated a hub for processing the MSME loans. That ha s started giving the results. That's why slippages are under control. That's w hy gradually our NP A and our MSME is coming down . I don't see any that too muc h stress on that except one or two small government sponsor schemes or anywhere the s tress is there , but that is well within our risk appetite o nly. I don't see anything on that.
■ Mr. Arvind Dara – Participant:
■ And just one last thing, if I can
■ Mr. K Sat yanarayana Raju – MD, Canara Bank:
■ And we don't lend too much to , we don't lend too aggressively in anywhere and we are not active in portfolio buyout of any portfolio . Our total portfolio buyout outstanding is only entire bank all including retail MSME e verything t ogether is only 1600 crores . Our e xposure to MFI is only 300 c rores . So, our even co -lending is also less than 1000 crores . So, we are not too aggressive on that lending . Instead of that , we are actively making involve or branches to generat e the loans and that this year we are expecting that we will touch the 10% . That's double -digit growth in the MSME. Last year we were at 7 %-7.5%. This year w e are confident that we may touch 10% .
■ Mr. Arvind Dara – Participant:
■ Sure , Sir. Thank you for the elaborat e explanation. Just one last thing, if I can squeeze in , with respect to recoveries from written off accounts , Sir can we expect similar data for next two years also?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Yes, t his current quarter also I already reiterated earlier whatever the last quarter we got around 2000 crores , this quarter also we are expecting that the 2000 crores will be recovered .
■ Mr. Arvind Dara – Participant:

■ Sure, Sir. Thank you.
■ Moderator:
■ Thank you. We have our last questi on from the line of Mr. Akhilesh .
■ Mr. Akhilesh – Participant:

■ Hi, team. Good evening . Sir a c ouple of questions from my side . Firstly, I'm sorry if this is a repeat question because I got disconnected in between . Firstly, if I look at the SMA 2 book, y ou had called out 2 state government accounts in the last quarter in the SM A 2 book. One more is the Andhra based PSU in the steel sector and the other one was a state government account . What is the update on those accounts as of now?
■ Mr. K Satyanarayan a Raju – MD, Canara Bank:
■ Now , as on date as on December 31st, these two are appearing in the SMA 2 , but as on date these two has come out of even SMA . These are all now not even in the SMA 0 .
■ Mr. Akhilesh – Participant:
■ Even the steel account ?
■ Mr. K Sat yanarayana Raju – MD, Canara Bank:
■ Yes, Sir . Both Steel Authority and Telangana . Whatever it is there .
■ Mr. Akhilesh – Participant:
■ Okay g ot it . Sir, secondly, the last participant was also checking about the outlook on recoveries for the next two years . Is there some sense that you have in terms of trend?
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ See two years period is too long period to predict, but I can tell that the present Canara Bank said I can tell that I cannot comment on the industry wise be cause we are conscious, we are little conservative in high -risk portfolios. Next one year and one and half year, whatever it is there, I am sure that our slippages will be less than our recovery and upgradation.
■ Mr. Akhilesh – Participant:
■ Got it. Sir an d just lastly, if I look at the trend on other interest income that has been trending downward, you expect the same
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ It has reached to the bottom, Sir. Further down, we don't expect in this.
■ Mr. Akhilesh – Parti cipant:
■ Okay Sir, j ust one last question, if I can squeeze in . The other OPEC seems to be a bit volatile in the last few quarters , what i s the cause for this ?

■ Mr. K Satyanarayana Raju – MD, Cana

ra Bank:
■ No Sir, a ctually, you may be remembering that last c ontinuously three years we are investing heavily on the IT . So, when you are investing though it is a CapEx, next year onwards it will convert into an ATS and all service charges and all you have to pay it . So, that's the only thing, except that nothing is there, Sir . And we are a lso opening new branches , you can accept it last year onwards. Previous yearly, we were not opening . Last year w e have opened 211 branches . This year a lso, we are opening 250 branches that also will add to our OpEx to some ex tent . When you want to grow in your CASA, you have to bear with that to possible extent.
■ Mr. Akhilesh – Participant:
■ Thank you for answering my questions.
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Thank you, Sir.
■ Moderator:
■ Thank you, Sir. We will take that as the last question. Over to you Sir, fo r your closing remarks.
■ Mr. K Satyanarayana Raju – MD, Canara Bank:
■ Thank you . Thank you , one and all. We will continue to perform consistently . That's what actually we always share even at the beginning of the year and even today, after three completed quarters, we approved that we are consistent in our performance in all the key parameters . Thank you, Sir . Thank you, one and all.
■ Moderator:
■ Thank you everyone. That conclude s the call.
■
End of Transcript

Call: May 2025

■■■■■■ ■■■■■ Secretarial Department
■■■■■■ ■■■■■■■■■■ Head Office F +91 80 22248831
112, ■■ ■■ ■■■, ■■■■■■■■■ - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.canarabank.com

Ref: SD: 77/78 /11/12 ::202 5-26 14.05.202 5
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
Exchange Plaza
Bandra -Kurla Complex, Bandra [E]
Mumbai - 400 051
Scrip Code: CANBK

Sub: Q4 FY 2024 -25 Earnings Conference C all with Analysts / Investors - Transcript

Ref: Our Letter SD:45/46/11/12::2025 -26 dated 29.04.2025
Ref :Our Letter SD:51/52/11/12::2025 -26 dated 08.05.2025

With reference to above and pursuant to the applicable provisions of SEBI (LODR)Regulations, 2015, we herewith enclose the transcript of post results Earnings Conference Call Q4 FY2024 -25 held on 08.05.2025.

The transcript of Q4 FY 2024 -25 Earnings Conference Call is uploaded on Bank's website and the same ca n be accessed through below link:

https://canarabank.com/pages/Earning -Conference -Call-Transcript

This is for your information and records

Yours faithfully,

SANTOSH KUMAR BARIK
COMPANY SECRETARY

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1 Canara Bank 's Earnings Call for Q4 FY25
08th May 2025

- Moderator:

- Q4 FY25 earnings call of Canara Bank. With us today we have Mr. Satyanarayan Raju, MD and CEO Sir, Mr. Debashish Mukherjee, Executive Director, Mr. Hardeep Singh Ahluwalia, Executive Director and Mr. S.K Majumdar, Executive Director. We will start the call with the opening remarks from the MD Sir, post which we will start with the Q&A session. MD Sir, over to you.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Good evening to all of you Sir. Thank you once again for attending this Investors' Meet, Analyst Meet Sir. I am here to share some snapshots or the performance highlights of the entire financial year as well as the fourth quarter to all of you. Along with me, my senior colleagues, Debashish Mukherjee Sir is here, Hardeep Singh Ahluwalia is there and Majumdar is there and all our top brass, top management is sitting here. Once I give my highlights, you are free to ask any of the clarification s, we are here to clarify that Sir.

- Our global business has grown at 11.32% and stood at 25.30 lakh crore as against our guidance of 10%. The first time the bank has crossed 25 trillion and last two years, we garnered the business of more than 5 trillion. Our global deposit has grown at 11.01%, stood at 14.56 lakh crore as against our guidance of 9%. Our global advances hav e grown at 11.74%, stood at the 10.73 lakh crore as against the guidance of 10%. Our operating profit grown at 12.14% year -on-year and stood at 8,284 crores. The first time we have crossed quarterly operating profit above 8,000. Our net profit has crossed 5,000 crores with a growth rate of year -on-year it's 33.19% and first time in the history of the Canara Bank, a quarterly net profit has crossed 5,000. Our PCR has improved to 92.70% with an year -on-year improvement of 360 basis points. It's the highest in the history of the Canara Bank that in one year the PCR has increased that much. Our gross NPA has reduced considerably and stood at 2.94% as against our guidance of 3.5% and year -on-year decline of 129 basis points. Our net NPA has stood at 0.70% as agai nst the guidance of 1.10 with a year -on-year decline of 57 basis points.

- With all these bottom -l

ine growth, steady growth and the top -line growth, I'm very happy to share with all the investors and the analysts that our board has recommended for a divide nd of 200% with a paid -up capital as against the last year 161%. That is a 4 rupee for every 2 rupee share face value of that. One thing I want to clarify to you is we have tremendous improvement , we could show in the asset quality both in the PCR as well as gross NPA and net NPA by recovery as well as controlling the slippages but without compromising the top -line growth and the bottom -line growth. So that's what actually the best point of this year , what way performance we can say that. This is always pos sible because our RAM credit has grown at 13.23% and stood at 6.10 lakh crore . Our retail credit has grown at 2.23 lakh crore and with a year -on-year growth rate of 42.80. The 42.80 , you may feel that it is an outliner but the reason already last two times I shared with you

2 but once again at the cost of repetiti on I will share it with you. So last one year, last year 1st April onwards , we stopped lending to agriculture purpose in the metropolitan but to meet the requirement of metropolitan borrowers who wan ts to borrow against the gold , we introduced a loan against gold , secured loan against the consumption purpose that has actually attracted by the many people , that is the reason actually I say earlier we have 16,000 crores agriculture loans in the metropol itan, that e ntire thing has been shifted to, it's not that as it is shifted . Some of those loans have been closed , some of those loans have been renewed and all but so that's the agriculture that to the extent of 16,000 crores , there was a dent was there i n the agriculture gold loans but that has been benefited in the retail credit. So our housing loan growth is at 13.57% and stood at 1,06,000 crores. Our vehicle loan is almost growing at 20% , that's stood at 20,637 crores. Our earning per share is at 18.77 rupee for each 2 rupee face value share with a 16.98% growth and our fee -based income , the bottom line is a growth is mainly helped by the recoveries in the technical return of accounts as w ell as the fee -based income growth year on year it is a 20.30% , stood at the 2,335 crores.

- Our slippage ratio , we could well maintain well less than the 1% as against the given guidance of 1.10 but we could maintain it to 0.90 . Previous quarter it was 0.96 , it is further down to the 0.90 with an improvement of 38 basis points. These are all the few highlights I could share it with you . I am sure that by this time you all might have gone through that in our presentation . Now you are all welcome for askin g any clarifications or que stions Sir. W e are all here to clarify to you. Over to you Sir.

- Moderator:

- Thank you MD Sir. Whoever wishes to ask a question, please raise your hands and limit your questions to two for participating. We have our first questio n from the line on Mr. Ashok Ajmera. Sir please unmute yourself and go ahead.

- Mr. Ashok Ajmera:

- Yes Sir, good evening Sir and the entire team of Canara Bank.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Good evening Ashok ji.

- Mr. As hok Ajmera:

- And again compliments to you Sir for fantastic results especially on the…… if you see straight away the bottom line of the quarter, you know it has gone from 4100 crore to 5002 crore, which is very very important otherwise there are headlines you know the profit has gone down by 10% or 5%. So this is some very very positive this thing in spite of all the provisioning and everything. Having said that Sir, this profit has been on the back of certain changes in the RBI norms also, mainly in SRs is sued by the NARCL which is the 100% government guaranteed SRs and because of that there

3 is some provision reversal and there are some gain. So Sir, I would like to just understand t

he
entire mathematics of these two three items which are together.

- One is that excess provision reverse in P&L is 1463 crores on the sale of state's loan . Then excess provision reversal of 1724 crore for NARCL the SRs revaluation based on the fair market price and also the unaccounted gain of 97 crore which has also been taken in P&L. So the net provision overall is 2000 ….. is 1831 crore. So can somebody … can unfold the or this entire , how this figure has finally come off?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- I will ask our executive director Majumdar to answer this.

- Mr. Ashok Ajmera:

- 1831 crore, there is an extra provision of NPA. There is an extra provision of, I mean the provision on NPA account is also much higher at 2847 crore in this quarter.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- So that is why you can see.

- Mr. Ashok Ajmera:

- So all these 2 -3 important figures…..y es Sir?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Ashokji , that is why you can see that you can really , the overall whatever the benefit we got through that SRs reversal , provisioning reversal and all , we could use it for strengthening our provision coverage ratio , PCR. In last quarter , it is a 91. 26 something is there. Now this quarter it is 92.70 , almost 150 basis points increased in our provision coverage ratio. That is why you are showing that the h igher provisioning in the NPA accounts , it is not mandatory but we want to strengthen that our balance sheet. We want to strengthen that our PCR to make it at par with other peer banks because you know that historically we were a little behind in the PCR. We don't want to continue like that. We want to take that benefit whatever it is there in that. That is the major accounting policy that we have used them for strengthening our PCR. Further of course down to down , line to line , apple to apple , if you want any clarifications our Executive Director Majumdar is there. He will clarify to you Sir.

- Mr. S.K Majumdar – Executive Director, Canara Bank:

- Sir, your basic question is how much of that profit is due to change in the norm that SR reversal provision , isn't it? Sir our total SR we was around 1700 crore of which till December , there was a

4 provision of 1100 crore. The rest 600 crore , there was a no question of reversal which we need not have to do for the March quarter. That 1100 crore is actually that rever sal happened and out of that 1100 crore, 500 crore has gone into what you see as part of the profit. Another 600 crore , we have made a provision as Sir explained for non -performing assets , just to improve our

provision coverage ratio. You will also agree that when you compare our bank with my peers, all of them are today having a provision coverage of 95% or above 95%. So we also want to be in that space. It is because once you cross that 95% PCR , you can do nothing worries you. Any sort of dense , you are no longer worried. So we want to go to that space, we want to improve the PCR strongly and to answer your question , that has gone , 600 crore has gone into that and extra provision of 500 crore has gone into profit and 600 crore is gone in providing for thi s extra provision which has improved the provision coverage ratio to a considerable extent. And Sir, you will see that now Sir, the major thing , this don't I think you will be impressed if you see the key data , that our provision coverage ratio excluding T WO has crossed 76. It is 76.6, it is almost 77 which is the real strength of the bank and it will go and we are almost in line with my peers, formidable peers. So I hope and this is how you have got also , we could declare 200% dividend. Having said that , this as you know that this amount is from out of SR addition , as per the guideline cannot be used for dividen

d payment. So these whatever 500 crore I have added in profit could not be used for dividend payment. So and this also needs to be deducted from cap ital CET1. So we have also , it is not that I could take , this has also had to be that 1700 crore had to be reduced from CET1. So you want to find out what is the strength of the bank without this non -core income and I am sure you must have seen and glad to know that even without this non -core income , our CET1 today is 12.03 which is a formidable strength for this bank.

- Mr. Ashok Ajmera:

- Thank you very much Sir for such an elaborate answer and especially you know what, we wanted to know that on a continuo us basis, you know how much profit is unusual and this thing. So you are very well clarified that only 500 crore has finally gone on account of this SR provision reversal in the P&L which may not accrue to you quarter after quarter.

- Mr. S.K Majumdar – Executive Director, Canara Bank:

- Exactly! And Sir, I could not take it to capital also, that you must remember.

- Mr. Ashok Ajmera:

- And definitely Sir, as far as the core strength and the compliments are concerned for the business , you have crossed for the first time , I think 25 lakh crore business. So definitely a lot of good things have happened in the bank especially in the whole year and this quarter particularly.

- Another data point Sir was on PSLC commission profit . I mean the commission income. So in the whole year , you have earned about 1546 crore and in this quarter , you have made 130 crore. Now going forward , whether this can be taken as a normal income coming regularly to the bank or we may say that , it may or may not accr ue in future.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No Sir, actually this PSLC , how it comes , it is a demand and supply because now we used to , last year to last year, we have sold almost 86,000 crores in the form of a PSLC. But the last year supply also is comparatively high because of the gold loans under agriculture and all. Because of latest RBI regulations and all , there may be a reduction in the availability of the priority sector loans in the market. So even if that may im pact the Can ara Bank also for amount to which we can sell but not the income because when the supply is more , your demand will be less . The available commission will be less. That we will get , last year the first quarter we used to get 1.75 to only 1.8 or 1.9. But that tendency has reversed at the end of the quarter. For one quarter we got almost 2% commission. Generally that is against 0.4, 0.5%. And the first quarter , this quarter I have seen rates are already touching 3%. So maybe my quantum may reduce in the selling , in the market from 80,000 to it may be a 40,000 or 50,000. But my income may not be reduced because the demand will be very high and the commission will be very high.

- Mr. Ashok Ajmera :

- Yes, at this point. Sir, one quest ion is on the investment book b ecause of the change in norms.

- Moderator:

- Please join the queue. We have a question from the line of Ms. Mahrookh. Mam, please go ahead with your question.

- Ms. Mahrookh:

- Hello, good ev ening. So I had a couple of questions. My first question is on recovery in written off accounts in the P&L. So that is a very strong income item this quarter. It's been strong for the last few quarters. But this quarter it's actually a bit higher than SBI's as well whereas SBI also has a large ORCA pool. So what is your total write -off pool and what is the visibility on this? Because now we have even crossed SBI's and it's on the higher side. So that's my first question. And I have other two. So in the interest income breakdown, interest on loans, interest on investments and other interest i ncome, there is a sharp jump over Q3 of FY23. So it has increased by around 300 crore. So is t

here a one -off tax refund? What explains that sharp jump? And my third thing is if you could explain how the retail gold, how the agri -gold loans were converted t o retail gold loans.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Ok, madam. First recovery in written off accounts, madam. Recovery in return of accounts, every year we are telling that on an average 4,000 to 5,000, we can easily recover that. Whatever we have, a book of almost 70,000 crores as on date also. When we have 70,000 crores, so we have

6 nothing to d o, compare with the other peer bank or anybody, because we have potential to recover. Our systems are very strong. Some centralized processing is there. Special schemes are there in those return of accounts. It will continue to do that. Last year, if you s ee the total 5,963, we could recover this time almost 1,000 crores more, we could recover. Last time when we recovered 5,963, you people have asked, so it may not be possible in the next year because this much you have recovered. But we have shown that we can recover better than that. Simultaneously, you should agree that when you have in the balance sheet 100% provisioning, we are also doing the return of to clean the balance sheet. That will be added to my kitty and that will be available for recovery in the forthcoming quarters. So for my, whatever the base is there, that 70,000 crores, it is not coming down. Maybe the composition is changing but the base is available to us. So we are sure that this year also we will continue to perform at the same level in the return of accounts and I don't see any reduction in that recovery in the return of accounts.

- Ms. Mahrookh:

- Was there any one -off this quarter?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- The second one is interest income. Par don, ma dam? No, madam. There is no one -off there. It actually comes from small, small accounts. Many things are there. We have actually set up corporate as well as non -corporate. We get equal amounts in that. Targets will be given like that only. It is thr ough OTS systems, through collections. It is not a one -time allotment. Anything is there, madam.

- And the second one is interest income. You are asking me that interest income increase. If you first, before telling the interest income, one thing I have to tell you that our cost of deposits and funds, you should look at that, that the entire year we could manage with only f rom June 2024 to March 2025. So both in that, it is hardly four basis points in the cost of deposits and the three basis points in the c ost of funds. That we could manage in the cost. When you can manage in the cost, it will help in your yield and advances simultaneously or interest income, net interest. Total interest income, this quarter also we got, second quarter we got very good inter est on NPA recovery. And third quarter it has come down a little slightly, one or two hundred. But again, this quarter we got more than 700 cr ores in the interest on NPA. So that also is helping in that.

- Ms. Mahrookh:

- But other income Sir?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- So when o ur collections are very good, it will be helping that. Pardon, madam?

7 - Ms. Mahrookh:

- Sir, the other interest, means interest on loans is…

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Other interest is nothing but, that's what, madam. Other interest is nothing but , when you have a surplus or the available liquidity fronts in your system, that liquidity you will lend in the overnight call money markets. That will be us ed in the, that is the actually income, depending on your liquidity, depending on the demand, you do that. So that is quarterly, it may be a li ttle bit changes will be there Sometimes if the supply is less, we get more benefit. If s

upply is more, we may ge t
little less. But it's a part of the regular business. There is no one time on that.

- Ms. Mahrookh:

- Got it, Sir. Got it.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- And third one, you spoke about agriculture gold loans. Agriculture gold loans have come down from last year to this year. And now the, actually the agriculture gold loans have now come down to around 130,000 crores, madam. Out of these, 246, the agricultur e total, 247. 132, 133 is agriculture gold loan. Earlier it used to be almost 153, 154. Now it has come down almost 130 to 133, because in metropolitan we stopped lending that. But we have not lost the business in the gold loan. The gold loan portfolio has increased, grown almost near to the 20 per cent. We have grown from 153 to 181, 181,000 crores. So the overall growth has not come down, but it is a little bit shifting from agriculture purposes to the RAM credit, the retail credit. Because we have come out with a new product, that product is compensating that whatever we lost in the agriculture gold.

- Ms. Mahrookh:

- Ok, Sir. Thank you. Thanks a lot.

- Moderator:

- We have a next quest ion from the line of Mr. Kunal Shah.

- Mr. Kunal Shah:

- Hello! Am I audib le?

- Moderator:

8 - Ya.

- Mr. Kunal Shah:

- First question, maybe in terms of again, sorry, touching upon the notes to accounts which is there, there it still mentions that the excess provisioning reversal has been almost 1700 crores on account of this, maybe the government guaranteed SR. But you sai d like it's only like 1100 odd crores, so not able to get that number. Like in notes to accounts, it clearly says that it has reversed excess provisioning of 1700 crores to P&L.

- Mr. S.K. Majumdar - Executive Director, Canara Bank:

- Exactly, it is 1700 crore including March but March provision was to be made. So when I reverse, when I reverse the SR quantum, then the requirement is 1700 crore, because I am doing it in April. But 600 was not booked till December. So I need not have to make that 600 provis ion to 1100 plus 600 becomes 1700. 1100 provision was already made, which is reversed.

- Mr. Kunal Shah:

- Got it, got it. When you look at it in terms of 12.5

- Mr. S.K. Majumdar - Executive Director, Canara Bank:

- Your voice, we are unable to hear. Please be louder.

- Mr. Kunal Shah:

- I am saying again, when you refer to 12.5, hello, is it better?

- Mr. S.K. Majumdar - Executive Director, Canara Bank:

- Yes, yes , ya.

- Mr. Kunal Shah:

- I was saying when you refer to notes to accounts 12.5, again, it says that there is excess provisioning reversal on account of sale of stressed loans. So this is the subset of government guaranteed SR or this is different?

- Mr. S.K. Majumdar - Executive D irector, Canara Bank:

- No, no, this has got not government SR. This is something in the normal course, the sale that happens to ARC, this whatever, that those provisions get reversed, no?

9 - Mr. Kunal Shah:

- Ya, so this is how much would be for this quarter? For 4Q, this is for full year?

- Mr. S.K. Majumdar - Executive Director, Canara Bank:

- This is for the full year, full year.

- Mr. Kunal Shah:

- So how much is for 4Q?

- Mr. S.K. Majumdar - Executive Direct or, Canara Bank:

- This is SR plus other than that, that is the total figure.

- Mr. Kunal Shah:

- Ya, no, no, I was saying how much is 4th quarter?

- Mr. S.K. Majumdar - Executive Director, Canara Bank:

- It is 4th Quarter only. It is from that you deduct the SR part, the rest is for others.

- Mr. Kunal Shah:

- Okay, okay, I'll just take that offline. And maybe secondly, when you look at it on the slippages, so slippages have increased on a quarter -on-quarter basis. If you ca n just highlight in terms of the segments, is it largely MSME and agri w

hich is leading to this kind of a sequential increase? No
doubt on a year -on-year basis, it is still down. But quarter -on-quarter basis, there is some rise over there. So which segment s are different?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No, it is only the three sectors, that is MSME, it is 1250, the agriculture is 750, the retail is 650. We have seen that only the earlier MSME was used to slip around 1000 crores, so that has gone to the 1250, only that much difference is there, not much more than that.

- Mr. Kunal Shah:

- Ok, ok, got it. Ya, thank you.

- Moderator:

10 - We have a next question from the line of Mr. Parag Shah. We have a next question from the line of Mr. Vedant Engineer.

- Mr. Vedant Engineer:

- Ya hi, Sir. Congrats on the good set of numbers.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Hi! Thank you, Sir.

- Mr. Vedant Engineer:

- Thank you Sir. Ya, firstly on gold loan Sir, you said that with the new guidelines, the ability to sell PSLC will be less this year. Can you just broadly elaborate what you meant by that? Like how does this impact our business overall?

- Mr. Satyanarayana Raju - Managing Dir ector & CEO, Canara Bank:

- No, actually the overall business, it will not impact, but there will be some reclassification. The reclassification may happen in the agriculture when we have seen that in our priority sector, agriculture, including the agricult ure gold loans, that is the core agriculture and the gold loans for agriculture purpose. But core agriculture is growing at double digit growth, more than 10.5%. That's continuing its growth. But the agriculture gold loans, gradually we ourself is coming o ut, instead of waiting for the final guidelines from the RBI. That steps we have taken last year, previous year we have taken, we have stopped lending against the interest subvention. Then thereafter, last year, we stopped lending in the metropolitan cities ' agriculture purposes. But these are all the actually activities , now shifted some of those agriculture gold loans from this to agriculture to retail. But in the industry, some concerns, some areas, some banks, when their inspections have happened, the regulatory concerns of that up to 2 lakhs of agriculture loans and gold taking again as a pledge, maybe some concerns may come when it comes for that final guidelines. So that also may cause to reduce in the classifying these gold loans unde r the agric ulture. So only classification purposes, the agriculture loans may available for the selling in the PSLC, in the market itself may come down. When the market itself come down but their demand will be automatically increases from every corner, your income w ill continue to be earning on the same level. Only there's a nomenclature changes from agriculture to retail. So overall business will not impact anything. That's what actually I want to clarify to you.

- Mr. Vedant Engineer:

- But Sir, it will also impact us, right? Because the agri gold loan will get Canara Bank, because the agri gold loan now will not be PSL compliant, i f it is below 2 lakhs.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

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- That's what I'm telling, Sir. Actually, our 40% r equirement priority sector, our achievement is 56% in RAM . We have 16%. When you have 16% with us and all other banks also having some surplus, the demand is less. The commission offered on that PSLC used to range from 1.5 to 1.75 in the first quarter, in the last quarter, 0.4 to 0.5. But since because of this reclassification, it's not that the reclassi fication impacts only the bank, Canara Bank, it impacts all the banks. So, supply also will, even the RRBs also will be impacted. So supply itself will come down but it's not that we will be coming below 40% , from 56% we may come to 50% or 51% but

still we have cushion of 10 % to
11% to sell in the PSLC, but it gives an opportunity to sell at a higher commission .

- Mr. Vedant Engineer:

- Cost. Yeah.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- So already in the 1st April itself I have seen that the commission is touching almost 3%. In the last quarter we sold more than 2%, generally that's in the last quarter the commi ssion we used get at only 0.4%, but we got 2%. So that demand increases that so naturally we expect more higher commission when the demand is more.

- Mr. Vedant Engineer:

- Understood. Understood, Sir. Sir, and also just on retail loans overall book is up 42% Y-O-Y and now the main driver here will be gold loans, is it, Sir because housing is up 13%, vehicle 19%, water is drilling. ...?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- See, no rmally retail is growing at 14% to 15% other than gold, housing, vehicle and all. But the gold loan portfolio new product we have launched in for metropolitan cities and all that is helping that portfolio to grow at 42%.

- Mr. Vedant Engineer:

- Sir, how big is the retail gold.....

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Other than gold is growing at 14% to 15%, with gold it is 42%.

- Mr. Vedant Engineer:

- Okay, so Sir how big is the retail gold book? Around 50,000 crores , is it?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Now it is around .... now Sir, it is a total of 2,23,000 retail growth, isn't it Sir, from that 48,000 is gold loan book.

- Mr. Vedant Engineer:

- Understood. And, Sir, just last question on bulk deposits, what sort of ... what is the cost of bulk deposits today? How has it moved in the last one month?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Bulk deposits, the demand has come down, the market rates also has come down drastic ally and we also reduced our retail deposit, our interest rate on the deposits have reduced drastically. But this we have seen only in the bulk deposits. Still we have not seen much rate .....I mean reduction in the retail term deposits. Unless otherwise i nterest on retail term deposits comes down, it may not get benefit in the cost of funds.

- Mr. Vedant Engineer:

- Yeah, yeah. No, but how much is it at present , Sir, like 6%, 6.5% the rate?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No, no, no. It has not reduced so much also.

- Mr. Vedant Engineer:

- Because you'll have a 4 lakh ....

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Even now also it is ranging around 7%.

- Management Team:

- It depends on the tenure.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- It depends on the tenure also. See, you can't generalize it, so 46 days, 90 days, 6 months, 3 months, 1 year, it varies for that. But overall it is, I think it's around, if it is 1 year it is arou nd 7, 7.10. That is the result. That is the percentage actually .

- Mr. Vedant Engineer:

- Understood Sir. Okay. This is it from my end. Thank you. Wish you all the best.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Thank you, Sir.

- Moderator:

- We have next question from the line on Mr. Jain.

- Mr. Jain:

- Hello. Yeah. Good evening, Sir.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Good evening, Sir.

- Mr. Jain:

- Sir, a few questions. First, Sir, out of this, just on Agri-gold and retail gold, just to reconfirm the numbers, out of 2.46 lakh crore of Agri portfolio the Agri-gold is 1.3 lakh crore, right?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes, Sir.

- Mr. Jain:

- Is tha t the number?

- Mr. Satyanar

ayana Raju - Managing Director & CEO, Canara Bank:

- Yes, Sir.

- Mr. Jain:

- And retail gold is 48,000 crores.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

 - Yes, Sir.

- Mr. Jain:

- Correct. And, Sir, this number, how much was this last year FY24, retail gold and Agri-gold?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Retail gold was hardly, it is 1,000 to 2,000, Sir. Now it is increased to 48,000. But the agriculture gold was 153, it has come down to 133.

- Mr. Jain:

- Okay. Right. So, Sir, what is the yield on this retail gold, broad range?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- It is above 9%, Sir.

- Mr. Jain:

- Okay. So, Sir, this growth in this retail gol d is also helping the yields, right? That is a fair assumption, right?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Definitely. Definitely. Definitely, Sir.

- Mr. Jain:

- Right. And, Sir, how do you, that the growth has been phenomenal, right , and you said that part of this was because you had a portfolio which was earmarked as Agri. So, from 48,000 crore, how big can this be or you think that whatever shift has to happen has already happened in this in retail gold?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- So, from metropolitan book it is shifted already, completely.

- Mr. Jain:

- Okay.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Right, Sir? Now, this year, we may take little more our actions in line with the regulator. That is, we may stop funding up to 2 lakhs on the agriculture purpose by taking the gold. So, that also may push another 20,000 crores to retail. Hello?

- Moderator:

- Mr. Jain...

- Mr. Jain:

- Yeah. Sir, I was saying that this 48,000 crore can move up to 70,000 crores by FY26 end. Is that the range, broad range?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- We can expect that, that is in the retail per se.

- Mr. Jain:

- Right. And, Sir, what is the yield in Agri gold?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- See, it is around 8.7, 8.6, that will be like that but this is a 9.10, 9.15.

- Mr. Jain:

- Right. So, maybe 30, 40 basis point yield differential, not mate rial…

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- It will help for us, Sir.

- Mr. Jain:

- Okay. Sure. And secondly, Sir, if you can also highlight what is your loan mix by benchmark, EBLR, MCLR, and this gold…

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- That is 44%, Sir. MCLR is 56 %.

- Mr. Jain:

16
- Okay. 44 is EBLR.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- EBLR, Sir.

- Mr. Jain:

- And gold loan, Sir, would that be fixed or still floating?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No, Sir. It is in MCLR linked, Sir.

- Mr. Jain:

- Okay. So, Sir, your EBLR resetting, if the RBI decides to cut repo rate on, let's say, in Feb 4th, you would have passed on almost immediately, righ t? One, two days difference.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes, Sir. Yes, Sir. In both the times, we have passed it on within 3 days or 3, 4 days.

- Mr. Jain:

- So, Sir, now when RBI is yet to complete, I mean, yet to cut, let's say, broad consensus around 50 basis point, your 44% of the EBLR will see immediate repricing. Your cost of deposit will remain more or less flattish or may come down by 5, 10, 20 basis point. How is it that your margin will held up? I mean, you have said that margin will decline more or less by 5 basis point only. So, what is the offset?

- Mr. Satyanarayana Raju - Man

aging Director & CEO, Canara Bank:

- If you see that sequentially from December and the March, our NIM is improved 3 basis points. Right. The rate of interest, though already one time we have reduced that in the February itself that repo rate, this is only because of our effective operations of retail deposits and bulk deposits. In the March quarter and January 26, we have given a call to, we have taken as a bank .... as an entire bank, we have taken a call to focus more on the retail deposits and CASA. We have given a call that each staff has to mobilize a 10 lakh of deposits, which is actually the tremendous response has come from our 82,00 0 staff members, though we expected that we may garner around 8,000 crores but we could garner 17,000 crores. That 17,000 crores at a retail deposit and CASA is a huge help....

17 - Management Team:

- I'll request everybody else to mute their mic please. Others who are not talking.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- .... So this 17,000 crores has helped us in improving that 3 basis points in the NIM there. Like that we want to continue and already bulk deposits, this year it has come down , already April 1st onwards we have seen that softening in the rates on the bulk deposits. That also will help us in maintaining that. Maybe first quarter and second quarter, some stress may be there but I am sure that in the third quarter and fourth quarter we can regain it and we will be there at 2.75 to 2.80. See, already 2.73 is there in the current March quarter, where you find that the deposit rates have gone to the peak. Now deposit rates also started softening it, in such conditions we are confident that overall cumulative it can be maintained at 2.75 to 2.80.

- Moderator:

- Thank you, Sir. We have the next question from the line of Mr. Kunsh Khanna . Kunsh please unmute yourself and go ahead.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Hello...

- Moderator:

- We have our next question from the line of Mr. Praful Ag rawal. Praful Agrawal...We have our next question from Mr. Om. We have our next question from the line of Mr. Janardhan. Mr. Janardhan.... Mr. Bhavik

- Mr. Bhavik :

- Hi Sir. Am I audible?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Hi. Yes, you are audible, Sir.

- Mr. Bhavik:

- So, thanks for the opportunity, Sir. So, 3 questions. Sir, first of all, SAR rate would be at 2.9% versus peers at 2.7, 2.75.... savings account rate.

- Management Team:

- Bhavik, please repeat your question.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Repeat the first question.

- Mr. Bhavik:

- Sir, our savings account rate would be 2.9% versus peers at 2.7, 2.75. Do we plan to cut our savings account rate?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- See, the decision we are yet to take, we are not focused on that. Actually, our rate of interest at 2.90 at this moment. So, we have a cushion to reduce up to match with that other bank at 20 basis points. We are yet to take a call on that because we are not focused. Once this results and all is over, the ALCO committee, next ALCO committee the discussion will happen and we will t ake a call on that.

- Mr. Bhavik:

- Okay. But, Sir, I mean, you would be open to do it, right?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yeah. But, at the same time, we may take some benefit to the customer also. It's not that we want to take benefit from the customer. We want to give it back to the customer also. Maybe it's too early to comment on that. We may waive the minimum balance charges completely. Something will be there. It is not that we want to take something from the custom er.

- Mr. Bhavik:

- Understood, understood, Sir. And, Sir, ho

w should we think about your credit cost? As in last few
years, PCR improved meaningfully. Incrementally, as in we don't need to improve PCR a lot. So, why still guidance of 90 basis point? Can we separate our credit cost and .....

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- The reason is still we are at 92. No, no, still our PCR is at 92.70. Last time also, several times I shared with you that our target is our PCR should be ab ove 95%. So that any shocks, anything is, we will be easily absorbing that. It's a complete, it will be ensured. That is the purpose actually , we want to ensure that our PCR should touch either 95% or cross the 95%. That's the approach we have taken 2 year s back also. We have shown that in the current year, 1 year itself, we have

19 increased 360 basis points. There we want to touch that, till that we touch the 95%, we want to keep additional provisioning in the NPA accounts. That additional provisioning, what ever we are doing it, that is turning into a credit cost. Otherwise, in practical purposes, in real purposes, the credit cost will be much, much lower. But in the future ready balance sheet we want to strengthen that balance sheet , we want to strengthen our PCR. That's why we are providing more provisions on the NPAs.

- Mr. Bhavik:

- Understood, Sir. And Sir, what would be your average LCR as on date, Liquidity Coverage Ratio ?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- See, average LCR is almost 139 -140% is there.

- Mr. Bhavik:

- Understood, Sir. Thank you so much, Sir. That's it from my side.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Thank you, dear .

- Moderator:

- We have our next question from the line of Mr. Anand Dama. Please unmute yourself.

- Mr. Anand Dama:

- Thank you. Sir, my first question is on your SMA slippage during the current quarter. Do you see more NPAs flowing from there because if you look at your SMA book also has gone up, particularly the SMA -0. Is it more because of the mid -corporate segment to some extent slipping through?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No, Sir. Let me clarify to you that actually in SMA if you see that overall, if you year -on-year , quarter -on-quarter if you see there is a reduction. That's because of that R ANL has gone out of this. But still, earlier also I shared with you that 3 more accounts are there, 2 government accounts from one state, that one our B engal uru, one corporate account. These 3 accounts are coming, they are continuing in the SMA. So those two together itself is 7,000 crores. These 3 accounts together. If you remove that, it is hardly any 3,000.

- Mr. Anand Dama:

20 - But then if you look at this quarter, you had higher SMA slippages. So that is not part of the SMA book at all, right?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Again, I am telling you, this quarter you should not see that the quarter -on-quarter , Sir. I don't agree with you. So always March quarter you should compare with the previous year March quarter because it's 100% auditing will happen. It's not the system, whatever the system driven is there, only that NPAs will be looked into that. Sometimes on technical grounds also some of the auditors woul d like to classify some accounts as an NPA. Maybe small accounts. Such things will happen and the respective authorities will agree for slippages and all. Otherwise actual slippages were 2,200. Then during the branch audit and all some 400 crores have been added. That's why it has come to 2,700 crores. Sequentially, if you see that it's 2,500 to 2,700, it's 200 to 250 crores more, you can see that. But mostly it has happened only in the MSME sector. Generally, quarter -on-quarter , every quarter our MSME slip pages are 1,000 crores.

But this quarter, because of some
auditors' , on technical grounds they classify that through MOCs, another 250 crores is there. Our MSME slippage is now this quarter, it's 1,250 crores.

- Mr. Anand Dama:

- So it's mainly because of te chnical, not underlying stress in the SMA pool?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No, no, no.

- Mr. Anand Dama:

- That's the conclusion, right?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Nothing like that.

- Mr. Anand Dama:

- Sir, one more question was on your PLI incentive.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Again, my request to you is, March always compare with the previous March, not sequentially.

- Mr. Anand Dama:

21 - Sure, sure, Sir. And Sir how much is your PLI incentive that we have provided during the quarter?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Almost 250 crores we have provided, Sir.

- Mr. Anand Dama:

- Okay. Great, Sir. Thanks a lot.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Thank you dear.

- Moderator:

- We have our next question from the line of Apurva Deshmukh . Please unmute yourself. We have our next question from the line of Mr. Liles

- Mr. Liles:

- Hi Sir. Can you hear me?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Hi. I can hear you, Sir.

- Mr. Liles:

- Good evening. Sir, just one question, if you can provide a certain guidance on your overall advances, growth and the return on assets. I mea n, your targets going further, you know, for FY26?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- In this advances growth, already we have given a guidance of 10 to 11 %. Our return on average assets also, we have given a guidance of 1.05 . Generally, you are aware that we give conservatively, and we will try to surpass that what we have given.

- Mr. Liles:

- Okay, Sir. Okay. Thank you and all the best.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Thank you, Sir.

- Modera tor:

- We have our next question from the line of Mr. Ashish . Please unmute yourself.

- Mr. Ashish:

- Hi Sir. Good afternoon. Sir, first question is on a disclosure on slide number 16, where you have shared the non -interest income recovery. This amount is about 2471 crores. That is one disclosure. Then on slide number 28, you have given another number which is 3049 crores, which is recoveries in return of account.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Okay. Actually, let me say…

- Mr. Ashish:

- Could you state what is the difference between these two?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Let me say that in the return of accounts, when you recover the amount, something will go to the book balance, something will go to the interest amount. This is the difference. Actually, when you have shown that 3000 odd is the total together , both towards the book balance and both the interest. But when you see the other side, only the reduction of the NPA, when you see that, there we have taken only book balance.

- Mr. Ashish:

- You mentioned another amount of about 700 crores earlier in the c all, which was interest from NPA recoveries. Would that be separate from......

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- That is on interest on NPA. That will be reflecting in other interest income, interest on advances. That is add ing to the NIA.

- Mr. Ashish:

- Okay. The difference between.... Okay. So, both these items are going to NIA.

23 - Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No, both will not go. One will go to that NIA interest portion.

The other portion will come to that
other income. Principal portion will go into the other income.

- Mr. Ashish:

- Okay. Sorry. Sorry to repeat this one. The difference in the slide numbers, 2471 on slide 16 and 3049, that is about 600 crores difference.

- Mr. Satyanarayana Ra ju - Managing Director & CEO, Canara Bank:

- So, that is what I am telling, Sir. Whatever the actually interest on recovery, also interest on NPA accounts will be bifurcated in two. One is interest on actual NPA accounts. One is interest on return of NPA, . So, that is where when we reflect return of accounts, we will not take the interest on NPA accounts. We will show only the interest on return of accounts and plus the recovery towards the return of accounts balance. These two together only we reflect that. That is why you are thinking that the difference…

- Mr. Ashish:

- And both these items go into interest income. Both these items go into interest income.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- I am telling you interest on return of accounts and interest on NPA accounts , both will go to the interest on advances. But interest recovery towards the return of accounts book balance will go to the other income.

- Mr. Ashish:

- Okay. Understood. Sir, secondly can you just share the size of your personal loans book and the credit card book?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Credit card?

- Management Team:

- Credit card and personal loan book.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

24 - Only personal loan book we don't have actually the problem. We have around 18,000 to 19,000 crores is there. Out of that 6,000 to 7,000 crores is unsecured educational loan. The remaining 13,000 crores is loans to salaried class and the pensioners who draw thei r salaries and pensions through Canara Bank only. We don't give the personal loans to non -customers or the customers who are not salaried class and who are not drawing the salary through our bank. That's why we don't have any apprehension on that. And our credit card is only 1100 to 1200. That is the outstanding.

- Mr. Ashish:

- And what would be the NP A ratio in the PL?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- PL or NPA ratio is even less than 1%. 0.49 or 0.50 it is there.

- Mr. Ashish:

- Okay. Perfect, Sir. Thank you.

- Moderator:

- We have our next question from the line of Mr. Kunsh Khanna . Mr. Kunsh , please unmute yourself. We have our next question from the line of Mr. Ashok Ajmera .

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Tell me Ashok ji.

- Mr. Ashok Ajmera:

- Thank you for giving the opportunity again. Though lot of questions they have been asked and the answers have been given , so many things have already been clarified.

- But Sir, I just would like to kn ow a little colour on our total overall investment book. And now with the change valuation norms it is becoming difficult to get more of the investment income from the investment and directly in the P&L account other than what goes into the interest income . Having said that you know as per the gain which have gone to the reserve 1748 crore has gone to general reserve and AFS gain of 404 crore also has gone to AFS reserve and not in P&L. So I just wanted to have one small data point. Had it been a gain which would have gone to P&L for this quarter how much out of this gain belonging to this quarter gain which has gone to the general reserve, and which has gone to AFS reserve ?

- too low...talking together

25

- Mr. Debashish Mukherjee – Executive Director, Canara Bank :

- Then we have to send them separately.

- Mr. S.K. Majumdar - Executive Director, Canara Bank:

- Sir, that 1700 crore what you said has happ

ened in the beginning of the year that when it was shifted , that is on 1st April , that is in 1st quarter .....

- Mr. Ashok Ajmera:

- Yes Sir.

- Mr. S.K. Majumdar - Executive Director, Canara Bank:

- ......and this 400 also has happened during the course of the year. Exactly.....

- Mr. Debashish Mukherjee – Executive Director, Canara Bank:

- So we can provide you that figure also.

- Mr. S.K. Majumdar - Executive Director, Canara Bank:

- But that's not a very big figure, Sir.

- Mr. Ashok Ajmera:

- Okay.

- Management Team:

- No, bifurcation you can send it to him.

- Mr. Ashok Ajmera:

- Okay, Sir. Now coming to the analysis like on the treasury front with these two rate cuts are expected I think 50 basis point or maybe even more . Going forward can you give some colour from the treasury gains which are going to be very handsome gains as everybody is predicting. So on that the tradi ng gain I mean any kind of gain or profit which will come to P&L from our treasury books , what is the estimates or can you give some idea on that ?

- Mr. Debashish Mukherjee – Executive Director, Canara Bank:

26 - You see last March it was around 3610 , we can have an estimate of somewhere around 4000 crore for these type of trading gains.

- Mr. Ashok Ajmera:

- Okay, because you have a very ....your AFS book is also 56000 crore and HTM also 3,01,000 crore and must be having a very frequent trading gains als o. So all together you are expecting a gain of about 4000 crore in the FY26 , Sir.

- Mr. Debashish Mukherjee – Executive Director, Canara Bank:

- FY25 -26 we are estimating that , of course it depends on many factors as you are all aware . So, our conservative estimate is that only.

- Mr. S.K. Majumdar - Executive Director, Canara Bank:

- Sir, the estimate what you said is , this is expected to be better but as you know HTM now I cannot trade freely.

- Mr. Debashish Mukherjee – Executive Director, Canara Bank:

- We are restricted to 4000 only.

- Mr. S.K. Majumdar - Executive Director, Canara Bank:

- That is we can shift...we cannot shift.

- Mr. Debashish Mukherjee – Executive Director, Canara Bank:

- We cannot shift.

- Mr. S.K. Majumdar - Executive Director, Canara Bank:

- Only once in a year we can shift. That last year what we have shifted that is the only shifting that we can do and the rest is 5%. So that free trade that immediate what you were telling in the past that bond rate falling means ther e is a change we can trade that is no longer there. But having said there definitely will be an increase in the AFS portfolio which we expected to gain and we are building our books accordingly. But given the volatility that happens and it is still there it is difficult what you want to hear that quantification is a problem. We don't want to quantify what we want to say what we have achieved last year there is definitely will be an upside to that.

- Mr. Ashok Ajmera:

27 - Point well taken, Sir. One data point o nly, our investment has a small investment of 1577 crores , in the .....

- Moderator:

- Thank you, Sir. We have our next question from the line of Mr. Sushil Choksey . Sir, please unmute yourself .

- Mr. Sushil Choksey:

- Sir, congratulations on very good numbers.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Namaste Sir Choksey Saab.

- Mr. Sushil Choksey:

- Namaste. Sir, first question how would we stabilize CASA on an upper trajectory from the aspiration wha t we have?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Sir first you hope you will see from the December quarter , quarter -on-quarter there is an appreciation is there in the CASA.

- Mr. Sushil Choksey:

- No, no I see

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Right Sir, even the second the CASA w

hen you compare to March and this , the March 24 it is 32.
something 29 something is there now it is 31.17 or something is there one basis point that is 100 basis point we mi ght have lost , that is not lost that actually the growth momentum what is there in the total business or the term deposits is more than 10% but the CASA that is same thing the 10% growth is not happening . But definitely I' m sure you will agree with that we have not lost as the other peer banks have lost that much. Almost every bank has lost 300 - 400 basis point in the CASA but we have not lost that . Actually we are able to maintain the above 30% with all our initiatives whether it is a products or processe s we are the first bank we introduced N number of targeting the , aiming the life cycle of individual we have created a new products . These products are giving us lot of comfort to that we continue to work on that CASA. Ev en today or the next financial year I can openly say that for us the most priority is CASA. W e will keep continue that but in the given circumstances growing in the CASA at the rate with the other market parameters

28 are growing definitely it is a difficult task . The reason behind is the paym ent systems are matured , people are matured , everybody is using the technology , and most of the transactions are happening on the mobile app . Under such circumstances they can do banking 24 hours on 365 days I don't think that the people will keep in the s avings or the current deposits too much amounts beyond their minimum requirement . Under such circumstances you can only attract from other bank customers with innovative products and all , that's what , what we are doing . And nurturing of existing customers also we have come out with one new innovative product that is also Canara Crest the product that is also is giving some good results . These are all the efforts we continue and in addition to that last 2 years we have open ed almost 500 new branches , this year also we are opening a 250 more branches . These 750 branches we have targeted, whatever the opened and what ever are going to open , these branches we are locating by using the market trends and the AI and the machine lea rning tools we are using especially data analytics we are using effectively . Pin code wise we have the data bank where the CASA potential is there where that potential looking at the potential we are planning to open the branches. This entire 750 branches we are opening like that only. So that will also help us in maintaining or improving little bit, not so I mean we cannot assure you completely t hat we will. ... Steeply, we will grow in this but we can continue that. We don't want to lose the market what we have .

- Mr. Sushil Choksey:

- That I agree with your numbers on q-o-q and CA and SA both . I've read the numbers. What I feel that aspiration with so much digital spend which you have done , so many new products have initiated, management is making so effort , I suppose the entire effort of last 2 ,3 years on digitization starts paying off Canara on much higher outcome. That's the only question I have. I'm not... my thinking is that....

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes, Sir, that definitely that definitely it has benefited the Canara Bank much higher than the industry. Whatever the initiatives we have taken, but the only thing whatever the initiatives we've taken, unfortunately the regime is high interest rate regime. Then n ow the tendency has started that rate cuts are coming from the regulators. So slowly we expect that in next one year the rate competition deposit rate also will cool down. Once that cool down, our efforts will give much more benefits, whatever the efforts we have done in the investment, in the technology or the product the better results we can see in the coming years. That is what I am telling Sir.

- Mr. S

ushil Choksey:

- Sir, the current year , what would be a digital spend ? An d second thing, when we have a super abnormal profit in treasury this year, how do we intend to balance that treasury profit , with what kind of other assets . Will you buy more corporate bonds which are lucrative or how would we work on that aspect?

- Mr. Satyanarayana Raju - Managing Di rector & CEO, Canara Bank:

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- Mukherjee Sir will answer you, Sir.

- Mr. Debashish Mukherjee – Executive Director, Canara Bank:

- Actually, in this year also we have tried to increase our non -SLR book and book profits by the transaction in that book. This year also we will try to repeat whatever we did because our non - SLR book historically has been very low. So that will be our strategy as well as you know, last year we could churn our investment in mutual fund s and earn profit. This year also market supporting, we will try to do that. So whatever extra profits we earn by way of treasury income will be invested in these 2 portfolios and we will try to .... and also in the equity market.

- Mr. Sushil Choksey:

- Sir, the digital spend number, if you can elaborate, what are we likely to spend?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Sir, around 800 crores .

- Mr. Sushil Choksey:

- Sir, thank you and all the best for the year to come.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Thank you, Sir. Thank you so much.

- Mr. Debashish Mukherjee – Executive Director, Canara Bank:

- Thank you, Sushil ji.

- Mr. Sushil Choksey:

- Thank you, Sir.

- Moderator:

- That was the last question for the day. We....

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Thank you.

30 - Moderator:

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Thank you so much.

- Moderator:

- Thank you everyone for joining the call. This is the earnings call of Canara bank.

END OF TRANSCRIPT

Call: Jul 2025

[redacted] Secretarial Department
[redacted] Head Office F +91 80 22248831
112, [redacted], [redacted] - 560002 112 J C Road, B engaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.canarabank.com

Ref:SD:195/196 /11/12:202 5-26 28.07.202 5
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
Exchange Plaza
Bandra -Kurla Complex, Bandra [E]
Mumbai - 400 051
Scrip Code: CANBK

Sub: Intimation under Regulations 30 and 46(2) (oa) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call with Analysts/Investors call Q1 FY 2025 -26 held on July 24, 2025

Ref: Our Letter: SD:167/168/11/12:2025 -26 dated 15.07.2025
Ref :Our Letter SD:173/174/11/12:2025 -26 dated 24.07.2025

With reference to above and pursua nt to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we herewith enclose the transcript of post results Earnings Confe rence Call Q1 FY 2025 -26 held on 24.07.2025.

The transcript of Q1 FY 2025 -26 Earnings Conference Call is uploaded on Bank's website and the same can be accessed through below link:

https://canarabank.com/pages/Earning -Conference -Call-Transcript

This is for your information and records.

Yours faithfully,

Santosh Kumar Barik
Company Secretary
1 CANARA BANK Q1 FY26 EARNINGS CONFER ENCE CALL
HELD ON 24TH JULY 2025

- Moderator:

- Good evening everyone. Welcome to Canara Bank Q1 FY26 earnings conference call hosted by Antique Stock Broking. From the management side we have with us , Shri Raju, MD and CEO sir, S hri Hardeep Singh Ahluwalia, Executive Director, S hri Bhavendra Kumar, Executive Director and S hri S.K. Majumdar, Executive Director. With this , I hand over the call to the MD sir for his opening remarks. Thank you and over to you.

- Mr. Satyanar ayana Raju - Managing Director & CEO, Canara Bank:

- Good evening all the investors whoever has attended this sir, analysts and all. I am here to present the one more quarter results of June 2025. Our global business has grown at 11% and year on year growth of 11% and stood at all -time high of 25.63 lakh crore and our deposits have grown at 10% that is a 14.67 lakh crore and global advances have grown 12.42% near to the 12.5% stood at 10.96 lakh crore. Entire the top , whatever the top line what we hav e promised in the May month , we have given the guidance for this financial year that advances will grow at 10 to 11% and deposits grow at 9 to 10% global business at 10%.

We have surpassed all those expectations , whatever the guidance we have given and our growth is beyond that expectations especially the credit growth is about 12% in the June quarter first year on year. This has led to our operating profit also , has grown year on year at 12.32%, s tood at 8,554 all-time high in the history of the Canara Ban k. This has helped us in maintaining that our net profit at 4,752 with a year on year growth rate of 21.69%. Our PCR improved 395 basis points almost 400 basis points and stood at 93.17%. Our CET 1 , our core equity tier 1 capital has crossed 12% and stood at 12.29%. Year on year there is an improvement of 24 basis points.

- A return on asset as against the guidance of 1.05 for this financial year in the first quarter itself we could show that 1.14% with year on year improvement of 9 basis points. Our gross N PA has come down to 2.69% with a decline year on year and up 145 basis points. Our ne

t NPA also has further come down and stood
at 0.63% with an annual decline of year on year , that's a 61 basis points. This business growth was led by the RAM credit which has grown near to the 15% in the year on year June quarter. Just here I want to recall you that when we have travelled , that started journey three years back , our RAM sector was 54% and corporate sector was the contribution was the 46% which we have given a guidance to you in the next three years period. We want to reach that our RAM credit at 58% and the corporate credit at 42% which I am happy to share that by the end of the June quarter , our RAM sector has reached 58% of our asset book. The reason behind this is , our RAM credit is growing almost near to the 15% as against our corporate book of growth of at 10%. This RAM growth is 15% led by our retail credit growth which has grown at 34% year on year stood at 2.35 lakh crore and this also further helped b y the housing loan sector which is growing at almost near to the 14% and stood at 1.09 lakh crore. Our vehicle loan is growing at 22.09% and stood at 0.21 lakh crore.

2 - Our earning per share is at 21.01 paisa as against each 2 rupee share with an annual inc rease of 21.66%. This entire though , there is a little stress on our NIMS and the NII but our operating profit is led by our fee based income and the treasury income and the recoveries and the return of accounts. These three have helped our balance sheet w hich is our core strength for the last several quarters and this quarter also we could take benefit out of it and that is our fee based income has increased 16.39% year on year and stood at 2,223 crores. Our slippage ratio has further improved and with a d ecrease of annual year on year 52 basis points and stood at 0.80%. These are all the few highlights of the June quarter performance I shared with you.

- Of course by this time , you might have already gone through our investor presentation. Now you are all open for taking any clarifications or queries or the questions. We are ready to take up any of your clarifications sir. Along with me , my executive directors are there and my CFO and entire top brass is with you. Now you are all open for asking for any clar ifications.

- Moderator:

- Thank you. We will start with the question and answer session. Participants those who have any question , please raise your hand. We will take a first question from the line of Mahrooq. Mahrooq, you have been unmuted , please go ahead with your question.

- Ms. Mahrooq:

- Hello sir , can you hear me?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes madam.

- Ms. Mahrooq:

- Yes, hello good evening good afternoon sir. Sir, I had a couple of questions , that in the fourth quarter your NIM did not decline like for everyone else , it declined 9,10 basis points , for you it did not . That was in the fourth quarter and in the first quarter of course there is a decline of 17 bps. Right? So how do we look at the second third quarters? Do you think that some of the margin decline has been up fronted because a lot of banks , not only PSUs but private are guiding to a sharper decline in the second quarter compared to the first quarter. So in terms of the quantum of decline , so any guidance there would be useful right , because it is already a sharp decline in the first quarter . So will the second third quarters be lower in terms of quantum of decline ? I mean that clarity really helps us in form ing a view an d the next question is on PSLC S ir. That obviously some banks have stopped booking PSLC . You have still earned PSLC income . So does it stop for us next year or even next year it continues ? How do we view PSLC income and how come some banks are saying that they cannot do it after the circular , after the RBI circular and then we are s till having those opportunities?

- Mr. Satyanarayana Raju - Managi

ng Director & CEO, Canara Bank:
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- So let me clarify to you madam , March quarter NIM was , we maintaine d at 2.73 . That was the reason behind , that is we could control through our cost of deposit whereas all other banks cost of deposit was very high in the last quarter but we could maintain properly and the cost of deposit because I already shared with you t hat we have internal call from staff members to garner the deposit . We got some 16,700 crores contributed by the staff by canvassing individuals that has helped us in controlling the expenditure though but the reduction in the yield on advances has started from March , little bit it has not reflected because it is affected only 25 basis points in the February . That has our RLR related book is 45 percent . That has not impacted much on our yield on advances in the March quarter but when that's the 25 basis point in the February , then again 25 basis points in the April , then again 50 basis point from the June . These total 100 basis points , we have passed on to that entire RLR linked book of 45 percent of our total assets . Total 100 percent basis points we have p assed it on to them . That has the reason for that decrease in the yield on advances for the current quarter . It's almost 36 basis points has come down whereas current quarter made deposit rate , up to June we have not changed our deposit rate because we are interested to garner the more deposits , we should not face any problem for growth in the current year , credit growth and we maintain the same rate of interest up to June 8th and June 9th, once the repo rate 50 basis points reduction has happened , we also have reduced 50 to 60 basis points on the term deposits in va rious buckets. T hat benefit you will see only in the next , this quarter onwards , that reduction . So whatever the 100 percent basis points we have impacted , that of course , out of that 50 basis po ints, the impact is already reflected in the current NIMS but another 50 basis points reduction in the RLR is impacted only one month , the remaining two months will impact in this current quarter . So overall what I want to say that , the reduction in the de posit rate benefit also will start earning from this month onwards in this current quarter but that will be compensated , whatever the reduction it may happen in the first tw o months of that 50 basis point. O verall I feel that , our NIM may not go below 2.5 percent but we will be able to maintain that around the 2.5 for the next …. this current quarter but we see that the slowly , that if no further rate cuts are there , subject to that , if we may see slowly , that 2.2…. this NIMS may gradually improve in the thi rd and fourth quarter but the current quarter , we don't see that the September quarter again , we don't see that much steep what we have seen in the first quarter , that 17 basis points reduction , 16 basis points reduction may not be there in the …… that much reduction may not be there in the second quarter . That is regarding the NIM madam .

- The second one is regarding the PSLC . You should have that , as against 40 percent of our ….. actually originally our priority sector lending was around 56 to 57 percent . So though the some part of that reclassification has happened in the last year itself but that could be compensated with a higher rate of demand because there is a higher demand is there in the market . Earlier we used to get at 1.6 to 1.7 percent whereas this quarter we could sell that whatever the excess we have at almost near to the three percent . So that has compensated our so ….. though volumes have come down a little bit , maybe it is say 30 to 40 percent volumes might have come down but that has been c ompensated by the demand in the market and it has …. we got the higher yields on this PSLC . So clearly I am communicating to you , even now after selling that much , after booking 1200 crores in the

PSLC income , still as against requirement of 40
percent of a priority sector , we are at 45.63 percent as against agriculture credit of 18 percent , we are at 23.25 percent , as against a small SMF , that's a small and marginal farmers target of 10 percent , we are at 16.57 percent . There is a demand in the market , even these three parameters , we have excess on that . We also may take advantage in the current quarter . This whatever …. the excess is available with us . So
4 what I want to communicate to you that it is not PSLC income is stopped for this bank , it will continue not only this year , the next year or the next year also.

- Ms. Mahrooq:

- Sir, thank you so much , that is very helpful.

- Moderator:

- Thank you . We will take the next question from the line of Jai. Jai Mundra , please go ahead.

- Mr. Jai Mundra:

- Good afternoon S ir. Sir, question on margins again - so in the ….. I mean 2.55 this quarter and let us say in Q2 it reduces to 2.5 and then sir , there is a slide on guidance which says 270 to 280 . Is that exit margin or you think you can manage to do 275 -280 for the full year FY26?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No, at this moment because in the market conditions , still we are hearing from various corners that there may be another one or two rate cuts . If that one or two rate cu ts are there always , every rate cut no , the banks has to absorb for at least minimum six months that burden , six to nine months period that burden because that amount to that extent , the borrowers immediately that benefit will be given but the depositors y ou cannot pass it on immediately on that and existing depositor , you cannot pass it on . That can be reduced only in the fresh deposits . That's why always the gap between the loan reduction and the deposit interest reduction is six to nine months period . If there are further rate cuts , even getting it whatever we are given the guidance that will be a difficult task for us but if there are no rate cuts , we will try to improve our NIMS in the third and fourth quarters .

- Mr. Jai Mundra:

- Right! So sir , is the guidance , that is the guidance slide which is there on the ….. in the presentation deck , is that ….. I mean is that relevant or on the NIM part or is not very relevant ?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- That's what actually at that initial stages , which time …. then we also come across , when we are given this guidance , we have come across only two rat e cuts of 25 basis points each. B y that time , we are given this rate cuts the guidance keeping in mind of that two rate cuts but t here afterwards one more rate cut has come straight forward , 50 basis points . Now again , you are hearing from the market that two more rate cuts at 2.25 may be there . So if you take all those things , it may be difficult to maintain that 2.75 to 2.80 guidan ce for this current financial year I feel personally .

- Mr. Jai Mundra:

- Okay sir and sir , we have a decent amount of wholesale deposit right ? You would have seen the cost of that deposit, at least maybe 30 -35, 25 to 30 percent of the wholesale deposit , the rates would have eased there but still the cost of deposit has not seen any downtake . Why is that so ?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- That's what actually I'm telling you sir that the cost of deposit , whatever this up to March , there is no reduction but whatever we have taken the deposits for a period of three to seven or six months or nine months or one year , that can be repriced only when it comes for that expiry date , due date . You can't read , so you can take a fres h deposit , whatever it is required , which is falling in due for that April to June month . Out of our total three lakh twenty five thousand or three lakh whate

ver , it's a three lakh ninety thousand
crores of big deposits , the bulk deposit portfolio , hardly the deposits will come for renewal of 60 to 80 thousand crores . To that extent , we have repriced but that will not impact suddenly …. immediately on that, it will impact gradually whenever you are repricing that , we are replacing that existing deposits with new deposits , then it will happen . So that's actually the cost of deposits , we have seen that March to June , it is maintained at 5.74 but the term deposits we are not reduced our rate of interest to till the Ju ne 8th. We maintained that whatever the earlier March we offered the same rates , we continued because we need deposits for growth , because we are expected credit growth is around 12 percent . To meet that requirement, we have to garner the deposits . That's why we are not altered or the reduced the retail term deposits rate of interest up to June 8th. Once the June 7th, RBI has reduced to 50 basis points then on retail term deposits also we have reduced to 50 to 60 basis points . That impact you will see in th e second to third quarter . So the interest reduction , the cost of funds reduction , you will see from the second quarter onwards .

- Mr. Jai Mundra:

- Okay and last question sir , in the notes to account have mentioned 1883 crores of one -off item for the consolidated Canara B ank and it looks like it pertains to RRBs but the amount looks very high .

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- So APGP….. actually that is APGP sir , Andhra Pradesh Grameen Bank . That was one of the best bank among 42 private sector , the RRBs , that was the highest profit earning RRB which was under our control up to that April 30th. Latest guidelines given by the DFS and th e NABARD tha t bank went to the Union B ank. But that transfer of that bank from one bank to another bank , it has happened as per their guidelines . It is only on the investment , whatever you have made that investment , on that book value only , investment face value only , it has happened . They have not considered th e latest values . So to that extent , whatever that value , it has gone to that U nion Bank, that's why it is a book entry what we have made to do that . That's why it is exceptional entry , it is reflecting it . It's pertaining to Andhra Pradesh Grameen Bank .

- Moderator:

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- Thank you . We will take the next q uestion from the line of Piran E ngineer .

- Mr. Engineer:

- Audible ?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes Sir.

- Mr. Engineer:

- Ya, thanks for taking my question and congratulations to the entire team of Can ara Bank on strong results . Firstly sir , firstly just wanted to understand on repo rate cut . What happened in April , when did we pass it on? Immediately the next day or we pass it on after three months ?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No no sir . Our ALM date is 12th every month . So whenever that rate cut happens , whether it happens on 5th or 6th or 7th or 8th, if it is below …. before 12th, so 12th it will be passed on to that because ALCO committee meets on every month 12th and it will be passed on from 12th effective . So in all the three rate cuts whatever it has happened on the first week of that respective months , it has passed on to tha t borrowers on the 12th day itself of the same month .

- Mr. Engineer:

- Okay, okay , understood sir .

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Hardly it is a gap of three to five days .

- Mr. Engineer:

- Understood , understood , okay , this is very clear sir. A lso on savings deposits , I think sir we cut by 25 bps in May and then again 20 bps in J uly. Am I correct ?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes sir . Actually it is a 20 plus

20 sir , it is not 25 and 20 , it is a 20 plus 20 . The reason is , actually initially we have cut to 20 basis points . By that time actually , we were the highest paid interest on among all the banks . Then to bring at par with all other banks , everybody is paying at 2-2.5. We also has mad e it our rate of interest at par with all other banks and made it 2.5 . That's twice we could reduce that .

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- Mr. Engineer:

- Okay but sir , can we see one more rate cut out here because the private sect or banks are also the same rate. T ypically government bank s give it lower so just check ing.….

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- At this moment , at this moment , there is no such proposal on hands .

- Moderator:

- Thank you . The nex t question is from the line of B havik Shah. Bhavik, go ahead.

- Mr. Bhavik Shah:

- Hi, hi sir ! Thanks for the opportunity .

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Hi!

- Mr. Bhavik Shah:

- Sir, i just want to understand, we are at the target for 0.6 percent at net NPA and still having our credit cost guidance is at 90 basis points. N o scope for revision again sir ?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No. A ctually always you know , that is our regular practice that we give guidance conservativ ely but we will excel in our performance . So we are continuing to do that . We need not change the guidance but definitely we will excel whatever it is there in the net NPA, gro ss NPA figures , what we have given for the M arch . The present tendency , it looks that even for the J uly quarter slippages also , we have seen that and recoveries we have seen that . We are sure that the targets , guida nce what we have given for the M arch 26, we may likely to cross by S eptember . If not S eptember , then D ecember 100 percent . I think that September itself may happen .

- Mr. Bhavik Shah:

- Understood ! So sir , is it fair to assume that our PCR improvement is broadly done and now incrementally , we just kind of provide for whatever the NPA is?

- Mr. Satyanarayana Raju - Managing Dire ctor & CEO, Canara Bank:

8 - See, partly we will go for that PCR, partly it will be on declaring the profits but if the fresh slippages are coming down , naturally our demand for higher provision not required , the pro vision is gradually will come down , that ma y reflect in our net profits .

- Mr. Bhavik Shah:

- And sir , our NBFC book was down three percent quarter on quarter . Is it pricing competition or as in we choose not to participate ?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- So you are aware that generally we are very conscious on the pricing . We don't compromise on the pricing . Wherever some threats comes for pre -payment and all , we generally accept it without compromising our pricing . This quarter also , we have taken it backs , one suc h big exposure , some 8500 , we don't want to compromise our pricing . Still we are able to maintain that , that has not impacted our credit growth if you see that .

- Mr. Bhavik Shah:

- Ya, so now on incremental basis , i think our cost of funds would have normal ized right ? So this quarter , like the second quarter , you would have seen good growth in NBFC or no , that is not the case ?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- You know , it may happen , chances are there wherever but we don't want to lend at a throwaway price because we always keep our cost of funds into mind because when compared to all other banks , our CASA is low . So our cost of funds will be little higher than the peer banks . So while advancing , while giving to that, whethe r it is an NBFC or anybody , we have to keep in mind our cost of funds . That's why we will little cautious , while lending we will no

t run behind that organization . So just for the sake of top line .

- Moderator:

- Thank you . We'll take the next question from t he line of Ashok Ajmera.

- Mr. Ashok Ajmera:

- Hello! Good evening sir !

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Good evening sir ! How are you sir ?

- Mr. Ashok Ajmera:

9 - I'm fine and congratulations sir . In spite of a very very difficult quarter for many of the banks who have declared results , so far you have at least you are positive on the operating prof it if not on the net profit but…. and even on the business growth side also , there is a growth rather than the de -growth in the credit also. So compliments for that . Just a couple of a few questions and some observations . I will start with what you said just now , that your cost of fund is higher because of the lower CASA. So sir , on the CASA only, of course we have a perennial pro blem which cannot be corrected overnight but in this quarter , i think we have probably first time have gone below 30 percent, m aybe in last four five six quarters , so what exactly are we doing on the CASA front and when you say that your target guidance is 32 percent , how the CASA improvement will take place ? What is different than what it was in this quarter ?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- So first of all let me say that sir , every M arch , we get institutional deposits because we have three or four branches located well within that popular , some central PSU campuses . In those branches , we g et current deposits during M arch every year , almost 20 to 25 thousand crores , that they will utilize i t in the April month and M ay month and all those things . That's why generally in first 2-3 quarters it looks that the CASA growth is little sluggish or negative but you …. that will be compensated when it comes for the next M arch again . The funds will come . Meantime , we will steadily grow that even if you remove that quarter on quarter , may be negative , if you look at that year on year , the growth is 9.85 percent in the current account . First one thing , let me highlight to you , whatever the initiatives we ha ve taken for during the last two years coming out with the new products and attractive features . Our savings bank individual deposits are consistently growing and it is growing more than six percent but the only thing that say within the savings also, institutional deposit is there . That fluctuation continues because of central government policy . Nowadays , so the government deposits are not maintained at the bank 's level . That is some dip we are seeing in the institutional deposits but individual deposits , there is literally , there is no dip and every month on month we have targets and we are achieving that targets , that is actually positive side of us . The why the first time it has come below 30 percent is , the earlier days may the total business used to g row at 3 percent , 4 percent or five percent or CASA also used to grow at four to five percent but nowadays , last two years you can observe that our growth is more , almost in the every year , every quarter we are in the double digit growth . When your busines s is growing , your credit opportunity is growing at more than 12 percent to meet that requirements but the market may 12 percent growth at this juncture in the CASA will be very difficult , whatever the steps you take it . Absolute numbers , there is a growth , there is a growth of 6 percent but it is not sufficient to meet the requirement of 12 percent . So we are dependent on retail term deposits , that is growing much better than this deposit , the other deposit …. the casa deposits and we are able to meet that credit demand of 74 , the above 12 percent , because of that difference in that percentage , it is absolute numbers though ther e is a growth but it looks that,

the deposit to percentage
has come down to 29 percent but we are sure that again , the next quarters and all will be there . This only first quarter you will see the current economy , so much negativity because of that institutional deposit withdrawing in the April but again the quarter on quarter , there will be a steady growth and I am sure that we will be above 30 percent even at the end of the financial year . When we will try to reach the percentage what we have given it to 32 percent . Again why i am telling you this , hope we have is , gradually the term deposit interest rates are c oming down . Whenever the interest rates on term deposits are coming down , if another further one or two rate cuts are there , our term deposit rates may go below six percent . When the rate of interest is going below six percent or near to that five percent , that generally people again tend 10 to retain in the savings bank deposit only instead of converting them into term deposits . So there is every chance that in the coming quarters . Our CASA may go up again little little bit . That's what actually i'm telling y ou.

- Mr. Ashok Ajmera:

- Certain point well taken sir . Sir, my second point was on this SMA2 numbers because last time you know , major amount was one SMA….N ow I will tell you that. Sir, now I have to tell that , actually there are , we have two accounts sir . One account is real estate account from the Bengaluru, that is mostly continuing for the last six quarters in the SMA 2. Let's say , exposure is around 2000 crores . Then one state government guaranteed irrigation project exposure of 3000 crores which is mov ing from SMA 0 1 2. again it is going back to SMA0, then it's like last two six quarters . If you see that it is moving from one quarter to quarter and between one SMA, either 0 or 1 or 2 but we are very much sure that these two accounts will never slip to NPA but however in the precautionary , we have provided 1200 crores against these two exposures . As a safety measure , as an additional provisioning for that .

- Mr. Ashok Ajmera:

- All right ! It means …..

- Mr. Satyanarayana Raju - Managing Director & CEO, Canar a Bank:

- These two exposures , 5000 crores or SMA 2 is only 1800 crores .

- Mr. Ashok Ajmera:

- Ya, that is very comfortable . So basically there is no chance of these accounts slipping to NPA.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- 100 percent , there is no chance of slipping to NPA sir. It is not even 99 percent . I'm telling you 100%. By observing the 6 quarters I'm telling you this.

- Mr. Ashok Ajmera:

- It's perfectly alright sir. Sir, on the treasury front, I mean, I think our majo r part of the profitability even in this quarter also has been the treasury income in the , booked in the other income, which has gone up to 1,993 crores as against 995 crores. So, with further two rate cuts, expected rate cuts, can we get some colour on total overall treasury operations and as well as the kind of profitability which will come i n the other income rather than going to the AFS reserves and how much AFS reserves we have already built up because of the change in the RBI stance policy?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

11 - So, I'll ask my Majumdar to give th at answer to you sir, Executive Director.

- Mr. S.K Majumdar – Executive Director, Canara Bank:

- Sir, as you know, the first quarter was a special quarter as far as treasury income goes, where that OMO support was there. Out of that, we gained a substantial income of around 500 crores, which may not be there this quarter. But with a rate cut, there is some that from that AFS category, we are expected to get that support should continue and but to answer your question straight, like the thousand additional cr ores, which you saw this time, that is in the first quarter, that

will be substantially lower which we are already thinking of avenues to bridge. This I can tell you.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- That will be compensated even with even a slight decrease in that. We have already, earlier I shared with somebody, when they asked that we have excess priority sector cushion with us and there is a huge demand in the market, which the entire thing we are not sold in the first qu arter , we are keeping it for the second quarter also. That portion we will encash it in the second quarter, that excess whatever the priority is there. That will be against the tune of almost….

- Mr. Ashok Ajmera:

- That you are talking about PS LC, PS LC comm ission.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes sir.

- Mr. Ashok Ajmera:

- Yeah. So that may compensate 1000 crore, if 5-600 crore down here, that can be compensated by that.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes sir.

- Mr. Ashok Ajmera:

- Sir, one point on the recovery side, sir, what is the status of anything happening , I mean, in this quarter, nothing much has happened. But in the coming quarters, is there any chance of some good recovery coming from somewhere either by selling some assets to the NARCL or from the NCLT, some matured cases? Can you give some colour on th e recovery side, sir?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

12 - Actually NARCL, we identified eight more new accounts, which is under different stages that will continue to follow it up with them, sir. That is around 4000 crores. But actually, our board has approved some OTS agreements for the almost 4 big proposals that is worth of 1200 crores. Out of that majority, we are expecting that the repayment will come in this quarter. So this quarter definitely will be much better than the first quarter in the recoveries.

- Moderator:

- Thank you. We'll take the next question from the line of Mona K hetan.

- Ms. Mona Khetan:

- Hello.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Hello.

- Ms. Mona Khetan:

- Am I audible?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes, madam. Tell me, madam.

- Ms. Mona Khetan:

- Good evening. So two questions. Firstly, when I look at your MCLR rate, one -year MCLR rate ……

- Mr. Satyanarayana Raju - Managing Director & CEO, Canar a Bank:

- Pardon.

- Ms. Mona Khetan:

- …….that has come down by almost 30%.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- MCLR?

- Ms. Mona Khetan:

13 - Right.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Okay . Okay , madam.

- Ms. Mona Khetan:

- Yeah. So that's come down by almost...

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Our MCLR book is around 45%, madam. Our MCLR has come down from 9.10 to 8.75 recently. So 45 basis points, already we reduced that 40 basis points.

- Ms. Mona Khetan:

- Right. So the question is, in terms of the reported yields, does that already factor in the yields? I mean, to what extent or is it yet to be reflected in the actual yield on advances?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No, madam. Partly it is already reflected. Partly may continue because this depends on our deposit rate. It's not that it is linked to the repo rate or anything. If our cost of funds are coming down because we have reduced on June 9th, 50 to 60 basis points, our MCLR also has come down from 9.15 to 8.75. If there is a further rate cut as seen, naturally we also have to reduce our deposit rates. If we reduce deposit rate, automatically next month while calculating the MCLR, it w ill impact that MCLR and further reduction may happen. Tha

t all depends on the market conditions, madam.

- Ms. Mona Khetan:

- Yeah, sure. No, my question was more referring to the interest income. So does the 30 bps come with a lag in terms of the impact on yield on advances and interest income?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Naturally, madam. It will come in the lag only, any reduction, because one -year MCLR resetting may happen every year. So whichever the accounts are due further to completing that one year, only those accounts it attracts. It will not attract all MCLR linked portfolio immediately.

- Ms. Mona Khetan:

- Okay. So it will take roughly a year to sort of start reflecting in the accounts …

14 - Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Totally. Whenever you reduce that MCLR, whether you reduce or increase, complete transformation, it takes one year, madam.

- Ms. Mona Khetan:

- Got it. And secondly, we have made this other provisions of 449 crores. So does it pertain to the provisions we have made towards some of these large accounts that you mentioned in an earlier question?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes, madam.

- Ms. Mona Khetan:

- Okay. So what is the standard provisions that we may be holding against general and everything together, some of these accounts?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No, actually, whatever the standard provisioning, it is required 0.42 and all those things. So beyond that, actually, that is required only 3,000 crores but beyond that, 1,200 crores is extra what we have provided.

- Ms. Mona Khetan:

- Got it. Thank you so much.

- Moderator:

- Thank you. We'll take the next question from the line of Nitin Ag arwal. Th e line has been unmuted . Please go ahead.

- Mr. Nitin Agarwal:

- Hello.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Hello.

- Mr. Nitin Agarwal:

- Yeah. Am I audible?
15
- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes, you are audible .

- Mr. Nitin Agarwal:

- Yeah. Thanks, sir. And congratulations on good results.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Thank you, sir.

- Mr. Nitin Agarwal:

- I have few questions.

- Mr. Satyanarayana Raju - Managing Dire ctor & CEO, Canara Bank:

- Tell me sir.

- Mr. Nitin Agarwal:

- Firstly, on the OpEx, if I see going by the trend, first quarter is always a slight decline in operating expenses on a substantial basis. And probably as the incentives and the other variable costs, they don't recur and you see a Q -on-Q decline, which we have not seen this time. How should one look at the O pEx run rate for the year?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Generally, OpEx, when you are investing every ye ar 1,000 crores on the technology, so every year you see a little bit 7 to 8 % growth will be there in the operating expenses. Since we efficiently manage our operations, especially we don't pay too much money on DSA -sourced business. That is only 16 % in our new business, whereas all other banks are paying very heavily. There we are able to maintain this very effectively at the same level. If you see even for year -on-year, it is growth is only 3 % reflected. Quarter -on-quarter, there is a marginal negativi ty is there. We are sure that we will maintain only on the same level of operating expenses with maybe a 6 to 8 % of growth. And if you see our cost -to-income ratio, last month in March, it was around 47.55 %. Now it has come down to 46.77 %.

- Mr. Nitin Ag arwal:

- Right, sir. A nd second on the margin, while you talked about that downside from here isn't much and 2.5 can be the bottom, but can you also give some colour as to how can the recovery

be in the following
16 quarters over the second half as the bulk de posit portfolio reprices and the rest of the deposit costs also come down in the recovery 39.15 ?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:
- In general, in our bulk deposits of total 4 lakh, 25 % will be on 3 months, 25 % will be on 6 months, the remaining 50 % may be in one year. That is actually generally we follow the formula. So first 25 % already we might have repriced by this time. The second 25 % will be repriced in this quarter when we are going for that. So to that 50 % of that bulk deposits can be repriced in this before the end of September 30th. So to that extent benefit we will get it. Earlier we have raised the average, the cost used to be 7.6, 7.7. Now it is coming down because the fresh deposits whatever we are taking, we are taking only at a 6 to 6.10. That is the rate we are taking it. There will be a drastic reduction on that. But still the 50 % of the bulk

deposits, that is approximately 2 crores is one -year period. So you have to wait for the repricing of those deposi ts for some more time.

- Mr. Nitin Agarwal:

- Okay sir. Lastly on the growth, while we continue to guide a very stable growth, but has there been any discussions with the Government and some push on the growth front that you are seeing and will the PSU plans therefore can deliver a better growth over the year?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No, always the Government is keen on showing a higher growth both in MSME and the Agriculture. And which the same thing we are also givin g a t hrust on those matters. Core agriculture already last two years consistently is growing at a double -digit growth. And this year by the June end if you have seen that we are almost 11 % growth is there in MSME. We want to grow much bigger in the MSME s ector especially. So though the expectation is beyond 20 % growth, we are also trying for as much as possible to grow in this MSME and Agriculture sector. We are hopeful of doing that. We have taken several initiatives on that. We have come out with some n ew systems. These two loans have been digitized completely. So that we can address the TAT. We can do that faster the disbursements and all. So we are hopeful that we will do that much better growth in these two sectors. But overall whatever the growth gui dance we have given 10 to 11 % and I am telling you minimum 12 % we can grow easily overall credit. And within that credit corporate may grow at 10 % and our RAM sector is already growing at 15 % and which may continue at 15 %.

- Mr. Nitin Agarwal:

- Got it sir. Thank you so much.

- Moderator:

- Thank you.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Thank you, sir.

- Moderator:

- Next question from Miss Suri. Please go ahead with your question.

- Ms. Suri:

- It has been given to understand that 2 of your subsidiaries are going for IPO and you are diluting your stake including sacrifice of majority stake. So if Canara Bank alone is diluting then how will you protect the loss of controlling premium for sacrifici ng your majority stake?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No madam. Even now after diluting that whatever the proposed dilution is , still we will be the leading major owner of those 2 subsidiaries. So we continue our hold on that.

- Ms. Suri:

- Okay. Thank you, sir. Thank you for clarifying.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Thank you, madam.

- Moderator:

- Thank you. We will take the next question from the line of Anandama. Anand please go ahead and give your question.

- Mr. Anandama: .

- Am I audible?

- Moderator:

- Yes, you are.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes.

- Mr. Anan

dama:
18
- Sorry sir. So basically, my question was on the project financing provisioning which will actually kick in from 1st October. Have you made some provisions regarding that in this quarter and the reason provisions are higher? Is it fair to understand? Or like you will have to actually make those provisions in 3rd quarter?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- So in the guidelines they have given that all the projects which are coming to the financial closure and implementing in the stages up to September 30th, these guidelines are not applicable at all. Any project finance which is financial closure is happening only after 1st October 2025, only those projects that needs that additional provisioning. Remaining all projects which are in the various stages will continue with the existing provisioning. So there is no de mand. There is not required that we have to provide additional provisioning during this quarter.

- Mr. Anandama:

- Okay and you don't expect that to be made even in the future right?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No. Not re quired.

- Mr. Anandama:

- Not required. Okay sure. So sir basically 2nd is the ECL implementation. Do you think that that will come in this year and if yes are we shoring up our PCR specifically for that as well?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Actually, we are prepared with that but we don't know when it comes. It's only RBI regulator has to come out with that dates and all. But we are well prepared for that. We don't foresee any pressure on that ECL …. because of ECL.

- Mr. An andama:

- So in the past you had done some working around that.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Literally you see….s ee they may be expecting that it has to be implemented in 5 years. Even if the entire thing has been implemented , absorbed that entire provisioning in the 1st year itself it may not even … we will not , we will be much above the 14% of our CR AR.

- Mr. Anandama:
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- Okay that's the working that you have already done and you feel that you are comfortable on that?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes, we are very , very comfortable on that.

- Mr. Anandama:

- Great sir that's very comforting. Thank you.

- Moderator:

- Thank you. We will take the next question. Please go ahead with your que stion.

- Analyst:

- Can you hear me?

- Moderator:

- Yes, you are audible please go ahead.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes sir.

- Analyst:

- Hi good afternoon sir. Just few questions.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Good afternoon.

- Analyst:

- One is on NII side. Any interest on IT refund this quarter?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No that's a small amount it is there under the 3 to 400 crores. That is every quarter we will have that much little bit. But the majority of our interest is on overnight lending.

- Analyst:

- Okay. And second question was on in terms of PSLC you clarified some of the parts but just wanted to check that some , there was a guideline that the gold loans may not qualify for the PSL and you mentioned direct Agri is at about 14%. So is it beyond the gold loans basically the direct Agri?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- See actually th e gold loans it is not portfolio. That is not the actually RBI clarification. Initial stages where there was a draft guidelines expecting that that the below 2 lakh without any agriculture loans it should not be sanctioned with collateral. So the whatever the loans, gold loans up to 2 lakhs you are sanctioned and classified as

an agriculture was thought of that reclassifying that as a non -agriculture. Anyhow in the first quarter we have kept out of that bucket that whatever the exposure is there we are not sold for that and we are kept out of that priority sector. And whatever the left out only we sold it in the market because we have ample quotient, as against the requirement of 40% our actual priority is around 57%. So last year we sold almost 85,000 crore s. This time we have sold it around 40,000 crores in the market. Only thing last time we got lower commission but this time because of heavy demand in the market we got higher commission , we could garner 1200 crores. And now the RBI has classified that the re is no bar in classifying such , voluntarily if somebody has given that gold as a pledge , as a collateral also agriculture can be classified. There is that latest guidelines have come from RBI. So that also I don't think that any issue is there now here a fterwards.

- Analyst:

- Got it sir. Last question was on recovery of NPF from return of account. What kind of a run rate you can see sir , because last year you look at second half was quite strong? Could we see some...

- Mr. Satyanarayana Raju - Managing Dire ctor & CEO, Canara Bank:

- Sir this time this quarter will be much better than the June quarter sir. Already last quarter itself we have sanctioned some 4 or 5 big proposals and OTS and we have given time for that 90 to 120 days. So most of them are falling in due for the payment in this quarter. We expect that much more better recovery will come in this quarter. Our recovery under return of accounts will be much better than the June quarter and the September quarter.

- Analyst:

- Got it sir. If I squeeze in o ne more you are selling your stake in Cana ra HSBC OBC.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Yes sir.

21 - Analyst:

- And you have tied up recently with LIC as well. So will you be like tying up with more insurers or will you be exclusive still with the Cana ra HSBC?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- That depends on the demand and supply that's all. Now because we want to give more opportunities to our customers so we have onboarded LIC in addition to our own subsidiary Canara HSBC. And we will see that if the demand is there then we will think about i t. That is a board level decision sir. At this moment we are not thinking of onboarding any other.

- Analyst:

- Thank you, sir. Thank you so much.

- Moderator:

- Thank you. We will take the next question from the line of Sush il Choks ey.

- Mr. Sushil Choksey:
- Congratulations team Cana ra for excellent results.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Namaste sir. Thank you, sir. Thank you Choks ey sir.

- Mr. Sushil Choksey:

- Thank you, sir. Sir you mentioned that you are expecting or there i s a murmur that there will be two rate cuts in the current financial year. Are you sensing this more towards the latter half of the year or you are sensing quarter now and quarter later?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Sir I have not told that I am expecting two rate cuts sir , Choksey sir. I am hearing from various market people that feelers are coming when you go through that media and all. So they are expecting that two more rate cuts. But one rate cut definitely it may ha ppen but whether it happen in August or October we are yet to see sir.

- Mr. Sushil Choksey:

- Sir in case there are two rate cuts where do you see the tenure G -Sec?

22 - Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- That is only our treasury c an tell. So you tell. You tell.

- Mr. S.K Majumdar – Executive Director, Canara Bank:

- It should be around 6.

- Mr. Sushil Choksey:

- It should be around 6.

- Mr. S.K Majumdar – Executive Director, Canara Bank:

- Let us see sir. Let us not speculate on market conditions. This is that will be too speculative….

- Mr. Sushil Choksey:

- I am not speculating. I was visualizing Cana ra numbers if I have to write any report. If the yield is at 6here would Mr. Majumdar be flying to?

- Mr. S.K Majumdar – Executive Director, Canara Bank:

- Sir if that rate cuts if it happens it will give us , it will have a temporary hit in the NIM and the NII. But I am sure sir we will make it up. We have other avenues which will make it up. So we are aware that that is a possibility and I do n't think sir with now as sir said two IPOs, two divestments are also coming in. There are some cushion for us in case of extreme adversity.

- Mr. Sushil Choksey:

- Sir my next question to management is your RAM and retail specifically are growing well. In view of rate cut the geography where Cana ra Bank is strong is likely to do well because of GCC, manufacturing, agriculture, various aspects. Do you think the numbers what we are seeing are sustainable quarter on quarter or we may see a little high er growth on that?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- And actually, the first quarter generally you see a little slow growth in the credit. That is a general investigation sir. But what we are growing at 14.9% RAM sector. And I am sure that we may be able to continue that range at 14. , that means around 15% growth in the retail sector ……. RAM sector .

- Mr. Sushil Choksey:

- What would be the blended yield on RAM sector?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Ba nk:

- Pardon?

- Mr. Sushil Choksey:

- The yield on RAM advances would be what?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- So that is what sir actually the last time when it comes for that blended RAM sector it was around 9.23 to 9.3% was there. But now it will come down little bit 8.7 to 8 point . That is the average yield sir.

- Mr. Sushil Choksey:

- Sir when do you expect the monetization of both the divestment , in the second half or you expect in the current quarter?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- One will be in this quarter sir. If subject to SEBI permission, the one will be in the next quarter.

- Mr. Sushil Choksey:

- Sir any view on your Can Fin Home which is doing stable but there are mixed reports. I don't know who is quoting whom. Are we looking for divestment or are we looking for growth for a right value?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- No, we are looking at further growth sir. I earlier also several times shared that my minimum expectation is 1000 rupees. So we are confident of reflecting that 1000 rupees price of that in the market. Now it is around 800 rupees. So still we are confident that we can move towa rds that. At this moment we are not thinking of any stake sale in that Can Fin Home , sir.

- Mr. Sushil Choksey:

- Sir you mentioned that you will be spending 1000 crores on technology. That is a regular run rate. But Canara is ahead of the curve on doing lot of technology initiatives to roll out lot of products. Is anything new which is in pipeline which would make something unique again to start at Cana ra?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

24 - Yes sir, we are working on now cyber s ecurity measure. Comprehensive cyber security platform we are creating it. And recently we have also launched a loan against mutual fund end to end digital transformation. So everything will be even raising the loan, even closing the loan, even pledging, everything can be done through online portal only. And major contribution will be on digital lending platform sir. We have launched a comprehensive digital lending pl

atform. By the end of this March 2026
entire our RAM portfolio we want to convert into a di gital platform. Already 70 to 75% of products we have created there and we have started working on that. Some are on the UAT stages, some are already.

- Actually, for new loans, all new loans we are onboarding it. But even existing loans also for renewals and all we want to convert them into digital lending. That will change the face of the credit side portfolios in the quality as well as in the TAT and all those things. There will be a sea change in that so that we can easily compete with the private peers in the credit side also.

- And of course, cyber security I told you , almost 70 crore we have invested on that. That platform will come for operations in another one -month time. Then again, we are also investing almost more than 100 crores in the credit ca rd platform. That entire credit card platform is being refaced and we are working on that. That purchase order also a lmost at the verge of issuing the purchase order , that also will change that. Actually, we want to grow big in the credit card also within the bank. For that we want a bigger platform that has been onboarded. And now once that is implemented, we will go aggressively on canvassing that credit card also for that.

- The third one is we want to strengthen our Canara Bank Securities Limited. That is actually where we are dealing. So far, we are not able to serve to our own existing customers who deal in the equities and mutual funds. That's why we want to invest our capital something on that our own subsidiary. We want to strengthen that subsidiary Canara Bank Securities Limited. And already we have posted a General Manager there , so that will be a mutual benefit for our CASA also . So that our customers also can deal directly in the trading of equity and the mutual funds.

- Mr. Sushil Choksey:

- To st rengthen all the digital initiatives and new products what measures are we doing for human resource so that end -to-end satisfaction whether TAT, technology all that is achieved ?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Recently we r ecruited exclusively 120 people only for IT sir. And the advertisement has been given through IBPS only. We recruited 120 specialist IT guys at a scale one officer level. And they all been reported , they all been deployed in various key areas , where we earlier we used to depend on outsourcing or the resources taken from the people. But now again recently one month back we concluded the interviews for 60 specialists at a little higher cadre. That is at a project leadership cadre. And those peopl e also may come and report in after two months because the lock -in period three months' notice period is there for all those guys. And these 60 people have been recruited on contract basis in three months with the market demand packages. And these all once they are given , each one will be given one on one projects and we will monitor the project progress on that. Once they report, I think our implementation of project will further speed up
25 in those matters. Since we have lot more on our AI related initiativ es on our card , these 60 people will help us in implementing it and taking advantage out of that.

- Mr. Sushil Choksey:

- Sir, congratulations to Team Cana ra on all aspirations and for the years to come.

- Mr. Satyanarayana Raju - Managing Director & CEO, Can ara Bank:

- Thank you. Thank you so much Chok sey sir.

- Moderator:

- Thank you. There is a one question in the chat. What is the breakup of the slippages into retail SME in profit?

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- 650 crores is agriculture , 400 crores is retail , 1000 crores is MSME.

- Moderator:

- And the total outstanding restructure book as on first quarter ?

- Mr. Satyanarayana Raju - Managing Director &

amp; CEO, Canara Bank:

- See the restructure that RF1, RF2 and all those things no w it has come down drastically. Now outstanding is only around total it is 11,000 crores. So 7,000 crores is in standard asset, 4000 crores is in NPA.

- Moderator:

- Thank you. That was the last question for the day. I hand it over to the management for your closing remark. Thank you.

- Mr. Satyanarayana Raju - Managing Director & CEO, Canara Bank:

- Thank you. Thank you so much for all the analysts who are attending this conference call. Thank you, sir.

- Moderator:

- Thank you. That concludes the Earnings call for the Canara Bank

END OF TRANSCRIPT

Call: Nov 2025

■■■■■■ ■■■■■ Secretarial Department
■■■■ ■■■■■■■ Head Office F +91 80 22248831
112, ■■ ■■ ■■■, ■■■■■■ - 560002 112 J C Road, Bengaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.canarabank.com

Ref: SD:330/331/11/12:2025-26 03.11.2025
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
Exchange Plaza
Bandra-Kurla Complex, Bandra [E]
Mumbai - 400 051
Scrip Code: CANBK

Sub: Intimation under Regulations 30 and 46(2) (oa) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call with Analysts/Investors for Q2 & HY 2025-26 held on October 30, 2025

Ref: Our Letter SD:307/308/11/12:2025-26 dated 21.10.2025
Ref: Our Letter SD:323/324/11/12:2025-26 dated 30.10.2025

With reference to above and pursuant to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we enclose herewith the transcript of post results Earnings Conference Call Second Quarter & Half year 2025-26 held on 30.10.2025.

The transcript of Q2 FY 2025-26 Earnings Conference Call is uploaded on Bank's website and the same can be accessed through below link:

https://www.canarabank.bank.in/pages/Earning-Conference-Call-Transcript
This is for your information and records.

Yours faithfully,

Santosh Kumar Barik
Company Secretary ~ am Canara Bank~
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CANARA BANK Q2 FY26 EARNINGS CONFERENCE CALL
HELD ON 30TH OCTOBER 2025

- Moderator:

- Good evening, everyone. Welcome to Canara Bank Q2 FY26 Earnings Conference Call hosted by Antique Stock Broking. I would like to thank Canara Bank's management team for giving us the opportunity to hold this call.

- From the management side, we have with us –

■ Shri. Satyanarayana Raju, MD and CEO.
■ Shri. Bhavendra Kumar, Executive Director.
■ Shri. S.K. Majumdar, Executive Director.

- I handover the call to MD Sir for his opening remarks. Thank you and over to you, Sir.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Good evening all the Investor community. We are presenting before you the September quarter results.

■ Our Global business has year-on-year growth as recorded at 13.55% and stood at ■26,78,963 crores.
■ Our Global Deposits also have grown at 13.4% year-on-year, stood at ■15.27 lakh crore.
■ Our Global Advances have grown at 13.74% year-on-year and stood at ■11.51 lakhs crore.
■ Our Operating Profit has increased year-on-year at 12.20% at ■8,588 crore, all-time high of Operating Profit.
■ And the Net Profit also has increased at 18.93% year-on-year, stood at ■4,774 crore.
■ Our Return on Asset has increased 7 basis points from year-on-year and stood at 1.12%.
■ Our PCR further improved year-on-year at 270 basis points and stood at 93.59%.
■ Our Credit Cost has further come down at 0.68% with year-on-year decrease of 29 basis points
■ Our Gross NPA has come down to 2.35%, year-on-year decline is 138 basis points.
■ Our Net NPA also has come down at 0.54%, year-on-year decline of 45 basis points.
■ This entire business has grown at 13% is led by our RAM credit at almost 17% and stood at ■6.71 lakh crore
2■ Among this RAM credit, Retail credit has grown at 29.11%, stood at ■2.51 lakh crore. And within the retail, the Housing Loan has grown at 15.25% and stood at ■1.14 lakh crore. Vehicle Loan grown at 25.58% year-on-year and s

tood at ■23,367 crore.
■ First time during the last 5-6 years our MSME has grown more than 12%, almost 13%, and year-on-year growth of 12.70% and stood at ■1.54 lakh crore.
■ Our Earning Per Share continues to be above 20, that's at 21.01% with a 20.68% year-on-year growth.
■ And our Slippage Ratio has furthered down to almost 24 basis points year-on-year and stood at 0.76%.

- These are all the few of the highlights we have given. In the year starting we have given some 13 parameters or guidance for this financial year. Out of those 13, 11 parameters we already achieved and 2 parameters, CASA and NIM, we are working hard to see that it is also achieved. Of course, NIM we are finding it little difficulty. But CASA, there is a positive growth from June quarter to this. We are at now 30.69% as against a guidance of 32% for March. And in CASA it is the first time that there is a year-on-year growth more than 10%.

- These are all the few highlights of the presentation, Sir. Now, we are open for any of your questions or the queries so that we can answer you and satisfy you. Over to you, Sir.

- Moderator:

- Thank you, Sir. This will commence the question and answer session. Participants who wish to ask questions are requested to raise hands.

- The first question that we have is from Mr. Maru.

- Ms. Maru – Participant:

- Hello, Sir.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Hello.

- Ms. Maru – Participant:

- Good evening and congratulations, Sir.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Thank you very much, Madam.
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- Ms. Maru – Participant:

- Sir, I have a couple of questions. Firstly, on your margins, it has panned out exactly the way you had put it, right. Like last time you had said that ‘I don’t see more than 5 basis points’ and that is exactly how it has turned out. So, from now on do we expect margins to stay stable or improve if there are no further cuts?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- So, one more quarter it may continue to be stable, Madam. There afterwards, you can say there is some improvement may happen.

- Ms. Maru – Participant:

- Oh! Okay. And, Sir, what is your outlook on CASA now? I know that traditionally your bank's CASA has been low but the system environment for CASA, how do you view it and how do you view your own CASA in that context?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- See, when the total balance sheet is growing at 14%, near to 14%, it is a big challenge for us to grow even CASA to match with that, to maintain that percentage, Madam. But, however, whatever the initiatives we have taken by introducing the new products, new initiatives, introducing the Customer Relationship Manager concept, feedback mechanism, so many initiatives we have taken Business Around App, several initiatives we have taken. Because of these several initiatives first time we are seeing almost above 10% growth in the CASA. And especially as we individuals, in year-on-year absolute numbers we have increased. There is an incremental growth of ■20,000 crores. And our Retail Term Deposits also in just half year we have grown more than ■30,000 crores. Actually, for last several years it is a record growth in the last maybe 7-8 years.

- So, it is giving the results but, again, I am telling you that we have given a guidance of 32%, we work hard to see that we achieve our guidance, 32%. But definitely when we are growing this guidance we are giving 32% keeping in mind that our business grows at 10.5%. But now we are growing at 14%, so we have to work harder to maintain that 32%, Madam.

- Ms. Maru – Participant:

- Got it, Sir. Sir, my other question is on the new ECL guidelines. So, once they are implemented, what do you see as your run rate of Credit Cost? Will it be higher than what it is now? How does it work?

4- Mr. Satyanarayana Raju - MD & CEO, Ca

nara Bank:

- No, see, I do not think that it will have impact so much on that Credit Cost, Madam. That much I can tell that that is internally something we have assessed but already we are working for last 2 years, wherever the scope is there we are additionally providing. Even standard assets itself when the SMAs are there, so in all big accounts we are providing in the standard assets provisioning itself.

- So, that itself is nothing but that itself is actually the expected Credit loss, whatever the ultimate the meaning of that. Only the small, small accounts anything is there, if you see that our SMA position at ■5 crore and above, there is a ■7,500 crore. Out of this, ■5,000 crores already we have provided, the left out is only ■2500 crores. So, I do not think that will have so much impact on our either CRAR or on our Credit Cost. Because Credit Cost if you see, that quarter-on-quarter there is a reduction. For implementation, it is effective from 1st March’2027, that means still we have 15 months’ time. This 15 months’ time, Credit Cost may come down maybe around 5.50 or point below 5.50. So, I do not think that, again, it may go beyond 1% and all. It will be well within less than 1% only.

- Ms. Maru – Participant:

- Okay. Got it, Sir. Because there will be many accounts below ■5 crores, right, and that is the problem, that is where you will have to make Stage 2 provisions because below ■5 crore accounts usually have early delinquency.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- No, let me tell you, Madam, earlier even entire below ■5 crore and above ■5 crore entire combined entity we used to have around 5% of SMA. Now, it has come down below 3%, Now, only less than 3% is there, the total SMA position. And in SMA 0 there is no such issue, only 1 and 2. 1 and 2 drastically has come down.

- Ms. Maru – Participant:

- Okay. Got it, Sir.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- And you should look at that our profits also know. Our profits are growing very comfortably and even current quarter we have grown more than 18% year-on-year growth in the Net Profit. This year we are expecting that our Net Profits may cross ■20,000 crores. Last year we were at ■17,027 crores. So, these additional profits whatever we are earning, all these things will give us a comfort.

5- Ms. Maru – Participant:

- Got it, Sir. Got it. And, Sir, I just have one last question. In terms of growth, your growth has been good. Going ahead do you see it accelerating? I mean, are there any green shoots in October which makes you more confident about growth, say corporate growth or even SME growth?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- And, actually, MSME we are expecting that definitely by the end of the year we may end up at above 15% growth. As on date it is 12.70% growth. Corporate already we are growing at 10%, we want to grow around the 10%-11% only, we do not want to compromise on our bottom lines. The green shoots whatever is there, just 2 days back our Board meeting, the Credit Sanction Committee has cleared ■26,000 crores worth of loans only in one meeting. That gives you an idea that how the proposals are there in our bank.

- But, again, let me say that our RAM sector will grow much faster than our corporate sector because it is a strategy that we should reach our RAM sector to 60% and corporate sector to 40%. 60-40, that is the ratio we want to reach in the next 1-1.5-year time. So, our thrust will continue to be in the RAM sector to grow faster than the corporate credit.

- Ms. Maru – Participant:

- Got it, Sir. Thank you so much, thanks a lot.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Thank you. Thank you, Madam.

- Moderator:

- The next question we have is from Mr. Ashok Ajmera. Sir, please unmute yourself.

- Mr. Ashok Ajmera – Participant:

- Good evening, Sir. How are you? Hope a

ll is well.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Yes, Sir. Yes, Sir. Good evening, Sir.

- Mr. Ashok Ajmera – Participant:
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- Wish you a very Happy Diwali and Happy New Year.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Thank you, Sir.

- Mr. Ashok Ajmera – Participant:

- We celebrated the festival just a week back. And compliments to you, Sir, for another good quarter, for very good set of numbers.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Thank you, Sir.

- Mr. Ashok Ajmera – Participant:

- Especially your business growth, I mean, which includes Credit and Deposit growth, you are little above than some of the other peer banks, which is very heartening to note, which you always have been. And mostly it is all organic credit, organic growth, so which is also very nice.

- Sir, you addressed those 2 concerns, which are my concerns also. One is that, Sir, our CASA, which was 6 quarters back was 30.98%, still today it is 30.69%. So, something has to be worked on that little more seriously so as to make our CASA a little higher than…because it is a perennial problem in our bank as compared to some of the other banks where they have anything from 37%-45% and some small banks even 50%. So, one thing, on CASA our strategy.

- And second one, Sir, if you observe, this NIM is also going down from 2.9% 6 quarters back to now 2.50%. I understand that because of the rate cuts and this thing and the lag effect in the deposit and the corporate credit, I mean, credit rates, but then still where are we heading? And how are we controlling this continuous fall in the NIM?

- So, these are the two things which I can seek your comments on that.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Yes, Sir, definitely I appreciate your concern in these things and I am sure that you will appreciate our efforts in the CASA. Actually, just 2-3 years back the balance sheet used to grow at 5%, 4%, 6% per annum. In those days maintaining the percentage of the CASA at the same level was a little easy task for the banking but now because of the credit demand the balance sheets are growing at 13%-14% and in the current scenario 714% garnering, maintaining the growth in the CASA also is a big task for any bank, not only the Canara bank but any bank, Sir. But still since we do not want to lose that control on the CASA, whatever it is there, if you see that the first-time year-on-year growth is more than 10% in the CASA and I am sure that our savings bank individually has started giving the results for us.

- Reason why we are getting the results is, we have introduced a several segment wise targeted products and those products became grand success in the market and we got very good business out of those special products and special initiatives also we have taken like a Customer Feedback mechanism, Relationship Manager concept, Business Around App. Several initiatives we have taken and these initiatives will continue to focus on that. Now, we are working on some other untouched segments in the society like farmers. We want to come out with a new product favoring that farmer. Then we also want to come out with the Gig workers, to target them also to bring it our fold. We do not want to lose any opportunity which gives us a CASA. So, we are touching every opportunity, we are trying to exploring that possibility to get those things.

- I can share with you the absolute numbers because of these initiatives. In just one financial year in savings bank individuals, we got ■20,000 crores incremental growth in the SB individuals, which we never have seen in the last almost 8-9 years period in the Canara Bank. That means, whatever the initiatives we have taken it has started giving the results and we are confident that we want to work furthermore and build and strengthen our field functionaries hands to canvas more and more CASA depo

sits. We
continue to do that. And we allowed recently the opening of Current accounts through Tab. That also will help them to maintain the TAT immediately. We are also working some more Digital initiatives also and especially in the society side and all. Recently also we have introduced two H1 CASA product both in SB and Current account, targeting for the NGOs, societies or pilgrim centers so that we can garner that CASA. That also has attracted and very excellent response we have received for that product.

- So, we’ll keep continuing, that’s our strategy. We want to maintain that at least the guidance given this year is 32%, our efforts will continue to meet that requirement, that target what are the guidance given to that.

- The second one is NIM, Sir. Yes, you are all aware that in the first quarter itself when the RBI regulator has reduced to the 100 basis points in the Repo rate, 45%-46% of our loan book is linked with the Repo rate and these Repo rate 46% as a benefit is extended immediately whereas our Deposit rates will continue. Almost 90% of our deposits are 1-year deposits, whatever the deposits we accepted up to April 1st fortnight, those are all the deposits will continue to attract the same earlier rate of interest. That's why there is a stress on the NIMs. When the higher rate of interest regime, we also got benefited. We have gone up to that even 3%. In some quarters we have 3.05% also, we could show that NIMs. It's not that the bank is not able to take the benefit of whatever the market conditions are there.

- Presently, since market conditions are going downward tendency in the interest rates, already 100 basis points is cut down by the regulator. For us, transferring that burden to the depositors, it takes almost 9-12 months period. So, till that time some stress will be there on the NIMs. In absolute numbers if you see that our NII and the interest amount, as quarter-on-quarter there is a ■500 crores increase, if you see that. The last June quarter, our NII was ■9,009 crores whereas now it is ■9,141 crores. That means there is a ■130 crores increase as shown in the absolute numbers. That shows that now presently whatever the deposit rates we have marginalized or we have rationalized has started giving some results.

- Next quarter also we see the same, maybe little bit improvement or the same level will be there. There won't be any further dip in those areas. I don't think that there will be a further dip in that NIMs below 2.5. It will be maintained at 2.5 or 2.5 above. But fourth quarter onwards definitely again we look forward for uptick in this NIMs, Sir. We will regain our NIMs back to where we are shown that 2.9% or 3%, if the market conditions are continued and if there are no further rate cuts. If there is a further rate cut, again it takes for us to transform into that the Deposit rate of interest, it takes minimum 9-12 months period. So, that to that extent, impact will be there on NIMs, Sir.

- Moderator:

- Thank you, Sir. The next question that we have is this from Anand Dama. Please, unmute yourself, Anand Dama.

- Mr. Anand Dama – Participant:

- Thank you for the opportunity. My first question is that what kind of one-off gains that we can expect from the stake sale in Canara Robeco and Canara Life? And PSLC this quarter also were very strong, should we expect that to continue in next 2 quarters as well?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- First, let me say the stake sale is there that we got the benefit earlier. So, unlocking the benefit what we have that, ultimately we are the first banker who could come to that listing in the current financial year, 2 subsidiaries simultaneously. And we got benefit of almost ■2,000 crores. If you remove that IPO expenditure and all, we got benefit of

■1,935 crores. These ■1,935 crores, we have not booked so far anything in the previous quarter. The entire amount will

be booked in this current quarter.

- And PSLC is our business tool, it is a strategy. Whenever we need, we can sell because always demands are there. And even now we have a surplus of almost ■25,000 crores which we can sell in the market depending on the demand and supply. We have the 9supply but we will see that if selling in December is required because already we have enough one-time benefit in the form of stake sale or it has to be sold in the March month. But we definitely take the benefit out of it than the PSLC sale because there is a so much demand in the market and supplier is not there. We are the only big supplier in the Indian Banking scenario for PSLC.

- Mr. Anand Dama – Participant:

- Sir, secondly, you are going to retire in December, is there any chance that a private banker also could be contender for the MD & CEO post? We hear that for SBI and others now that government has opened up but is there a chance that even Canara Bank could be one where our government could be looking for a private banker?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- No it's beyond my level to comment on those things because already notification has come. The notification terms and conditions are very open. Now, the selection process is there. FSIB will take a call who is the suitable candidate I don't think that there is any leadership deficiency in the industry. Let's wait and see.

- Mr. Anand Dama – Participant:

- Do you have any views on the merger as well? I know basically that banks may or may not be involved but do you see that happening in next 12-15 months? Any broader level discussions which are happening in the government and whether Canara Bank also could be part of that?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- See, till this moment no formal or informal discussions have happened with Canara Bank regarding any mergers or amalgamations from DFS.

- Moderator:

- Thank you, Sir. Mr. Anand Dama, please come back in the queue for further questions. The next question we have is from Mona Ketan. Mona Ketan, please unmute yourself.

- Ms. Mona Ketan – Participant:

- Yeah, hi. Hello?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Hello.
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- Ms. Mona Ketan – Participant:

- Yeah, hi, Sir. Good evening.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Yes, Madam.

- Ms. Mona Ketan – Participant:

- Yeah, I have two questions. Firstly, we saw a very sharp growth in CA balances this quarter.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- I did not get, Madam. Some quality issue is there in your…Kindly repeat that.

- Ms. Mona Ketan – Participant:

- Yeah. If you look at the Current account balances, there was a sharp growth this quarter after decline last quarter, so if you could just highlight what really happened here?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Current account, we have some institutional deposits. Quite often we get the money, it goes out of that and that benefit you will get it. Even March also if you see, there was a steep increase was there, if you see that. Even now, current balance is less than March. So, it's not that it is an unexpected thing that has happened. So, we have some institutional deposits, sometimes it comes heavily on that and that quarter you get the benefit.

- Ms. Mona Ketan – Participant:

- Got it. And, secondly, on the margin, if I look at your one year MCLR, it has come down by roughly 35 bps in the last 6 months. So, how much of the repricing impact here is factored on the yields currently?

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- See, actually 45% of our loan book is under MCLR.

- Ms. Mona Ketan – Participant:

11- Right.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- So, this MCLR resetting mostly happens on an annual basis only; majority of the accounts.

- Ms. Mona Ketan – Participant:

- Okay.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- So, 6 months is over, then the remaining 6 months, so that means 50% of this 45%, approximately 25% of the loan book is repriced and the remaining yet to be repriced.

- Ms. Mona Ketan – Participant:

- Got it, alright. Thank you. I'll come back in the queue.

- Mr. Satyanarayana Raju - MD & CEO, Canara Bank:

- Okay, Madam.

- Moderator:

- Thank you. The next question we have is from Chetan. Chetan, please unmute yourself.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- So we are not able to hear. Can we take up another question?

- Moderator:

- Bhavik Shah, unmute yourself for the next question. So we are not able to hear..

- Mr. Bhavik Shah – Participant:

- Am I audible?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Yes, sir. Tell me sir.

12- Mr. Bhavik Shah – Participant:

- Congrats sir, on a very good quarter. Sir, two questions sir. Last quarter, we had a one off in the margin. Is there any one off this quarter?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- The last quarter one off the margin is PSLC only, except that nothing is there. PSLC in every year, first quarter, we are getting it. This year also, this year like, this year second quarter also we got because we have some excess priority sector and there is a demand. We got the benefit of 900 crores in that.

- Mr. Bhavik Shah – Participant:

- We had some in IT last quarter.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- No, that is only for 400-500 crores.

- Mr. Bhavik Shah – Participant:

- Okay. And sir, how much of the interest on return of accounts is booked in the interest income line?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Approximately 450 crores, sir.

- Mr. Bhavik Shah – Participant:

- Okay, sir. Sir, a standard provision has gone up quite materially, quarter on quarter. We had like 330 crores or something. Anything incremental that we have done?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Yes sir. You know, actually almost 500 crores. Additionally, 550 crores. Other two, whatever the additional provision, out of that, one account, some drinking water project of Telangana, we are… it is quite often appearing in the SMA1 or SMA2. So on precautionary measure that we have provided that 380 crores towards that account. That is in a standard provisioning only. It is only precautionary we have taken that and we have an actual strategy, business strategy to provide like that. Earlier also, for one more such irrigation project was there, there we have provided 580 crores, previous two quarters.

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- Mr. Bhavik Shah – Participant:

- Okay. And those accounts are still in SMA or how is it?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- No, one is in SMA1. One is, out of SMA.

- Mr. Bhavik Shah – Participant:

- Okay Sir. Answer of the agri book of 2.7 lakh crore, how much would be gold loan?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- It's a one lakh eighteen thousand. One lakh eighteen thousand is a direct agriculture, Sir. The remaining is gold loan book.

- Mr. Bhavik Shah – Participant:

- Okay Sir. Answer, the amount that we will receive. So will it flow through P&L or it will be through our AFS reserve?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- No, sir. It will be on P&L only. So whatever the 1935, after adjusting the expenses that will be taken into profit and loss.

- Mr. Bhavik Shah – Participant:

- Okay, sir. Thank you so much sir. Thank you for the opportunity.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Thank you sir. Thank you.

- Moderator:

- Thank you. So the next question we have is from Ashlish Sonch. Please unmute yourself.

- Mr. Ashlish Sonch – Participan

t:

- Hi sir. Good afternoon.Few questions from my side. Firstly sir, if you can quantify the interest on income tax refund which you received in this quarter.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Sir, it is again around 400 crores, sir.

- Mr. Ashlish Sonch – Participant:

- Okay. Got it. So. And secondly, if you can, if I look at the recoveries from return of account.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Sir, almost 660 crores in the first half of this year we got.

- Mr. Ashlish Sonch – Participant:

- What is your expectation on this for the full year?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Yes sir. We are confident that we can recover approximately 5000 crores. So third quarter also, we are expecting like the same lines of 17 to 18 hundred crores and it will continue. And every year, the 5000 crores approximately, we can recover from the written off accounts.

- Mr. Ashlish Sonch – Participant:

- Okay. And this holds for FY27 as well, tentatively?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Yes sir. Yes sir.

- Mr. Ashlish Sonch – Participant:

- Understood. Okay, so and lastly, if you can give us a breakup of the slippages across segments?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- 750 crore agriculture, sir. 350 crore retail, 900 crores MSME, total 2000 crores.

- Mr. Ashlish Sonch – Participant:

15- Thank you sir.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Thank you.

- Moderator:

- Thank you. So the next question we have is from Apurva. Please unmute yourself.

- Ms. Apurva – Participant:

- Hi sir. Can you hear me?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Yes madam.

- Ms. Apurva – Participant:

- Thanks for the opportunity. I had two questions. One, is there any particular reason why yield of investment or yield on investments have moved up quarter on quarter?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- What?

- Ms. Apurva – Participant:

- Or is there any particular reason why the yield on investments have moved up quarter on quarter?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Yield on the investment is two basis points has increased, in no matter from 6.88 to 6.90.

- Ms. Apurva – Participant:

- Yeah. This quarter most banks have seen a decline in yield of investments. Any particular reason. Why?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

16- It's a two basis point, is not a big change, madam. Actually that is only an efficient way of investing where there is are chances that are they're bright. They might be investing on that. So non-government securities also nowadays we are permitting them to invest. Their little higher margins may be getting like NCDs of triple A rated NBFCs and all. So that might be the reason, that's all. It's a two basis points, here and there always, it can happen.

- Ms. Apurva – Participant:

- Okay, got it. Understood. And secondly, does the CET, one of 12.2% include profit for the quarter and first half?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Yes, madam. See this CET1, this particular one quarter itself. If you see that almost 55,000 crores growth is there in advances that demands that CET1. No? Even then, because we are earning good profits, we are able to maintain 12.2 above. So from 12.29 to 12.21 it has come. The reason behind is, only just because we have grown 14% in the advances, in the particular quarter itself, we have grown 55,000 crores of advances.

- Ms. Apurva – Participant:

- Understood Sir. And lastly, what is the NIM adjusted for interest in IT refund, sir?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Pardon?

- Ms. Apurva – Participant:

- What is the NIM adjusted for interest in IT refund?

- Mr. Satyanarayana Raju
- MD and CEO, Canara Bank:

- IT refund is only 400 crores. I already told no madam in the previous question.

- Ms. Apurva – Participant:

- Okay. Thank you.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Thank you mam.

17- Moderator:

- Thank you mam. The next question we have is from Mr. Sushil Choksi. You may please unmute yourself, sir.

- Mr. Sushil Choksi – Participant:

- Congratulations to Team Canara for the excellent result.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Thank you sir. Thank you Choksi sir.

- Mr. Sushil Choksi – Participant:

- Sir, first question. You spoke about 5000, 7000 crores of recovery from technical return of assets. As of today, what kind of pool is available at historical value?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- 71,000 crores, sir.

- Mr. Sushil Choksi – Participant:

- And this is all on historical value, not on current value.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- No sir. That's actually not the current value. That's what the actually we have provided 100%. The provision is a book value.

- Mr. Sushil Choksi – Participant:

- That I have understood.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- The provision we have provided that much sir. So out of that 70,000, you can get, even a whatever it is, their yearly 5000 and you can observe from our system, because of our comfortable profits, we keep continuing the written off also. The fresh accounts also, we are continuing to wherever 100% provisions are there. For cleaning the balance sheets, we are again writing off some accounts, technical write off, and that portfolio is 18able to maintain that level. So that 70,000 is available to us for recovering that next few years.

- Mr. Sushil Choksi – Participant:

- Second thing is, RBI took lot of measures for new initiatives for credit growth, whether it is M&A, stock market, equity lending, other, many other initiatives. Any thoughts? How would you proceed on these products?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Yes sir. Anticipating this decision only. Actually, we have launched last April that online loan against mutual funds, STP process, and it became very successful. And we are the second public sector bank that we are growing in that market comfortably in the current financial year. So now the limits have been increased. That will help us in growing this particular area, the STP process, so that and simultaneously to take the benefit of the corporate market, what it is growing, we are also focusing on revamping our subsidiary that Canara Bank Securities Limited. And the revamping, RFP has been floated for onboarding a new platform, technology platform, comprehensive platform. And we are also planning to inject some capital to that company. We want to strengthen it because we already listed three companies, three subsidiaries Canfin Homes, Canara Robeco and Canara HSBC. Now we are focusing more on that fourth one, we want to strengthen that subsidiary so that in future, that value also we can unlock. And if we can make it successful that subsidiary, it will indirectly or in turn, it will be helpful CASA also, for garnering otherwise all our customers who are dealing in the corporate market or capital market, capital market, we are unable to serve them in those demat accounts and comprehensively, that we want to tap that business.

- Mr. Sushil Choksi – Participant:

- Sir, any thoughts on your M&A financing?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Which finance sir?

- Mr. Sushil Choksi – Participant:

- Merger, Acquisition, Finance.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- That's so, that's why it is definitely sir we are working on that. We are creating a policy now on the same draft guidelines. We are also eagerly waiting for

that opportunities
19because earlier this opportunity was not there. We also know that we lost some of the AAA rated transactions also. But now we want to focus on that. Already we are sending our officers and executives for improving their capabilities, for training, on the job training. We have deputed somebody for foreign also and we are depleting our some local reputed institutes also. We are also eagerly waiting. We are building that capabilities in the bank. Sir, I am sure that within one quarter policy and the building of capabilities may happen, then we will be very active in financing those acquisitions.

- Mr. Sushil Choksi – Participant:

- What would be our undisbursed credit lines and new sanction pipeline visibility?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- It will be approximately 50,000 to 55,000 will be there, sir, because just to two days back only we are sanctioned 26,000 crores. And earlier those sanctions are almost 30,000 crores is there. So more than 50,000 crores undisbursed loan will be there in the corporate sector alone.

- Mr. Sushil Choksi – Participant:

- How do you see the balance by the year end on RAM versus corporate – 60:40 or it will be something different?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- And if 59:41, by the end of this March Sir. The next year, we feel that it will be 60:40.

- Mr. Sushil Choksi – Participant:

- Okay. And then my last question, how is your digital spend looking like - on budget, exceeding budget or you'll increase the budget?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- No, actually last four years continuously we have invested almost near to the thousand crores every year. So this year also, we have budgeted almost 600 crores because many of the things we onboarded already, now we are more working on return on investment. So how to take maximum benefit out of what we have invested. But at the same time, whatever the opportunities are there, we are keep on investing. With 70 crores, we are investing only exclusively on cyber security. So different platforms. We are already working on that sir. So we will continue to invest on the digital. We don't compromise on that because we strongly believe that digital journey only has brought this glory to this bank. Last three years, four years, whatever we have spent, that is 20started giving the results. If you see that last two quarters, our market share, both in the deposit and advances has gone off.

- Yes, we are open for that, sir. It's not that but actually so far in a consortium. We acquired an efficiency or capabilities in underwriting the big projects on sole basis. And thereafter we are down selling. The many of the infrastructure projects are done earlier also. Even in the back also, we have done some big projects almost total together. So our exposure itself is almost 12,000 crores. Two projects we have underwritten that. So this underwriting process also will continue simultaneously. We will be part of that consortiums, if any. It depends on the viability of the project, sir. If any viable project somebody has underwritten, we don't mind participating in that. Either it's in a multiple banking or in the consortium basis, or even solely also, we don't mind because we have ample, manpower or the efficiency in our bank. Canara Bank is, nobody in the corporate sector, I am sure that Canara Bank cannot be neglected. And many people wants to deal with Canara Bank. They are very proactive to deal with Canara Bank. So we want to encash that reputation or credibility, what we are enjoying in the corporate community, sir.

- Mr. Sushil Choksi – Participant:

- Sir, I agree on that. My question was that, is IBA working towards some kind of a platform where M&A financing is concerned?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- So far no such initiative has taken, take initiat

ive. We also will be part of that, sir.

- Mr. Sushil Choksi – Participant:

- Okay sir. Thanks for answering all my question and congratulations. Best wishes to enter Canara Management and team.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Thank you. Thank you so much, sir. Thank you so much sir.

- Moderator:

- Thank you sir. The next question we have is from Mr. Doshi. Please unmute yourself.

- Mr. Doshi – Participant:

- Thanks for the opportunity. Firstly one clarification. You mentioned, 3% of the book as an overall book, SME, so that's SME0, 1 and 2 or only 1 and 2?
21
- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- SME0 1 and 2, all together is less than 3%, sir.

- Mr. Doshi – Participant:

- Okay, okay. And my second question is, so you mentioned that we, we will be getting almost 1900 crore, kind of benefit from stake sale in Q2. So are you looking at, you know……

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- It's not Q2, sir, it is in Q3.

- Mr. Doshi – Participant:

- Q3 yeah, sorry. Q3 so are you thinking of utilizing that to create the buffer provision?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Always no sir, even when we don't have that one-time benefit. Still, you might have find that last consecutively three four quarters, we are providing access provisions towards the standard assets, wherever towards to meeting that SMA2 or SMA1. So that strategy will continue because anyhow, from 1st March, 1st April 2027, we have to provide for that expected credit loss. So to the possible extent, we are creating that buffer now itself.

- Mr. Doshi – Participant:

- Yeah. So we can use this, you know, to ramp up the… that buffer….

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- It's not that the entire thing, we will use it for that partly, because still our PCR is around near to that 94%. Some of the banks are there at 97, 98%. So there also scope is there to build our PCR percentage.

- Mr. Doshi – Participant:

- Okay. Okay. Thank you. That's it from my side.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

22- Thank you sir.

- Moderator:

- Thank you sir. The next question we have is from Mr. Anand Dama. Please go ahead.

- Mr. Anand Dama – Participant:

- Yeah, I'm done with my questions. Sorry.

- Moderator:

- Thank you sir. The next question we have is from Ramanuj. Please unmute yourself and go ahead with your question.

- Mr. Ramanuj – Participant:

- Am I audible?

- Moderator:

- Yes you are.

- Mr. Ramanuj – Participant:

- So my question is regarding the recent changes going on here. How do you see this resolution?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Some cross talking is happening. Sir, can you repeat again the question?

- Mr. Ramanuj – Participant:

- Hello?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Tell me sir. Tell me sir.

- Moderator:

- Mr. Ramanuj, please unmute yourself and ask your question.

23- Mr. Ramanuj – Participant:

- Am I audible, Sir?

- Moderator:

- Yes, you are audible.

- Mr. Ramanuj – Participant:

- Hello?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Yes, sir.

- Moderator:

- Hi Sir, you are audible. Please go ahead with your question. Unmute yourself and please go ahead with the question.

- Mr. Ramanuj – Participant:

- Hello sir, am I audible?

- Moderator:

- Yes sir. You're audible.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Yes, sir. You are audible. You can speak.

- Mr. Ramanuj – Participant:

- Yes. My question is regarding the recent changes in regulations of gold on board by RBI. How do you see this impacting our business? Sir, means will it become difficult to give loans? Or has the process become easier for us?

- Mr. Satyanarayana Raju - MD a

nd CEO, Canara Bank:

- No, actually, they are very proactive for doing the much better business in the gold loan Sir because earlier, the LTV ratio used to be up to the 75%. Now the RBI has increased it 24up to 85%. That comfort they have given. Of course, at this moment we are not using that. We are restraining ourself to that below 75%, including the interest component.

- And the second one is for agriculture loan also, they are given the benefit that if it is, it can be a partially or fully collateralized, even then it will be considered as an agriculture loan.

- These two things have given a lot of benefit and one more initiative they have given for renewals up to five lakhs. That can be by paying the interest, they can renew that loans. These three has helped us in growing much faster than the earlier, Sir.

- Mr. Ramanuj – Participant:

- Sir, can we say Canara Bank expanding its gold loan business just the way other gold loan NBFCs do? Will it be possible for us?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- No sir, I think in India, we are the number one banker, that I don't think any bank or the NBFCs near to us in the gold loan. Our gold loan portfolio is as on date, it has crossed two lakh eleven thousand crores, Sir.

- Mr. Ramanuj – Participant:

- Okay, sir. So do you see gold loan as more profitable than other products or is there any product?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Definitely. Actually, definitely. No. No, definitely the gold does not require the capital. The second one is, gold loan, our return is almost 8.75 to 8.8%. The gold loan, it will not be slippage. Slippages will be meager, almost less than 1.1%. So if you see that the product is definitely a better returns, better safety, better security, but only thing, handling the gold loan is the professionalism is required. Otherwise that will have a lot of problems in the individual banks. Canara Bank is famous for the gold loans for decades together. That's why we have established practices, good practices. That's why we are able to handle it. Otherwise, handling the gold loan is a tough job.

- Mr. Ramanuj – Participant:

- Can you explain particularly what makes handling gold loan so difficult? Is it procedural problem or there is some legal issue in handling gold loans?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:
25
- No sir. You should have a proper systems and procedures in safe keeping, appraising. Appraiser should be made available. Re-appraisals, cross verifications and safety, keeping safe keeping of these customers gold. These are all actually, there is so much infrastructure is required. So we have created because it's an established bank. We created those infrastructure already as the processes and procedures swaps are very clear and there is a very stringent monitoring systems are there in the bank. That's why it is not challenging for us. Maybe it is a little difficult for the people who are first time they are starting it, but otherwise so many other institutes can compete with us now, but nobody is nearer to us.

- Mr. Ramanuj – Participant:

- Thank you.

- Moderator:

- Please join back in the queue for further questions. We have a follow up from Jay Mundra. Please go ahead sir.

- Mr. Jay Mundra – Participant:

- Most of the questions have been answered. Sir, I just needed a few data points. One is, you mentioned this total gold loan is 2.11 lakh crore. How much is retail and how much is agri, sir? If you have that bifurcation.

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Yes sir. Approximately 63 lakhs. 63,000 crores is retail.

- Mr. Jay Mundra – Participant:

- Sure. And how much was this last quarter?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Last quarter it was one lakh. I am telling about June 30th, sir. June 30th, it was approximately 195. Now

it is 211.

- Mr. Jay Mundra – Participant:

- Okay. And out of this 195, the retail would be around, how much, sir? 55-60, roughly?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:
26
- 55-56 sir.

- Mr. Jay Mundra – Participant:

- Okay. Okay, sure. And sir, do we have any policy to provide on SMA, like this quarter, we have done 380 crores on this state government drinking water project. But do you have any written policy?

- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- No, policies will be there proactively subject to availability of your comfortable margins in your hand, sir. This is actually proactive policy adopted by the board from time to time. It's not that a regulatory requirement that it is required, but still, just when you are comfortable, it is better to provide more and more because anyhow, regulator is expecting you to shift it to the expected credit loss system, that is from one 1st April 2027. So we are in advance. We are creating that buffer so that there will not be any much impact on the bank balance sheet, either on the capital CRAR or any other provisioning profits, bottom line. That's why in advance, when you are comfortable itself, we are providing those things. It's not that, just because we have provided these accounts are going to be slip to NPA. No, I'm sure we are very much confident that none of these accounts will slip to NPA. But still we want to in a prudent banking, we want to create that buffers.

- Mr. Jay Mundra – Participant:

- Thank you sir.

- Moderator:

- Please join back in the queue for further questions. The next question is from Ashlish. Go ahead sir. Ashlish, please unmute yourself for the question.

- Mr. Ashlish – Participant:

- Sorry, I was done with my with my questions. Thank you.

- Moderator:

- Thank you. The next question we have is from Abhinav. Please go ahead. Sorry. The next question that we have is from Saket Kapoor. Please go ahead. You are requested to unmute yourself. Thank you sir. As we have no further questions now. I hand over the call to you for your closing remarks.

27- Mr. Satyanarayana Raju - MD and CEO, Canara Bank:

- Thank you. Thank you so much for all the investors, investor community.

- Moderator:

- Thank you sir. With this, now we end the Canara Bank Q2 con call. All participants are requested to leave the call.

END OF TRANSCRIPT

Call: Jan 2026

■■■■■■ ■■■■■ Secretarial Department
■■■■ ■■■■■■■ Head Office F +91 80 22248831
112, ■■ ■■ ■■■, ■■■■■■ - 560002 112 J C Road, Bengaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.canarabank.bank.in
Ref: SD:475/476/11/12:2025-26 30.01.2026
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
Exchange Plaza
Bandra-Kurla Complex, Bandra [E]
Mumbai - 400 051
Scrip Code: CANBK
Sub: Intimation under Regulations 30 and 46(2) (oa) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call with Analysts/Investors for Q3 & Nine Months ended December 31, 2025
Ref: Our Letter SD:451/452/11/12:2025-26 dated 21.01.2026
Ref: Our Letter SD:465/466/11/12:2025-26 dated 29.01.2026
With reference to above and pursuant to Regulations 30 and 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we enclose herewith the transcript of post results Earnings Conference Call for the Third Quarter & Nine Months ended 31.12.2025 held on 29.01.2026.
The transcript of Q3 FY 2025-26 Earnings Conference Call is uploaded on Bank’s website and the same can be accessed through below link:
https://www.canarabank.bank.in/pages/Earning-Conference-Call-Transcript
This is for your information and records.
Yours faithfully,
Santosh Kumar Barik
Company Secretary
1 Canara Bank Q3 FY26 Earnings Conference Call
January 29, 2026
–Moderator:
–Good evening, everyone. Welcome to Canara Bank Q3 FY26 Earnings Conference Call. I would like to thank the Canara Bank management team for giving us this opportunity to hold the call. From the management side, we have with us:
–Shri Hardeep Singh Ahluwalia, MD and CEO, Shri Bhavendra Kumar, Executive Director, Shri S.K. Majumdar Sir, Executive Director, and Shri Sunil Kumar Chugh, Executive Director.
–With this, I now hand over the call to MD Sir for his opening remarks, post which we will start the floor for the Q&A. Thank you, and over to you, Sir.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Good evening to all of you. First, let me share the highlights of December quarter results. Our bank's global business stood at 27.1 lakh crores, and it grew at 13.23% on a year-on-year basis. The global deposits stood at 15.21 lakh crores and grew at 12.95% year-on-year basis. The global advances stood at 11.92 lakh crores and grew at 13.59%. Operating profits stood at 9,119 crores and increased on a year-on-year basis at 16.36%. The net profit stood at 5,155 crores and grew at 25.61% on a year-on-year basis. The return on assets improved by 9 basis points year-on-year basis and stood at 1.13%. The PCR on a year-on-year basis improved by 293 basis points and stood at 94.19%. Our credit cost was at 0.64% and improved by 25 basis points year-on-year. There was a GNPA decline of 126 basis points year-on-year and stood at 2.08%. Our net NPA stood at 0.45% and declined by 44 basis points year-on-year basis.
–Now, more than 13% of our credit growth is driven by RAM credit, which stood at 7.04 lakh crores and grew at 18.70%. The retail credit grew at 31.37% and stood at 2.73 lakh crores. The housing loan grew by 17.58% and stood at 1.21 lakh crores. Vehicle loan also shown fantastic growth. The growth was 26.20% and stood at 25,098 crores. MSME has also shown robust growth of 13.74% and stood at 1.60 lakh crores.
–The earnings per share was at Rs. 21.48 and improved by 22.11%. Our CET-1 stood at 12.37%, which improved by 40 basis points year-on-year. Our slippage has shown enormous decline. It declined by 32 basis points year-on-year and stood at 0.64%.
–Now coming to the guidance parameters, in the be

ginning of the year, we have given guidance
numbers for 13 parameters, and we have easily surpassed and comfortably surpassed 11 parameters, except CASA and NIM, which is industry challenge.
–Now I am joined along with me Mr. Bhavendra, who is ED, Mr. Majumdar, who is also ED, and Mr. Sunil Chugh, who is also ED. All my CGMs, Vertical Heads are now ready to respond to all the questions. Thank you.

2 –Question & Answer Session:
–Moderator:
–Thank you. We will start the Question & Answer session. Participants who have a question, please raise your hand.
–The first question is from the line of Mahrukh. Please go ahead with your question.
–Ms. Mahrukh – Participant:
–I had a couple of questions. Firstly, on your margins, I appreciate that the Repo rate was cut and there was pressure on margins. But from a strategic longer-term point of view, see our margins are already slightly lower than peers, and people are ruling out a policy cut in the forthcoming policy. But these things are still evolving. Maybe after one or two policies, there are rate cuts again. Given that our margins are lower than peers, what are the steps we would take to bring them at least in line with peers? Is there a like a growth margin trade-off? Is there a level below which we will not want margins to fall even if there are rate cuts say a quarter down the line or two quarters down the line? What is the absolute level of margins that you would be comfortable with at any point in time? Otherwise, we can slow down growth and improve margins a bit, you know, given that we have a traditional issue with CASA. So, that's my first question.
–And my second question is on ECL. What would be the broad impact of ECL? Not the impact of one-time transition, but on an ongoing basis. So, if ECL were already implemented today, what would your credit cost have been instead of what you have reported this quarter? So, that's my second question, sir.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Okay. So, madam, now I respond to it. Regarding margins, our NIM contracted by 2 basis points because the yield on advances… because on 5th, there was a reduction in repo by 25 basis points, and about 49% of our advance is Repo linked. So, immediately that transition was happening in those accounts. So, yield on advances contracted by 6 basis points, although the cost of deposit also reduced by 4 basis points, which had a net impact on NIM of 2 basis points. So, looking ahead, if you see there is a strong drive in RAM sector. Our RAM is showing a growth of 18.70%. And it is led by Retail, which has shown a 31.37% growth. And MSME also you see is growing at 13.74%. On MSME, the yield on advance is 9.28%. In Retail, it is 8.88%. So, our strategy going ahead is to further capitalize because if you see our guidance number on advances, our advances growth is more than 13.59%. So… to capitalize on this Retail momentum that has been built.
–Now, coming to the CASA front also, if you see our savings bank is growing at 8.51%. And saving bank individual is growing more than 10%. So, we are performing better than the peers in savings. Even if you see the current account, it is growing at 14.92%. Only due to one single transaction that has happened previous quarter of 26,000 in current account, that is why Q on Q sub dip is there. But CASA growth is shown as 9.32%. So, I think we will retain this margin with the same momentum going ahead in the CASA and RAM growth. So, even if further reduction in Repo happens, we presume that our NIM will be in the range of 2.45 to 2.50.

3 –Coming to ECL, the other parameters madam, it is going to be implemented from 1st April 2027. Now, our bank is making… last year it has made a profit of 17,000 crores. This year, going by the same trend, our profit will be in the range of 17,000 to 20,000 crores. So, in the ECL under Stage 2… because Stage 1 and Stage 3 does not have any much material impact because it is almost similar to IRAC norms. But in Stage 2, some impact will be there because the provisioning increases from 0.4 to 5%. And there we see that 2,500 crores additional provision will be required. And for NFP also (non-fund limits), some 2,500 crores will be required.
–Coming to the default rate on Stage 1, additional provision of 5,000 crores may be required. So, if I total that one, it will come around 10,000 crores, and that can be amortized in 4 years. So, the impact may come to 2,000 to 2,500 crores. Going by the profit we are earning year-on-year, it is very much absorbable and our CET-1 is very strong.
–Ms. Mahrukh – Participant:
–Yes, but sir, the credit cost on a quarterly basis, will that figure change? This is the transition impact. 10,000 crores over 4 years is the transition impact. One a run rate basis…
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Madam, I will answer to it. If you see my slippage ratio, it is 0.64%, which is the industry best if you can compare with our peers. And our SMA in absolute numbers, it has come down from 43,000 crores to 35,000 crores. And from 4.18%, our total SMA has come down to below 3%. So, on both fronts, we are very, very comfortable to absorb this one. We don't see any further…
–Ms. Mahrukh – Participant:
–What will be your SMA below 5 crores, your total SMA that is above and below?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:

–Yeah, total SMA is 35,604 crores. Last year in December, it was 43,917 crores. So, even our advances have grown above 13%. Our SMA, on absolute numbers, it has come down from 43,917 crores to 35,604 crores. So, that's a credible achievement, I tell you. And slippage also, it is in absolute control. And our slippage ratio is 0.64%, which you can compare with others, it is industry best.
–Ms. Mahrukh – Participant:
–Yes, sir. Got it. And sir, just one last thing. How much of deposits are left to reprice? A lot of deposit repricing has been done. How much of it is left in terms of term deposit repricing?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Only 15% is left for repricing. If you see year-on-year, there is a 77bps dip in the cost of new deposits.

4 –Ms. Mahrukh – Participant:
–Right, correct. Okay, sir. Thank you so much.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–On Retail term deposit, I men.
–Ms. Mahrukh – Participant:
–Yes, sir.
–Moderator:
–Thank you. We'll take the next question from the line of Anand Dama. Anand, your line has been unmuted. Please go ahead with your question.
–Mr. Anand Dama – Emkay Global:
–Yes, sir. Thank you for the opportunity. My question was related to our PSLC fees, which has been pretty low as compared to what we saw in last quarter. Is it more of seasonality, or you are strategically booking lower PSLC fees in this quarter? Or is it something to do with an RBI action where the PSL, some declassification has happened? If you can explain on that front.
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–Mr. Dama, if you have followed us, PSLC, it was only a product or earnings of the 1st Quarter. For three consecutive years or two last consecutive years, we have only earned in the 1st Quarter of 1,200 to 1,300 crores. And this quarter, not only we have earned around 1,240 crores, we have earned 900 crores in the 2nd Quarter. 3rd Quarter, actually, there is no chance for a PSLC. There also we earned 140 crores. And I assure you, we'll earn a substantial amount in the 4th Quarter also. So it is the industry; if any regulatory thing has happened, it is only helping us. And it is helping us as a renewed avenue of sustainable quarter-on-quarter earning, which was not so till last year. You will see it in the 1st Quarter and last quarter, some amount.
–Mr. Anand Dama – Emkay Global:
–Yes, right.
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–It is now a sustainable thing over three quarters.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Our total priority sector against 40% norms is now at 45.25%. So there is still some space for offloading PSLC in the fourth quarter to supplement what Mr. Majumdar is saying.

5 –Mr. S.K. Majumdar - Executive Director, Canara Bank:
–Yes.
–Mr. Anand Dama – Emkay Global:
–And sir, a similar kind of income is what we should also build in for next year, if things remain the same?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–From a PSLC perspective, we don't see much difference, unless the banks which purchase from us start doing… change their portfolios. As of now, though, it should not.. I mean, at least next year, there should not be any effect. Going forward, we can't say.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–There will always be surplus and deficient players of PSLC, and Canara Bank has that advantage.
–Mr. Anand Dama – Emkay Global:
–Sure, sir. And so what explains the quarter-on-quarter jump in our other OpEx? Is there any line item where we have seen some surge in the current quarter?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–If you see the other operating expenses, there are two one-time items. One was IPO charges for Canara Robeco and Canara HSBC. That needs to be absorbed by the promoter. So, for that, there is a fee of around 80 crores. Another 80 crores is of depreciation. That is for the employee benefit as a part of the furniture scheme. The furniture for employees was replaceable every 10 years, which we have brought down as an extra facility for employees to 5 years. So to do that, we had to provide additional depreciation. It is one time.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–And at par with the industry
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–… with the industry, most of the banks. So, that is around 160 crores. Another 100 crores on technology-related expenses were there i.e. AMC charges and on the ongoing CapEx that is

happening, that has happened. So this is more or less around 250 crore, which is additional, which is not of a routine nature.

6 –Mr. Anand Dama – Emkay Global:
–Sure. And so, taking forward from Mahrukh's questions, should we see our margin bottoming out if there is no further rate cut, or should we still see some contraction in the margins going forward?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Yes. With the OMO coming up and the swap being announced, liquidity will be injected, and we see the cost of deposits cooling down further. So yes, if the rate cut doesn't happen, we see that it will stabilize.
–Mr. Anand Dama – Emkay Global:
–Sure, sir. That's very helpful. Thanks a lot.
–Moderator:
–Thank you. We'll take the next question from the line of Piran Engineer. Please go ahead.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, your questions are not audible.
–Moderator:
–Please go ahead with your question. We'll move to the next question from the line of Parth Gupta. Please go ahead. Parth? As there is no response…
–Mr. Parth Gupta – Participant:
–Yeah. Hi. Sorry. So, sir, first question is: out of the total recoveries from the written-off account, what went to the interest income line item?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–About 370 crores went to interest.
–Mr. Parth Gupta – Participant:
–Okay, sir. Fair enough. Thanks. And my second question is: you have raised your deposit rates by 35 bps in January. So should we expect that to flow into the cost of funds, say, by Q4 or Q1? And therefore, the decline in the cost of funds will not be as much as what we are anticipating. Is that the right assessment?

7 –Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–So, almost 15% is now replaceable… the term deposits. And we see there is a steep decline, whatever we have raised last year. If that is getting replaced, we are getting some 70–77 bps lower in the new deposits.
–Mr. Parth Gupta – Participant:
–Okay, sir. Fair enough. Thanks a lot.
–Moderator:
–Thank you. We'll take the next question from the line of Jai Mundra. Please go ahead with your question.
–Mr. Jai Mundra – Participant:
–Yeah. Hi, sir. Good afternoon and congratulations on the quarter.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Thank you, sir.
–Mr. Jai Mundra – Participant:
–My first question is, sir, if you can bifurcate SMA-0, 1, 2 separately out of the 35,000 crore number. And have you started providing anything on SMA-1 and 2 just for the ECL transition?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, our SMA in absolute terms has come down from 43,000 crores to 35,604 crores. The SMA-2 has come down from 21,268 crores to 15,454 crores. And SMA-1 has come down from 11,882 crores to 10,593 crores. So, SMA-2 has come down from 2% to 1.30%. SMA-1 has come down from 1.13% to 0.89%. And 1,946 crores in three accounts, we have done additional provision as prudent bankers outside the SMA purview.
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–If you see, SMA-1 increased due to shifting of only one account, Kaleshwaram Irrigation Project.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–But that is 5 crore and above. Total, I am telling. Yeah, because that gives a bigger picture. Our SMA has come down from 4.18% to 2.99%. And our slippage has come down to 0.64%, that is industry best. So on both accounts, our bank is doing extremely well; on slippage also and reduction of SMA also.

8 –Mr. Jai Mundra – Participant:
–Right. And out of these 15,000 and 10,000 crores of SMA-2 and 1, outside of this Kaleshwaram and some other large account, are we providing any rule-driven provisioning, or as of now, there is no rule-driven provisioning on SMA-1 and 2?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, as on date, the provision coverage ratio is 94.12%. And in these three accounts, we have provided 1,946 crores. The outstanding is 6,600 crores. Although we don't say that it will slip because continuously these are appearing in SMA.

–Mr. Jai Mundra – Participant:
–Right. Okay, sure. And secondly, sir, on your gold loan, if you can quantify how much is the Agri gold loan and Retail gold loan as on December? And is there any change in the way you classify Retail or Agri gold? Because there have been observations at other banks in this assessment by RBI or in general also.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, our total gold loan portfolio is 2,21,000 crores. Out of that, Agri gold is 1,48,000 crores. And Non-Agri is 72,661 crores. So, very consciously, we have rolled back the products of gold loan in metropolitan and urban centres because that was the RBI observation. Now, we are totally compliant with it. And our gold loan portfolio is improving at 30% on a YoY basis.
–Mr. Jai Mundra – Participant:
–Right. And sir, there is a lot of… I mean, strong jump in the retail, right, 30% plus. Is this a buyout thing, or is this totally organic growth? How should one look at it?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–This is totally organic. This is totally organic.
–Mr. Jai Mundra – Participant:
–No buyout in the retail?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–No buyout, sir. No buyout. Totally organic.
–Mr. Jai Mundra – Participant:
–Okay. Sure, sir.

9 –Moderator:
–Please come back in the queue. We will take the next question from the line of Ashok Ajmera. Please go ahead.
–Mr. Ashok Ajmera – Participant:
–Good afternoon, sir. And compliments to you, Ahluwalia sir, and the entire team. Am I audible, sir?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Thank you, Meena sir. Yes, audible.
–Mr. Ashok Ajmera – Participant:
–I am Ajmera, sir.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Ajmera sir. How are you, sir? Ajmera sir, namaskar. Hope all is well.
–Mr. Ashok Ajmera – Participant:
–Compliments to you for the, I think, highest ever quarterly profit of 5,155 crores. I think the last time we touched 5,000 crores was in Q4, '25, if I am correct.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Yes, sir.
–Mr. Ashok Ajmera – Participant:
–So my compliments to you and the entire team. Sir, my first question is on the credit growth target. In nine months itself, you already achieved around 11% of the credit growth, whereas your target for the overall whole year was 10% to 11%. So would you revise it now upward on this?
–Similarly, in case of the opposite side, in case of deposit, the target is 9% to 10%, but we could achieve in nine months only 6.39%. So little divergence there. So would you maintain your target on the credit the same, or you will increase by, say, 2–3% up?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, coming to the first point regarding compliments on profit. Sir, this net profit we have made despite an increase in provision ratio by 293 basis points. So despite making huge PCR, we have still maintained the net profit and recorded the highest net profit.

10 –Regarding credit growth, sir, you have told we have given a guidance of 10% to 11%, but already we are crossing 13.59%, and we see that going ahead this will be maintained. And on the deposit side also, we have given a guidance of 9% to 10%. We are already near 13%, and we see that it will be maintained in the 4th Quarter also.
–Mr. Ashok Ajmera – Participant:
–Yeah, there were some disturbances, but anyway, I could hear you properly. Sir, in fact, one of the major contributors of the profit in this quarter was treasury income also, which is almost doubled from the last quarter to 3,056 crores now, and profit on sale of investment is 2,590 crores out of that. So going forward, whether the treasury will continue to contribute so much in the profit for the last quarter of FY26 or we might see it slowing down, and maybe the income on the other… the net interest side, the income is higher, and this is how we will be able to maintain the 5,000 plus quarterly profit?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, in Q3, due to listing profits of Canara Robeco and Canara HSBC… in Canara HSBC we offloaded 14.5% stake, and in Canara Robeco we offloaded 13% stake and could gain 2,006 crores. So going ahead, if the yields soften, then definitely this will be maintained. But at the moment, the yields are not cooling. Suppose more OMO operations take place, and with the buy-sell swap, if liquidity flows

and cost of deposits comes down and the yields soften, then definitely treasury will take an upturn.
–Mr. Ashok Ajmera – Participant:
–Sir, as regards to the NBFC portfolio, I know that Canara Bank is always not very optimistic and encouraging the co-lending part and other things. But of late, is there any change in that stance on the NBFC side and co-lending side? And what is our present exposure to the entire NBFC sector, the loans given to NBFC for onward lending, sir?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, the NBFC exposure is at 1,51,000 crores, and it is growing at 6.09%. We are open to NBFC lending, provided the rates are good. So normally the AA, AAA rated NBFCs, when they approach us, but the rates are not competitive, then we are shying away from that because protection of NIM is also our major criteria. And while we are growing at more than 13.59%, we don't see any reason to entertain low-yielding advances.
–Mr. Ashok Ajmera – Participant:
–Point well taken, sir. Sir, the recovery in the written-off account is good in this quarter, of 2,051 crores. What is our total written-off book, and do we expect to maintain the same momentum of recovery from the written-off accounts?

11 –Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, if you see the last 3-4 quarters, continuously our recovery in write-off has been consistent, and that will continue, sir.
–Mr. Ashok Ajmera – Participant:
–What is the total written-off book size, sir?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–64,000... 66,000 crores.
–Mr. Ashok Ajmera – Participant:
–66,000 crores. So are we going in the range of some 7%, 8% kind of recovery from this book for the whole year?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, we have taken a conscious call that it has to be more than the 2,000 crore range, and we are continuously trying to achieve that number. If you see last December also it was 2,008 crores, this year 2,051 crores. Although my total NPA book is falling, we are trying to maintain this recovery ratio.
–Mr. Ashok Ajmera – Participant:
–Sir, any ballpark, any calculation has been done, like one of the other banks is also doing, on the underwriting standards? Like over the last five years post-COVID, how much amount of the loan has been sanctioned and disbursed, and what is the NPA ratio out of this new underwriting of this last five years? Is there any such, which will give the color to the present underwriting standards and how the bank is going forward?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, already if you see, our underwriting standards have improved, and our slippage ratio is now industry best at 0.64%. That is a reflection of good underwriting standards already prevailing with Canara Bank. And your SMA also has drastically come down from 4.16% to below 3%. So definitely, underwriting has played a very, very important role in that.
–Mr. Ashok Ajmera – Participant:
–Good, sir. Thank you very much and all the very best to you and everyone sitting there. Thank you.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Thank you very much, sir. Thank you, sir.

12 –Moderator:
–Thank you. We will take the next question from the line of Bhavik Shah. Please go ahead.
–Mr. Bhavik Shah – Participant:
–Hello. Hi, sir. Thank you for the opportunity. Sir, what would be your average LCR for the quarter? It was around 150% last quarter.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Our LCR is 125%.
–Mr. Bhavik Shah – Participant:
–125%. Sir, if I were to assume that borrowing increased in the quarter, approximately of 60,000 crores was back ended, and also wanted to understand at what yield and what instruments were used.
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–Please repeat your question, Bhavik.
–Mr. Bhavik Shah – Participant:
–Hi, sir. Sir, our borrowings increased by 55,000-57,000 crores this quarter, quarter-on-quarter. It was 90,000 and it is 1.5 again now. I just wanted to understand what instruments were there and at what cost have they come in?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–No. Whatever borrowings have increased, it is on two fronts. One is we have raised AT1 bonds this quarter and there was refinancing from NABARD and SIDBI of our existing loans. These are the only borrowings that we had in this quarter. And a part of this borrowing, that is AT1 bond, is replacement

of old also. That may be the net increase is only 6, 700 crores as far as Tier 1 bond is concerned. So it cannot be… And the rest is mainly SIDBI and NABARD refinancing at a lower rate.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–What sir is asking is borrowing increase.
–Mr. Bhavik Shah – Participant:
–That is part of the borrowing only.

13 –Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Our SLR is 24% and the prescribed is 18%. We have excess SLR of 6%. And whenever the opportunity comes, we borrow and take that advantage.
–Mr. Bhavik Shah – Participant:
–Okay, sir. And sir, would you be comfortable to share the refinance cost of NABARD and SIDBI?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–It is around 5%.
–Mr. Bhavik Shah – Participant:
–Okay. And sir, last thing sir, standard asset provisioning. Last quarter was also 300 crores. This quarter is also around 286 crores. Sir, anything specific to read here?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–Standard asset provision, one is we had to provide for DCCO extension, that some provision of around 80 crores is there… around 90 crores is there. And other than that, I think these are all routine. There is nothing else.
–Mr. Bhavik Shah – Participant:
–Thank you so much. That's all from my side.
–Moderator:
–Thank you. We will take the next question from the line of Param Subramanian. Please go ahead.
–Mr. Param Subramanian – Participant:
–Thanks for taking my question. So, I wanted to ask on this recovery from written-off account, 2,051 crores in this quarter, is there some mix between Retail and Corporate? Were there any chunky accounts that we have seen or is there a Retail granular mix?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Actually, in this written off recoveries of 2,051 crores, there are four major accounts. One is Chenani Nursery, we have received 288 crores. Karanja Terminals, 271 crores. So that is the bulk. But few bigger accounts will always materialize.
–Mr. Param Subramanian – Participant:
–Sir, but would there be a reasonable chunk of Retail recoveries also?

14 –Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, you're not properly audible.
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–Yes, that is around 50-50, Retail and Corporate.
–Mr. Param Subramanian – Participant:
–And even for the nine months, it will be like that?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–That is retail recovery in DWO. That is around 1,000 crores per quarter.
–Mr. Param Subramanian – Participant:
–1,000 crores per quarter you are getting in Retail recovery?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–That is yes. From Retail recovery in DWO is around, on an average. In some quarter it may be more, some quarter it may be less. On an average around 1,000 crores, 900 to 1,000 crores.
–Mr. Param Subramanian – Participant:
–Okay, okay. That's it from me.
–Moderator:
–We will take the next question from the line of Ashlesh Sonje. Please go ahead with your question.
–Mr. Ashlesh Sonje – Participant:
–Good afternoon. 2-3 questions from my side. Firstly, on the margin front, do you see any room to cut your term deposit rates or hike your loan pricing, let's say on housing, in order to boost your margins from here on? That is one. Secondly…
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–See, we are continuously studying the market and our term deposit is pricing according to the prevailing market conditions.
–Mr. Ashlesh Sonje – Participant:
–Got it. And on the home loans, you think you can increase the pricing there potentially?

15 –Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–It is Repo linked and prevailing market conditions.
–Mr. Ashlesh Sonje – Participant:
–Understood. Secondly, the borrowings… Yeah, sorry, sir.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:

–No, carry on, carry on, carry on.
–Mr. Ashlesh Sonje – Participant:
–The borrowings which have gone up, how much further can they go up from here? And I heard your explanation on what is causing it, but how much further can it go up from here?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–I mean, we feel we are already at an optimum level. Borrowing is always as a product and we don't want to increase it. We borrow just to leverage our cost, just to see. That is, as sir said, a major chunk is overnight. That also to… that with excess SLR that we do to neutralize the cost.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–And take opportunities in the market.
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–So it will be… I don't see that going up much. That is at an optimum level.
–Mr. Ashlesh Sonje – Participant:
–Got it, sir. And lastly, the bad loan recoveries have been quite good for the last couple of years, both from the written-off accounts as well as from NPAs. What is the outlook you have for FY27?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, it will continue because the recovery tools in market today, we have NCLT options, we have DRT options, SARFAESI options, your Lok Adalats being regularly conducted. We have aggressive OTS schemes. So we don't see any shortfall coming. So we have been consciously maintaining that. And recovery actions are prescribed as per the accounts.
–Mr. Ashlesh Sonje – Participant:
–So similar run rate as this year is possible?

16 –Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Yes, sir. It will continue.
–Mr. Ashlesh Sonje – Participant:
–Thank you, sir. Those are all the questions.
–Moderator:
–Thank you. We'll take the next question from the line of Piran Engineer. Please go ahead. Piran, please go ahead with your question.
–As there is no response, we will take the next question from the line of Akshay Badlani. Please go ahead.
–Mr. Akshay Badlani – Participant:
–Yeah. Hi. Thank you for taking my question. Firstly, I wanted to ask around, so we got this 2,000 crores of one off profit. Have we utilized that to make any contingent buffers? And what would our current contingent buffer be?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, in three accounts, we are maintaining 1,946 crores as abundant precaution. Although we don't foresee any slippage in this account, but as a prudent banker, we have done so. And whatever regulatory provisions are coming up, like for DCCO extension and all, we are making at adequate provisions for that.
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–And also, you see our provision coverage is going up. It is also, it is… as you said, we are still, I mean, when you compare us with our peers, we are a shade below them. So we also want to be in that space of our peers as far as provision coverage is concerned. And as sir said, in standard asset, wherever there are some weaknesses, we are proactively making provisions within the regulatory framework.
–Mr. Akshay Badlani – Participant:
–Understood. And my second question was around current account balances. There has been overall a lot of, you know, fluctuations when I see on a quarter-to-quarter basis. And overall on our deposit strategy, I wanted to understand, you know, what are we trying to do in order to improve the deposit franchise, since it's, you know, relatively weaker when we compare it to the peers.

17 –Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, this current account fluctuation is due to one account. In September quarter, we have got some 26,000 crores deposit in that account. If we subtract from the prevailing… the September this thing, then from 49,000, it has grown to 54,000. So in current account also we have seen 15% growth roughly. In saving also we have seen a growth of 8.51%. And within saving, actually individual is more than 10%. So we are performing quite well in that CASA space. It is growing at a rate of 9.32%.
–Mr. Akshay Badlani – Participant:
–Sure. Thank you. Thank you for answering my questions.
–Moderator:
–Thank you. The next question is from the line of Jayant Kharote. Please go ahead.
–Mr. Jayant Kharote – Participant:
–Thank you for the opportunity, sir. First question is, there is a strong growth in Retail at 31% YoY. I see vehicle is grown at 26. If you could also tell us which are one or two top products outside vehicles that are growing in that book. And also, if you could help us with your average yield on vehicle book,

as well as some of the other products, ex housing. I believe you spelled out your average yield on Retail book is 8.83%. What would it be on vehicle and some other fast-growing products?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–In Retail, sir, our yield is 8.79%. So that comprises of the total Retail portfolio of housing clubbed with your vehicle loan and other Retail products.
–Mr. Jayant Kharote – Participant:
–And sir, what would be the yield on vehicle book?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–In RAM sector, it is 8.88%.
–Mr. Jayant Kharote – Participant:
–So what is the yield on vehicle book?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Yes, sir?

18 –Mr. Jayant Kharote – Participant:
–What is the yield on our vehicle book?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–It should be above 8.5%. It's around 8.5%.
–Mr. Jayant Kharote – Participant:
–Okay. And sir, what are the other products, ex vehicle and housing that are growing rapidly in Retail?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–No, no. In that, around 70,000 or 74,000-75,000 crore is gold loan portfolio, which is growing at a jet speed, more than 30%.
–Mr. Jayant Kharote – Participant:
–And what would be our yield there, sir?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–There, it is around 8.8%. It is around 9%. A little below 9%.
–Mr. Jayant Kharote – Participant:
–So you are confident of this 8.79% holding up and expanding next year as well?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–Absolutely, yes. That portfolio will grow at this speed.
–Mr. Jayant Kharote – Participant:
–Great, great. Congratulations, team. All the best.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Thank you, sir.
–Moderator:
–Thank you. The next question is from the line of Gaurav Jani. Please go ahead with your question.

19 –Mr. Gaurav Jani – Participant:
–Thank you for taking my question. The first is, despite a strong Retail growth, why is our margin down sequentially by 5 basis points, and while our LDR has also gone up?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, margins are low because the CASA is not growing to the level. It is growing at 9.32%. And our average CASA is 30%. And that is, I think, on a lower side, although our endeavor is still to improve that. And it is improving also, but not to that level.
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–I'll add to this. Your question is why it got reduced. You must agree with us that whenever there is a policy rate cut, that has to be passed on to RLLR linked loan immediately. And my 49% of the portfolio is RLLR linked, whereas deposit repricing takes minimum 6 months, 6 months to 1 year. To answer your question, that is the reason for reduction, and that is the main reason for the compression that you see. And I think that will continue till that rate cut stabilizes. To some extent, that challenge will continue for, I suppose, lenders like us.
–Mr. Gaurav Jani – Participant:
–Sure. And sir, my last question is, how are you looking at deposit growth? While this quarter did have the benefit of CRR, it has been kind of lagging. So how do we kind of plan to ramp this up to meet our guidance on loan growth?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–See, our deposit is growing at 12.95% against the guidance given 9% to 10%. So going ahead also, we will continue with the same performance for the last quarter also.
–Mr. Gaurav Jani – Participant:
–Sir, just a bookkeeping one, there is a restatement in deposits for September. So anything to read into it? And what has been reclassified?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, there was a RBI observation that overseas branches, that deposits taken from bank were earlier considered as borrowings. Now we… earlier they were considered as deposits. Now we have reclassified as borrowings. And subsequently we have changed in other previous quarters also. That effect has been changed. So 33,000 reclassification has been done… has been reduced. And it ranges

from 23,000 from December '24 in subsequent quarters. Accordingly, in December, 33,000 has been reduced.

20 –Mr. Gaurav Jani – Participant:
–Understood. Thank you so much.
–Moderator:
–Thank you. There is a question in the chat box. What is the breakup of fresh slippages during the quarter?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Yes, sir. In Agriculture, the total slippage is 1,857 crores. 789 is from Agriculture sector. 739 is from MSME. Retail 294 and 35 is from gold. No corporate account has slipped.
–Moderator:
–Thank you, sir. The next question is from the line of Sushil Choksey. Please go ahead.
–Mr. Sushil Choksey – Participant:
–Sir, congratulations to Team Canara for excellent performance.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Thank you, sir. Thank you, Choksey, sir.
–Mr. Sushil Choksey – Participant:
–Majority of my questions are answered, sir. These are typical same questions from everyone. What is our digital spend, because we are focusing on RAM and enhancing our business? And what is the cost for human resource which we are going to incur for enabling technology as well as new initiatives?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, our staff cost is now stabilizing at 4,900 crores. And efforts are being taken to continuously upskill our staff. So they are there. We have our definite expenditure and we see that. The entire staff undergoes training. Last year also, the entire staff underwent training as per their KRAs, so that their performance improves.
–Mr. Sushil Choksey – Participant:
–Sir, are we spending on enhancing the current management as well as top management and other staff members' capability? Because tomorrow AI will be there, many other technology initiatives, new product initiatives. So what is the digital spend for all these initiatives and additional incentive and other focus cost? This is your regular staff expenditure. I am saying over and above, what will you do?

21 –Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, we are conscious that what our future workforce will look like. So accordingly, we have recruited data scientists, your Python engineers and all for AI capabilities and all. So a vertical has been created separately for AI which is working on identification of use cases that can be implemented in the bank. So already under fraud prevention and default prediction, AI is implemented to some extent. So you will see more and more use cases coming up. And further also, we will enhance the capabilities of our employees under training.
–There are lot of products we have introduced. One is our Business Around has now been nominated to be adopted across the industry. We have a dedicated Business Analytics team. So that works for lead generations within the system.
–Mr. Sushil Choksey – Participant:
–Sir, secondly, your total digital spend for the year… the budget for the total spend which you are going to do in digital and what is your future outlook on that?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Around 1,000 crores we are spending annually on digital initiatives.
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–For last three years, sir, we have been spending around 1,000 crores, between 800 to 1,000 every year. And I think this year also… we should be able to reap the benefits now. I think now it is the time to reap the benefit. But AMC charges and all will go up. But as sir said, AI related, we have established a department where we need both from people side and technology side, some investment will go going forward.
–Mr. Sushil Choksey – Participant:
–Sir, as we have three other listed companies under our fold, in the cross-selling of business as well as for touch points, how are we benefiting? And if we are able to succeed, how many products are we selling to our existing customers?
–Mr. Bhavendra Kumar - Executive Director, Canara Bank:
–No, no, for our Canara Robeco and Canara HSBC, including the Can Fin Homes, so two of our subsidiaries now. So we are getting substantial benefit out of this. So insurance company in the previous NFO what we have launched, so against the target of 500, we have reaped some 6,050 crores in 15 days' room, what was given. So we are valuing this subsidiary and we are enhancing the value for the customers by cross-selling. So whether it is the Canara Robeco SIPs or mutual fund selling, or it is the insurance what we are selling through our branches, 10,066 branches, we are getting substantial benefit out of these two subsidiaries by cross-selling in a large scale. And our

company has also benefited, and we are earning close to 500 crores income out of the subsidiaries by selling their products.

22 –Mr. Sushil Choksey – Participant:
–So 500 crores income. But do you mean to say that majority of our CASA customers are taking two products from us, three products from us?
–Mr. Bhavendra Kumar - Executive Director, Canara Bank:
–Yes.
–Mr. Sushil Choksey – Participant:
–They'll say I'm a CASA account. Is the car loan coming to you? Is it?
–Mr. Bhavendra Kumar - Executive Director, Canara Bank:
–Yes. That is what I wanted to say. So apart from car loan and housing loan, we are also selling credit card. We are selling the other product, the Demat account we are selling to them. We are giving so much of benefit by way of this, engaging with them.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, we have a Business Analytics wing and that is responsible for creation of leads. So they have certain machine learning models, and they scrub the data and accordingly they suggest a person how many products we can sell to him. So whenever a customer approaches the counter, they have this opportunity as to how many products, what other products can be sold to this customer. So leads are generating from our customer relationship models and leads are generating through our own machine learning models. So that conversion rate is also very high. That is why you are seeing that our credit growth in RAM sector is 13.5%.
–Mr. Sushil Choksey – Participant:
–Sir, my last question in this round is, sir, the market is favoring PSU banks over all other sectors, including private banks. We are showing healthy profits. We may not… for a nominal growth, which we are doing, we may not need equity. But if the market is rewarding in the past, we have capitalized ourselves by doing QIPs ahead of time. Do we plan something in this quarter or coming time, or we look into it at a future date?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–So QIP, I don't think QIP is now lined up.
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–Choksey ji, as you know and you have seen that my capital adequacy is already at 16.5. We are adding around 17,000 to 20,000 profit per annum. So there is no reason… I mean, as of now, we are adequately capitalized to do business, to have a double-digit growth going forward next couple of

23 years. And as and when, if any moment it is required, I don't see a challenge raising it. But in the immediate future, I don't think bank will require that.
–Mr. Sushil Choksey – Participant:
–So basically, self-reliance is going to work in your growth machine. That's your summation.
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–Exactly, sir. Strongly it should work.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Right now, on business growth front, on profitability front, capital adequacy front, asset quality front, bank is doing extremely good in all parameters.
–Mr. Sushil Choksey – Participant:
–Sir, congratulations and best wishes for the years to come.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Thank you, Choksey sir. Thank you.
–Moderator:
–Thank you. The next question is from Chetan Wadia. Please go ahead.
–Mr. Chetan Wadia – Participant:
–Can you hear me?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Yes, sir.
–Mr. Chetan Wadia – Participant:
–Yeah, I only have one question. In terms of your growth in advances, if I have read correctly, you are saying, it was 13% growth in your credit growth for the next year. Which are the top five areas of growth that you see for yourself? And what are the yields on those advances?
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–Sir, RAM sector is the strength which is growing at 18.70% and where the yield is also 8.88%. Under MSME also, if you see, we are growing at 13.74% and the yield on such advances is 9.28%. And gold is also growing at 30% where the yield is around 9%. And apart from that, we are generating income

24 through PSLCs, the surplus priority sector that we have. So, these are strength areas of the bank and the return of recoveries also. So, that we will continue.
–Mr. Chetan Wadia – Participant:
–Sure. Noted that. And my second and the last question is that you said the NIM range would be around 2.45% to 2.5% as you said in the beginning. And any scope for improvement over there over

the next one or two years? Is there any such deliberation internally happening to make it a 2.6% to 2.7% range?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–Sir, definitely yes, that will happen as the rate cycle effect settles down. Because now there is always a time lag on passing on the RLLR based loans and the deposit repricing. Once that stabilizes, automatically 15-20 basis point will immediately rise across lenders. So, we should be no exception. It should be more, in fact.
–Mr. Chetan Wadia – Participant:
–All right. Noted that. Thank you very much. All the best.
–Moderator:
–We will take the last question from the line of Ankit. Please go ahead.
–Mr. Ankit – Participant:
–Hello. Sir, my question is on ECL, sir. Sir, are you doing any ECL provisions? Or what is the total number of ECL provisions from 1st April 2027 that you will be doing?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–As our MD said, it will be less than 5-digit, the number. And as you know, if one side it is less than 5-digit number, it has one more year to get implemented. In a year, we will add minimum between 17,000 to 20,000 crores of profit. My provision coverage will be all time high of over 95%. So, the requirement of ECL by the time it gets implemented, will further come down from that 5-digit figure to a much lower figure. And even if we implement, as we said in the past, my CRAR and CET-1 will get affected by only a percentage point. That means even then my CRAR will be at above 15 and CET-1 will be above 11. But this is if we implement in one go. But as we understand, RBI has allowed it to be spread across 4 years. So, it has got almost no effect and we will be able to maintain.
–ECL differently will have no impact. The provision release that has happened on… not provision release, it is the release of funds that has happened on account of this CRR cut during September and November, that itself has cushioned all that. I think there is no effect on this. Across banks, I don't see if there will be much effect.

25 –Mr. Ankit – Participant:
–Okay, sir. I got your point.
–But your peer banks are doing the ECL provisions like PNB has done. I'm just asking, are you doing any ECL provisions in these quarters, or you are doing just in one go?
–Mr. S.K. Majumdar - Executive Director, Canara Bank:
–Sir, we feel we don't need to do any pre-emptive provision before that. That will come from… My quarterly profits will be sufficient at any point in time to absorb that, without hindering business growth and capital position.
–Mr. Ankit – Participant:
–Okay. Thank you, sir.
–Moderator:
–Thank you. Thank you. That was the last question for the day. I hand over the call to the MD, sir, for his closing remarks.
–Mr. Hardeep Singh Ahluwalia - MD & CEO, Canara Bank:
–So, sir, I have already said that it is our strong numbers, be it business growth, be it asset quality, be it profitability, operating profit, net profit and capital adequacy. And I don't see any reason that this growth will not continue. It will continue in the last quarter also. So, thank you, sir.
–Moderator:
–Thank you. That concludes Canara Bank conference call.
–END OF TRANSCRIPT

Call: May 2026

[redacted] Secretarial Department
[redacted] Head Office F +91 80 22248831
112, [redacted], [redacted] - 560002 112 J C Road, Bengaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.canarabank.bank.in

Ref: SD/90/91/11/12/2026-27 14.05.2026
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
Exchange Plaza
Bandra-Kurla Complex, Bandra [E]
Mumbai - 400 051
Scrip Code: CANBK

Sub: Intimation under Regulations 30 and 46(2) (oa) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call with Analysts/Investors for Q4 & Year Ended March 31, 2026

Ref: Our Letter SD:63/64/11/12/2026-27 dated 11.05.2026
Ref: Our Letter SD:79/80/11/12/2026-27 dated 11.05.2026

With reference to above and pursuant to Regulations 30 and 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we enclose herewith the transcript of post results Earnings Conference Call for the Fourth Quarter & Financial Year ended 31.03.2026 held on 11.05.2026.

The transcript of Q4 FY 2025-26 Earnings Conference Call is uploaded on Bank's website and the same can be accessed through below link:

https://www.canarabank.bank.in/earning-conference-call-transcript

This is for your information and records.

Yours faithfully,

Santosh Kumar Barik
Company Secretary

1Canara Bank
Analyst & Press Meet held on 11th May 2026

- Moderator:

- Good evening, everyone. We welcome Canara Bank's Q4 FY26 earnings conference call. I would like to thank the Canara Bank management team for giving us the opportunity to host this call. From the management side, we have with us Shri Hardeep Singh Ahluwalia, MD and CEO, Shri Bhavendra Kumar, Executive Director, Shri S. K. Majumdar Sir, Executive Director, and Shri Sunil Kumar Chugh, Executive Director. With this, I now hand over the call to MD Sir for his opening remarks, post which, we will start the Q&A session. Thank you and over to you, Sir.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Good evening to all. Let me first share the highlights of Canara Bank results. So, our global business stood at 28.0 lakh crore and it grew by 12.11 percent. Our global deposits grew by 9.71 percent and stood at 15.68 lakh crore. Our global advances grew by 15.30 percent and stood at 12.37 lakh crore. Net interest income for the quarter was Rs. 9,808 crore. It grew by 3.88 percent YoY. Our operating profit for the full year is Rs. 33,019 crore and it grew by 5.19 percent. Our net profit for entire year was Rs. 19,187 crore and it grew by 12.69 percent. Our provision coverage ratio improved by 151 basis point and stood at 94.21 percent. Our credit cost reduced by 33 basis points and stood at 0.59 percent. Our GNPA for the entire year, there was a YoY decline of 110 basis points and stood at 1.84 percent. Our net NPA, there was a decline of 27 basis points year on year and stood at 0.43 percent. We are proposing a dividend of 210 percent of paid up capital and our share face value price is 2. So, the proposed dividend is Rs. 4.20 per share.

- Our advances growth was led by RAM credit. The RAM credit grew by 19.73 percent and stood at 7.30 lakh crore. Retail credit grew by 32.93 percent and stood at 2.96 lakh crore. Housing loan grew by 17.55 percent and stood at 1.24 lakh crore. Vehicle loan grew by 26.33 percent and stood at Rs. 26,

070 crore. MSME credit grew by 12.85 percent and stood at 1.57 lakh crore. Our earnings per share improved by 12.68 percent and stood at 21.15. Our CRAR improved by 71 basis points and stood at 17.04 percent. Our slippage ratio 12 month is 0.69 which declined by 21 basis points.

- So these are the all key highlights of our performance. Joining me is Shri Bhavendra ji, Shri Majumdar Saab, Shri Chugh Saab and all my vertical heads to take all your queries and answers. Thank you.

2- Moderator:

- Thank you. We will now start the question and answer session. Participants who have a question, please raise your hand. The first question is from the line of Mr. Ashok Ajmera. Thank you and over to you, sir.

- Mr. Ashok Ajmera:

- Good evening, sir.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Good evening, Ajmera Saab.

- Mr. Ashok Ajmera:

- Ahluwalia Saab! As far as the business is concerned, the business growth is good. I mean, especially if you look at the credit growth, you have grown in this quarter also by 3.79 or 80 percent and overall for the whole year 15.30 percent. So, on the business front, there is no concern. I mean, you are growing well, much above the targets which you had given. But sir, however, there is a pressure on the profitability in the bank. I mean, both the operating profit and net profit has gone down, which is generally not seen in the other peer 4-5 banks of your size, that the operating profit has gone down by 2,361 crore as compared to the last quarter only, where I can understand in which, there must be some gain of that HSBC Canara, the treasury front, but still, the treasury income also has gone down even comparatively also, if you net it out from 1050 crore to 272 crores. And the recovery from the return of account also, which generally should be better in the March quarter has also gone down to 1646 crore against 2051 crores in the last quarter. So, sir, on the profitability front and that has resulted in a much lower NIM than the expected and the target also, I think your quarterly NIM was 2.54 and the overall annual NIM is 2.51. So, on that, I mean, is there something special which has been, which has resulted in this lower profitability in the bank and coming forward, those issues may not be there. How do we see the now coming quarter and the coming year now in view of these results?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Ajmera sir, if you see that our NIM improved 9 basis point and our net interest income, it improved 549 crores. If you compare our peer banks, so our NIM has improved, our net interest income has improved. Only as rightly pointed, why there is a drop in operating profit and net profit by 2300 crores. So, sir, last quarter we had listing gains from Canara HSBC and Canara Robeco of 1930 crores. So, that was substantial enough.

- Secondly, due to geopolitical situation, the bond yields moved from 6.59 to 7.05 and the share market corrected by 4000 basis point. So, this has resulted into MTM losses of 800 3crores. This may not be going ahead for the quarter, this may not be there in the June quarter, but the one-time listing gains were factored in the last quarter of 1930 crores. And regarding the TWO recovery, generally our TWO recovery hovers around 1500 to 1600 crores. If you see last year for the full financial year, the TWO recovery was 6800 crores and in this financial year, it is 6500 crores. So, there in the total TWO recovery, there is no substantial dip, but only some high ticket resolutions come in a particular quarter, but normally it hovers around 1500, 1600 crores per quarter.

- Mr. Ashok Ajmera:

- Now, sir, point well taken, sir. Even I had analyzed it that there was some additional profit in the last quarter because of those two listing gains. But having said that, sir, now these two things are clear. Now, the RBI has given the clear guide

lines for the ECL. So, on that
now, as far as the provisions are concerned, how much buffer provisions to take care of that or the planned provisions which we already have in our books and how do we plan to meet, now going forward, the provisioning norms as per the final guidelines given by RBI?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Sir, if you see that our SMA is best in the industry, it is only 2.75%. While the advances is growing up in absolute numbers, our SMA is coming down. In the December 25, our SMA book was 35,000 crores. Now, it is 33,728. So, although the advances is going up, our SMA is coming down.

- Now, coming to the ECL part. Now, sir, on ECL front, stage 1 and stage 3, both are almost at par with the IRAC norms. Our PCR is 94.21. For stage 3, it is adequate enough. For stage 1, it is at par with IRAC norms. Only at stage 2, we see that in stage 2, the regulatory floor has been moved from 0.4 to 5%. So, some additional provision will be required and we presume it will be 2,500 crores. And the probability of default in stage 1, stage 2 and stage 3 will be an additional 2,500 or maybe it may range up to 5,000 also. And additional non-fund requirement will be 2,500. Total requirement will be 10,000. And it can be staggered to 4 years. And our profit is in the range of 19,000 to 20,000 crores. So, bank is in a very, very good position to absorb the entire in the first go itself. If we absorb in the first go itself, then there will be a drop of 1% in the CRAR. And bank is adequately capitalized. Our CRR is 17.04, much above the regulatory level.

- Mr. Ashok Ajmera:

- Yes, sir. So, you are well prepared for that. Sir, now, going forward, the government has also announced, because you also referred that there is some geopolitical situation, which is, I mean, which is building up now in the pressure. In fact, in the March, the effect might not have been seen because of the West Asian, this West Asian war also. But now, I think you must have started feeling the heat. And government is equally, you know, being a 4proactive measure, has announced ECLG 5-0, creating a lot of buffer, I mean, two and a half lakh crore rupees of the planned this thing. So, in our bank, have we calculated that how many customers, I mean, how much amount the customer can use through this line? And how are we prepared for that? And will it not add to our credit growth, which we already planned? Will it not give a flip to it? Are you feeling any stress already?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Sir, see, this quarter, our slippage was 2771 crores. Last year, last year in the same quarter, it was in the March, because we have to compare from the previous March only. So, last year also, the slippage was 2702. This year, it is 2800 crores, roughly. So, it is in the similar levels. So, in the March, what happens, sir, some MOCs are because branch audit is conducted across the country. So, some MOCs are, we should not compare from the December, we have to compare from March to March. So, we do not see any stress building as on date, because it is almost at par with the previous March. And out of this 2771, 1333 is for MSME. So, MSME, some slippage has been observed, but not that much. And for coming to your point that ECL-5, bank has already worked on that one, and the entire portfolio that is affected is about 90,000 crores. And the additional exposure will be around 18,000 to 20,000 crores. Definitely, it will give some flip to the advances.

- Mr. Ashok Ajmera:

- So, going forward, sir, there is no concern according to you and no concern has seen, has been, I mean, is building up even in April, May also, because of that war situation.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- No, sir, if you see our slippage ratio at 0.69% and our SMA is 2.75, both are industry best actually. So, as on date, no concerns. An

d going forward, this ECL-5 will definitely help the affected area.

- Mr. Ashok Ajmera:

- All right, sir. Thank you and all the best.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Thank you.

- Moderator:

- Thank you, Ashok sir. Next question is from the line of Param Subramaniam. Param, you are unmuted, please go ahead with your question.

5- Mr. Param Subramaniam:

- Hi, sir. Thanks for taking my question. Firstly, on the advances growth guidance that you have given of 11% to 12%, so we have closed this year with 15+. So, any reason we are calling for a moderation in the credit growth next year?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- No, sir. Actually, bank has a tradition of giving some conservative numbers because GDP growth is projected at 6.9%. And we have seen what earlier guidance has been given by us. And accordingly, it has been projected. I am confident that bank will end up much above the guidance numbers as it ended up in this financial year.

- Mr. Param Subramaniam:

- Perfect, sir. Very useful. Sir, secondly, on the PSLC, so some of the private banks are, you know, they are facing issues on their PSL compliance. Would it be fair to assume our next year our PSLC income will be higher than this year? Or any comment you can give on that?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Sir, PSLC, continuously our PSLC income is around 2500 crores. We derive that income. And this year also we are confident that we will derive this PSLC income. Because we are above in priority sector credit, we are exceeding all mandated norms. So, definitely we will gain advantage out of selling the PSLC.

- Mr. Param Subramaniam:

- So, sir, it should be similar to FY26 next year?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Yes, sir. Yes.

- Mr. Param Subramaniam:

- Okay. Okay. Okay. Sir, in the comment you made on ECL, I understood the one-time impact. But on the run rate impact of how much it can affect your say credit costs on a run rate basis. If you could speak a bit about that, say from FY28, and whether the bank can sustain 1% plus ROA even after implementing ECL on a run rate basis.

6- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Sir, our credit cost is continuously coming down. That is because our SMA in absolute number is coming down. If you see that the SMA from 3%, it has come down to 2.75%. And so, slippage will be hovering around this range only. So, we do not see any threat in coming up.

- Mr. Param Subramaniam:

- Sir, even after implementation of ECL, you think you can maintain similar credit cost guidance on a run rate basis?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- I presume that we will maintain this.

- Mr. Param Subramaniam:

- Okay, sir.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Because our SMA levels have come down substantially.

- Mr. Param Subramaniam:

- Yeah, fair enough. We can see that, sir.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- In December, in absolute terms, the outstanding was 35,604. This year it is 33,000. In March, this is 33,728. So, although my credit is growing at 15%. And if you compare from last March, last March 25, my SMA book was 40,481. Now, it has come down to 33,728. So, I am confident that I will be able to maintain this slippage numbers and credit cost.

- Mr. Param Subramaniam:

- Okay, sir. Sir, one last question. Sir, on NIM, you have given your guidance. But will you have passed through the entire December rate cut? And from here, how do you expect margins to trend, say, from first quarter onwards? Because your guidance is 2.5 to 2.6 on a trajectory basis, if you can.

7- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Sir, you see in this quarter, our NIM improvement was 9 basis po

int. So, already we are
very, very, because our credit growth is very high at 15.30. So, that places us uniquely to negotiate on pricing. So, we are not entertaining low yield advances. We are capitalizing on expanding RAM credit. And we are very, very conscious on bulk deposits, pricing of bulk deposits. So, the combined effect, our NIM has taken an uptake of 9 basis point on this quarter and 1 basis point cumulative. So, we presume that it will hover around 2.5 to 2.6 here.

- Mr. Param Subramaniam:

- Very useful, sir. Just your LCR number if you can share. That is my last question for this quarter.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So, LCR was 118%. It is much above the regulatory level of 100%.

- Mr. Param Subramaniam:

- Okay, sir. Thank you so much and congrats on that. Thank you, sir.

- Moderator:

- Thank you, Param. The next question is from the line of Jai Mundra. Jai, you are unmuted. You can go ahead with your question.

- Mr. Jai Mundra:

- Hello, can you hear me?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Yes, Mundra sir. Namaskar.

- Mr. Jai Mundra:

- Namaste, sir. Hi. Sir, a couple of questions, sir. First, just a clarification, sir on gold loan. How much is the total gold loan outstanding in retail and non, in agri and non-agri?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Sir, my gold loan portfolio is 2,45,000 crores.

- Mr. Jai Mundra:

- Okay.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- And out of which agriculture is 1.54 lakh crores. The remaining non-agri is 91,000.

- Mr. Jai Mundra:

- Right. Okay. So, okay. So, that is good. So, that has also grown, right? So, last quarter it was, I think, 2.2 trillion. It has now become 2.45 lakh crores, right? So, the gold portfolio, even on a QoQ basis, is growing at a decent pace. Do you see…

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Yes, sir. Yes, sir. It has…

- Mr. Jai Mundra:

- Yeah. Sir, so, going ahead, do you see that now this is a 20% of the overall loans? Would you believe the growth here to be single digit or you believe it will still be in double digit even though it moderates? Is there any thoughts there?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Sir, it will be in double digit because traditionally our number of branches are high in South India, sir. Here, people don't place on deposits. That is why we are lacking. On one side, we are struggling on CASA. But on asset side, we have this advantage of gold loans. People are more comfortable going to branches availing this gold loan. So, that is why we are confident that it will grow with the same pace.

- Mr. Jai Mundra:

- All right. Okay. Sure, sir. And, sir, on ECL, you mentioned that SMA 1… I mean, total SMA you have given, but if you have the number separately for 0, 1, and 2, I think that will be useful if you have the number separately for 0, 1, and 2 together.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- SMA 0 is 10961. SMA 2 is 9732 only. SMA 1 is 13,035. So, the total is 33,728.

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- Mr. Jai Mundra:

- Okay. So, SMA 0 - 10,000. SMA 1 also around 11,000 and rest 9…

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- 13,000. SMA 1, 13,000.

- Mr. Jai Mundra:

- Right. Okay.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- SMA 0 is 11,000.

- Mr. Jai Mundra:

- Right, sir. And, sir, on your provisioning, right, so an ECL and provisioning, I think few banks, they have said that they want to raise capital, maybe for ECL, because asset quality across banks have been, you know, much strong and there is a strong growth in regulatory capital also. Your thought process, sir, if ECL, like you mentioned, 100 basis point impact, which seems very moderate, even if… because you also have 5 years. Any tho

ughts on
capital raise or any need for that, sir?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Sir, our profit ranges between 19,000 to 20,000 crores. So, this will continue, I think, for the next year also. So, if the need be, if need required, we will go for capital raising. And since it has not moved to the board, once board permissions, then I will share it with you. I think within couple of months, we will share that number with you.

- Mr. Jai Mundra:

- Okay, sure. And lastly, sir, on your NIM question, you mentioned a stable NIM guidance going ahead, but sir, you also raised TD rates in the month of December and January by around 30-35 basis point. So, how should one look at cost of term deposit or cost of deposit on a blended basis? Do you think that cost of deposit now has bottomed and even including Q1 FY27, this should start inching up or you think that blended cost will still decline?

10- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Sir, we are very conscious on pricing, on bulk deposits and CD. So, we work on the blended model only and we are very conscious what is the rate of inflow and what is the rate of outgo. So, that margins we keep always in mind while quoting price. That is how our NIMs have improved in this quarter.

- Mr. Jai Mundra:

- No, sir, going ahead, do you think, because we raised, not all banks have raised term deposit rates, we did in December by around 35 basis point. So, I wanted to check, sir, has the cost of deposit bottomed out or you think because select maturity only have raised interest rate, but you may still gain on bulk or otherwise. So, how to look at the incremental, sorry, the blended cost of deposit?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Sir, why we had raised because our retail term deposit even after raising was much cheaper than the bulk deposit rate and the idea behind to have a more flow in retail term deposit rather than bulk deposit and that is what exactly has happened in the fourth quarter which benefited us and our cost of deposit has substantially came down, if you see.

- Mr. Jai Mundra:

- Right, right, okay.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- That is why you can see the fantastic impact on net interest income of 549 crores, you can compare with peer banks, ours is much better.

- Mr. Jai Mundra:

- Correct, no, no, sir, absolutely, it is much better. And sir, I just wanted to check two things since you mentioned peer banks, if you have the number of corporate loans or the overall loans which are linked to tables, that is one. And sir, we have a TWO recovery of around 6500 crores this quarter, this year as a full year. If you have any number which goes to NII line item out of this NPA recovery, because that may or may not grow as much as the loan growth, right, because the TWO recovery. So, three things, one, TWO recovery outlook, number two, TWO recovery that goes to NII line item and see the T-bill link corporate loans. Thank you.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So, sir, in TWO your interest income on your TWO advances, so it ranges about 350 to 400 crores. Almost it contributes to every quarter this interest income is contributed and we are confident going ahead it will continue, sir. And TWO recovery also it hovers around 1500 to 1600 crores in a quarter that may vary because of one big ticket resolution. If you see for the financial year 25, it was 6800 crores and this year it is 6500 crores, almost at same level. So, it will continue. This will also continue.

- Mr. Jai Mundra:

- Sure, sure. All right, sir. And the T-bill number if you have…….

- Moderator:

- Jai, we request you to come back to the queue for the remaining questions.

- Mr. Jai Mundra:

- Thank you, sir.

- Moderator:

- The next question is from the line of Maruk Adaja

nia. Maruk, your line is unmuted. You can proceed with your question.

- Ms. Maruk Adajania:

- Hello. Good evening.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Good evening, madam.

- Ms. Maruk Adajania:

- Good evening, sir. Can you hear me?

- Moderator:

- Yes.

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- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Yes, yes.

- Ms. Maruk Adajania:

- Sir, I had a question. If your cost of funding, you know, you're confident about your cost of funds and the balance sheet is in a good shape, then why is your loan growth guidance not as good as other banks? Because other banks are giving a much higher guidance. What is the constraint here?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- There is no constraint. We see that GDP projection is at 6.9 percent. So, accordingly we project and we see last historically what we have given the guidance. Although we have surpassed these numbers and also we are confident that we will surpass it again. So, the basis has been this only. The GDP growth projection and the past historically, how much guidance we have given in the last three years, that forms the basis of giving the guidance.

- Ms. Maruk Adajania:

- Okay, sir. Got it. And sir, coming back to ECL, would you, is there any way to find out what will be the run rate impact? So, on an ongoing basis every year, how much will ECL add to the credit cost?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So that we have not worked it out because it is a forward-looking provision. So that probability of default of any loan for the next year. So, we have roped in a knowledge partner, E&Y, and the system level implementation will take place in September. Roughly, we have calculated that the impact will be about 10,000 crores and looking at our profits, we can absorb in one go. But there is a provision that we can absorb in four years. So, bank is very, very comfortable on ECL front.

- Ms. Maruk Adajania:

- Okay, sir, thank you. Thank you, sir. Thank you.

- Moderator:

- Thank you, Maru. The next question is from the line of Suraj Das. Suraj, your line is unmuted. You can proceed with your question.

13- Mr. Suraj Das:

- Yeah. Hi. Hi, sir. Thanks for the opportunity. Two, three questions.

- First, on the gold loan, while you highlighted that the retail gold loan is growing, it seems like your Agri gold loan is not growing for last two, three, four quarters almost. Last quarter, it was 1.5 lakh crore. It seems like this quarter is also 1.54 lakh crore. And in the beginning of the year, I think it was 1.4 lakh crore. Any challenges there, sir, or it has to do anything with the RBI revised guidelines or something like that?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- My colleague, Bhavendra ji, will answer this.

- Mr. Bhavendra Kumar - Executive Director, Canara Bank:

- No, no. Actually, our figure is 2.4 lakh crore and it's not that we have not been growing in the last two or three quarters. So, with the aftermath of RBI direction, we have changed certain restricted customers, how they can engage with the branches with the income numbers. So, because of that little slowness is there, but not that we have consciously taken anything in that direction to a stop. So, nothing is there because our retail portfolio is growing as it was growing earlier. So, from April 1st we have…

- Mr. Suraj Das:

- No, sir. My question is on the Agri gold only. On Agri gold only.

- Mr. Bhavendra Kumar - Executive Director, Canara Bank:

- That is what. That is what.

- Mr. Suraj Das:

- Last quarter it was 1.5 and in the beginning of the year, it was 1.4.

- Mr. S. K. Majumdar - Executive Director, Canara Bank:

- Shall I say, if you see that whatever loss you are seeing in Agri is compensated in retail.

- Mr. Bhavendra Kumar - Executive Director, Canar
a Bank:

- Retail. Yes.

- Mr. S. K. Majumdar - Executive Director, Canara Bank:

- It is a deliberate attempt from the bank. If you see in other than rural, that is semi-urban and urban, we are mostly…

- Management team – Canara Bank:

- In rural also, we are growing at 14.1%.

- Management team – Canara Bank:

- That is there.

- Mr. S. K. Majumdar - Executive Director, Canara Bank:

- That in these areas, we are giving only retail. So, if you see overall, you have to read both put together. If you are seeing in one side, agriculture is showing a slower growth, but retail is taking up its place.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- It is exponentially high. Yeah.

- Mr. S. K. Majumdar - Executive Director, Canara Bank:

- It is both combined, the growth remains constant. So, you should not look at it in isolation. It should look at combined portfolio in compliance with RBI guidelines. This is mostly in compliance with RBI guidelines we have devised this.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- And gold loan portfolio is growing at 33-34% of which the Agri gold portfolio is growing at around 15%. And we have to comply with all RBI guidelines also. So, I presume that it will go in the same manner.

- Mr. Suraj Das:

- Sure, sir. I will probably reach out separately for any further clarification. Two last questions.

- One on the current account. I think the growth has been a sharp negative number. Any reason for that?

15- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- There were four accounts which were having big, big ticket four accounts. So, I cannot name that. So, that is causing the variation in current account. Apart from that, current account is growing at a healthy pace.

- Mr. Suraj Das:

- Sure. And sir, last question. If you can give your stage 1, 2 and 3 provision as per the IRAC norm, whatever you are holding currently in absolute terms, roughly, rough ballpark figure will do.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So, you are talking about ECL provision?

- Mr. Suraj Das:

- Right. No, I think you said in the opening commentary that stage 1 you are adequately provided. Stage 2 is where you need some buffer provision. And stage 3 also you are adequately provided. So, I just wanted to check the absolute number if it is readily available. Else I can reach out separately.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Absolute number can be shared only after the implementation of system. That I can share only after the implementation. Roughly, we have worked around 10,000 crores. And we are making a profit of 19,000 to 20,000 crores. And this also can be staggered for four years. So, easily we can absorb entire in the first go itself.

- Mr. Suraj Das:

- Sure sir. Okay. What is your total standard provision number?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- My standard provision number is….

- Mr. S. K. Majumdar - Executive Director, Canara Bank:

- 4,500.

16- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- 4500.

- Mr. Suraj Das:

- Thank you so much, sir.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- And apart from that, there are three big ticket accounts which are in SMA, where there is no need for provision but we have made, as a prudent banker, we have made a provision of 1,890 crores in that.

- Mr. Suraj Das:

- Okay, sure. That's all from my side.

- Moderator:

- Thank you, Suraj. The next question is from the line of Gaurav Kochar. Gaurav, your line is unmuted. You can proceed with your question. Gaurav, are you there? Alright, so the next…..

- Mr. Gaurav Kochar:

- Hello, am I audible? Hello?

- Moderator:

- Yes, you are audible.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Yeah, yeah Ga

urav…Audible.

- Mr. Gaurav Kochar:

- Thank you for the opportunity. So, I have couple of questions, sir.

- First is on the PSLC. I am just looking at the small and marginal farmer. Because I am assuming that large part of our PSLC come from selling PSLC of small and marginal farmer. So, if I look at, let's say this year, the excess that we have is about 2.5%. So, we did about 12.5% versus 10% which is required. If I look at the same number last year and last to last 17year, that number was much higher at 3.4% and 6%. So, is it fair to assume that the surplus that you carry this year is slightly lower than what you had last year?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- No, no, no. We have worked it out and this will be at the same level this year also.

- Mr. Gaurav Kochar:

- Okay, okay. So, the PSLC income you expect to be similar as last year?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- 6,500 crores.

- Mr. Gaurav Kochar:

- Right. 6,500. Okay, got it. 6,500, sir? I think 2,600 was the number this year.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- No, no. It is 3,000. It will be around 3,000.

- Mr. Gaurav Kochar:

- Okay. Okay, got it. Sir, the second question is with respect to the recovery from return offs. While you have alluded to about 15-16 billion per quarter sort of recovery, but let's say in the immediate quarter, do you expect any large ticket account getting recovered? So, for let's say this Q1 FY27, you expect 15-16 billion revenue to continue?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- For Q1 already, we have one big ticket part amount has been recovered of 300. We are very confident that this number also we will be achieving this quarter.

- Mr. Gaurav Kochar:

- Understood, understood. Perfect, sir. That's all from my side. Thank you.

- Moderator:

- Thank you, Gaurav. The next question is from the line of Ashlesh Sonje. Ashlesh, your line is unmuted. You can proceed with your question.

18- Mr. Ashlesh Sonje:

- Hi, sir. Good afternoon. Sir, first question is again on gold loans. Wanted to check if you have taken any increase in the pricing on either Agri gold loans or retail gold loans over the past 1, 2, 3 quarters?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So, that increase in pricing is factored. But we are very, very conscious about LTV. We operate well within the LTV ratios prescribed by the regulator.

- Mr. Ashlesh Sonje:

- Okay, sorry, sir. Let me clarify. The question is about the pricing of the interest rate on gold loans. Has that increased over the last few quarters?

- Mr. Bhavendra Kumar - Executive Director, Canara Bank:

- No, no, no.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- No, we have not increased.

- Mr. Bhavendra Kumar - Executive Director, Canara Bank:

- No, we have not increased.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- I thought the price of gold…

- Mr. Bhavendra Kumar - Executive Director, Canara Bank:

- And the LTV ratio, we have kept maximum at LTV.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Pricing on gold loans. Rate of interest rate.

- Mr. Bhavendra Kumar - Executive Director, Canara Bank:

- Not increased. And LTV also we have kept in check.

19- Mr. Ashlesh Sonje:

- Understood.

- Mr. Bhavendra Kumar - Executive Director, Canara Bank:

- Below 70%.

- Mr. Ashlesh Sonje:

- Would it be fair to say… Yeah. Sir, would it be fair to say that all the Agri loans are largely linked to MCLR and all the retail loans are largely linked to repo? Is that a fair understanding?

- Mr. Bhavendra Kumar - Executive Director, Canara Bank:

- Yes, yes, yes.

- Mr. Ashlesh Sonje:

- And the average yield would be somewhere around 9%, right? On both the portfolios?

- Mr. Hardeep Singh Ah

luwalia - MD and CEO, Canara Bank:

- Yes, near 9%.

- Mr. Bhavendra Kumar - Executive Director, Canara Bank:

- Near, near, near. 9%.

- Mr. Ashlesh Sonje:

- Understood. Sir, second one. In the provision line in the P&L, there is a negative provision in the other provision line. Can you explain what that is coming from?

- And thirdly, if you can also share the segmental breakup of slippages for the quarter.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So, provision in the large borrower framework, there is a release. As per the RBI guidelines, some 307-crore release is there. Because it is no more required. So, that is one of the factors.

- Mr. Ashlesh Sonje:

- But if I look at the number, it is close to 800 crores.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Earlier, there was 3% prescribed by the additional provision for large borrowers. Now, this has been dispensed by the regulator. So, there is a release of 307 crores.

- Mr. Ashlesh Sonje:

- Understood, sir. Sir, but the negative provision is close to 870 crores. That is why I wanted to ask you.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- See, in standard accounts, also in three big accounts, we were maintaining additional provision. Their balances have gone down. So, that is why some release is also there.

- Mr. Ashlesh Sonje:

- Understood, sir. And if you can also share the segmental breakup of slippages, that would be good. Sir, just lastly, one comment from you. I understand that there will be… as in we will go through the ECL transition over the next few years. But in spite of all of that, you believe the bank can deliver a 1% ROA?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Sir, I presume yes. Bank can deliver that. Although we have kept it at a conservative level, bank can deliver that. That is why we have given it our return on asset more than 1%.

- Mr. Ashlesh Sonje:

- Understood, sir. Perfect. Thank you. Those were all the questions I had. If you can also share the segmental slippages, that would be helpful.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Segmental, I can tell you, 2,771 is the total slippage that has happened in this quarter. Out of which, 1,333 is for MSME. Agriculture is 886. Corporate 80. Gold loan 41. Retail some 431 crores.

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- Mr. Ashlesh Sonje:

- Understood, sir. Thank you very much.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Thank you.

- Moderator:

- Thank you, Ashlesh. The next question is from the line of Parth Gutka. Parth, your line is unmuted. You can proceed with your question. Parth, are you there?

- Mr. Parth Gutka:

- Yeah, hello. Can you hear me?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Yeah, yeah. Good evening, Mr. Parth.

- Mr. Parth Gutka:

- Yeah, hi, sir. Good evening. Thanks a lot for the opportunity, sir. In terms of RAM and corporate mix, we have now reached 59% of RAM and around 41% of corporate. So how far can we increase our RAM mix in the overall loan mix?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- We endeavour to reach at 60-40. 59 RAM and 40 corporate.

- Mr. Parth Gutka:

- Okay, okay. And within the RAM, we will continue to grow the retail segment because our Agri and MSME as a proportion of the overall loan has been coming off over the last four quarters. Is that the right understanding, sir?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Yes, yes.

22- Mr. Parth Gutka:

- Okay, okay. Thanks a lot, sir.

- Moderator:

- Thank you, Parth. The next question is from the line of Sushil Choksey. Sushil sir, you can proceed with your question.

- Mr. Sushil Choksey:

- Good evening. Congratulations to Team Canara for a very stable result.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Ba

nk:

- Good evening, Choksey sir. Good evening.

- Mr. Sushil Choksey:

- Sir, looking into FY27, can you tell me what is undisbursed credit and how is the corporate pipeline looking when you are guiding at 60 RAM, 40 corporate? Because RAM will have adequate support coming from government for the new scheme. At the same time, there would be demand. Whereas Southern India is seeing a robust demand where manufacturing, GCC and many other sectors are likely to come up. So, what is the outlook on corporate book?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So corporate demands are already NBG that is sanctioned by us. So, we have to finalize the proposals. That is lined up at around 20,000 crores. Another undisbursed corporate is around roughly about 20,000 crores. And the ECL, we expect that 18,000 to 20,000 to grow. So, we should make up the guidance number comfortably.

- Mr. Sushil Choksey:

- Sir, in data center, are we funding data centers with GPU or without GPU?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Yes, yes.

- Mr. Sushil Choksey:

- With GPU. And sir, how is the pipeline between power sector and data center?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Data center and power, both we are financing sir. So, regarding….

- Mr. Sushil Choksey:

- No, no. You are financing, I know sir. How is the pipeline sir?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Pipeline also we can share separately with you. We can share that pipeline.

- Mr. Sushil Choksey:

- Sir, how is the digit….

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So right now, I don't have breakup of the pipeline. In this gross numbers I am having.

- Mr. Sushil Choksey:

- Sir, these….

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So, regarding these two.

- Mr. Sushil Choksey:

- Sir, in view of now everything is getting digitized and initiated. So many other new programmes have been done at Canara. How is the cross-sell working? How many touchpoints from each wallet are we doing? And what is the digital spend we are likely to do this year?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So, we are very, very conscious about the number of products we can offer to our client. We already have 3000 customer relationship managers, very, very active on that front. So, we want to penetrate the customer not only to the customer but to the family. Now this year these customer relationship officers will be penetrating to the entire family and we have products for that. So, we will try to have more and more wallet share out of each individual sir. And regarding digital penetration sir, we are growing at a very, very 24handsome growth. So, for the last year the number was 1,204 crores digital transaction. Prior to that that was 940 crores. So good impressive growth has been seen. Our mobile app is ranked number one in Google Play store. So, people are accustomed to our app and they are popularizing that. So digital transactions are improving sir.

- Mr. Sushil Choksey:

- Sir, any update on mutual fund and insurance, sir, and the Can Fin Homes? From your side, not the company's outlook?

- Mr. S. K. Majumdar - Executive Director, Canara Bank:

- I want to to what is …. Any update on Can Fin Homes?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Okay. So, they have their own individual board sir. They will be announcing that result separately.

- Mr. Sushil Choksey:

- No, no, no. I understand that. I am not saying that we are a stakeholder. Every now and then we talk about monetizing that stake. At the same time there are a lot of opportunities to combine.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Further dilution we don't foresee sir. Already 14.5% in Canara HSBC and 13% in Robeco, we have already done

that. And we have gained some 1,930 crores in the previous quarter. Going ahead we don't foresee any dilution.

- Mr. Sushil Choksey:

- Thank you for answering all my questions and good luck for the year sir.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Thank you, sir. Thank you, Sushil.

- Moderator:

- Thank you, Sushil sir. The next question is from the line of Mr. Manish. Manish your line is unmuted. You can proceed with your question. Manish are you there? Okay.

25- The next question is from the line of Dixit Doshi. Dixit your line is unmuted. You can proceed with your question.

- Mr. Dixit Doshi:

- Yeah. Can you hear me?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Yes, Dixit ji please go ahead.

- Mr. Dixit Doshi:

- Thank you. Thanks for the opportunity and congratulations for a decent performance sir. I have one question. So now as you've mentioned that we are now 20% of our book is now gold loan and recently we had some news of gold loan fraud in April. Some media articles. So, if you can just elaborate a bit that what we are doing to check that… what are the check we do so that these kinds of frauds don't happen?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Sir number of checks we have put in place.

o One is the entire portfolio of a quarter whatever we have disbursed that gets reappraised in the subsequent quarter.
o And for high value gold branches we have a plaza, a dedicated officer dealing in gold loans.
o Third is the security systems we have enhanced. So, where gold loans are more, we have kept additional security guard 24 x 7 for manning these branches.
o And we have TRTL safe at all these places for safe up keeping of gold.

- So, number of checks and balances are there but one-off incidents keep on occurring. But the NPAs are very, very minimal in gold loan. It's a very, very productive product to us.

- Mr. Dixit Doshi:

- Okay. Okay, that answers….

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- And that is insured also.

26- Mr. Dixit Doshi:

- Okay. So, the question was more towards…. so, there are two type of accident happens. One is that you know some theft happens. So that's a routine. So, it does happen to anyone. But the other thing which happens is if somebody give a fake gold or something like that. So, what we are doing to avoid that thing?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So, we have panel appraisers in place. So, every quarter the same whatever gold loans we have done that will be reappraised by a different valuer. That will be sent by a regional office. So, regarding spurious quotes and all that will be immediately detected after reappraisal, it goes for reappraisal.

- Mr. Dixit Doshi:

- Okay. And any update you have from government side regarding the Full time MD CEO?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So, we are also waiting sir.

- Mr. Dixit Doshi:

- Okay. Okay. That's it from me.

- Moderator:

- Thank you. We take one last question which is from the chat box. Can you explain why the yield on advance is declined by only 5 basis points during the quarter in spite of the 25-basis point repo cut impact?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So, 50% of our portfolio is repo linked. And if you see in the December there was a 25% reduction in repo rate. That is why it has impacted. 5 basis point it has come down.

- Participant:

- May I ask one question ma'am, if you permit? If the time permits.

- Moderator:

- Yes sir.

- Participant:

- Thank you, ma’am. Sir, when we look at our current run rate of operating profits excluding the provisions and the contingency part, we reposted 6,757 as the precise number. So, taking into account the current environment and taking into account the repricing of deposits al

so if you could just give us some color whether we can defend this operating profit number going ahead because the other are more variable number depending upon how the market dynamics plays out?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So, we are very, very confident that we will protect because this includes your MTM losses. So very soon some reversal will be seen. Already it is showing in our books. So, we are very confident that it will be protected going ahead.

- Participant:

- Okay. And you mentioned that the NIM trajectory will be 2.5 to 2.6 and the ROA will be in the trajectory of 1%. This is what for the current year looks like.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Yes sir. Yes sir.

- Participant:

- And the growth in business will be 11 to 12%. That is the advances part, that number you have given.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Yes, but we are confident of exceeding that. So last year also if you see, 10 to 11% guidance was given but we ended up at 15.30%. This year also although it is projected at 11 to 12%, we are confident that we will exceed.

- Participant:

- Okay, sir. And last point is what percentage of our deposits are linked to the floating rates. So, they get repriced as soon as there is any change in the interest rate scenario and….

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Deposit nothing is there.

- Participant:

- Didn’t get you sir.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- In deposit nothing is there which is floating in nature.

- Participant:

- Okay, everything is fixed.

- Mr. S. K. Majumdar - Executive Director, Canara Bank:

- Not fixed.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Not fixed at demand. There is two categories. One is demand deposits and what is the term deposit. Term deposits are fixed for that particular tenure. Demand deposits can be withdrawn at the will. Savings and current.

- Participant:

- Correct sir. Right sir. Thank you, madam, and thank you sir for answering and hope for further interaction going ahead. Thank you. All the best to the team.

- Moderator:

- Thank you. There is one last quick question in the chat box. Please share the number on the stage 2 provisioning.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- So, it is yet to be implemented stage 2 provisioning. Once system level implementation takes place then we will share this number.

- Moderator:

- Okay.

29- Participant:

- Excuse me?

- Moderator:

- Okay.

- Participant:

- I’ll be asking just one question.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Yes madam.

- Participant:

- Sir firstly, while all the indicative parameters have been projected to grow do you mind going over why earnings per share and return on equity is marked down from the present year numbers?

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Yes madam, you see this year we had a gain of 1,930 crores from delisting…. listing benefits of Canara Robeco and Canara HSBC where we diluted our share in Canara HSBC 14.5% and in Canara Robeco 13%. So, this 1,930 crores will not be there because it is a one-time income. So next year it won't be there. That is why it has been kept at conservative level.

- Participant:

- Alright. And the…

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- It is at its…..

- Moderator:

- Yeah speak. We take that as the last question for the day and now hand over the call to the management for closing remarks.

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- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Thank you, madam. All I can say that this year also what we have given the guidance numbers, last year also apart from two that is CASA and NIM. So, we could achieve all, out of 13 we could a

chieve 11 parameters. Next year also we are very, very confident
whatever guidance has been given we will try to deliver these numbers. Thank you.

- Moderator:

- Thank you. That concludes the call for the day.

- Mr. Hardeep Singh Ahluwalia - MD and CEO, Canara Bank:

- Thank you.

END OF TRANSCRIPT

Call: Jul 2026

■■■■■■ ■■■■■ Secretarial Department
■■■■ ■■■■■■■ Head Office F +91 80 22248831
112, ■■ ■■ ■■■, ■■■■■■ - 560002 112 J C Road, Bengaluru - 560002 T +91 80 22100250
E-Mail - hosecretarial@canarabank.com www.canarabank.bank.in

Ref: SD/213/214/11/12/2026-27 29.07.2026
The Vice President
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 532483 The Vice President
Listing Department
National Stock Exchange of India Ltd
Exchange Plaza
Bandra-Kurla Complex, Bandra [E]
Mumbai - 400 051
Scrip Code: CANBK

Subject: Intimation under Regulations 30 and 46(2) (oa) of SEBI (LODR) Regulations, 2015 - Transcript of Earnings/Conference Call with Analysts/Investors for the Quarter ended 30.06.2026

Ref: Our Letter SD:193/194/11/12:2026-27 dated 20.07.2026
Ref: Our Letter SD:208/209/11/12:2026-27 dated 27.07.2026

With reference to above and pursuant to Regulations 30 and 46 (2) (oa) of the SEBI (LODR) Regulations 2015, the transcript of post results Earnings Conference Call for the Quarter ended 30.06.2026 held on 27.07.2026 is enclosed herewith.

The transcript of Q1 FY 2026-27 Earnings Conference Call is uploaded on Bank's website and the same can be accessed through below link:

https://www.canarabank.bank.in/documents/d/guest/canara-bank-q1-fy27-earnings-call-27-july-2026

This is for your information and records.

Thanking You,

Santosh Kumar Barik
Company Secretary

1Canara Bank – Q1 FY27 Earnings Call
27th July, 2026

- Moderator:

- Today, Brajesh Kumar Singh MD and CEO, Shri Hardeep Singh Ahluwalia, Executive Director, Shri Bhavendra Kumar, Executive Director, Shri S.K. Majumdar Sir, Executive Director and Shri Sunil Kumar Chugh, Executive Director. With this, I now hand over the call to the MD Sir for his opening remarks, post which we will have a Q&A session. Thank you and over to you sir.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Good evening, moderator and at the same time all my respected analysts. We have just declared our quarterly results today. Numbers, according to me, are good and so has market has also taken. So let me put forth some of the highlights first, then we'll go for question and answer. Global business has grown by 14.37% YoY at 29.05 lakhs of crores of rupees. At the same time, gold global deposit has also grown by 11.63% YoY against at 16.11685 lakhs crores of rupees. Then global advances grew at a handsome rate of 17.97% YoY at 12.93381 lakhs crores. Net interest income has also grown 13.39% YoY and it has first time there is a distinction. It has crossed 10,000 crores of rupees marks at 10,215 crores. Net profit also we could grow 2.19% YoY at 4,856 crores. We are very well capitalized. Our CET1 is at 12.91%. There is a gain of 62 basis points YoY. Total credit CRAR is at 17.17%, 65 basis points gain on YoY basis. We have increased our provision coverage ratio at around 95% at 94.76% to be precisely, which is 159 basis points more YoY basis. Gross NPA has come down 112 basis points YoY and it is now at 1.57% only. Net NPA has also decreased at 0.36% which is 27 basis points less YoY basis.

- And then if we talk about RAM credit retail agriculture and MSME, it has also grown 21.20% YoY basis and as of 30th June, it is 7,64,675 crores. Then retail credit out of this thing RAM has grown at 35.88% YoY and placed at 3,19,893 crores of rupees.

- Housing loan within the retail credit space has grown very good at 17.85% YoY and placed at 1,29,036 crores of rupees. Vehicle loan has grown little higher

at 26.34% YoY
and placed at 27,315 crores of rupees. 15.12% YoY growth we have registered under MSME and it is at 1,68,815 crores. 2.19% growth we have given YoY basis on earning per share that is placed at 21.47%. YoY credit cost has also reduced by 23 basis points and now it is at 0.49% only. Slippage ratio is contained at 0.60% and which is improved by 20 basis points YoY.

- So whatever the performance we have given, we have bettered everywhere on count of guidance whatever we have given. See business growth, we gave guidance of 10-11%

2which is now at 14.37%. Advances growth, we said will grow by 10-12% we have grown by 17.97%. Deposit growth, we said 9-10% then it is at 11.63%. CASA we said that it will be between 30-32% but that guidance was for March 27, we have 29.70% as of now. NIM, we said we will be protecting it between 2.50-2.60% and we have kept that at 2.52%, we are able to protect our NIM. Gross NPA, we said 1.50% March 27 annual full year guidance and against that we have already reached 1.57%, 112 basis points we have already reduced. Net NPA, we said 0.40% for annual target which we have surpassed as of now only at 0.36%. PCR also, the provision coverage ratio we said 93.50% but we have this thing raised it to 94.76%, we have bettered it at there. Slippage ratio, I said 0.80%, we said that our slippage we will be containing at 0.80%, we have contained it at 0.60%. Trade cost we envisaged at 0.75% but which is improved at 0.51% only. Return on equity 16.50% we said, now it is bettered at 18.07%. Earnings per share also we said 20, now it is 21.47%. Return on average asset we said, it will be hovering between 1.01-1.05% and we are towards the higher side of it that is what is at 1.04%. So you would see, everywhere whatever the guidance we have given, we have kept those guidance we have bettered those guidance. And again our performance should be seen in perspective of the total ecosystem, how our peers have fared and how we have fared.

- So that is all from my side. I hope it is liked by you people also and we are open for any further clarification in this regard.

- Moderator:

- Thank you sir. We will start the question and answer session. Participants, those who have any question please raise your hand. We will take the first question from the line of Ashok Ajmera. Please go ahead.

- Mr. Ashok Ajmera – Analyst:

- Hello! Good evening sir.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Ashok sir, namaskar.

- Mr. Ashok Ajmera – Analyst:

- Namaskar sir, namaskar! Compliments to you sir and the entire team of Canara Bank. Very good results. You rightly said that we will appreciate your results. Yes, we are definitely appreciating sir because on most of these all parameters, you have excelled. I mean better than the targets given. And the bank is now as in the range of now 20 lakh crore business bank soon touching 30 lakh crores and very very sound asset quality also. Your PCR also has increased to 94.76%. So yes, progress on all the fronts. Having said this, some observations and some clarifications.

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- Number one, is this on the SMA side. Our SMA 0 has gone up, whatever numbers are given. From 862 crore to 3315. And there is a migration from SMA 1 to SMA 2. You know like SMA 1 is reduced. But SMA 2 has also gone up from 1394 to 3482 crores. So, is it the normalized things or can it be seen in view of this present geopolitical situation or some stress building up in some of the MSME or retail accounts? That the SMA 2 numbers have gone up from 1394 to 3482 crores and even SMA 0 also has started. So some color on that.

- And based on that and connecting to that only, for this ECLGS5, what is the assessment made by us for the total eligible accounts? How much amount has been sanctioned and disbursed from that? So this is my first question Sir, on which I want your take sir.

- Mr. Brajesh Kumar Singh – MD & CE

O, Canara Bank:

- Okay, sir, I will answer one by one. So first question, you said that our SMA2 has increased. But at the same time you see SMA1 has decreased. So what has happened, there are 3-4 big accounts, which are, with every bank is a consortium finance. But these accounts are government guaranteed account. They keep on oscillating between SMA 0, 1 and 2. So I cannot take the name of the accounts. But they are high value account. But it will never degrade considering it is government guaranteed. And for quite some time, it is oscillating between 0, 1 and 2. So one account only has shifted from 1 to 2. But as of now, we speak, it has come down to SMA 0. So due to one account, this account has gone from SMA 1 to SMA 2. But now it is corrected. It stands corrected.

- Again same thing has happened in one account which was out of those 3 accounts only. It was out of SMA 0. But again, it has due to some problem on the last day, it has come in SMA 0. But now it is out of SMA 0 also. So there is nothing to worry. It is only due to 2 accounts. One account entered into SMA 0. As of now, as we talk, it is out of it also. And one account got shifted from 1 to 2. But it keeps on oscillating from one account to another account.

- So nothing to worry, sir. It is well controlled. And total SMA if you will see, it is only less than 3%. It is some of the industry best number. And we do not see any stress in our large corporate books. So little stress will be always there in MSME and agriculture. But that is also contained at less than 3%.

- Then the second question. We have identified around 90,000 crore worth of rupees of account, which are either to be eligible for Emergency Line of Credit 5.0. Out of that, we see a positive of around 18,000 crore rupees of advances, based on their eligibility. Out of that also, we have already sanctioned 11,000 crore plus amount. And out of that also, 10,000 crore is already disbursed. So we see, 5,000 to 6,000, considering everybody is not taking it also. So whosoever is taking we are lending. It is done through Jan Samarth portal and there is hardly any pendency on Jan Samarth portal also. But this is a dynamic

4situation. People keep on applying. And where we have this thing provided all those eligible accounts list to all our down the line, to our branches, our regions and circles.

They are also following with them explaining the benefits of taking emergency line of credit. So that is how we are placed. 10,000 crore plus disbursed, 11,000 crore plus sanctioned. Total domain is 18,000 crore. So we see 5,000 to 6,000 crore more there. This has helped in our good growth in our advances also sir.

- Mr. Ashok Ajmera – Analyst:

- Yes sir, 4.51% in this quarter and some of this might spill over in the next quarter. So the advance in credit growth is going to be robust even in the coming quarters also because of this sir.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Yes, yes.

- Mr. Ashok Ajmera – Analyst:

- Sir, something on this income side sir. On the income, the treasury income has contributed substantially in this quarter. Even in many of the other banks also. I mean beyond 1,000 crore is the treasury this thing. And another one, is the PSLC commission also. Other income if you see, it is 1,947 crore as against 393 crore in the last quarter. Whenever I compare, generally I compare with the last quarter only because it is a dynamic thing and considering with the 4 quarters earlier may not be realistic sometimes. So this kind of trend in the other income which has contributed substantially to this higher profit, whether it is going to continue or it is one time like PSLC might accrue in the coming quarters also and some of the other incomes also. And along with that, on the provisioning side also, there is other provision of 680 crores in this quarter as compared to 319 crore of the minus provisioning or deprovi

sioning in the
last quarter. So both of these have relevance with the profit and loss account profitability of the bank. If you can give some color on that sir.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- So, I will start with first treasury income sir. So treasury income is not there what it was there in the same time in the June quarter 2025 sir. That time, yields were softened so we could earn through treasury operations by sale of investments. And at the same time, RBI had their OMO operations also. So we could earn through arbitrages also. So last time, during the same quarter, the earning was 1,617 crore, which is not available this quarter considering there is no arbitrage available also. Yields have also hardened you have seen. So there is no fun in going and selling our investments. So we could only earn 654 crores by way of sale of investments. So there is a not gain but dent of 1,000 crore.

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- But at the same time, you rightly said PSLC, we will go to PSLC. So PSLC has got some peculiarity which happens mostly in the first quarter and little bit it is spillover in the second quarter. But that is not available across all the quarters. So yes, we have earned very handsomely on count of sale on this thing, practice sector, lending PSLC certificates. That is very good.

- Last year also, we could earn in the first quarter 1,684 crore. But this time it has bettered at 1,947 crore. You rightly said, last quarter in March quarter, hardly any PSLC happens. So 200-300 crores here and there, somebody is lagging behind that. So that was the answer of your second question.

- Regarding that provisioning sir, yes, we have done good provision in this quarter. Last quarter, if you rightly said, you compare it quarter to quarter. Last time, total provision in March 26 quarter was 2,252 crores. This time our provision is around 3,780 crores. That is more than 1,500 crore rupees more we have provided. So that is all basically on two counts. So first is on income tax this thing, some provision we have made. Another for employee, in others you see, last time it was 869 crore less provision was there. It was negative, which is 489 plus this time. So 300 crore we have provided sir for PLI for staff. Performance link incentive that is 300 crore. It's not here okay.

- Mr. Ashok Ajmera – Analyst:

- Yes sir. So my last question in this round sir. Hello?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Yes, yeah. Yes sir.

- Mr. Ashok Ajmera – Analyst:

- Did you get it, the figure or shall I?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- No, no it's okay sir. So we have provided more this time.

- Mr. Ashok Ajmera – Analyst:

- You have provided more……Sir, how are we prepared on the ECL front sir? What is the total assessment because now the numbers are clear now. And how are we moving about providing whatever amount is required to be provided? How prepared we are on that?

6- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Somehow, we got the idea about stage 1, stage 2 and stage 3. So, there we see around 10,000 crores of rupees extra provisioning will be needing. But at the same time, our provision coverage ratio is touching 95%. But we do not have exact idea about M2M. What happens on 1-4-2007? What is the market that time? So nobody has got that idea sir. That is a dynamic situation. But whatever is known, in the known there…. in the known knowledge….. That is 10,000 some plus crores. Even if we consider 2,000 crore there, mark to market. So it is 12,000 crores of rupees, extra provision will be requiring.

- But considering the kind of profit we are making, last year 19,000 plus crore profit we have made. This year also in the first quarter itself, 4,856 crore net profit we have made. So when we analyze, we will be again making around everything goes correct, around 19,000 crores of profit. So hi

gh profit and our capital adequacy would have seen, it is at
17.17%. Even with tier 1 we have talked about it, 15%. And if you see, it is 12.91%. So we are very comfortably placed against the regulatory requirement of 11.50%. So the total dent on capital adequacy ratio. Even if we provide it in 1 year only, whereas we have got the dispensation of 5 years. Still we are providing in 1 year. There will be 1.2 to 1.25% of dent. So we guess and we are trying to provide it in 2 years, not in 5 years, maximum in 2 years. So still there will be not substantial impact. Even if we are not raising any capital, we will be very peacefully selling through new norms of ECL. Technological preparedness and other things through knowledge partner. It is all in place. PD, LGD and EAD, we have got all those modalities in place. And by October, we will be having the dry run. So I guess we will be on technological aspect also. And on capital aspect, we will be very comfortable in going through the ECL process.

- Moderator:

- Thank you. We will take the next question from the line of Jay Mundra. Please go ahead.

- Mr. Jay Mundra – Analyst:

- Hello! Good afternoon sir.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Hello Jay.

- Mr. Jay Mundra – Analyst:

- Hi! Thanks for the opportunity. Sir, I wanted to check on the strategy part. You have come from Indian bank which has very clear balance on growth and profitability. They have the highest NIM within almost all PSU banks. And Canara Bank has actually one of the lowest NIM because of the lower CASA and maybe higher share of bulk deposit. So, I

7wanted to understand sir, how do you look at NIM and CASA balance at Canara Bank over the next one year? Do you want to focus more on NIM or you think that 2.55% kind of NIM is a decent outcome and you would focus more on the growth? Do you have an opportunity now to fix the liability or you think this is reasonably good for Canara Bank?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Okay, rightly you said. I have got experience of Indian Bank also which is one of the most efficient bank I would say. But at the same time, I am having experience of 28 years at Bank of Baroda also, which is on both side, I can be growth side or the balance sheet side and at the same time Canara Bank is also a big bank. Now we are in excess of 29 lakh crores of business. So yes, but my first focus and preference will be on efficiency parameters only. Growth is also important but at the same time I would like to be giving more emphasis on efficiency parameters. Rightly said, our NIM is towards the lowest side. I come from a bank where NIM is always all time high. That time it was 3.32%, now it is hovering around 3.50% also. But yes, we have started working on those parameters.

- Yes, our dependency on bulk deposit is more considering our CASA percentage is less than 30%, around 29.70%. So that we have started working and very heartening to note also, you would have seen in our presentation also, that our individual saving, saving individual not institutionally I am talking, it has increased by 12.48%. Then again, there is a very good traction in retail term deposit also, that is at 9.10%. So that is a good growth considering the tight market at present. So we are focusing by way of good quality products, by good way of placing, by good way of pricing and we are working on delivery channels also. We want to have good traction in SV individual and retail term deposit. So we have come up with very nice products also.

- So our endeavor is to slowly and steadily replace those high cost bulk deposit through not necessarily 100% by CASA but through retail deposits. Again, this good dispensation, we have given guidance that will be going to get around 2.5 billion of FCNRB, ECB and OFCB taken together. So which will also help us in reducing and replacing those bulk deposit considering

this is coming at 6.50% only. And again, there is dispensation of CRR and SLR also. So there will be further saving of 20 to 25 basis points there also. So it will be costing less than what we are as of now holding in bulk deposit. So that way, there will be and again whatever the growth we are getting in deposit, we are deploying it very gainfully considering very tight and quality underwriting. And keeping our credit cost, you have seen at very controlled way. So both side, we are working on yield on advances also and cost of deposit also. And you have seen that we have grown our CD ratio also from 75 to 80.

- Yield on fund, yield on investment is 6.90 whereas yield on investment is…. yield on advances is 8%. So again, we will get 110 basis point traction there. So that will help us in here. We will be certainly protecting our name and we will be further growing on it. Again that 100% basis points dispensation given last year in repo rate, by repo rate cut,

8that has also fully materialized. And it is now and cost of deposit also kind of stabilized and we are getting further growth towards low cost deposit and replacing bulk. So we will protect and we will even take it further. I am sure, I am hopeful.

- Mr. Jay Mundra – Analyst:

- Actually, the question is right now, there is a balance. I mean most banks cannot target above industry growth and still deliver, let us say higher NIM. Even for Canara Bank, we have grown loans at 18-19%. NII is 13%, 12-13%. So currently, the growth is not NIM accretive. So if this situation remains, would you be growing at 18-19% which is higher than industry or you would be focusing more on, let us say growing in line with your SA growth which is 12-13% and thereby protecting NIM or you would be lean towards higher growth and higher NII versus NIM? So that is the question sir.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- So, this year, there was a special growth under emergency line of credit also, around

11,000 crores of rupees we have sanctioned there also. And that, but it has happened towards it, it was I think placed across the quarter. So it has not happened in the first quarter. That is why that effect will come next. It will start coming from this quarter. Considering there, we are getting 1% more also. So whatever the incremental advances we are doing, considering good credit underwriting also but we are doing it gainfully, I said in a guarded way. But we are doing it at good rate, better than our average yield also, at sometimes we are doing. So it will further improve. Now first thing is efficiency, then only growth. But we will be striking a balance. We can't be stagnant also considering every bank has got different characteristics. This is a high business outstanding bank at the same time. NIM also if you approve. See, consider at 2.50%, we are making 19,000 crores of profit. Even if we are this thing moderating towards in our favor a little bit also, that will give us good distinct traction on net profit also sir.

- Mr. Jay Mundra- Analyst:

- Right! Sir, I will just on this point. So what would be your blended cost of bulk deposit? A rough guess will also help.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Okay. So this month, month over month. So every month, we are having a gap of in our favor around 29 to 30 basis price. Whatever the bulk, this thing deposits going outflow. and whatever the inflow is there. So we are, that way we are correcting it. So 20, 30 basis points here and there. Last month it was at 6.58%. So but it is improving every time.

- Mr. Jay Mundra – Analyst:

- So sir, when we have a yield at 8% and bulk deposit is anywhere between 6.5%. So clearly, as long as, I mean you can gain NIM if you shed bulk. And maybe grow a little bit softer on the overall deposit side. Because your incremental margin on that bulk deposit is around 1.5%, which is lower t

han the blended. So I wanted to check sir, would you be
keen on having higher growth, thereby higher NII or would you be more focusing towards taking this NIM of 2.5% towards maybe 3%. You have a choice right?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- No, no, what I say, we have to strike a balance. Overnight we cannot raise it from 2.5% to 3%. But what we are doing incrementally, you take example, we have said that we will raise FCNRB deposit to around say 2 billion. So that means 20,000 crore rupees will be coming. This we are betting at 6.50%. Again, there is a benefit of that negative carry of CRR SLR. That dispensation is also there. So it will be costing us around 6.20 some percent. So again there is a traction of 30 basis points. So it will all help us sir. So we are mindful of both the things. We are mindful of growth also, and we are mindful of this thing, leverage is also there.

- Moderator:

- Thank you Jay. We will take the next question from the line of Maru. Please go ahead.

- Ms. Maru – Analyst:

- Congratulations sir!

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Thank you.

- Ms. Maru – Analyst:

- Sir, I had a few questions. Firstly, on the FCNR deposit mobilization. How much do you think you can mobilize? That's my first question. And of course, Jay discussed a lot on margins. I just wanted to know the near term outlook on margins. Right, because you said that every month, the incremental deposit cost kind of comes down. So what will be your margin outlook for the next 2 to 3 quarters?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Okay, so should I?

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- Ms. Maru – Analyst:

- Yes.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- So first question first. FCNR B you have said, we have given guidance of 2.3 to 2.5 billions of dollars. And against that guidance, we said this month, in the month of July, we will raise 750 million dollars. Against that already, we have raised 775 million of dollars. And within these 4 to 5 days left in this month, our endeavor will be to cross 1 billion dollars. So that is our guidance on FCNR B and how much we have received.

- Then you have asked about this near term guidance on NIM. So we have given guidance of 2.50 to 2.60. We will try to better it. But even if we are maintaining at 2.60, you have to see in the total backdrop of the ecosystem. So everybody has lost on account of this thing, I mean NIM. But still we have protected our NIM and we have all the aspirations. And we have all the, I guess ability to raise it further, even more than 2.60%. But guidance remains at 2.60%. 2.50 to 2.60, considering the very tough and man headwinds in the ecosystem.

- Moderator:

- Thank you. We will take the next question from the line of Ashlish. Please go ahead.

- Mr. Ashlish – Analyst:

- Hi sir. Good afternoon. Sir, first question is about this comment which you made, that is happening at a higher price. Can you just elaborate a bit more on this part? How are you able to do this?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Could you please come back? I could not hear you properly.

- Mr. Ashlish – Analyst:

- Sir, you made a statement that incremental lending that you are doing is happening at a higher price. Correct me if I heard you wrong. Can you just elaborate a bit more on this part?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Your voice is breaking. Voice is breaking Ashlish. I could not get you.

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- Management Team – Canara Bank:

- The price what you want to know?

- Mr. Ashlish – Analyst:

- Sir, hope this is better. You made a statement that you are seeing the incremental price of lending going up.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Yes, yes.

- Mr. Ashlish – Analyst:

- Can you just elaborate on how you are able to do that?

- Mr. Bra

jesh Kumar Singh – MD & CEO, Canara Bank:

- See, we were having some sub-7 lending also. So, whenever it is coming to reset, we are resetting in our favor. And sometime we do not mind taking prepayment also. But incrementally wherever we are doing…Market is also little better now, so wherever we are doing, since we are not fighting for the growth only, we are getting good terms there also. And you would have seen again in our Total Advances mix, our RAM percentage has gone by 1%; from 58% to 59% it has gone. I know there are many benefits of growing RAM, considering the better leverage also there, diversified risk also, less credit cost also and at times priority sector reckoning also. So, that way we are trying to improve. On every proposal we are very mindful and we are appraising it from efficiency angle also.

- Mr. Ashlish – Analyst:

- Understood. Sir, just one follow up there. When you say market is getting better, which segments are you referring to here? Is it only corporate or are you seeing that trend across retail and MSME segments also?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Corporate, I would say. Otherwise, these are all targeted lending. Retail and Agriculture and MSME; these are all more or less on the similar lines. But in corporate we are getting good traction and we are asking and we are getting also good rates. And with better quality also.

- Mr. Ashlish – Analyst:

- Understood. And within corporate I see that the better rated corporate has grown much faster than the lower rated corporate. You expect that trend to continue here on?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Yes. Also, in our total book now 86% of our book is A and Plus rated. That has grown from last time also.

- Mr. Ashlish – Analyst:

- But that will continue?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- And we are getting traction in better rated corporate also. Yeah, 86%. Yes.

- Moderator:

- Thank you. We will take the next question from the line of Parth Gutka. Please go ahead. Parth, please go ahead with your question.

- Mr. Parth Gutka – Analyst:

- Hi, Sir. Thanks a lot for the opportunity. Sir, in the Interest Income line item, is there any one off for the quarter? Or what was the Interest on IT refund for this quarter?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Okay, so there is not one of the…Whereas we were adversely placed on this time. Last time we had good Interest on IT refund also, that is not available this time. So, that is not that much what it was last time. So, there is not much one off things. These are all organic only.

- Mr. Parth Gutka – Analyst:

- Okay. And my second question is, what was the Interest on Recovery from Return of Account in the Interest Income line item for this quarter?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

13- Okay. So, interest on IT Refund this time was ■247 crore only, which was quite more in the last quarter same time. And then Recovery Interest towards NPA and write-off is only ■258 crore. So, that is also less than…It was ■382 crore last time, it is ■258 crores this time only. Last year Interest on IT Refund was ■619 crore, this time it is ■247 crore only. So, that way, like I said, there is no one off case in any of the interest component.

- Mr. Parth Gutka – Analyst:

- Okay, Sir. Fair enough. And my second question is the PSLC income has picked up in Q1 to around ■1,600 crore or ■1,700 crores odd, what is the target for the full year here?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- There is absolutely no target for full year as such. Whatever PSLC sale happens, that happens in the first quarter or little part of the second quarter. So, you'll see hardly like in the last quarter, March 2026, if you talk about, there was only ■393 crore rupees of income. So, whatever happens

, it happens in the first quarter, mostly in the first quarter
and little part in the second quarter only. So, I guess that we have already gained. But there will be some traction, ■200-■300 crore here and there but not as much as what we could book in the first quarter itself. Second quarter something will be there, yes.

- Mr. Parth Gutka – Analyst:

- Okay, Sir. Fair enough. And, Sir, my last question is, despite the proportion of RAM segment going up, our yields have declined in this quarter. Any particular reason for the same?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- See, I mean, if we are considering it quarter over quarter, last year, last financial year, 100 basis point rate cut was there in repo rate. And that was spread across the year. So, that way we have lost 100 basis points. And our 53% of portfolio is repo rate linked, so that way we have lost there instead of gaining. But still we could hold on that, you see.

- Mr. Parth Gutka – Analyst:

- Okay, okay. So, should we assume that yields have largely stabilized and should not decline from this level?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

14- I guess, yes, the yields have largely stabilized. But depending upon MPC, MPC we do not know. But, as of now, last time also there was no change in MPC also. So, there will be always benefits of stability.

- Mr. Parth Gutka – Analyst:

- Sure. Sure, Sir. Thanks a lot for the opportunity.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Thank you. Thank you, Parth.

- Moderator:

- Thank you. We have next question from the line of Sushil Choksi. Please go ahead.

- Mr. Sushil Choksi – Shareholder:

- Congratulations to Team Canara and Brajesh ji for excellent performance.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Choksi Sir, Namaskar.

- Mr. Sushil Choksi – Shareholder:

- Namaskar, Sir.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Namaskar. Hope you remember me from Indian Bank time.

- Mr. Sushil Choksi – Shareholder:

- Not only Indian, I remember you from Bank of Baroda.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- That's great.

- Mr. Sushil Choksi – Shareholder:

15- Sir, knowing you from Bank of Baroda and Indian Bank and knowing Canara Bank's excellent performance from inception when it got listed.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Thank you, Sir. Thank you, Sir. Thank you. Thank you.

- Mr. Sushil Choksi – Shareholder:

- Sir, what is that you would like to see in Canara Bank in your tenure that you are able to implement and make a dramatic change in outlook of Canara Bank despite great success they have achieved?

- Second thing I would like to know on digital spend, all your subsidiaries, gold loan and credit pipeline, disbursed and undisbursed.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Okay, Sir, and credit pipeline. Okay, so my aspirations will be on efficiency line, Sir, considering this bank is doing very good as long as topline is concerned. But, yes, we are a little challenged on the efficiency parameters and that has got anything to do with only one parameter, that is our CASA percentage is towards lower side as long as our peers are concerned; to the likes of Central Bank of India, Bank of Maharashtra. Even my previous bank, it was around 38%-39%. So, that is one of my aspirations to correct it. I can't correct it overnight but that would be my endeavor. If you ask me my wish list, so that is my first wish list. And, second, I would like to further work upon our HR, considering as long as I am concerned I feel that the only differential between one bank to another bank, good or not so good bank, is that HR. So, I would like to work more on our own personnels. I would like them to not only talk about deposit and advances, rather they should talk about ROE, NIM. A

nd whatever the efficiency parameters, they are all talking about that and whenever doing anything, they are always mindful to that. And then ethics; ethics also I would like to work upon considering many benefits of being ethical. So, that is two of wish list. There are many wish list but if you talk about prioritizing those wish list, these are my first two wish list.

- Then digital spend, yes, we are doing quite a good digital spend. This time also more than ■3,000 crore we have earmarked for digital spend. And it is around 8% of our total. Total IT cost, if we say, it is 8% but out of that digital only more than ■3,000 crore we have earmarked. And out of that also substantial portion will go towards AI. But I want to do AI in a very consolidated way, not in piecemeal way but very calibrated way. I think we are better placed than any of the banks considering our headquarter is at Bangalore. So, we will be getting better traction in AI and all and our employees are also very tech savvy, I must say. So, that is how we are placed on digital.

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- We have got many digital journey, those are good also, but on adoption part we have to do a lot of things. Digital journeys are there but adoption level for all the journeys are not that high.

- Gold Loan book is, I will not say bread and butter, but I guess we are market leaders in gold loan. Already ■2.49 lakh crore was the gold loan outstanding as of 30th June, it has further increased, I would say. And that is a growing business and it gives us good leverage. And it is very well collateralized by near cash collaterals, credit cost is hardly there and then there is no capital provision also. So, it is giving good traction, it is a stable business in southern part of the country and it is growing other part of the country also. But in southern part it is a stable business, people collateralized gold for all their banking needs and it is very fast also they get. So, this answers your third question.

- The fourth you said credit line, so around 92 accounts…take it 100 accounts and around ■50,000 crore is our secret pipeline, I will say. So, it is a dynamic situation, Sir. If you want bifurcated, also I can tell 45 accounts we have got sanctioned but yet to be disbursed around ■18,000 crore. And proposals in hand, good proposals, which are sanctionable and disbursable is around 47 accounts worth ■32,000 crores. So, together it is around ■50,000 crore.

- Mr. Sushil Choksi – Shareholder:

- Sir, your view on all the subsidiaries which are listed and unlisted?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Okay. So, we have got a good number of subsidiaries. So, 2 of them got listed last year, you would have seen that Canara HSBC Life and then Canara Robeco, and both of them are doing good. Their results also got published and maybe 2-3 days I think there was a 10% circuit also. So, these 2 subsidiaries are doing good and we are getting threefold benefit out of them considering we are their distribution franchisee also, they are using our 10,131 branches. So, we are getting agency commission also and at the same time valuation of these companies with the good business is growing. So, there also we are gaining. And we are also invested there, so there is a third benefit also that appreciation of our stock prices.

- So, same way Robeco is also doing good, their share is also appreciated.

- So, around 5 subsidiaries we have got, around 5 associates we have got. So, all of them are giving good tractions. This year we could book at least around ■320 crores of profit which has come to us as parents.

17- So, we are seeing good traction there and they are all very professionally managed. Though we are keeping arm's length distance, they are governed by their board. So, we are keeping arm's length distance but we are supporting them by allowing them to use our distribution franchisee.

- Mr. Sushil Choksi – S

hareholder:

- Congratulations and good luck for the year, Sir.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Thank you, Sir. Thank you, Sir. Thank you, Choksi Sahab.

- Moderator:

- Thank you. We will take the next question from the line of Nitin Agarwal. Please go ahead.

- Mr. Nitin Agarwal – Analyst:

- Hi, Sir. Congratulations on good quarter.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Thank you, Nitin.

- Mr. Nitin Agarwal – Analyst:

- Sir, couple of questions. One is like this quarter we have seen a sharp decline in cost of deposits. So, how do you see the further repricing over the coming quarters, almost 27 odd basis point decline? And is it fair to say that margin expansion from here that you are indicating will be driven more by reduction in deposit cost versus lending yields?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Both side we are trying, Sir. I agree, both side. One side will not help considering we are placed towards the lower circuit. So, we are trying to have synergy of both side. Yield on Advances also we want to grow. CD ratio we have also grown so that the dependency on investment reduces considering the 6.90% only we are earning by way of Yield on Investments. So, 110 basis points will come from there. That's why our NII also increased.

18- So, we are targeting both side of it, Sir. So, rightly you said, 27 basis points it has come down but at the same time Yield on Advances has come down by 29 basis points. So, whatever the gain we have got here that was subsidized that side. So, we can't rely on one side of it and we have to get traction from both side little here and little there also which will augment our earning.

- Mr. Nitin Agarwal – Analyst:

- Right, Sir. But, Sir, with lending yields more or less repriced with Repo transmission done, how do you see the repricing on the deposit side in the coming quarters?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Repricing is also, I mean, I think it is plateau. It is all done. But, you know, whatever reduction happens in Repo, so that is immediately transferred overnight to deposit side. It gets transferred but transferred with lag. At the same time, full amount, full percentage, is also not transferred. But there is always fight like depending upon the respective ALM of the banks, they have got aspiration of growth also. So, that bulk deposit, there is always fight. So, sometime rate goes…depending upon their own ALMs, people are giving good rates also so that it is not fully transferred. And it never happens also. But this last one or two year, that is little on adverse side of it.

- Mr. Nitin Agarwal – Analyst:

- Right, Sir. And, Sir, on the corporate side, how do you see the pricing trend now? Has there been some improvement in the pricing environment on corporate lending?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Yeah, there is some improvement, I must say. We are getting little 10 paisa, 20 paisa here and there. If we are bargaining, we are getting.

- Mr. Nitin Agarwal – Analyst:

- Okay. Because I see like the RAM mix for us has been same, say, for last 2-3 quarters.

How do you see that because other banks, some of them, have much higher mix on RAM? And how much is the difference between, say, aggregate RAM yield, blended yield on RAM versus the corporate?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Okay. So, yes, in our Advances mix, RAM has grown by 1% YoY. From last 58% to 59% this time. So, yield on RAM is little more than yield on corporates, considering that in

19the corporate we have got some of the portfolio at sub-7 also. But that is not the case with the retail. And, again, in MSME, a little more leverage is there. Agriculture, but we get interest subvention also there. But in retail also, especially unsecured retail, but that is not more, but

there are good leverages we get. But if blended we go, it is more than what we get in the corporate. But, again, in corporate side, there is less operational cost. It is a trade-off but still most of the banks they prefer this RAM.

- Mr. Nitin Agarwal – Analyst:

- Right. So, Sir, difference, fair to say, can we say around 50 odd basis point or can it be more also?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Around 50 but exact number, if you want, I will provide you.

- Mr. Nitin Agarwal – Analyst:

- Sure, Sir.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- It is around 50, yes.

- Mr. Nitin Agarwal – Analyst:

- Okay. Okay. Thank you so much, Sir.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Thank you, Sir. Thank you.

- Moderator:

- Thank you. We will take the next question from the line of Anand Dama. Please go ahead. Anand, please go ahead with your question.

- As there is no response, we will move to the next question, next follow-up question from Ashlish. Please go ahead.

- Mr. Ashlish – Analyst:

- Hi, Sir.

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- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Yes, Akhilesh.

- Mr. Ashlish – Analyst:

- I have a few follow-ups. Very quickly, on the ECL estimate which you gave of 1.2% of RWA, that translates to about ■13,000-■14,000 crores of provision. Have you already created any floating provisions against this requirement so far? That is one.

- Second question is if you can share the segmental slippages.

- Third question, your fee income has been quite sluggish this time, it is up only 5%. So, what is the reason for that?

- And last one, on the deposit focus, which you mentioned, do you have any targets in mind about the CASA ratio or the share of bulk deposits by, let's say, March’27 or March’28?

- Those are the 4 follow-ups.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Okay. So, ECL, you said, 1.20, that translates into ■12,000-■13,000 crores. That is what the amount we also perceive. So, no floating. Floating is already there. Whatever the provision we do on standard advances, that is always there. So, it takes care of SMA-0. And again, this NPA is always 100% provided. So, in between 1 and 2, SMA-1 and SMA-2, there is a challenge. So, there comes this amount, this ■12,000-■13,000 crores. So, that is there.

- And our Provision Coverage Ratio is 95%, again. So, it will take care. The incremental in 1 and 2, that is around ■10,000-■12,000 rupees. ■10,000 crore rupees we are envisaging but we do not know what will be the market rate and M2M whatever that we have to provide on our investment book. So, that is one challenge, which we do not know. Even if by law of average it comes to 2000, but we are having very good CRAR. Also, you can consider a floating margin. 17.17% we have got against the regulatory requirement of 11.50%.

- Mr. Ashlish – Analyst:

- And you can get from the NPA provision which you have?

21- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- And CET1 also is 12.91%. No-no, we are not having some hidden provision here and there. PCR is there. This provision or standard advancement, which is not part of PCR also, that is there. And CET1 is 12.91%. So, that is very handsomely placed. Even by dent of 1.25%, regulatory requirement is 8% only. So, we are very comfortably placed there, I guess. Even if we are not raising any capital, we have absolutely no problem. There's a provision of absorbing it in 1 year also but we plan to absorb in 2-year time against 5-year time allowed by Reserve Bank of India.

- So, segmental slippages also I will provide you. Segmental slippages, yes, we have got. So, total slippage has happened of ■1,781 crores. That's all. And out of which ■727 crore has happened in agriculture, MSME is ■697 crore has happened, in retail ■326 crore and in gold, some here and there, ■20-30 crores. So,

altogether the major slippages are
there in agriculture and in MSME. That too are not significant considering our ■12,000 lakhs of crores of our business. And that slippage rate is only 0.15% in this quarter. Annualized is 0.60% but actual for this quarter is only 0.15%. That is, I guess, somewhat industry-based.

- Mr. Ashlish – Analyst:

- Understood, Sir. Sir, the other questions on fee income and the target for…

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Fee income, I'll explain. So, non-interest income, fee-based income, if we talk about, if YoY we consider, YoY we have grown at 5.35%. But YTD we have come down from ■2,513 crore, if we talk absolute, it was ■2342 crore, so less than ■200 crore. But that is on account of two, there are some incomes which are booked in the last quarter like many commission on government, many service charges. You getting me know? So, those things are only specifically booked in the last quarter. So, YoY we have grown by 5.35 but YTD we have gone down less than ■200 crore. There is no systemic problem also but there are some specific commissions, there are some specific charges we booked in the last quarter and that's why it is little less there.

- So, deposit forecast, you say. So, we have given guidance in deposit to grow to 9%-10%, lower double digit. But we have grown close to 12%, some 11% odd. And the most heartening thing to know there is that most of the growth have come from individual accounts, either it is SP individual or it is Retail term deposit. So, which only testaments are good services, good products and good placement also.

- So, that is what we would like to harp upon. We have got good number of branches, good franchisee, 10,131 branches spread across all the places. Again, we have

22aspirations to open 250 new branches this year. And out of that, 34 we have already opened. So, going further our distribution franchisee will also increase. And then we have got some synergy from our subsidiaries also. Suppose somebody is taking some of their mutual fund products, then they need to have one savings account with us. So, that way also we are getting synergized also. So, we would like to grow 11%-12% there also.

- Moderator:

- Thank you. There is a question in the chat box. What is the total Gold Loan portfolio in Agri and Non-agri? And what is the LTV over there?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- What is?

- Moderator:

- What is the total portfolio in the Gold Loan, Agriculture and Non-agriculture? And what is the LTV over there?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- What is the?

- Moderator:

- LTV.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- LTV, okay. So, see, total Gold Loan is ■2.59 lakh crores. And out of this, Agriculture Gold is ■1.51 lakh crore and rest is under Retail Gold Loan, that is ■107 lakh crore.

- And LTV, around 60. LTV is around 60. 65 I would say, between 60-65. Yes.

- Moderator:

- Thank you.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

23- So, we have very well, I mean, held ourselves there also due to any fluctuations of gold prices.

- Moderator:

- Thank you. We will take the next question from the line of Anand Dama. Please go ahead. Hello, Anand, please go ahead with your question. As there is no response, we will take the last question from the line of Param Subramanian. Please go ahead.

- Mr. Param Subramanian – Analyst:

- Yeah. Hi, Sir. Thanks for the question. So, first question, what is your LCR for the quarter?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- LCR is around 1-1-5, 115%. And soft target we have kept at threshold at 1.10, 110%. Against that, we are at 115%. Average is little more, 119%. That I am talking about internal LCR. But average LCR during the quarter is around 119%.

- Interviewer:

- Okay, 119% is the av

erage. Okay, Sir.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Average, yes.

- Interviewer:

- Yeah-yeah. Perfect, Sir. And, Sir, on ECL, what is the run rate impact on credit cost? You mentioned the one-time impact but once you transition to ECL, how much will your credit cost increase by on a run rate basis?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- I guess it will not have much effect. You have seen how we have controlled our credit cost like anything. It is only at 0.51% . Around 0.49%, say 0.50%, against our guidance of 0.80%. Again, in total provision requirement is incremental basis till around ■10,000 crores on a book of ■12.83 lakh crores. So, you can understand. There will be some increase but not substantial. As of now I cannot predict very precisely but it will be in the range of, say, 10 basis points. Not even 10 basis points, Sir. 4-5 basis points.

24- Interviewer:

- Yeah, Sir. Okay-okay, got it, Sir.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- That is an assumption only, Sir. That is an assumption only, yes.

- Interviewer:

- Okay, Sir, got it. So, if it is, say, 10 basis points, do you think you will be able to increase your, say, lending rates to offset the impact?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- I guess no, Sir. I guess no, Sir. For 10 basis points why would we? And, again, it will be an industry thing, Sir. It will not be restricted to Canara Bank. So, interest rates are always market-driven. But as of now, as per my own understanding, none of the banks is going to lower that. But there are some issues on floor rates and all. But we will see how things evolve.

- Interviewer:

- Sir, the reason I ask is then, you know, the 1% ROA comes under some sort of pressure if we start seeing higher credit cost. So, yeah, I mean, it will be difficult to achieve that if we have a higher credit cost. So, is that something you will not try to defend?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- See, ROA in excess of 1% is okay. I guess, it is better. Even if we are protecting at 1.01%-1.02%, will be happy.

- Interviewer:

- Okay, Sir. Okay. And last question, Sir, on your Agri book. Since you have such a, you know, substantial Agri book, any issues or stress you are seeing because of the, say, monsoon that we are looking at or are you worried on anything over there?

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Like I replied in earlier questions also, yes, if there is less rain or due to that then what happens is that those districts get declared as distress districts by SLVC and District Level Technical Committee. Then many kind of dispensation comes. So, even if we are going

25to get some stress, that will be in our KCC portfolio only. But, again, that dispensation will come from SLVC and government and RBI. So, it will be very easy to, I mean, sail through that. And, again, as country grows, the rain-fed areas are dwindling down very fast, you see. There are other ways out also for irrigation also. Fasal Bima also will be there. Then dispensation by way of declaration of distress districts will be also there.

- So, I guess, there will be not much effect. And KCC portfolio also not very huge at our bank, you see.

- Interviewer:

- Okay, Sir.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- I guess, that will be manageable. Manageable, yes.

- Interviewer:

- Yeah. Thank you so much, Sir. Congrats once again on the quarter.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- Thank you. Thank you. Thank you for your questions.

- Moderator:

- Thank you, we'll take that as the last question. I'll hand over the call to the MD Sir for his closing remarks.

- Mr. Brajesh Kumar Singh – MD & CEO, Canara Bank:

- So, thank you, respected analysts. We have tried and worked hard and we were

always
mindful of our efficiency parameter, so going further also our endeavor would be to work more upon efficiency parameters, inch towards implementation of ECL, work more on digitization, more on decongestion of branches so that our branches get time for developmental aspects and take help of financial inclusion also at the same time, grow deposits at low cost and gainfully deploy that. So, these are some aspirations and we look forward for your support also and your guidance also therein.

- Thank you, all, for taking out time and going through our balance sheet and giving so much insights which will certainly help us. Thank you, all.

26- Moderator:

- Thank you, Sir. That concludes Canara Bank's Q1 FY27 Earnings Call.

END OF TRANSCRIPT